PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 6B

Strategic Management

Full Lessons

Every lesson as the app's Exam view (all sections except Under the hood), worked examples with their working shown, and the self-check with its answer key at the end of each lesson.

21 lessons in 5 chapters · A4 edition · made 2026-10-20 from the PassBook lessons

The labs (step-through simulators) are not printed: open the lesson in the PassBook app for the interactive version.

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CHAPTER 1

Introduction to Strategic Management

1.1 Meaning, nature, importance and limitations of strategic management

What strategy and strategic management mean, why every real strategy is partly proactive and partly reactive, the seven benefits ICAI lists and its four limitations.

In plain words

One stall, no strategy department

When Kesar started, Tapri Tea Co. Ltd was one roadside tea stall near the Indore bus stand. Today it is a listed company with kulhad cafés in 40 cities, and BrewBucks, the global coffee chain, has just opened in twelve of them. Ananya Rao, Tapri's head of strategy, wants a full strategy review before the board meeting.

> **Kesar:** Ananya, when I had one stall I had no strategy. Good chai, fair price, people came.
>
> **Ananya:** You had a strategy, Kesar-ji. You chose the corner near the bus stand, you chose kulhads over plastic cups, and when the college moved across the river, you moved the stall after it.
>
> **Kesar:** That was common sense.
>
> **Ananya:** That was strategy. It just lived in your head. Forty cities need it written down.

A **strategy** is a business's game plan: how it takes a market position, attracts and satisfies customers, competes and reaches its objectives while the world outside keeps changing, often against it. **Strategic management** is the process that keeps this plan alive: decide where the business wants to go, set objectives, craft the strategy, carry it out, check how it is working, correct course, and start again. It never ends.

Look again at Kesar's three choices. The bus-stand corner and the kulhads were planned in advance: a **proactive** strategy. Following the college across the river was a response to something he did not plan: a **reactive** (adaptive) strategy. Every real company's strategy is a blend of the two.

Why bother? Because strategic management helps a firm do better than its rivals and its own past, and steer through change. But it is no magic shield: the environment can surprise anyone, planning eats time and money, and rivals keep their plans secret.

Think of it like

The captain's game plan

Before a match, a cricket captain plans the bowling and the field for every batter: that is the proactive part. When the pitch starts turning or the other side sends in a pinch-hitter, he changes the bowler: the reactive part. The plan wins no match by itself (rain, a dropped catch and the rival captain's surprise are outside his control), but a team that walks out with no plan is, in Michael Porter's words, "willing to try anything".

Key idea

Strategy is the game plan for competing; strategic management is the never-ending process of setting direction, crafting, implementing, evaluating and correcting that plan. A company's actual strategy is always partly proactive (planned) and partly reactive (adaptive), and strategic management improves the odds of success without guaranteeing it.

How it works

First, what "management" means

The Study Material uses the term **management** in two senses (SM 1.3):

1. **A key group** in charge of an organisation's affairs: the chief organ entrusted with making it a purposeful and productive entity, by bringing together and integrating the disorganised resources of manpower, money, material and technology into a functioning whole. The survival and success of an organisation depends to a large extent on the competence and character of its management.
2. **A set of interrelated functions and processes** carried out by that group to attain its objectives: planning, organising, directing, staffing and control, ranging from determining goals and designing the organisation to installing a control system that ensures what is planned is achieved.

Management is an **influence process** to make things happen, backed by power, competence, knowledge and resources. Managers formulate goals, values and strategies to cope with, adapt and adjust to changes in the environment (SM 1.3).

Strategy: the game plan

In business, strategy relates to the ways the business decides to **respond to dynamic and often hostile external forces** while pursuing its vision, mission and ultimate objectives. It is meant to **unravel complexity and reduce uncertainty** caused by changes in the environment, and it relates the goals of the organisation to the means of achieving them (SM 1.4).

Definition

Strategy

"A long-range blueprint of an organization's desired image, direction and destination, i.e., what it wants to be, what it wants to do, how it wants to do things, and where it wants to go." Strategy is the game plan that the management of a business uses to take market position, conduct its operations, attract and satisfy customers, compete successfully, and achieve organizational objectives. (SM 1.4)

Two classic definitions the Study Material quotes (SM 1.4):

Author	Strategy is
Igor H. Ansoff	The common thread among the organisation's activities and product-markets that defines the essential nature of business that the organisation has or planned to be in future
William F. Glueck	A unified, comprehensive and integrated plan designed to assure that the basic objectives of the enterprise are achieved

Six facts about the nature of strategy

From SM 1.5, in the Study Material's order:

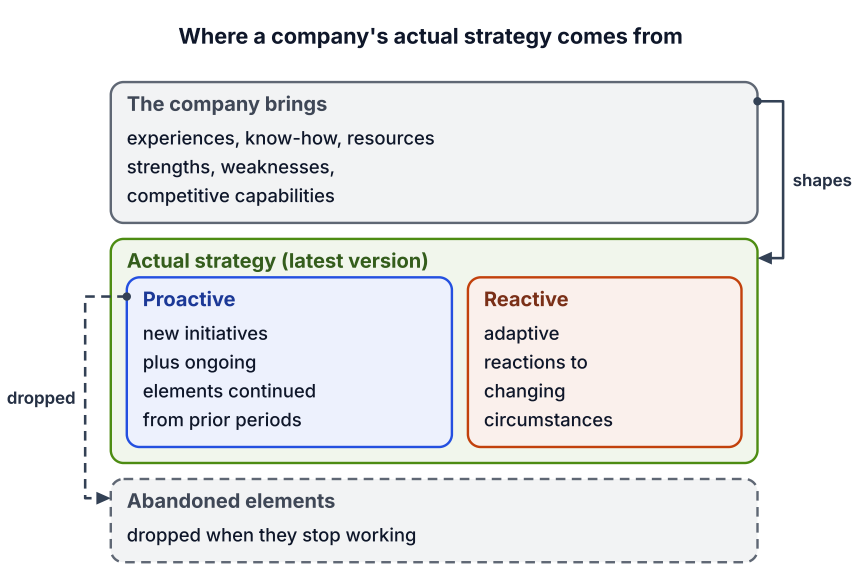
1. Strategy is a **consciously considered and flexibly designed scheme** of corporate intent and action to mobilise resources, direct human effort and behaviour, handle events and problems, perceive and utilise opportunities, and meet challenges and threats for corporate survival and success.
2. It fills the organisation's need for a **sense of dynamic direction, focus and cohesiveness**. Objectives and goals give direction, but they do not fill that need alone.
3. It provides an **integrated framework** for top management to search for, evaluate and exploit beneficial opportunities, to perceive and meet potential threats and crises, to make full use of resources and strengths, and to offset weaknesses.
4. Strategy is **no substitute for sound, alert and responsible management**.
5. Strategy **can never be perfect, flawless and optimal**. It is flexible and pragmatic, to take care of sudden emergencies and pressures; in a sound strategy, allowances are made for possible miscalculations and unanticipated events.
6. In large organisations strategies are formulated at the **corporate, divisional and functional levels**: corporate strategies (expansion and growth, integration, diversification, takeovers and mergers, new investment and divestment areas, R&D projects) are operationalised by divisional and functional strategies (product lines, production volumes, quality, prices, promotion, purchasing, personnel development). The levels have their own lesson: strategic levels in organisations.

The Study Material's own test, "Is this a strategy?": a ketchup brand cuts sugar and preservatives so that parents feel safe about their children eating it. Yes: it is a business strategy to fight competition and to adapt to a changing external environment, people becoming health conscious (SM 1.7).

Partly proactive, partly reactive

A company's strategy is typically a blend of (SM 1.5–1.6):

- **Proactive actions** on the part of managers to improve the company's market position and financial performance. A proactive strategy is a **planned** strategy.
- **Reactions** to unanticipated developments and fresh market conditions in the dynamic business environment. A reactive strategy is an **adaptive reaction** to changing circumstances.



After the Study Material's figure (SM 1.6). Green: the actual strategy; blue: its planned (proactive) part; orange: its adaptive (reactive) part. The dashed grey box holds the elements that are given up along the way.

The current strategy flows both from previously initiated actions and approaches that are working well enough to merit continuation, and from newly initiated decisions that strengthen the company's position. That part is **deliberate and proactive**: the product of management's analysis and strategic thinking. But things happen that cannot be fully anticipated: when market and competitive conditions take an unexpected turn, or some part of the strategy hits a stone wall, a strategic reaction or adjustment is required. So crafting a strategy involves stitching together a proactive/intended strategy based on prior successful experience and then adapting pieces of successful reactions as circumstances change or better options emerge: a reactive/adaptive strategy (SM 1.6–1.7).

Basis	Proactive strategy	Reactive strategy
Meaning	Planned actions by managers to improve market position and performance	Adaptive reactions to unanticipated developments and fresh market conditions
Nature	Deliberate, intended	Responsive, adaptive
Trigger	Management's own analysis and strategic thinking	A change in the environment the plan did not foresee
Purpose	Gain advantage through advance planning	Cope with change or seize an opportunity that has just appeared

The Study Material's example of a well-planned strategy is **UPI**: a clear identification of an existing problem, a strategy built on it, and near-perfect execution changed India's digital payments landscape (SM 1.7).

Which is better? ICAI's own answer (to a case of a pioneer and a rival that copies its products): **if organisational resources permit, it is better to be proactive** rather than reactive, because being first with a new product gives an advantage in the mind of customers; but the proactive firm must still adapt piece by piece as circumstances change (SM 1.37–1.38). The reason both are needed: in a proactive strategy the firm analyses possible environmental scenarios and plans in advance, but no company can forecast its internal and external environment exactly (rivals' moves, consumer

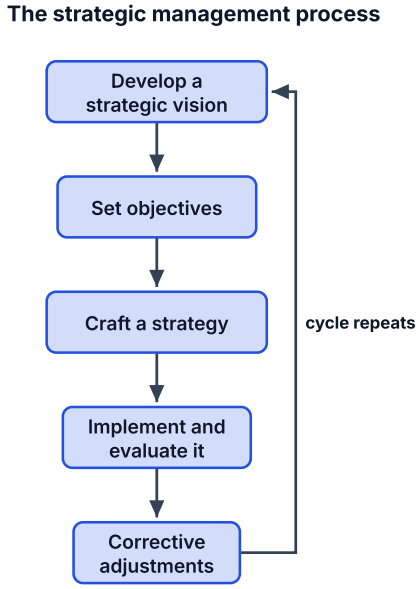
behaviour, evolving technologies), so a reactive strategy, **triggered by changes in the environment**, provides ways and means to cope with the negative factors or take advantage of emerging opportunities (SM 1.42).

Strategic management: the process

Definition

Strategic management

"The managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and finally initiating corrective adjustments where deemed appropriate." The process does not end; it keeps going on in a cyclic manner. (SM 1.8)



The five parts of ICAI's definition (SM 1.8). The back arrow is the point: the process keeps going on in a cyclic manner.

Put another way, strategic management involves developing the company's vision, **environmental scanning** (both external and internal), strategy formulation, strategy implementation, and evaluation and control. Its activities are developing the firm's vision and mission, strategic analysis, developing objectives, creating, choosing and implementing strategies, and measuring and evaluating performance (SM 1.4, 1.8). The discipline was **originally called business policy**; it emphasises monitoring and evaluating external opportunities and threats in the light of the company's strengths and weaknesses, and designing strategies for survival and growth (SM 1.8). The five stages are worked through in formulation versus implementation.

Importance: why bother

The importance of strategic management lies in enabling an organisation to **perform better than its competitors and its own past and present performance**: superior returns to investors, superior value to customers, and superior performance against the expectations of employees, suppliers, government and society (SM 1.7–1.8).

Definition

The overall objectives of strategic management (two-fold)

1. To **create competitive advantage** (something unique and valued by the customer), so that the company can outperform the competitors in all aspects of organisational performance.
2. To **guide the company successfully through all changes in the environment**, that is, to react in the right manner. (SM 1.8)

"Survival of the fittest" is the principle of survival for all organisations, and the fittest are not the largest or strongest but **those who can change and adapt** to changes in the business environment. Bajaj Scooters, LML Scooters, Murphy Radio, BPL Television, Videocon, Nokia and Kodak are the Study Material's examples of giants that failed to manage drastic change. Business follows the war principle of "win or lose" (only a few cases are win-win), so each organisation must build competitive advantage over its competitors in this **business warfare**, and that can be done only through the process of strategic management: strategic analysis, formulation, implementation, evaluation and control (SM 1.8–1.9).

The seven benefits, in ICAI's order

From SM 1.9–1.10:

1. **Gives direction** to the company to move ahead: it helps define the goals and mission, and realistic objectives in line with the vision.
2. **Proactive instead of reactive** in shaping its future: organisations analyse and act instead of being mere spectators, control their own destiny better, and work within the vagaries of the environment and shape it instead of being carried away by its turbulence.
3. **Framework for all major decisions**: businesses, products, markets, manufacturing facilities, investments and organisational structure; better guidance to the entire organisation on what it is trying to achieve.
4. **Prepares the organisation to face the future** and acts as a pathfinder to business opportunities: it identifies the available opportunities and the ways and means to reach them.
5. **Corporate defence mechanism** against mistakes and pitfalls: it helps avoid costly mistakes in product-market choices or investments.
6. **Enhances the longevity** of the business: it helps the organisation take a clear stand in its industry and ensures it is not just surviving on luck. Actions over expectations.
7. **Develops core competencies and competitive advantages** that assist in the fight for survival and growth.

Not every worthy decision is strategic. In search of meaning and purpose, organisations take decisions that may not measure up to being "strategic": belief in diversity, inclusion and equity;

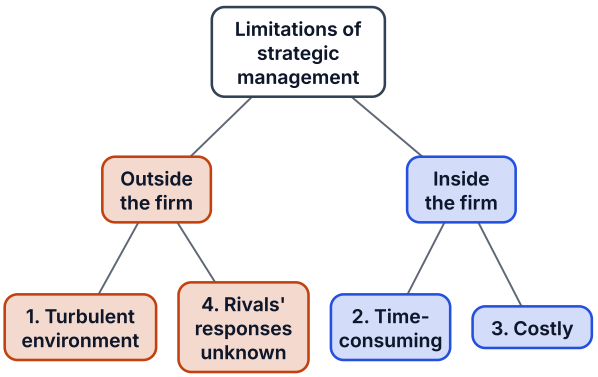
improving the availability, affordability and accessibility of products and services for opportunity-deprived sections; greater workplace democracy. They are worthy on their own count but may not serve a strategic purpose in the strict sense of the term (SM 1.11).

The four limitations, in ICAI's order

"The presence of strategic management cannot counter all hindrances and always achieve success" (SM 1.11):

1. **The environment is highly complex and turbulent.** It is difficult to understand it and pinpoint how it will shape up; the organisation's estimate of the future may go badly wrong and jeopardise all its plans. The Study Material's example: electric two-wheeler brands counted on the government's push for e-mobility, but buyers turned reluctant after frequent battery fires. Strategy cannot overcome a turbulent environment (SM 1.11).
2. **It is a time-consuming process.** Preparing and communicating strategies takes so much time that it may impede daily operations and hurt routine business: like a student who spends so long planning what, where and when to study that there is no energy left to study (SM 1.11–1.12).
3. **It is a costly process.** Expert strategic planners must be engaged and the external and internal environments analysed; this is really costly for organisations with limited resources, particularly small and medium ones (SM 1.12).
4. **It is difficult to estimate the competitive responses** to a firm's strategies when every organisation is moving strategically and decisions are taken behind closed doors. The Study Material's example: when Apple removed the 3.5 mm audio jack from iPhones, speaker brands had to rush into true wireless products to stay relevant (SM 1.12).

The four limitations, grouped by where they come from



The numbers give ICAI's order (SM 1.11–1.12); write them in that order. Orange: the two that come from outside the firm; blue: the two it pays for itself. The grouping is only a memory aid.

Why do it anyway? Because its importance outweighs its shortcomings: a business cannot operate and succeed without proper strategic management (SM 1.13).

Worked examples

Worked example **The summer Tapri's plan met BrewBucks**

In March 2025 Tapri's board approved its plan for 2025-26:

1. keep the ₹15 "cutting chai" price promise that has run in every café since 2019;
2. open 60 highway kiosks on the Indore–Mumbai and Delhi–Jaipur routes;
3. launch a sugar-free chai premix for the growing number of diabetes-conscious buyers.

In April BrewBucks launched an iced-coffee range with a loyalty card (every fifth drink free) in every Tapri city. Within three weeks Tapri launched a "chai frappe" in 300 cafés and a "fifth kulhad free" card for college students. In May a record heat wave halved footfall at the 22 kiosks already open; the board stopped the remaining 38 kiosks and moved that money into air-conditioning for its busiest cafés.

At the next meeting Kesar says: "Half the plan changed in three months. Our strategy failed."

Required:

(i) Identify the proactive and the reactive elements in Tapri's 2025-26 strategy, and the element that was abandoned.

(ii) Explain the statement "strategy is partly proactive and partly reactive" with reference to the case.

(iii) Comment on Kesar's view that the strategy failed.

MODEL ANSWER

(i) Elements of the strategy

Element	Nature	Reason
₹15 cutting-chai promise	Proactive	Ongoing element continued from prior periods because it works
60 highway kiosks; sugar-free premix	Proactive	New initiatives planned in advance from management's analysis
Chai frappe and "fifth kulhad free" card	Reactive	Adaptive reaction to BrewBucks' iced range and loyalty card
Air-conditioning for busy cafés	Reactive	Adaptive reaction to the heat wave
Remaining 38 kiosks	Abandoned	Part of the plan that hit a stone wall

(ii) Partly proactive, partly reactive. A company's strategy is typically a blend of proactive actions on the part of managers to improve its market position and financial performance, and reactions to unanticipated developments and fresh market conditions. A proactive strategy is a planned strategy; a reactive strategy is an adaptive reaction to changing circumstances. Tapri's plan of March 2025 (the continued price promise, the kiosks and the premix) is its deliberate, proactive strategy. BrewBucks' launch and the heat wave could not be fully anticipated, so Tapri adjusted with the frappe, the loyalty card and the air-conditioning. Its actual strategy for 2025-26 is therefore the proactive elements, plus the reactive elements, minus the abandoned kiosks.

(iii) Kesar's view. It is in the very nature of strategy that it is flexible and pragmatic, to take care of sudden emergencies and pressures; strategy can never be perfect, flawless and optimal, and in a sound strategy allowances are made for possible miscalculations and unanticipated events. A change of plan in response to a competitor's move and a heat wave is not a failure of strategy: crafting a strategy involves stitching together an intended strategy and then adapting pieces of successful reactions as circumstances change. The strategy would have failed had Tapri kept building kiosks nobody visited, or ignored BrewBucks. Tapri's strategy is working as a strategy should.

Worked example

Shalini's sweet shops and the expensive plan

Kesar's school friend Shalini Khurana owns Khurana Mithai Bhandar, six sweet shops in Bhopal. Last year she paid a consultant ₹6 lakh for a three-year strategic plan. Its workshops took her and her shop managers away every Saturday for four months, including the Diwali order season, when customer complaints doubled. The plan bet on premium dry-fruit gift boxes for corporate clients. Then cashew prices rose sharply after a poor harvest abroad, squeezing the boxes' margin, and a national sweets brand launched an almost identical box at a lower price within three weeks of hers.

Shalini now says: "Strategy is a waste of money. From now on I run the shops on instinct, like my father did."

Required:

(i) Identify the limitations of strategic management illustrated in the case.

(ii) Advise Shalini whether she should give up strategic management.

MODEL ANSWER

(i) Limitations illustrated. The presence of strategic management cannot counter all hindrances and always achieve success:

1. **The environment is highly complex and turbulent.** It is difficult to pinpoint how it will shape up, and the organisation's estimate may go wrong. The plan did not foresee the jump in cashew prices after a poor harvest abroad.
2. **It is a time-consuming process.** Preparing and communicating strategies may impede daily operations. Four months of Saturday workshops, in the Diwali season, doubled customer complaints.
3. **It is a costly process.** Expert strategic planners need to be engaged, which is costly for an organisation with limited resources: ₹6 lakh is a large sum for six shops.
4. **It is difficult to estimate competitive responses.** The national brand's plans were made behind closed doors; its copy at a lower price within three weeks was not anticipated.

(ii) Advice. Shalini should not give up strategic management. Its importance outweighs its limitations: a business cannot operate and succeed without proper strategic management. It would give her shops a direction and realistic objectives; help her be proactive rather than a mere spectator to cashew prices and rivals; provide a framework for decisions on products, markets and investments; act as a pathfinder to opportunities such as corporate gifting; serve as a defence mechanism against costly mistakes; enhance the longevity of the business so that it does not survive on luck; and build core competencies, such as her family recipes, that a national brand cannot copy. She can reduce the limitations instead of abandoning the process: plan outside the festival season, keep reviews short, and make the reactive part of the strategy explicit (for example, alternative suppliers and a second product line if cashew prices rise again). Running on instinct alone would leave her exposed to every change in a turbulent environment.

Exam angle

In the exam

How ICAI asked this, May 2024 to September 2026

In the new-scheme documents read for this lesson (past papers, RTPs and MTPs), the topic appeared 38 times in 27 documents.

- **"Strategy is partly proactive and partly reactive", 5 marks**, mostly as a case: Ecro Ltd's brand building, then its response to large retailers (January 2025 Q5(b); MTP September 2026 Series II Q1(a)); a retailer facing online rivals (MTP May 2024 Series I Q2(a), MTP September 2025 Series II Q2(a)); a retail chain that tracks trends and keeps a flexible supply chain (MTP May 2024 Series II Q1(a)); Novatek's expansion plan revised after a foreign competitor, costlier raw material and new energy rules (RTP September 2026 Q7). Asked directly: "differentiate between proactive and reactive strategies and explain why both are needed" (May 2026 Q8(b) OR), and a short note on the concept of strategy (January 2026 Q8(b) OR).
- **Define strategic management and discuss its limitations, 5 marks**: MTP January 2025 Series I Q2(b), MTP January 2026 Series I Q2(b), RTP May 2024 Q8; the overall objective plus the limitations (May 2026 Q8(b)). As a case, a bookstore chain losing sales to online stores (MTP January 2025 Series II Q4(a), MTP September 2024 Series II Q1(b), RTP May 2026 Q8) and the Study Material's own consumer-durables case (RTP May 2025 Q7).
- **Benefits, 5 marks**: the "business warfare" quotation (MTP May 2024 Series II Q2(a), MTP September 2025 Series I Q2(a)); "work through changes in the environment" (RTP September 2024 Q8); Vireon Foods' 25 years of survival (RTP September 2025 Q7); a music academy founder who refuses online

classes (MTP September 2026 Series I Q1(a)); benefits for an OTT platform's marketing manager (May 2024 Q5(b), with the functional level), repeated for a bottled-water company (RTP January 2026 Q7).

- **Multiple choice, 2 marks each**: identify a blend of proactive and reactive (January 2025 MCQ 11, May 2026 MCQ 11, MTP September 2025 Series I MCQ (B)(i)), a first mover's proactive strategy (September 2024 MCQ 9), a firm redesigning its range for smart-home demand while rivals hesitate (RTP January 2026 MCQ 2), a renewable-energy unit's new overseas contract as proactive expansion (MTP January 2026 Series I MCQ (A)(i)), a quick response to rivals' same-day delivery as reactive (MTP May 2025 Series I MCQ (B)(i)), which of four moves are proactive (September 2026 MCQ 10, key not yet published), the benefit of "clear direction" (January 2026 MCQ 14), EV buyers wary of battery fires as a limitation (May 2025 MCQ 14, keyed (a), the complex and turbulent environment: the Study Material's own example), "time-consuming" as a limitation (MTP September 2025 Series I MCQ (B)(iii), RTP September 2024 MCQ 2, and "time-consuming but necessary" in MTP May 2025 Series II MCQ (B)(i)), and a firm with a sound mission that still needed a turnaround ("time consuming but helps by developing defense mechanisms", MTP September 2026 Series II MCQ (A)(i)).

In the exam

The trap in the proactive/reactive MCQs

ICAI's keys turn on **anticipation**, not on whether the firm "responded" to something. A cheese importer whose leaders read the magazines, foresaw that the "Vocal for Local" mood *could* hurt its brand, and planned a switch to local producers is keyed **proactive** (MTP September 2024 Series I MCQ (A)(i)), even though the option says "responding to". Alex Motor Company is keyed "partly proactive as the company anticipated future urban mobility needs and partly reactive as the company responded to the declining sales" (May 2026 MCQ 11). Foreseen and planned for: proactive. Forced by an unanticipated development that has already happened: reactive.

In the exam

How the marks are earned

ICAI's suggested answers start with the definition or the principle in the Study Material's words, then go point by point, and in a case tie each point to a fact. In the proactive/reactive cases, every move in the case is labelled proactive or reactive, and the answer ends by calling the strategy a blend. For limitations, the four headings are written in ICAI's order. In the bookstore case the suggested answer also adds advice: keep managing strategically, and use experts to customise the offer.

Trick

Seven benefits: "Do People Find Friends During Long Chats?"

Direction, **P**roactive, **F**ramework for decisions, **F**uture (pathfinder), **D**efence mechanism, **L**ongevity, **C**ore competencies: the Study Material's seven, in its order. Four limitations: **T**urbulence, **T**ime, **C**ost, **C**ompetitors' responses.

Answer frame

"Define strategic management and discuss its limitations" (5 marks)

1. **Definition** (SM 1.8): the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective

adjustments where deemed appropriate.

2. **Lead-in**: the presence of strategic management cannot counter all hindrances and always achieve success.
3. **The four limitations as headings**, each with one or two lines: environment highly complex and turbulent; time-consuming; costly; difficult to estimate competitive responses.
4. In a case: each limitation followed by the fact that shows it, then any advice asked for.

"Strategy is partly proactive and partly reactive" (case, 5 marks)

Step	What to write
Principle	A company's strategy is a blend of proactive actions to improve market position and financial performance, and reactions to unanticipated developments and fresh market conditions
Proactive	Meaning (planned strategy) and every planned move in the case
Reactive	Meaning (adaptive reaction to changing circumstances) and every response in the case
Conclusion	The actual strategy is a blend; crafting strategy means stitching an intended strategy with adaptive reactions; advice if asked

Three answers to the Tapri case

Loses marks

"Tapri followed a reactive strategy because it copied BrewBucks."

One label for the whole case, no principle, and the planned part is missed.

Passes

"Kiosks and premix are proactive; the frappe is reactive; so the strategy is a mix."

Correct labels, but no meaning of either term and no link to the Study Material's principle.

Full marks

The principle in ICAI's words, each element labelled with its reason, the abandoned element named, and a conclusion that strategy is flexible and pragmatic, never perfect, flawless and optimal.

Common mistakes

⚠ **Common mistake**

Hall of Shame: "reactive" written as a polite word for "failed"

Students treat a reactive move as proof that the plan was bad. **Fix:** a reactive strategy is an *adaptive reaction to changing circumstances*, and every company needs one, because strategy can never be perfect, flawless and optimal. The failure would be not reacting.

⚠ **Common mistake**

Calling a quick copy of a rival "proactive" because it was fast

Speed does not decide the label; the trigger does. **Fix:** a move planned from management's own analysis is proactive; a move forced by an unanticipated development (a rival's price cut, a heat wave, a new rule) is reactive, however fast it is.

⚠ **Common mistake**

Mixing up strategy and strategic management

"Strategic management is the game plan to compete" earns nothing. **Fix:** *strategy* is the game plan (the long-range blueprint); *strategic management* is the cyclic process of developing a vision, setting objectives, crafting, implementing, evaluating and correcting it.

⚠ **Common mistake**

Inventing limitations

Answers list "lack of employee commitment" or "rigid plans". **Fix:** ICAI's four limitations, in its order: turbulent environment, time, cost, competitors' responses. Rigidity is the opposite of the Study Material's point: strategy is meant to be flexible and pragmatic.

Practice

Check yourself

1 Case scenario. Kulfi Kart Pvt Ltd, a Jaipur kulfi chain, (i) has kept its ₹20 matka kulfi price unchanged since 2018 because customers love it; (ii) installed solar-powered freezers in 2024, before any tariff change, because its own study forecast rising power tariffs; (iii) switched to a Gujarat dairy co-operative within a week when a milk strike in June 2025 cut its usual supply. Which of the following is correct?

- A All three are reactive, because each responds to the market
- B (i) and (iii) are proactive; (ii) is reactive
- C (i) and (ii) are proactive; (iii) is reactive
- D (ii) and (iii) are proactive; (i) is neither

2 The overall objectives of strategic management are two-fold. Which pair states them?

- A To maximise profits and to minimise costs
- B To formulate strategy and to implement strategy
- C To create competitive advantage, and to guide the company successfully through all changes in the environment
- D To guarantee success and to eliminate uncertainty

3 Which of the following is NOT one of the limitations of strategic management in the Study Material?

- A It is difficult to estimate competitive responses to the firm's strategies
- B It makes the organisation proactive instead of reactive in shaping its future
- C It is a costly process
- D It is a time-consuming process

4 Dev tells the board: "A sound strategy must be perfect, flawless and optimal, so we should not change it during the year." What is wrong with this?

- **A** Nothing: a sound strategy is one that never changes
- **B** Strategy can never be perfect, flawless and optimal; it is flexible and pragmatic, with allowances for miscalculations and unanticipated events
- **C** Only functional strategies may change during the year
- **D** A strategy is optimal only when it is fully reactive

5 Which of these decisions does the Study Material say may be worthy on their own count but may not serve a strategic purpose in the strict sense? Select all that apply.

- **A** A belief in diversity, inclusion and equity
- **B** Exiting a loss-making samosa business to fund the cafés
- **C** Greater workplace democracy
- **D** Entering five new cities to pre-empt BrewBucks

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Strategy: the game plan management uses to take market position, conduct operations, attract and satisfy customers, compete and achieve objectives; a long-range blueprint of desired image, direction and destination.
- Strategic management: the managerial process of developing a strategic vision, setting objectives, crafting, implementing and evaluating the strategy, and making corrective adjustments; it never ends.
- A company's strategy is partly proactive (planned) and partly reactive (adaptive reactions to changing circumstances); it can never be perfect, flawless and optimal.
- Two-fold objective: create competitive advantage; guide the company through all changes in the environment.
- Seven benefits: direction, proactive, framework for decisions, prepares for the future, defence mechanism, longevity, core competencies.
- Four limitations: turbulent environment, time-consuming, costly, competitive responses hard to estimate; its importance still outweighs them.
- Not every worthy decision (diversity, workplace democracy) is strategic in the strict sense.
- Ansoff: the common thread of activities and product-markets; Glueck: a unified, comprehensive and integrated plan. (The captain still changes the bowler.)

Answer key · Check yourself

1 **C** **(i) and (ii) are proactive; (iii) is reactive**

(i) is an ongoing element continued from prior periods and (ii) a new initiative from the firm's own analysis, taken ahead of a change it foresaw: both are planned, so proactive. (iii) is an adaptive reaction to an unanticipated development: reactive. Kulfi Kart's strategy is a blend.

2 **C** **To create competitive advantage, and to guide the company successfully through all changes in the environment**

SM 1.8. Formulation and implementation are parts of the process, not its objectives; and strategic management cannot guarantee success: "the presence of strategic management cannot counter all hindrances and always achieve success" is how the Study Material opens its limitations (SM 1.11).

3 **B** **It makes the organisation proactive instead of reactive in shaping its future**

Being proactive instead of reactive is the second benefit. The other three are limitations; the fourth is the complex and turbulent environment.

4 **B** **Strategy can never be perfect, flawless and optimal; it is flexible and pragmatic, with allowances for miscalculations and unanticipated events**

SM 1.5. Changing course during the year is the reactive part of strategy, not a sign that the strategy was unsound.

5 **A** **A belief in diversity, inclusion and equity**; **C** **Greater workplace democracy**

SM 1.11 names diversity, inclusion and equity; access for opportunity-deprived sections; and workplace democracy. Exiting a business and pre-empting a rival are strategic decisions about where and how to compete.

1.2 Strategic intent: vision, mission, goals and values

Strategic intent is why a firm does what it does; vision says where it wants to go, mission what business it is in, objectives what results by when, and values what it will never compromise.

In plain words

Kesar's napkin

After a long board meeting Kesar writes the "Tapri Dream" on a paper napkin and hands it to Ananya: *Be India's favourite chai in every town by 2035. Fresh chai and snacks for commuters, students and offices. Double café revenue in five years. Never cheat a customer. Kulhads, not plastic.*

> **Kesar:** That is our strategy. Print it on every cup.
>
> **Ananya:** Five lines, Kesar-ji, and four different jobs. The bank asks where we are going. The café manager asks what we sell and to whom. Dev asks how much, by when. The new supplier wants to know what we will never do.
>
> **Dev:** I only need the "how much, by when" line. I will discount the rest.

Ananya sorts the napkin into four boxes, the components of **strategic intent**: the purpose a firm strives for, the "why" behind everything it does.

- **Vision**: where do we want to go? ("India's favourite chai in every town by 2035.")
- **Mission**: what business are we in, for whom, and why do we exist? ("Fresh chai and snacks for commuters, students and offices.")
- **Goals and objectives**: what results, measured how, by when? ("Double café revenue in five years.")
- **Values**: what will we never compromise, whatever the gain? ("Never cheat a customer. Kulhads, not plastic.")

The order matters. The vision points the way, the mission says what the firm does to get there, objectives turn both into numbers someone can be held to, and values sit underneath all three, deciding how every one of them is pursued.

Think of it like

The family road trip

A family plans a drive to Goa. "Goa for Diwali" is the vision: where we want to land. "A road holiday for the five of us, with stops the children will enjoy" is the mission: what kind of trip this is, and for whom. "Pune by 6 pm on day one, fuel within ₹15,000" are the objectives: measurable and dated. "Nobody drives tired, seat belts always" are the values: no deadline justifies breaking them. And the reason anyone gets in the car at all, a family that wants time together, is the intent.

Key idea

Strategic intent is the philosophical base of strategic management: what the organisation strives for and why. It is expressed in vision (where we want to go), mission (what business we are in and why we exist), goals and objectives (measurable results within a time frame), and values (principles never compromised), which guide every decision.

How it works

Strategic intent: the "why"

Strategic management was defined in the previous lesson as a dynamic process of formulation, implementation, evaluation and control of strategies **to realise the organisation's strategic intent** (SM 1.13).

Definition

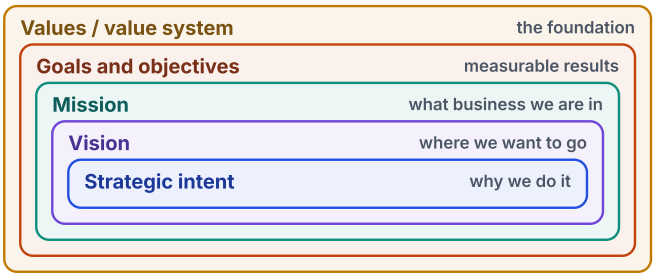
Strategic intent

Strategic intent refers to purposes of what the organisation strives for. Senior managers must define "what they want to do" and "why they want to do"; "why they want to do" represents the strategic intent of the firm. Clarity in strategic intent is extremely important for the future success and growth of the enterprise, irrespective of its nature and size. (SM 1.13)

Strategic intent (SM 1.13–1.14):

- is the **philosophical base** of strategic management: the purposes the organisation endeavours to achieve;
- gives a perspective of the means that will lead the organisation to reach its vision in the long run, and an idea of what it desires to attain in future;
- answers the question **what the organisation strives or stands for**;
- indicates the **long-term market position** it desires to create or occupy, and the opportunity for exploring new possibilities;
- provides the **framework** within which the firm adopts a predetermined direction and operates to achieve strategic objectives.

Where it appears. At the corporate level, strategic intent takes the form of **vision and mission statements**; at the business level, the **business definition and business model**. It is generally stated in broad terms; stated in precise terms, it becomes the aims to be achieved operationally, the **goals and objectives** (SM 1.13–1.14).



After the Study Material's figure (SM 1.15), drawn as boxes instead of circles: strategic intent at the centre, then vision, mission, and goals and objectives, all held inside the organisation's values.

Component	Answers	Study Material's meaning (SM 1.14)
Vision	Where do we want to go?	Blueprint of the company's future position; where it wants to land
Mission	What business are we in, and why?	The firm's business, goals and ways to reach them; its reason to exist
Goals and objectives	What results, by when?	The base of measurement: end results and time-based measurable targets
Values	What will we never give up?	Deep-rooted principles that guide decisions and actions

Vision: where we want to go

Very early in strategy making, senior managers must decide what directional path the company should take and what changes in its **product-market-customer-technology focus** would improve its market position and future prospects (SM 1.15).

Definition

Vision

Vision implies the blueprint of the company's future position. It describes where the organisation wants to land, depicts its aspirations and provides a glimpse of what it would like to become in future. Every sub-system of the organisation is required to follow its vision. (SM 1.14)

Strategic vision is top management's view about the company's direction and its product-customer-market-technology focus. It delineates management's aspirations for the business, providing a **panoramic view of "where we are to go"** and a convincing rationale for why this makes good business sense. It points out a particular direction, charts a strategic path to be followed and moulds organisational identity. A clearly articulated strategic vision communicates management's aspirations to stakeholders and helps steer the energies of company personnel in a common direction (SM 1.15–1.16). Henry Ford's vision of a car in every garage had power because it captured the imagination of others, aided internal efforts to mobilise the company's resources, and served as a reference point for gauging the merits of its strategic actions (SM 1.16). The Study Material's Indian example: HDFC Bank's vision of being a world-class Indian bank, which keeps "where we want to go" at the centre of its strategic decisions (SM 1.16).

Essentials of a strategic vision (SM 1.16), four points, in order:

1. The entrepreneurial challenge in developing a strategic vision is to **think creatively** about how to prepare a company for the future.
2. Forming a strategic vision is an exercise in **intelligent entrepreneurship**.
3. A well-articulated strategic vision **creates enthusiasm** among the members of the organisation.
4. The best-worded vision statement **clearly illuminates the direction** in which the organisation is headed.

Mission: what business we are in

> **Definition**
>
> **Mission**
>
> Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society and is designed to help potential shareholders and investors understand the purpose of the firm. A mission statement helps to identify "what business the firm undertakes"; it defines the present capabilities, activities, customer focus and role in society. (SM 1.14)

A mission answers the basic question **"what business are we in and what we do"**. Firms that fail to conceptualise and articulate their mission and business definition with clarity fumble in identifying opportunities and fail to formulate strategies to use them; the two ideas are absolutely central to strategic planning (SM 1.16).

Why should an organisation have a mission? Seven reasons, in the Study Material's order (SM 1.17):

1. To ensure **unanimity of purpose** within the organisation.
2. To develop a **basis, or standard, for allocating** organisational resources.
3. To provide a **basis for motivating the use** of the organisation's resources.
4. To establish a **general tone or organisational climate**, to suggest a business-like operation.
5. To serve as a **focal point** for those who can identify with the organisation's purpose and direction.
6. To facilitate the **translation of objectives and goals into a work structure** involving the assignment of tasks to responsible elements within the organisation.
7. To **specify organisational purposes** and translate them into goals so that cost, time and performance parameters can be assessed and controlled.

A company's mission statement is typically focused on its present business scope, "who we are and what we do": it broadly describes the organisation's present capability, customer focus, activities and business makeup (SM 1.17). The Study Material's example: HDFC Bank's two-fold mission, to be the preferred provider of banking services for target retail and wholesale customer segments, and to achieve healthy growth in profitability consistent with the bank's risk appetite (SM 1.17).

Writing a good mission. It should reflect the organisation's philosophy as perceived by senior managers, and be **precise, clear, feasible, distinctive and motivating** (SM 1.17). Useful points (SM 1.18):

- It gives the organisation its own **special identity, business emphasis and path for development**, one that sets it apart from similarly positioned companies.
- A company's business is defined by **what needs** it is trying to satisfy, **which customer groups** it targets, the **technologies and competencies** it uses and the **activities** it performs.
- Good mission statements are **unique** to the organisation for which they are developed.

"What business are we in?" Peter Drucker and Theodore Levitt were among the first to insist that, as the first step in business planning, every firm must clarify its corporate mission and define accurately the business it is engaged in, by answering basic questions (SM 1.18). The Study Material lists eleven; here they are paired into six steps, in its order:

1. What is our mission? What is our ultimate purpose?
2. What do we want to become? What kind of growth do we seek?
3. What business are we in? Do we understand our business correctly and define it accurately in its broadest connotation?
4. Whom do we intend to serve? What human need do we intend to serve through our offer?
5. What brings us to this particular business?
6. What would be the nature of this business in the future? In what business would we like to be in the future?

The corporate mission is also an expression of the **growth ambition** of the firm: its future visualised, the corporation's dream crystallised, a grand design of its future. It amplifies what brings the firm to this business and what purpose it seeks to achieve, so it serves as a **justification for the firm's very presence** and legitimises its existence (SM 1.19).

According to Drucker, the answer to "What business are we in?" should have a **marketing or external perspective**, not be restated as the production or generic activities of the business (SM 1.19). The Study Material's table, with a Tapri row added:

Company	Production-oriented answer	Marketing-oriented answer
Indian Oil	We produce oil and gasoline products	We provide various types of safe and cost-effective energy
Indian Railways	We run a railroad	We offer a transportation and material-handling system
Lakme	In the factory, we make cosmetics	In the retail outlet, we sell hope
Tapri (ours)	We brew tea and fry samosas	We sell India a ten-minute break

Goals and objectives: what results, by when

Business organisations translate their vision and mission into goals and objectives. Some authors distinguish them: **goals** are open-ended attributes that denote future states or outcomes; **objectives** are close-ended attributes, precise and expressed in specific terms, which translate the goals into long-term and short-term perspectives. Several theorists do not make the distinction, and the Study Material uses the terms interchangeably (SM 1.19–1.20).

Definition

Objectives

Objectives are the organisation's performance targets, the results and outcomes it wants to achieve. They function as yardsticks for tracking an organisation's performance and progress. (SM 1.20)

All organisations have objectives, and their pursuit is unending. They give meaning and a sense of direction; structure and activities are designed, and resources allocated, around them; they act as benchmarks for guiding activity and evaluating performance (SM 1.20). The vision, mission, business definition and business model explain the philosophy of the organisation, but goals and objectives represent the results to be achieved in multiple areas of business (SM 1.14).

Characteristics of objectives. Objectives with strategic focus relate to outcomes that strengthen the organisation's overall business position and competitive vitality. To be meaningful and serve their intended role, objectives must possess ten characteristics (SM 1.20), in this order:

1. They should define the organisation's **relationship with its environment**.
2. They should be **facilitative towards achievement of mission** and purpose.
3. They should provide the **basis for strategic decision-making**.
4. They should provide **standards for performance appraisal**.
5. They should be **concrete and specific**.
6. They should be **related to a time frame**.
7. They should be **measurable and controllable**.
8. They should be **challenging**.
9. Different objectives should **correlate with each other**.

10. They should be set **within the constraints of organisational resources and external environment**.

Short-term and long-term. A company's objectives ought to include both. Quarterly or annual targets focus attention on immediate improvements; targets three to five years away prompt the question of what to do now. A company aiming to double its sales within five years cannot wait until the third or fourth year to begin growing (SM 1.21).

- **Seven areas of long-term objectives** (SM 1.21): profitability, productivity, competitive position, employee development, employee relations, technological leadership, public responsibility.
- Long-term objectives are the results expected from pursuing strategies; strategies are the actions taken to accomplish them. The time frame of both should be consistent, **usually two to five years** (SM 1.21).
- Short-range objectives can be identical to long-range ones when the organisation is already performing at the target level (a firm that wants 15% profit growth every year and is achieving it). They differ most when managers are trying to raise performance and cannot reach the long-range target in one year: then **short-range objectives serve as steps** towards the long-term objectives (SM 1.21).

Benefits of clearly established objectives (SM 1.22): they provide direction, allow synergy, aid in evaluation, establish priorities, reduce uncertainty, minimise conflicts, stimulate exertion, and aid in both the allocation of resources and the design of jobs.

Values: what we never give up

> **Definition**
>
> **Values / value system**
>
> Values are the deep-rooted principles which guide an organisation's decisions and actions. Collins and Porras define core values as inherent and sacrosanct: they can never be compromised, either for convenience or short-term economic gain. Values often reflect the values of the company's founders (Hewlett-Packard's "HP Way"); they are the source of a company's distinctiveness and must be maintained at all costs. (SM 1.14–1.15)

While strategic intent is the purpose an organisation aims to achieve, values form the **omnipresent foundation of every decision** management takes: an organisation without values is like an organisation with no real intent (SM 1.14). Common examples are **integrity, trust, accountability, humility, innovation and diversity** (SM 1.22).

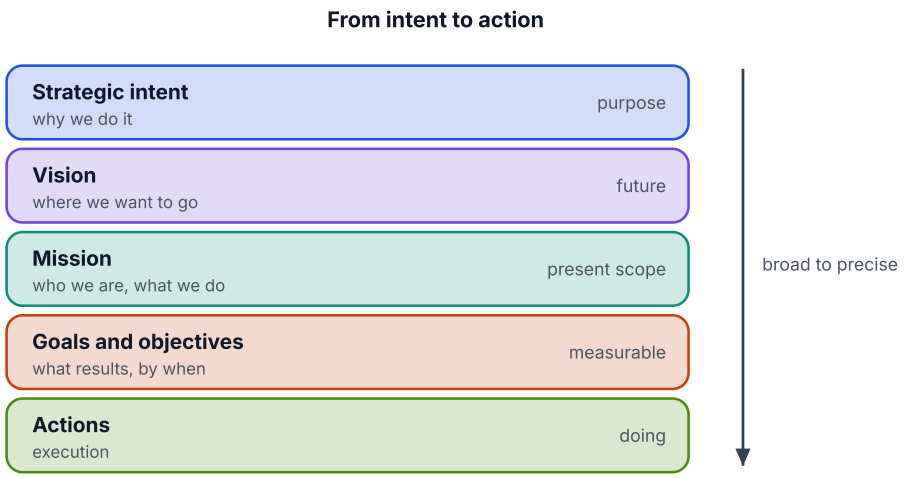
Why values matter (SM 1.22):

- They set the tone for how people think and behave, **especially in situations of dilemma**.
- They create a **sense of shared purpose**, a strong foundation focused on the longevity of the company's success.
- **Internally**, employees prefer employers whose values resonate with them; **externally**, most consumers prefer to buy from companies whose purpose reflects their own values and beliefs.

Values have both internal and external implications.

- During the Covid-19 pandemic, many leaders put people before everything else, showing how deep their organisations' foundations were.

Values remain the **centre, or core,** of vision, mission and goals and of putting them all into action: vision is followed by mission, then goals, and finally execution through real actions (SM 1.23). The Study Material's example: HDFC Bank's five core values, operational excellence, customer focus, product leadership, people and sustainability (SM 1.23).



Read down: vision is followed by mission, then goals, and finally execution through real actions (SM 1.23). Values are not a layer of their own: they sit at the core of every layer.

Intent or values: which is wider? The Study Material answers its own question: they are two different concepts. **Intent** is the purpose of doing business; **values** are the principles that guide the decision making of the business. They go hand in hand and intent is sometimes driven by values, so values are, more or less, **wider than intent** (SM 1.23).

Worked examples

Worked example **Sorting Kesar's napkin**

Ananya types up a longer version of Kesar's napkin for the board of Tapri Tea Co. Ltd:

(a) "To be the chai every Indian reaches for, in every town, by 2035."

(b) "We serve fresh, affordable chai and snacks to commuters, students and offices through kulhad cafés, packaged premix and our delivery app."

(c) "To raise café revenue from ₹260 crore in 2025-26 to ₹520 crore in 2030-31."

(d) "We never adulterate, never short-pour and never hide a price."

(e) "To be the best."

(f) "To cut the average delivery time of app orders from 32 minutes to 25 minutes during 2026-27."

Required:

(i) Identify the component of strategic intent that each statement represents.

(ii) Evaluate statement (e) against the characteristics an objective must possess.

(iii) Calculate the constant annual growth rate that statement (c) requires, and state the café revenue targets for 2026-27 and 2027-28 as short-range objectives (round to one decimal place of a crore).

MODEL ANSWER

(i) Components

Statement	Component	Reason
(a)	Vision	Where Tapri wants to land; its future position and aspiration
(b)	Mission	Present business scope: who we are, what we do, for which customers
(c)	Long-term objective	Concrete, measurable, time-bound result over five years
(d)	Values	Principles never to be compromised for short-term gain
(e)	None, as worded	Too vague to be an objective or a vision
(f)	Short-term objective	Specific, measurable, within one year

(ii) Statement (e). Objectives, to be meaningful, should define the organisation's relationship with its environment, be facilitative towards the mission, provide a basis for strategic decision-making and standards for performance appraisal, be concrete and specific, related to a time frame, measurable and controllable, challenging, correlated with other objectives and set within the constraints of resources and environment. "To be the best" is not concrete or specific (best at what, for whom?), has no time frame, cannot be measured or controlled, and gives no standard for appraising performance. It also fails as a vision, since the best-worded vision statement clearly illuminates the direction in which the organisation is headed. It should be rewritten as a vision ("India's most loved chai brand by 2035") or as measurable objectives.

(iii) Short-range steps. Doubling in five years needs a constant growth rate of

$$g = 2^{1/5} - 1 = 0.1487 \qquad \text{that is, } 14.87\% \text{ a year}$$

Year	Café revenue target (₹ crore)
2025-26 (actual)	260.0
2026-27	298.7
2027-28	343.1
2030-31	520.0

Each year's target is the previous year's × 1.1487. These annual targets are the short-range objectives that serve as steps toward the long-term objective; as the Study Material notes, a company that wants to double its sales within five years cannot wait until the third or fourth year to begin growing.

Worked example **The cold-chain company that described its trucks**

Tapri Cold Chain Pvt Ltd, Tapri's cold-chain subsidiary, has 220 refrigerated trucks. Its board-approved mission statement reads: "We own and operate 220 refrigerated trucks and keep them running full." Its new CEO, Nikhil Sood, wants to sell space on the trucks to dairies, pharmacies and ice-cream makers as well as to Tapri, but managers keep refusing outside orders, saying "our mission is Tapri's trucks".

Required:

(i) Comment on the mission statement in the light of Drucker's question "What business are we in?", and suggest a better one.

(ii) Explain why Tapri Cold Chain needs a clearly defined mission.

MODEL ANSWER

(i) The statement. According to Peter Drucker, every organisation must ask "What business are we in?" and get a correct and meaningful answer, which should have a marketing or external perspective and should not be restated as the production or generic activities of the business. Tapri Cold Chain has written a production-oriented answer: it describes its assets (220 trucks), not the needs it satisfies or the customers it serves. A company's business is defined by what needs it is trying to satisfy, which customer groups it targets, the technologies and competencies it uses and the activities it performs. A marketing-oriented mission could read: "We keep India's perishable products fresh from the factory to the shelf, for food, dairy and healthcare businesses, through a reliable temperature-controlled network." Such a statement is precise, clear, feasible, distinctive and motivating, and it supports the CEO's plan instead of blocking it.

(ii) Why a mission is needed. A mission explains the reason for the existence of the firm and identifies what business it undertakes. A clear mission would:

1. ensure unanimity of purpose, ending the conflict between the CEO and his managers;
2. develop a basis, or standard, for allocating resources (trucks, routes, sales staff) between Tapri and outside customers;
3. provide a basis for motivating the use of the organisation's resources;
4. establish a general tone or organisational climate, suggesting a business-like operation;
5. serve as a focal point for those who identify with the company's purpose and direction;
6. facilitate the translation of objectives and goals into a work structure, with tasks assigned to responsible people;
7. specify organisational purposes and translate them into goals, so that cost, time and performance parameters can be assessed and controlled.

Firms that fail to articulate their mission and business definition clearly fumble in identifying opportunities; the managers refusing outside orders show exactly that.

Worked example

Seventy per cent Assam

Tapri's premix packs say "100% Assam tea". A supplier offers a blend that is 70% Assam and 30% cheaper leaf, which tastes the same in blind tests and would add ₹9 crore a year to profit. Dev suggests keeping the old label "until the stock of printed packs runs out, about eighteen months". Tapri's published values include integrity and "never hide anything from a customer".

Required: Identify the component of strategic intent that should guide the board, explain its importance and advise the board.

MODEL ANSWER

Component. The decision should be guided by Tapri's **values (value system)**: the deep-rooted principles which guide an organisation's decisions and actions.

Importance. As defined by Collins and Porras, core values are inherent and sacrosanct; they can never be compromised, either for convenience or short-term economic gain. They are the source of a company's distinctiveness and must be maintained at all costs. A company's values set the tone for how its people think and behave, especially in situations of dilemma, and create a shared purpose focused on the longevity of the company's success. They have internal implications (employees prefer employers whose values resonate with them) and external implications (most consumers prefer companies whose purpose reflects their own values and beliefs).

Advice. Selling a 70% Assam blend under a "100% Assam" label, for convenience (using up printed stock) and short-term gain (₹9 crore), would compromise integrity and the promise never to hide anything from a customer. The board should reject Dev's proposal. If the blend is adopted, the label must be changed before the new blend is sold. Profit targets are pursued within the values, not at their cost.

Exam angle

In the exam

How ICAI asked this, May 2024 to September 2026

In the new-scheme documents read for this lesson, strategic intent appeared 40 times in 26 documents.

- **Mission, 5 marks**: "A company's mission statement is typically focused on its present business scope. Explain the significance of a mission statement" (May 2024 Q7(b); MTP May 2025 Series I Q2(b); RTP January 2025, January 2026 and September 2025 Q8); the reasons for establishing a mission plus Drucker's "what business are we in?" (September 2026 Q6(a)).
- **Vision, 5 marks**: SemiCon's aspirations, asking for the component, its importance and its essentials (May 2025 Q5(a), marked 1 + 1 + 1 + 2); the essentials of a strategic vision (MTP May 2025 Series II Q4(b), MTP September 2024 Series II Q3(a)); PharmaLife's "where do we want to go?" document (RTP September 2026 Q8).
- **Vision and mission together**: their significance in strategic planning (September 2025 Q6(a), MTP May 2026 Series I Q2(a), MTP September 2026 Series II Q2(a)); "distinguish between vision and mission" (MTP January 2025 Series II Q3(b), MTP May 2025 Series II Q4(b) OR); draft a vision and a mission for a new brand (MTP September 2024 Series I Q1(a), RTP May 2024 Q7, RTP May 2026 Q7).
- **Objectives, 5 marks**: meaning and the ten characteristics (September 2024 Q6(a), January 2026 Q8(b), RTP May 2025 Q8).
- **Values, 5 marks**: importance, examples and "how values differ from intent" (May 2025 Q6(a), MTP May 2026 Series II Q2(a)); values inferred from a vision and mission (MTP September 2025 Series I Q1(a)).
- **Multiple choice, 2 marks each**: name the component from a statement: vision (MTP May 2026 Series I (A)(i) and Series II (B)(ii), MTP September 2024 Series II (A)(i), MTP May 2025 Series II (A)(v), RTP May 2024 MCQ 2), mission (May 2026 MCQ 13, September 2024 MCQ 13, MTP January 2026 Series II (B)(i), RTP January 2025 MCQ 2), a top-10-by-2035 plan as strategic intent (January 2026 MCQ 9), which component a statement of year-on-year growth indicates (May 2025 MCQ 9, keyed (b) objectives, with goals as a distractor); which statements describe a vision (September 2026 MCQ 15, key not yet published); a value violated by a short-term profit deal (September 2025 MCQ 9), values as the right guide (MTP September 2025 Series II (B)(ii)), a core value named in a case (RTP May 2025 MCQ 1(i)); the inspirational aspect of a mission (MTP January 2026 Series I (B)(iii)).

In the exam

The traps

- **Present against future.** In ICAI's keys a statement about the present scope, the customers served or the reason for existing is the **mission** ("to bring the best user experience to its customers...", September 2024 MCQ 13); a statement about a future position, often with a date, is the **vision** ("We aim to lead the global transition towards 100% clean energy in the next 20 years" while the firm installs panels in one region, MTP May 2026 Series II (B)(ii)).
- **"Innovating" or "motivating".** ICAI's suggested answers to the mission-significance question print the third reason as "a basis for innovating the use of the organisation's resources"; the Study Material says "motivating" (SM 1.17). Write the Study Material's word.
- **Goals or objectives.** The Study Material uses the two terms interchangeably, but when both are options ICAI keys the time-based measurable target as an **objective**: a stated year-on-year growth is keyed "objectives", not "goals" (May 2025 MCQ 9). Objectives are the time-based measurable targets that help accomplish the goals (SM 1.14).
- **Values are wider than intent**, not narrower: the Study Material's answer to its own question (SM 1.23), repeated in the suggested answer to May 2025 Q6(a).
- **Drafting questions** reward the definitions first ("Vision implies the blueprint of the company's future position..."), then a one-line vision and a bulleted mission built from the facts in the case.

Trick

The four questions

Vision: *where* are we going? Mission: *what* business are we in, and *why* do we exist? Objectives: *how much, by when*? Values: *what will we never do*? Ask the question of any statement in a case; the one it answers names the component. Condition: a specific performance number with a deadline (₹800 crore by 2031; delays cut to 15 minutes by March 2027) is an objective even if the case calls it a "vision"; a dated aspiration about the firm's future position ("to lead the global transition to clean energy in the next 20 years") is still a vision, as ICAI keyed it (MTP May 2026 Series II (B)(ii)).

Answer frame

"Explain the significance of a mission statement" (5 marks)

1. Opening: a mission statement is typically focused on the present business scope, "who we are and what we do"; it describes present capability, customer focus, activities and business makeup.
2. The seven reasons, in order: unanimity of purpose; basis for allocating resources; basis for motivating the use of resources; general tone or organisational climate; focal point; translation of objectives into a work structure; specifying purposes so that cost, time and performance can be assessed and controlled.
3. If Drucker is asked: the eleven questions, then "the answer should have a marketing or external perspective", with one production-versus-marketing pair.

"Distinguish between vision and mission"

Point	Vision	Mission
Question	Where do we want to go?	What business are we in, and why do we exist?
Time	Future identity and future position	Present business scope; an ongoing, time-independent guide
Content	Aspirations; product-market-customer-technology focus	Business, goals and ways to reach them; capabilities, activities, customers, role in society
Role	Charts a strategic path, moulds identity, creates enthusiasm	Provides a path to realise the vision in line with values; legitimises existence
Change	More specific about the future state and the time frame	Can remain the same for decades if well crafted

The "time-independent" and "decades" rows come from ICAI's suggested answer (MTP January 2025 Series II Q3(b)), not from the Study Material text.

A case: "identify the component and explain it"

Loses marks

"This is the vision because it is about the future."

Right name, one reason, no meaning, nothing on importance or essentials.

Passes

The name, the Study Material's definition, and the facts in the case that match it.

Misses the second part the question asks for (importance, essentials, or how it differs from intent).

Full marks

Name, definition in ICAI's words, the case facts that fit it, then every other part the question asks for as a list in ICAI's order (four essentials of a vision, seven reasons for a mission, ten characteristics of objectives, internal and external implications of values).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the "vision" with a revenue target in it

"Our vision is ₹520 crore of café revenue by 2031." That is a long-term objective: concrete, measurable, time-bound. **Fix:** a vision is the blueprint of the future position (where the organisation wants to land); numbers and dates belong to objectives.

⚠ **Common mistake**

Mission written as a description of the factory

"We make 50 lakh premix packs a year." **Fix:** Drucker's test: answer "What business are we in?" from the customer's side, with the needs served and the customer groups targeted, not the production activity.

⚠ **Common mistake**

Ten characteristics, six remembered

Answers stop at "specific, measurable, time-bound, challenging" and lose the rest. **Fix:** start from the environment and end with resources: environment, mission, decision-making, appraisal, concrete and specific, time frame, measurable and controllable, challenging, correlated, within constraints.

⚠ **Common mistake**

Values treated as negotiable when the money is big enough

Fix: core values are inherent and sacrosanct: never compromised either for convenience or short-term economic gain (Collins and Porras). In a dilemma case, the answer is the value, not the profit.

Practice

Check yourself

1 Case scenario. Sahyadri Travels Pvt Ltd, a Pune bus operator, publishes four statements: (i) "To be India's most trusted intercity bus brand by 2035." (ii) "We carry students, families and workers between Pune and the towns of western Maharashtra in safe, affordable buses." (iii) "Cut the average delay per trip from 40 minutes to 15 minutes by March 2027." (iv) "We never send out a bus we would not put our own families on." Which of the following is correct?

A (i) Mission, (ii) Vision, (iii) Value, (iv) Objective

B (i) Vision, (ii) Objective, (iii) Mission, (iv) Value

C (i) Objective, (ii) Mission, (iii) Vision, (iv) Value

D (i) Vision, (ii) Mission, (iii) Objective, (iv) Value

2 Which of the following is NOT one of the four essentials of a strategic vision in the Study Material?

A Forming a strategic vision is an exercise in intelligent entrepreneurship

B A well-articulated strategic vision creates enthusiasm among the members of the organisation

C A strategic vision must state the profit target for each of the next five years

D The best-worded vision statement clearly illuminates the direction in which the organisation is headed

3 Dev drafts three objectives for the café division: "Cut the cost per cup by 5% within 12 months", "Open 300 new cafés next year" (with a capital budget sufficient for 80), and "Halve the number of baristas by March 2027 while also halving the average service time". Which characteristics of objectives do the second and third drafts breach? Select all that apply.

- **A** Objectives should be set within the constraints of organisational resources
- **B** Objectives should be related to a time frame
- **C** Different objectives should correlate with each other
- **D** Objectives should be challenging

More than one answer may be right.

4 Which of the following correctly distinguishes strategic intent from values?

- **A** Intent is the set of principles that guide decision making; values are the purpose of doing business
- **B** Intent is fixed for decades, while values are revised each year along with the objectives
- **C** Intent is the purpose of doing business; values are the principles that guide decision making, and intent is sometimes driven by values
- **D** Intent is expressed only at the business level, values only at the corporate level

5 Long-term objectives and the strategies that pursue them should have a consistent time frame of usually:

- **A** One quarter to one year
- **B** Two to five years
- **C** Ten to fifteen years
- **D** Until the vision is achieved

Answers: the answer key at the end of this lesson.

Recap

- Strategic intent: what the organisation strives for and why ("why they want to do"); the philosophical base of strategic management; vision and mission at the corporate level, business definition and business model at the business level.
- Vision: the blueprint of the future position, where the organisation wants to land; four essentials: think creatively, intelligent entrepreneurship, creates enthusiasm, illuminates the direction.
- Mission: what business we are in and why we exist; focused on the present business scope; seven reasons from unanimity of purpose to cost-time-performance control.
- Drucker: answer "What business are we in?" with a marketing (external) perspective, not a production one.

- Objectives: performance targets and yardsticks; ten characteristics; both short-term and long-term; seven long-term areas; usually two to five years.
- Values: deep-rooted principles, sacrosanct (Collins and Porras), never compromised for convenience or short-term gain; internal and external implications; wider than intent.
- Order: vision, then mission, then goals, then action, with values at the core. (Goa is the vision; the seat belt is a value.)

Answer key · Check yourself

1 **D** **(i) Vision, (ii) Mission, (iii) Objective, (iv) Value**

(i) is a future position, (ii) the present business scope and customers, (iii) concrete, measurable and time-bound, (iv) a principle never to be compromised.

2 **C** **A strategic vision must state the profit target for each of the next five years**

The essential missing from the options is the first in the Study Material's list: the entrepreneurial challenge of thinking creatively about how to prepare the company for the future (SM 1.16). Profit targets are objectives, not part of a vision.

3 **A** **Objectives should be set within the constraints of organisational resources**; **C** **Different objectives should correlate with each other**

300 cafés on money for 80 ignores resource constraints; fewer baristas and faster service pull against each other. Both drafts have a time frame and are certainly challenging.

4 **C** **Intent is the purpose of doing business; values are the principles that guide decision making, and intent is sometimes driven by values**

SM 1.23: the two go hand in hand, and because intent is sometimes driven by values, values are more or less wider than intent. The first option swaps the two. Values are sacrosanct, never revised for convenience, and intent appears at both levels (vision and mission at the corporate level, business definition and business model at the business level).

5 **B** **Two to five years**

SM 1.21. Quarterly and annual targets are the short-range steps toward them.

1.3 Strategic levels: network, corporate, business and functional

Who decides what in a multi-business company: corporate level (where to compete), business level (how to compete), functional level (how to implement), and the three networks of relationship that link them.

In plain words

Three meetings on one Monday

On a Monday in July, three meetings happen at Tapri Tea Co. Ltd.

At 10 am the **board** decides whether Tapri should stay in the samosa business at all, and how to split ₹120 crore between the cafés, the chai premix and the cold-chain fleet. At 2 pm the **head of the café business** decides how the cafés will fight BrewBucks: cheaper cups, or a better experience? At 5 pm the café business's **marketing manager** plans the monsoon "chai and pakoda" campaign that will carry that decision to customers.

> **Bunty:** *(visiting for the audit)* Three meetings, all called "strategy". Who is the real strategist?
>
> **Ananya:** All three, Bunty. The board picks the businesses, the business head picks how to win in one of them, and the manager makes it happen in her function.
>
> **Bunty:** So the 5 pm meeting is just execution?
>
> **Ananya:** Ask her where the delivery-app idea came from.

Those are the three **strategic levels** of a large company. The **corporate level** (the CEO, senior executives, the board and corporate staff) asks *where* to compete: which businesses to be in and how to share money among them. The **business level** (the head of each self-contained division, a strategic business unit) asks *how* to compete in that one business. The **functional level** (the heads of marketing, finance, HR, purchasing and so on) asks *how to implement* the business strategy in its own activity, and, being closest to customers, often supplies the ideas and information the higher levels need. (Tapri's delivery app began as a note from a café customer-service manager, a functional manager like her, about customers ordering chai on WhatsApp.)

How the levels are linked also varies: separate divisions and functions each with its own head, a flat structure where everyone shares ideas at one level, or a grid where people from different departments form project teams.

Think of it like

The wedding with three committees

A big family wedding has the elders, who decide which functions to hold and how to divide the budget among them (corporate). Each function has its own in-charge (the sangeet, the reception), who decides how to make that event a success with the money given (business). Under each in-charge are the caterer, the decorator and the DJ, who carry it out in their own field and know first what guests actually want (functional). A cousins' group that plans everything together, with no ranks, is a horizontal relationship; a decorator who answers both to the sangeet in-charge and to the head of all decoration is in a matrix.

Key idea

Corporate level decides where to compete (which businesses, resources across them, acquisitions and divestments); business level decides how to compete in one business (an SBU); functional level decides how to implement it in one function, and feeds ideas and information upward. The levels are linked through functional and divisional, horizontal or matrix relationships.

How it works

Why levels exist

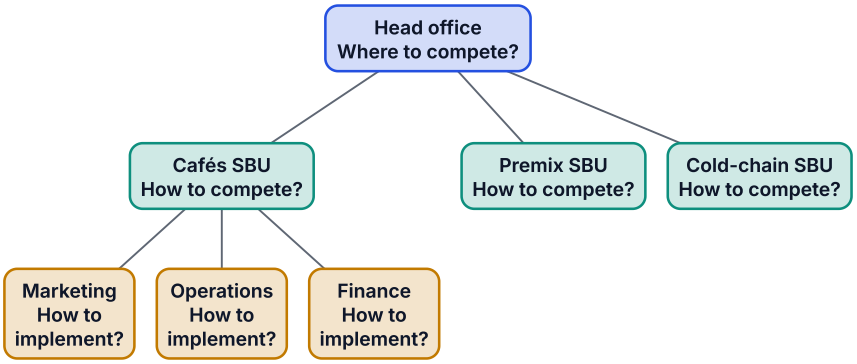
A typical large organisation is **multi-divisional**: it competes in several different businesses and has separate self-contained divisions to manage each of them. The Study Material's example is Patanjali, with healthcare, FMCG, organic foods, medicinal oils and herbs, and other businesses, each run by its own division (SM 1.23). Strategies are formulated at the corporate, divisional and functional levels (SM 1.5): corporate-level strategies provide direction to the company, business-level strategies are formulated for each product or process division (strategic business unit), and functional strategies are formulated in areas such as production and operations, marketing, finance and human resources to implement the other two (SM 4.4). There are generally **three main levels of management**: corporate, business and functional. General managers are found at the first two levels, but their strategic roles differ with their sphere of responsibility (SM 1.24).

Definition

Strategic business unit (SBU)

A self-contained division, with its own functions (for example finance, purchasing, production and marketing departments), that provides a product or service for a particular market. Its general manager is responsible for its product line; the overriding concern of divisional managers is the healthy growth of their divisions, and they decide how to create competitive advantage and achieve higher profitability with the resources and capital at their disposal. (SM 1.24–1.25)

Tapri's three levels, after the Study Material's figure



Blue: corporate strategy at the head office; teal: a business strategy for each SBU; amber: a functional strategy for each business function (drawn for the cafés SBU only; every SBU has its own functions). After SM 1.24 and 1.26.

Corporate level: where to compete

The corporate level consists of the **Chief Executive Officer (CEO), other senior executives, the board of directors and corporate staff** (SM 1.24). The role of corporate-level managers is to **oversee the development of strategies for the whole organisation** (SM 1.24–1.25). This includes:

1. defining the **mission and goals** of the organisation;
2. determining **what businesses it should be in**;
3. **allocating resources** among the different businesses;
4. formulating and implementing **strategies that span individual businesses**;
5. providing **leadership** for the organisation as a whole.

They also oversee resource allocation and **manage the divestment and acquisition processes**. The Study Material's example: the main strategic responsibilities of the chairman of the Adani Group, a conglomerate in mining, ports and airports, power and cement, are setting overall strategic objectives, allocating resources among business areas, deciding whether to divest any business and whether to acquire new ones: building and managing the corporate portfolio to maximise corporate profitability. Developing strategies for competing in each individual business is *not* their specific responsibility; that belongs to business-level managers (SM 1.25).

Guardians of shareholders' welfare. Corporate-level managers provide the link between the people who oversee the firm's strategic development and those who own it, the shareholders. The CEO in particular is a guardian of shareholders' welfare: it is their responsibility to ensure that the corporate and business strategies are `consistent with maximising shareholders' wealth`; if not, the CEO is likely to be held accountable by the shareholders (SM 1.25).

Business level: how to compete

The principal general manager at the business level is the **head of the division** (the SBU). The strategic role of business-level managers is to **translate the general statements of direction and intent that come from the corporate level into concrete strategies for individual businesses**. Corporate-level managers are concerned with strategies that span individual businesses; business-level managers with strategies **specific to a particular business** (SM 1.25–1.26). In simple words, the corporate level gives the organisation-level view of what it wants to achieve, and the business-level managers make sure it happens in the business they are responsible for (SM 1.25).

Functional level: how to implement

Functional-level managers are responsible for **specific business functions or operations**: human resources, purchasing, product development, customer service and so on, that constitute a company or one of its divisions (SM 1.26).

- Their sphere is generally **confined to one organisational activity**, whereas general managers oversee a whole company or division.
- They are not responsible for overall performance, but they have a **major strategic role**: to develop **functional strategies** in their area that help fulfil the strategic objectives set by business- and corporate-level managers.

- They provide **most of the information** that makes it possible for business- and corporate-level managers to formulate realistic and attainable strategies.
- Because they are **closer to the customer** than the typical general manager, they may themselves generate important ideas that become major strategies for the company. So general managers should listen closely to the ideas of their functional managers.
- An equally great responsibility at the operational level is **strategy implementation**: the execution of corporate and business-level plans (SM 1.26).

Level	Who	Concerned with	The question
Corporate	CEO, senior executives, board, corporate staff	The whole organisation and its portfolio	Where to compete?
Business	Head of each division (SBU)	One business and its competitive advantage	How to compete?
Functional	Heads of marketing, finance, HR, purchasing	One activity within a business	How to implement the business strategy?

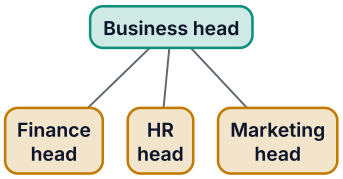
Top-down or bottom-up? A **top-down** approach is when decisions are made solely by leadership at the top, the corporate level; a **bottom-up** approach gives all teams across the levels a voice in decision making (SM 1.27). The Study Material poses "which is better?" without ruling on it; its point that functional managers supply most of the information and many of the ideas (SM 1.26) is the case for hearing from below.

The network of relationship between the levels

The corporate level decides what the business wants to achieve, the business level draws up ideas and plans to execute it, and these flow down to the functional level to execute and achieve results. But the three levels are interlinked in several ways, and each organisation decides which network of relationship suits its **culture and aspirations**. There are three major types, between the levels and among the same levels (SM 1.27–1.28):

1. **Functional and divisional relationship**: an **independent** relationship, where each function or division is run independently by its head, a business-level manager, reporting directly to the business head. Functions may be finance, human resources, marketing; divisions may be based on products (for a toy maker: kids' toys, teenagers' toys).
2. **Horizontal relationship**: all positions, from top management to staff-level employees, are at the **same hierarchical position**: a flat structure where everyone is considered at the same level. It leads to openness and transparency and focuses on idea sharing and innovation, and is **more suitable for start-ups**, where ideas must be shared with speed.
3. **Matrix relationship**: a **grid-like structure** of levels, with teams formed of people from various departments, built for **temporary, task-based projects**. There is more than one business-level manager for each functional-level team. It helps manage **huge conglomerates** where it is nearly impossible to track and manage every team independently; it is complex for smaller organisations but extremely useful for large ones.

Functional and divisional relationship



Each function (or product division) is run independently by its own head, who reports directly to the business head (SM 1.27).

Matrix relationship: two bosses for every team member

Function	App relaunch	Highway kiosks
Technology	Meera	Arjun
Marketing	Zoya	Kabir
Finance	Nikhil	Isha

Rows: the function each person belongs to and its head; columns: the temporary project and its head. Meera reports to the head of technology and to the head of the app relaunch.

The Study Material's own answer to a scenario on choosing between the three sets out their benefits and drawbacks (SM 1.36–1.37):

Relationship	Benefits	Drawbacks
Functional and divisional	Specialisation; clear management of functions and products	Departmental isolation; limited collaboration
Horizontal	Open communication; innovation and fast idea sharing	Hard to scale; unclear roles and responsibilities
Matrix	Cross-functional collaboration; flexible resources for complex projects	Complex reporting structures; potential conflicts

Worked examples

Worked example **Six decisions, three levels**

Here are six decisions taken at Tapri Tea Co. Ltd in 2026:

(a) The board decides to sell the samosa factory and use the money to enter packaged cold coffee.

(b) The board splits next year's capital budget of ₹120 crore: ₹70 crore to the cafés, ₹30 crore to the chai premix and ₹20 crore to the cold-chain fleet.

(c) The head of the premix business decides to fight BrewBucks' instant coffee by pricing 15% below it and selling through kirana stores in Tier-2 towns.

(d) The cafés business's HR manager introduces a six-week barista training programme and a new shift roster.

(e) The cafés business's marketing manager plans a monsoon "chai and pakoda" campaign to support the business's experience-led positioning.

(f) The cafés business's customer-service manager noticed that customers in Pune were ordering chai on WhatsApp. On her note, the board approved ₹25 crore to launch the Tapri delivery app as a new business serving the cafés, the premix range and partner bakeries.

Kesar says: "Decision (f) is a functional-level strategy. A customer-service manager thought of it, so it belongs to her department."

Required:

(i) Identify the strategic level of decisions (a) to (e), with reasons.

(ii) Comment on Kesar's view of decision (f), and explain the role the functional level played in it.

MODEL ANSWER

(i) Levels

Decision	Level	Reason
(a) Exit samosas, enter cold coffee	Corporate	Determines what businesses the company should be in; divestment and acquisition
(b) Split ₹120 crore	Corporate	Allocation of resources among the different businesses
(c) Premix pricing and channels	Business	Concrete strategy for competing in one business
(d) Training and rosters	Functional	Confined to one activity (HR) in one business
(e) Monsoon campaign	Functional	Marketing strategy implementing the business strategy

Corporate-level managers oversee the development of strategies for the whole organisation, including defining its mission and goals, determining what businesses it should be in, allocating resources among them and managing divestment and acquisition. Business-level managers translate the general statements of direction and intent from the corporate level into concrete strategies for individual businesses. Functional-level managers develop functional strategies in their area that help fulfil the objectives set at the business and corporate levels, and implement them.

(ii) Kesar's view. The level of a strategy depends on the scope of the decision, not on who suggested it. Corporate-level managers determine what businesses the organisation should be in, allocate resources among the different businesses and formulate strategies that span individual businesses. The board's decision to invest ₹25 crore in a new delivery business serving the cafés, the premix range and partner bakeries is therefore a **corporate-level** decision, and Kesar's view is not right.

Role of the functional level. Functional managers provide most of the information that makes it possible for business- and corporate-level managers to formulate realistic and attainable strategies. Because they are closer to the customer than the typical general manager, they may themselves generate important ideas that subsequently become major strategies for the company, as the customer-service manager's note did here. It is therefore important for general managers to listen closely to the ideas of their functional managers. Once the app is approved, functional managers also carry the equally great

responsibility of implementing it. Taking the idea from below is an example of the bottom-up approach, which gives all teams across the levels a voice in decision making.

Interactive version: PassBook app, lesson Strategic levels: network, corporate, business and functional

Worked example **Two org charts that do not fit**

Ananya is asked for advice on three situations.

(a) Sameer, Bunty's cousin, runs MugMitti, a 25-person start-up that designs clay-look mugs. He has copied a matrix relationship from a conglomerate: each designer reports to a function head and to a project head. Decisions take weeks and nobody knows who approves what.

(b) Kesar wants the whole Tapri group (five businesses, 40 cities, 6,000 employees) to become one flat organisation "like a start-up", with everyone at the same level.

(c) Tapri's app relaunch needs people from technology, marketing, finance and café operations for nine months, after which they return to their departments.

Required: Advise the network of relationship suitable in each situation, with reasons.

MODEL ANSWER

The levels of an organisation may be linked by three networks of relationship, and each organisation decides which suits its culture and aspirations.

(a) MugMitti: horizontal relationship. In a horizontal relationship all positions, from top management to staff-level employees, are at the same hierarchical position: a flat structure that leads to openness and transparency and focuses on idea sharing and innovation. It is more suitable for start-ups, where ideas must be shared with speed. A matrix relationship is complex for smaller organisations; its multiple reporting lines explain the weeks-long decisions and the confusion over approvals. Rohan should move to a horizontal relationship.

(b) The Tapri group: not horizontal. A flat structure is hard to scale and can leave roles and responsibilities unclear. A group of five businesses and 6,000 employees needs a functional and divisional relationship, in which each business or function is run independently by its own head, reporting to the business head, giving specialisation and clear management of functions and products. For large organisations where it is nearly impossible to track every team independently, the matrix relationship is also useful.

(c) The app relaunch: matrix relationship. A matrix relationship is a grid-like structure with teams formed of people from various departments for temporary, task-based projects; each team member has more than one manager. The nine-month relaunch needs exactly such a cross-functional team, with members reporting both to their function head and to the project head. Tapri must manage the complex reporting and potential conflicts that come with it.

Exam angle

In the exam

How ICAI asked this, May 2024 to September 2026

In the new-scheme documents read for this lesson, strategic levels appeared 24 times in 21 documents.

- **The CEO's level and duties, 5 marks**: a diversified group hiring a CEO, "identify the strategic level and list the activities" (MTP September 2024 Series I Q3(b), MTP September 2025 Series II Q3(a), MTP January 2026 Series II Q4(b) OR, RTP January 2025 Q7); a board allocating capital to the best unit, divesting logistics and setting a group dividend policy (MTP January 2026 Series I Q1(a), corporate level).
- **The functional level, 5 marks**: a software company's marketing manager (MTP May 2024 Series I Q1(a), the Study Material's own scenario); "although functional-level managers operate at the lower end... discuss their importance" (MTP January 2026 Series II Q4(b)); a sales and marketing manager, with the benefits of strategic management (May 2024 Q5(b); RTP January 2026 Q7).
- **Levels and networks of relationship, 5 marks**: "outline the main levels of management and explain the types of networks of relationship" (January 2025 Q7(a), MTP September 2026 Series I Q2(a)); identify the relationship used in each division of a group (MTP May 2025 Series I Q1(a), MTP May 2026 Series II Q1(a)); choose one for an AI company (RTP September 2024 Q7).
- **Multiple choice, 2 marks each**: corporate level for an SBU model (MTP January 2025 Series I (A)(i)), for investments across a conglomerate's portfolio (MTP January 2025 Series II (A)(i)), for a group-wide "holistic innovation" theme (RTP January 2026 MCQ 1(i)) and for a board acquiring a pharma company (RTP September 2026 MCQ 2); business level for dealership partnerships (MTP May 2024 Series I (A)(iv)) and for a café chain's switch to price skimming (MTP May 2024 Series II (A)(iv)); functional level for a marketing manager's tactics (RTP May 2026 MCQ 2), for departmental initiatives (RTP September 2025 MCQ 2) and for partnering with financial institutions to offer customers financing (September 2025 MCQ 11); divisional managers as the level that translates a customer-first strategy into objectives (RTP May 2024 MCQ 1(v)).

In the exam

Close calls in the MCQ keys

Two partnership decisions were keyed at different levels: forging partnerships with established dealerships to enhance the distribution network is **business level** (MTP May 2024 Series I (A)(iv)), while partnering with financial institutions to offer customers easy financing is **functional level** (September 2025 MCQ 11). Neither key explains itself, so in a descriptive answer state the reason from the case: a decision that changes how the whole business competes (its channels, its positioning) is business level; a programme within one activity (marketing, finance) that supports it is functional. In the documents read, whole-portfolio moves were keyed corporate every time (an SBU model, investments across a conglomerate's divisions, a board acquiring a company in a new industry).

In the exam

How the marks are earned

ICAI's case answers name the level in the first line, give the level's role in the Study Material's words (for the CEO, the eight-point list), and close by tying the facts to that role. For networks, each relationship is named, matched to the unit in the case, and its suitability explained (independence and specialisation; flat and fast for start-ups; grid-like for temporary cross-functional projects in large organisations).

Trick

Where, how, how-to-implement

Corporate: **where** to compete (which businesses, money across them, buy or sell a business). Business: **how** to compete in one business (price, positioning, channels). Functional: **how to implement** it in one activity (a campaign, a training plan, a supplier). Condition: judge the decision, not the job title. A board member's view on how the premix should be priced against BrewBucks is still a business-level matter.

Answer frame

"Outline the main levels of management and the networks of relationship" (5 marks)

1. A typical large organisation is multi-divisional; there are three main levels: corporate, business and functional.
2. **Corporate**: CEO, senior executives, board, corporate staff; strategies for the whole organisation: mission and goals, which businesses, resource allocation, strategies spanning businesses, leadership, acquisitions and divestments; guardians of shareholders' wealth.
3. **Business**: head of the SBU; translates corporate direction and intent into concrete strategies for one business.
4. **Functional**: managers of specific functions; functional strategies, most of the information, ideas from closeness to customers, implementation.
5. **Networks**: functional and divisional (independent; heads report directly); horizontal (flat, same level, openness, suits start-ups); matrix (grid, temporary task-based cross-functional teams, more than one business-level manager per team, suits large organisations).

"Identify the level and the role" (case)

Loses marks	Passes	Full marks
"He works at the functional level because he is a manager." The level without the Study Material's role and without the case facts.	The level, the Study Material's description of that level, and one fact from the case. Misses the second part (benefits, duties, or why the approach is right or wrong).	The level named first; its role in ICAI's words (the eight CEO activities, or the five points on functional managers); each case fact tied to a point; then every other part the question asks.

Common mistakes

Common mistake

Hall of Shame: the pricing decision sent to the board

A business head's decision to cut prices against a rival is marked "corporate level, because it is important". **Fix:** importance does not decide the level, scope does. A strategy specific to one business (how to compete) is business level; corporate level is where to compete across businesses.

⚠ **Common mistake**

"Functional managers only execute"

Answers describe the functional level as pure implementation. **Fix:** write both halves: they develop functional strategies and supply most of the information and many ideas (being closer to the customer), and they carry the great responsibility of implementation.

⚠ **Common mistake**

Matrix recommended for a ten-person start-up

Fix: matrix suits temporary cross-functional projects in large organisations and is complex for smaller ones; a start-up that needs speed and idea sharing suits the horizontal relationship.

⚠ **Common mistake**

Horizontal mixed up with horizontal integration

"Horizontal relationship" is a flat network between levels (SM 1.27). **Fix:** horizontal *integration* (horizontally integrated diversification) is a growth strategy: acquiring one or more similar businesses operating at the same stage of the production-marketing chain (SM 4.11–4.12), taught in growth strategies; do not let the shared word merge them in an MCQ.

Practice

Check yourself

1 Case scenario. Shakti Agro Industries Ltd has fertiliser, seeds and farm-equipment divisions. In one month: (i) the board decides to sell the farm-equipment division to a German buyer; (ii) the head of the seeds division decides to compete on drought-resistant varieties instead of price; (iii) the seeds division's purchase manager signs three-year contracts with seed growers in Telangana. Which of the following is correct?

- A (i) Business, (ii) Corporate, (iii) Functional
- B (i) Corporate, (ii) Business, (iii) Functional
- C (i) Corporate, (ii) Functional, (iii) Business
- D All three are corporate level, since each affects the company's profits

2 Which of the following is NOT a role of corporate-level managers in the Study Material?

- A Determining what businesses the organisation should be in
- B Allocating resources among the different businesses
- C Developing the specific strategy for competing in each individual business
- D Providing a link between those who oversee strategic development and the shareholders

3 Why should general managers listen closely to functional managers? Select all that apply.

- **A** Functional managers provide most of the information needed to formulate realistic and attainable strategies
- **B** Being closer to the customer, they may generate ideas that become major strategies
- **C** Functional managers are responsible for the overall performance of the organisation
- **D** Functional managers decide which businesses the company should be in

More than one answer may be right.

4 Tapri is setting up "Chai Lab", a 12-person innovation cell where interns and the department head work as equals and share ideas daily to test new flavours fast. Which network of relationship suits it best?

- **A** Functional and divisional relationship
- **B** Matrix relationship
- **C** Top-down relationship
- **D** Horizontal relationship

5 In a matrix relationship, according to the Study Material:

- **A** Every team member reports to exactly one business-level manager
- **B** All employees hold the same hierarchical position
- **C** There is more than one business-level manager for each functional-level team, in temporary task-based teams
- **D** Each division is run independently by its own head

Answers: the answer key at the end of this lesson.

Recap

- Three levels in a multi-divisional organisation: corporate (where to compete), business (how to compete), functional (how to implement).
- Corporate level (CEO, senior executives, board, corporate staff): strategies for the whole organisation, mission and goals, which businesses, resources across them, strategies spanning businesses, leadership, acquisitions and divestments; guardians of shareholders' wealth.
- Business level: the SBU head translates corporate direction and intent into concrete strategies for one business.
- Functional level: one activity; develops functional strategies, supplies most of the information and many ideas, and implements corporate and business plans.
- SBU: a self-contained division with its own functions, providing a product or service for a particular market.
- Networks: functional and divisional (independent units, direct reporting); horizontal (flat, open, suits start-ups); matrix (grid, temporary cross-functional teams, more than one manager, suits

large organisations).

- Top-down: decisions only at the top; bottom-up: every level has a voice. (At the wedding, the DJ knows first what the guests want.)

Answer key · Check yourself

1 **B (i) Corporate, (ii) Business, (iii) Functional**

Divesting a business is corporate (where to compete); choosing how one division competes is business level; a purchase manager's contracts implement it in one function.

2 **C Developing the specific strategy for competing in each individual business**

SM 1.25: developing strategies for competing in individual business areas is not their specific responsibility; it belongs to business-level managers.

3 **A Functional managers provide most of the information needed to formulate realistic and attainable strategies**; **B Being closer to the customer, they may generate ideas that become major strategies**

SM 1.26. Overall performance and the choice of businesses are general managers' (corporate-level) concerns.

4 **D Horizontal relationship**

A flat structure where everyone is at the same level, built for openness, idea sharing and speed: the horizontal relationship, which the Study Material says suits start-ups. "Top-down" is a decision-making approach, not one of the three networks.

5 **C There is more than one business-level manager for each functional-level team, in temporary task-based teams**

SM 1.27–1.28. The second option describes the horizontal relationship, the fourth the functional and divisional relationship.

CHAPTER 2

Strategic Analysis: External Environment

2.1 International and macro environment: PESTLE

How a firm reads the world outside it: strategic analysis, the business environment, micro versus macro, the macro elements, the PESTLE scan, and why and how a business goes international.

In plain words

Chai in a can

Tapri Tea Co. Ltd wants to launch "Tapri Cold", chilled chai in a can, across India, and Kesar also has his eye on the Gulf.

> **Kesar:** Ananya, the product is perfect. Book the factory, print the cans, and find me a shop in Dubai.
>
> **Ananya:** The product is inside our walls, Kesar-ji. Most of what decides its fate is outside them: the summer heat, what young people drink, labelling law, interest rates, taxes, new canning machines.
>
> **Kesar:** None of that is in my control.
>
> **Ananya:** Exactly. That is why we study it first.

Everything outside a firm that weighs on its managers' minds is its **business environment**. It comes in layers. Closest in is the **micro environment**: the customers, suppliers, marketing intermediaries and competitors the firm deals with directly and regularly. Further out is the **macro environment**: forces such as the economy, society, technology and government that act on many firms at once and that no single firm controls. Beyond that is the **international environment**, the same forces in other countries.

Strategy begins with **strategic analysis**: reading these layers (and the firm's own strengths and weaknesses) before choosing a strategy, instead of trusting intuition. For the macro layer, the standard tool is **PESTLE**: a checklist of six kinds of outside influence, Political, Economic, Socio-cultural, Technological, Legal and Environmental, scanned for the opportunities and threats they bring.

Think of it like

The trek and the weather

A trekking group deals every day with its guide, porters, the hotel and other groups on the trail: that is its micro environment, and it can bargain with all of them. It cannot bargain with the monsoon, the forest department's permit rules or a landslide on the highway: that is the macro environment. A sensible leader checks the forecast, the rules and the roads before setting out (PESTLE), and checks them again for a trek abroad, where the rules and the weather are different (the international environment).

Key idea

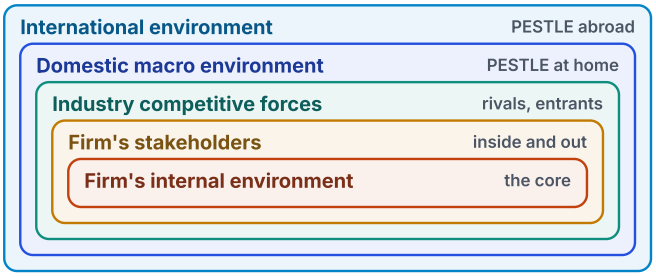
The micro environment acts on a firm directly and regularly; the macro environment shapes it from beyond its direct control. PESTLE scans the macro environment through six lenses (political, economic, socio-cultural, technological, legal, environmental) to find the drivers of change, the opportunities and threats a strategy must answer, at home and, for a firm going global, abroad.

How it works

The environment in layers

Organisations do not operate in a vacuum: they continuously act and react to what happens outside their periphery. In the context of business, environment may be defined as **a set of all external factors that weigh in the minds of the managers**; by analogy with the atmosphere, it can be pictured in layers (SM 2.2–2.3).

The layers of a firm's environment



After the Study Material's figure (SM 2.3). Both macro layers cover politico-legal, socio-cultural, economic, demographic, ecological and technological factors; the outer one does so across countries.

Strategic analysis: look before you leap

The process of strategy formulation begins with **strategic analysis**: compiling information about the internal and external environments to assess possibilities while formulating strategic objectives (SM 2.3). Strategy formulation is not a task in which managers can get by with intuition, opinions, instincts and creative thinking: judgments about strategy must flow from analysis of the external environment and of the firm's internal resources and capabilities (SM 2.3).

- **Environmental scanning** is natural and continuous; some firms do it informally, others with a formal structure. Using informal techniques alone exposes the organisation to missed opportunities and unanticipated hazards; a **systematic approach** is essential for managing risk and uncertainty (SM 2.3–2.4).
- The **two important situational considerations** are (1) industry and competitive conditions, and (2) the organisation's own capabilities, resources, internal strengths, weaknesses and market position (SM 2.4).
- The **analytical sequence** runs from strategic appraisal of the external and internal situation, to evaluation of strategic alternatives, to the final choice of strategy (SM 2.4).
- Strategic analysis has **two major limitations**: it gives many innovative options but does not tell which one to pick (they may overlap, confuse or be hard to implement); and it can be time-

consuming, hurting overall functioning and straining other innovations such as a new product (SM 2.5).

Issues to consider (SM 2.5–2.6): **strategy evolves over time** (a current strategy is the result of many small choices made over a long period and is updated as results become clear); a **balance of external and internal factors** (a perfect fit is unlikely, so opportunities, influences and constraints must be balanced); and **risk**, external (inconsistencies between strategies and environmental forces) or internal (forces within the organisation or interacting with it routinely):

Strategic risk	Short time	Long time
External	Errors in interpreting the environment cause strategic failure	Changes in the environment make the strategy obsolete
Internal	Organisational capacity cannot cope with strategic demands	Changes in internal capacities and preferences create inconsistencies with the strategy

The framework of strategic analysis (SM 2.7) lists what each side covers:

Side	Analysis	Covers
External	Customer analysis	Segments, motivations, unmet needs
External	Competitor analysis	Strategic groups, performance, objectives, strategies, culture, cost structure
External	Market analysis	Size, growth, profitability, entry barriers
External	Environmental analysis	Technological, government, economic, cultural, demographic
Internal	Performance analysis	Profitability, sales, customer satisfaction, product quality, relative cost, new products, human resources
Internal	Determinants analysis	Past and current strategies, strategic problems, capabilities and constraints, financial resources, strengths and weaknesses

External analysis yields opportunities, threats, trends and strategic uncertainties; internal analysis yields strengths, weaknesses, problems, constraints and uncertainties. Both lead to strategy identification and selection: identify strategic alternatives, select a strategy, implement the operating plan, review strategies (SM 2.7). The two halves meet in SWOT analysis.

The business environment and why interaction pays

Definition

Business environment

"All external factors, influences, or situations that in some way affect business decisions, plans, and operations." Organisational success is determined by its business environment, and even more from its relationship with it. (SM 2.9)

There is a close and continuous interaction between a business and its environment, which strengthens the firm and helps it use its resources more effectively. It helps the business in five ways (SM 2.9):

1. **Determine opportunities and threats**: new needs and wants of consumers, changes in laws and social behaviour, new products competitors are bringing.
2. **Give direction for growth**: areas for growth and expansion become visible once the business understands the changes around it.
3. **Continuous learning**: managers are motivated to keep updating their knowledge, understanding and skills to meet predicted changes.
4. **Image building**: showing sensitivity to the environment improves the firm's image. The Study Material's example: in view of power shortages, many companies set up captive power plants for their factories and extended surplus capacity to the vicinity.
5. **Meeting competition**: analysing competitors' strategies and formulating one's own accordingly.

To flourish, a business must be aware of, assess and respond to the opportunities and threats in its environment, continuously evaluating it and modifying operations (SM 2.10).

Micro and macro environment

The external environment has two major types (SM 2.10–2.11):

> **Definition**
>
> **Micro environment**
>
> The small area or immediate periphery of an organisation, which influences it **regularly and directly**: suppliers, consumers, marketing intermediaries, competitors and the like, specific to the business. (SM 2.11)

> **Definition**
>
> **Macro environment**
>
> The portion of the outside world that significantly affects how an organisation operates but is **typically much beyond its direct control and influence**: economic, socio-cultural, technological, political and legal factors. (SM 2.11)

Within the micro environment a firm must address six issues (SM 2.11): its employees, their characteristics and organisation; the existing customer base it relies on; the ways it can raise finance; who its suppliers are and how the links with them are developed; the local community within which it operates; and the direct competition and its comparative performance. The micro factors often relate the firm to the macro issues influencing the way it reacts in the market place.

Point	Micro environment	Macro environment
Reach	Small area, immediate periphery	Broader dimensions of the outside world
Influence	Regular and direct	Significant
Control	Within the firm's direct dealings	Typically much beyond its direct control
Specific to	This business or firm	Largely general: socio-cultural factors act on almost all firms alike; political-legal ones are partly general, partly specific (SM 2.12, 2.14)
Examples	Suppliers, consumers, intermediaries, competitors	Economic, socio-cultural, technological, political, legal

Elements of the macro environment

"The environment includes factors outside the firm which can lead to opportunities for, or threats to the firm. Although, there are many factors, the most important of the factors are socio-economic, technological, supplier, competitors, and government" (Glueck and Jauch, quoted at SM 2.11). Classifying the environment into sectors helps a firm cope with its complexity. The Study Material describes five (SM 2.12–2.15):

Demographic environment. Demographics are the characteristics of a population classified by criteria such as age, gender and income: race, age, income, education, possession of assets, house ownership, job position, region. India's relatively young and large population attracts many multinationals. Firms must ask: *what demographic trends will affect the market size of the industry?* and *what demographic trends represent opportunities or threats?* The size, age distribution, geographic dispersion, ethnic mix and income distribution of a population all matter (SM 2.12).

Socio-cultural environment. A general factor that influences almost all enterprises in a similar manner, made up of a complex group of factors: social traditions, values and beliefs, level and standards of literacy, ethical standards, social stratification, conflict and cohesiveness. It differs from demographics because it is **not the characteristics of the population but its behaviour and belief system**. Core beliefs are persistent and hard for a business to change, so businesses adjust to social norms. It affects strategic management chiefly in **mission and objective setting**, and in **decisions on products and markets** (SM 2.12–2.13).

Economic environment. The overall economic situation at regional, national and global levels, including the markets for resources that affect the supply, cost, dependability, quality and availability of inputs. It determines the strength and size of the market: purchasing power depends on current income, prices, savings, circulation of money, debt and credit availability, and the income distribution pattern determines business possibilities. Higher interest rates hurt businesses with high debt, and in real estate they cut buyers' ability to borrow and so lower demand. The factors include GDP, per capita income, markets for goods and services, availability of capital, foreign exchange reserves, growth of foreign trade, strength of the capital market, interest rates, disposable income, unemployment and inflation (SM 2.13).

Political-legal environment. The general level of political development, how far business issues are politicised, political morality, law and order, political stability, the ruling party's ideology and

practices, the effectiveness of government agencies, and the scope and type of government intervention; it is **partly general to all similar enterprises and partly specific** to an individual one. Business is highly guided by government policy: regulatory changes, taxes and duties. Businesses prefer a sound legal system and must know the laws on companies, competition, intellectual property, foreign exchange and labour. Nationalism also shapes it: *Make in India*, *Aatmanirbhar Bharat* and the **Production Linked Incentive** scheme, which rewards higher sales of domestically produced goods, invites foreign firms to set up in India and reduces reliance on imports (SM 2.14).

Technological environment. Technology has changed how people communicate and how businesses operate: less paperwork, efficient payment scheduling and inventory coordination, lower costs, and shrinking time and distance. Technological advances may force drastic changes in operational, production and marketing strategies. Technology creates new business opportunities while making existing products and services obsolete, so it is **both an opportunity and a threat**; artificial intelligence, machine learning and robotic process automation are the Study Material's examples (SM 2.14–2.15).

PESTLE: the macro scan

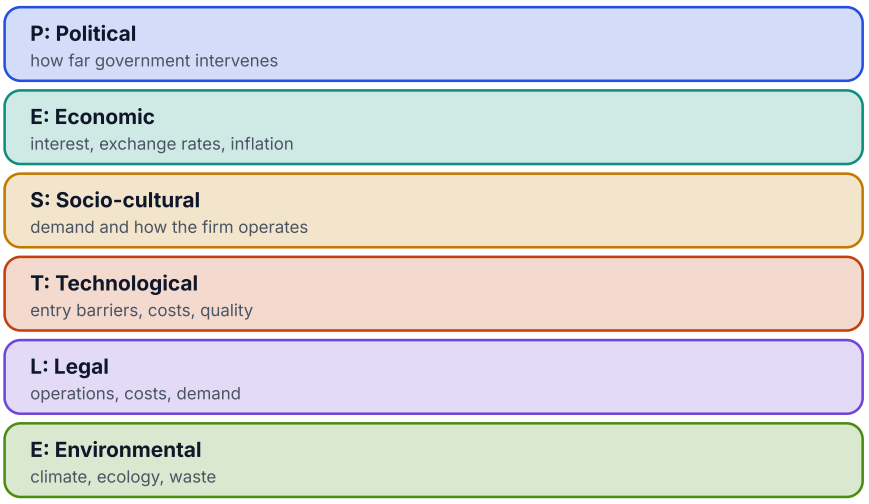
Definition

PESTLE analysis

A framework for the analysis of macro environmental factors. It involves identifying the political, economic, socio-cultural, technological, legal and environmental influences on an organization and providing a way of scanning the environmental influences that have affected or are likely to affect an organization or its policy. (SM 2.15)

The framework was earlier called **PEST** (political, economic, social, technological) and was later expanded to include environmental and legal factors (SM 2.15). It is **simple to understand and quick to implement**, and its advantage is that it **encourages management into proactive and structured thinking** in decision making (SM 2.16).

The six factors of PESTLE



The key factors as the Study Material describes them (SM 2.16–2.17). Each row is one lens on the same macro environment.

The key factors (SM 2.16–2.17):

- **Political** factors are how and to what extent the government intervenes in the economy and in business; they also shape the goods and services the government wants (or does not want) provided, and governments greatly influence a nation's health, education and infrastructure.
- **Economic** factors have major impacts on how businesses operate and decide: interest rates affect the cost of capital and so how far a business grows; exchange rates affect the cost of exports and the supply and price of imports; money supply, inflation, credit flow, per capita income and growth rates matter too.
- **Social** factors affect the demand for a company's products and how the company operates.
- **Technological** factors can determine barriers to entry and the minimum efficient production level, and influence outsourcing decisions; technological shifts affect costs and quality and lead to innovation.
- **Legal** factors affect how a company operates, its costs, the demand for its products, and the ease of business.
- **Environmental** factors affect industries such as tourism, farming and insurance; growing awareness of climate change affects how companies operate and what they offer, both creating new markets and diminishing or destroying existing ones.

From these, a firm identifies the key environmental influences that are, in effect, **the drivers of change**: the factors to be considered in making meaningful decisions (SM 2.17). *Learn the Study Material's table below as six lists.*

Factor	Drivers of change (SM 2.17)
Political	Political stability; political principles and ideologies; current and future taxation policy; regulatory bodies and processes; government policies; government term and change; thrust areas of political leaders
Economic	Economy situation and trends; market and trade cycles; specific industry factors; customer/end-user drivers; interest and exchange rates; inflation and unemployment; strength of consumer spending
Social	Lifestyle trends; demographics; consumer attitudes and opinions; brand, company, technology image; consumer buying patterns; ethnic/religious factors; media views and perception
Technological	Replacement technology/solutions; maturity of technology; manufacturing maturity and capacity; innovation potential; technology access, licensing, patents, property rights and copyrights
Legal	Business and corporate laws; employment law; competition law; health and safety law; international treaty and law; regional legislation
Environmental	Ecological/environmental issues; environmental hazards; environmental legislation; energy consumption; waste disposal

Going international

Internationalisation has emerged as the dominant commercial trend of the last couple of decades. It lets a business enter new markets in search of greater earnings and less expensive resources, achieve greater **economies of scale** and **extend the lifespan of its products**. The strategic-management process is essentially the same for global and domestic firms, but international processes are much

more complicated because of additional variables and linkages; scanning the external environment is one way to identify opportunities and threats in global markets (SM 2.18).

A global business has three characteristics (SM 2.18):

1. It is a conglomerate of multiple units, located in different parts of the globe, all **linked by common ownership**.
2. The units draw on a **common pool of resources**: money, credit, information, patents, trade names and control systems.
3. The units **respond to some common strategy**; its managers and shareholders are also based in different nations.

Steps in international strategic planning. International development is expensive and challenging, so a thorough and structured approach is ideal (SM 2.18–2.19):

1. **Evaluate global opportunities and threats** and rate them against the internal capabilities.
2. **Describe the scope** of the firm's global commercial operations.
3. **Create the firm's global business objectives.**
4. **Develop distinct corporate strategies** for the global business and the whole organisation.

Why do businesses go global? Technological developments and evolving political views are the two important factors behind the rise of multinationals: worldwide communication links headquarters with operations abroad, and better transport has increased the mobility of money, people, raw materials and finished goods (SM 2.19). The reasons, in the Study Material's order (SM 2.19–2.20):

1. The **need to grow**, the first and foremost reason: opportunities found in other parts of the globe.
2. **Rapid shrinking of time and distance**: faster communication, speedier transport, growing financial flows, rapid technological change.
3. **Domestic markets are no longer adequate**, and the competition present at home may not exist in some international markets.
4. **Reliable or cheaper raw materials, cheap labour**, or a vast pool of talent.
5. **Reducing high transportation costs** by producing near the market.
6. **Foreign markets opening up or growing big**: exporters then set up overseas plants and sales branches for higher sales and better cash flow.
7. **The rise of services** as the largest single sector of the world economy, and **regional economic integration**.
8. **The collapse of international trade barriers**: more privatisation, less government interference, lower tariffs and customs barriers, more flow of business.
9. **Strategic alliances** across countries, to ward off economic and technological threats and leverage comparative and competitive advantages.

The international environment

The social, cultural, demographic, environmental, political, governmental, legal and technological factors an international organisation faces are nearly limitless, and they multiply as the number of products and geographic areas grows. **An assessment of the external environment is the first step toward internationalisation** (SM 2.20). It can be done at **three levels** (SM 2.20):

Level	What it involves
Multinational	Identifying, anticipating and monitoring significant components of the global environment on a large scale: global economic and macro developments, and governments' free or interventionist tendencies, judged on present and expected future impact
Regional	A more in-depth evaluation of the critical factors in a specific geographical area, to discover market opportunities for goods, services or innovations there
Country	A deeper look at the economic, legal, political and cultural dimensions, customised for each country, to develop effective market-entry strategies

The international environment is now inherent to strategic management for businesses of all sizes with global interests. It involves **political risks, cultural differences, exchange rate fluctuations, legal compliances and taxation issues** (SM 2.21).

Worked examples

Worked example **Tapri Cold: PESTLE or not?**

Before launching "Tapri Cold", a canned chilled chai, across India in 2026-27, Ananya's team collects these findings:

1. The government has announced a proposal to raise the tax rate on sweetened packaged beverages.
2. Interest rates have risen, so the loan for the ₹200 crore canning plant will cost more.
3. Young urban buyers are moving from fizzy drinks to "less sugar, more real" drinks.
4. A new aseptic canning process keeps the drink fresh for nine months without preservatives.
5. New food-labelling rules will require a front-of-pack sugar warning.
6. Rules on producer responsibility for packaging waste are tightening, while longer and hotter summers are raising demand for cold drinks.
7. BrewBucks is testing its own canned cold coffee in Mumbai.
8. The only domestic can maker capable of Tapri's volumes is asking for 60 days' advance payment.

Required:

(i) Classify each finding as a PESTLE factor (name it) or as part of the micro environment.

(ii) State whether each PESTLE finding is an opportunity or a threat for Tapri Cold.

(iii) Explain how a PESTLE analysis helps Tapri in this decision.

MODEL ANSWER

(i) and (ii) Classification

No.	Factor	Opportunity or threat
1	Political: taxation policy	Threat (higher price or lower margin)
2	Economic: interest rates	Threat (higher cost of capital)
3	Socio-cultural: lifestyle trends, consumer attitudes	Opportunity (demand for Tapri's positioning)
4	Technological: replacement technology, innovation potential	Opportunity (no preservatives, wider reach)
5	Legal: health and safety law	Threat (cost; affects demand for a sweet drink)
6	Environmental: waste disposal, environmental legislation, climate	Both: waste rules add cost; hotter summers add demand
7	Micro: competitor	Not a PESTLE factor
8	Micro: supplier	Not a PESTLE factor

Findings 7 and 8 belong to the micro environment, the immediate periphery of the firm that influences it regularly and directly (suppliers, consumers, marketing intermediaries, competitors). They are studied through competitor analysis and the industry's competitive forces, not through PESTLE.

(iii) How PESTLE helps. PESTLE analysis involves identifying the political, economic, socio-cultural, technological, legal and environmental influences on an organisation and provides a way of scanning the environmental influences that have affected or are likely to affect it. For Tapri it:

- separates the macro forces, which are much beyond Tapri's control, from the micro issues it can negotiate (the can maker's terms, the response to BrewBucks);
- identifies the key influences, the drivers of change, to be considered in the launch decision: the tax proposal and labelling rules (a less-sugar recipe answers both and fits the lifestyle trend), interest rates (phase the plant or lease capacity), the canning technology (a selling point), and waste rules (budget for take-back of cans);
- is simple to understand and quick to implement, and encourages management into proactive and structured thinking, so that threats are planned for before the plant is built.

Worked example **Kesar's three reasons for the Gulf**

Kesar wants Tapri to open kulhad cafés in the Gulf. He gives the board three reasons: "Indian cities are getting crowded with chai brands; our app and video calls mean I can run a Dubai café from Indore; and once we are there, we can buy Kenyan tea at better prices." Ananya has three studies done: (A) world trade and economic trends for food chains over the next decade, and how far Gulf governments are free-market or interventionist; (B) demand for Indian food and drink across the six Gulf countries; (C) the UAE's labour, licensing and food laws and its customs. Her draft planning steps are in the wrong order: "set global objectives; develop corporate strategies for the global business; evaluate global opportunities and threats against our capabilities; describe the scope of our global operations".

Required:

(i) Match each of Kesar's reasons to the Study Material's reasons for going global.

(ii) Identify the level of international environmental analysis in studies A, B and C.

(iii) Put Ananya's planning steps in the correct order.

MODEL ANSWER

(i) Reasons for going global

Kesar's reason	Study Material's reason
Indian cities crowded with chai brands	Domestic markets are no longer adequate; the competition at home may not exist in some international markets
App and video calls let him run Dubai from Indore	Rapid shrinking of time and distance through faster communication and technological change
Cheaper Kenyan tea	The need for a reliable or cheaper source of raw materials

Underlying all three is the first and foremost reason, the need to grow.

(ii) Levels of analysis. An assessment of the external environment is the first step toward internationalisation, and it can be done at three levels:

- **Study A: multinational environmental analysis**: identifying, anticipating and monitoring significant components of the global environment on a large scale, including governments' free or interventionist tendencies.
- **Study B: regional environmental analysis**: a more in-depth evaluation of the critical factors in a specific geographical area, to discover market opportunities there.
- **Study C: country environmental analysis**: a deeper look at the economic, legal, political and cultural dimensions of one country, customised to develop an effective market-entry strategy.

(iii) Steps in international strategic planning. International development is expensive and challenging, so it should proceed in a structured order:

1. Evaluate global opportunities and threats and rate them against Tapri's internal capabilities.
2. Describe the scope of Tapri's global commercial operations.
3. Create Tapri's global business objectives.
4. Develop distinct corporate strategies for the global business and the whole organisation.

Exam angle

In the exam

How ICAI asked this, May 2024 to September 2026

In the new-scheme documents read for this lesson, the topics of this lesson appeared 27 times in 21 documents.

- **PESTLE, 5 marks**: "How can the PESTLE framework help ABC Corp assess the external factors affecting its decision to expand into a new country?" (MTP May 2024 Series I Q1(b), MTP January 2026 Series I Q1(b), MTP September 2025 Series II Q1(a); the Study Material's own scenario 1); "How does the PESTLE framework assist in analysing the macro-environment?" (MTP September 2024 Series II Q4(b), RTP May 2026 Q10).
- **Business environment and the benefits of interaction, 5 marks**: a start-up choosing Bengaluru (May 2024 Q5(c), RTP May 2025 Q10), an organic food brand choosing Pune (MTP May 2025 Series II Q2(b)), "a close and continuous interaction..." (September 2025 Q8(a), MTP May 2026 Series I Q2(b)).
- **Macro elements**: a supplement maker studying age groups and incomes, "what kind of external factor" (demographic) plus the major categories (RTP September 2025 Q9).
- **Internationalisation, 5 marks**: "International development is expensive and challenging": meaning and steps in international strategic planning (January 2025 Q6(a), MTP May 2026 Series I Q3(b), MTP September 2025 Series I Q2(b)); the reasons companies globalise (May 2026 Q7(a)).
- **Multiple choice, 2 marks each**: which tool for regulatory and socio-cultural influences, interest rates and gold prices, or EV subsidies and fuel costs (PESTLE: MTP January 2025 Series I (A)(iii), MTP September 2025 Series I (A)(ii), RTP May 2026 MCQ 1(i), the last "more suitable than SWOT"); which PESTLE factor (changes in data privacy regulations, not government incentives, MTP January 2026 Series II (A)(i); legal, not political, for drug approvals, MTP May 2025 Series II (B)(iii); socio-cultural for consumer trends abroad, RTP January 2025 MCQ 1(i), and for public backlash, RTP January 2026 MCQ 1(iv); a socio-cultural shift in demand, January 2026 MCQ 12); the external factor behind entering a low-electricity country (high demand for alternative energy, September 2025 MCQ 12); the framework of strategic analysis (determinants analysis is internal, January 2025 MCQ 16; strategic groups and cost structure keyed (a) competitor analysis, May 2025 MCQ 10); safeguarding quality as strategic risk assessment (RTP May 2024 MCQ 1(i)).

In the exam

How the marks are earned

The PESTLE answers that ICAI publishes take the six factors in order, each as a bold heading with two or three examples applied to the case and one line on what the analysis lets the firm do, and close with a sentence on informed decisions. The business-environment answers open with the Study Material's definition and then the five ways in its order. The internationalisation answers open with what internationalisation offers (new markets, cheaper resources, economies of scale, longer product life) and then the four steps, numbered.

Trick

Who can Tapri phone?

If Tapri can phone it, bargain with it or sell to it (a supplier, a customer, a dealer, a rival), it is **micro**. If no phone call will change it (interest rates, a new law, a heat wave, a social trend), it is **macro**, and PESTLE is the tool. Condition: a government is macro as a policy-maker, but a government department that buys from Tapri is, in that role, a customer.

Answer frame

"How does PESTLE help X decide Y?" (5 marks)

1. One line: PESTLE identifies the political, economic, socio-cultural, technological, legal and environmental influences on an organisation and provides a way of scanning those that have affected or are likely to affect it.
2. **Six headings in order**, each with the Study Material's drivers that fit the case and what X learns:

Heading	Drivers to pick from
Political	Stability, ideology, taxation policy, regulators, government policies and thrust areas
Economic	Economic trends, trade cycles, interest and exchange rates, inflation, unemployment, consumer spending
Socio-cultural	Lifestyle, demographics, attitudes, buying patterns, ethnic and religious factors, media
Technological	Replacement technology, maturity, manufacturing capacity, innovation, access, licensing, patents
Legal	Corporate, employment, competition, health and safety law, treaties, regional legislation
Environmental	Ecological issues, hazards, environmental legislation, energy use, waste disposal

3. Close: a comprehensive view of the macro environment, simple and quick, encouraging proactive and structured thinking for an informed decision.

"Explain business environment and how interaction helps" (5 marks)

Definition (all external factors, influences or situations that affect business decisions, plans and operations), then the five ways: opportunities and threats; direction for growth; continuous learning; image building; meeting competition. In a case, apply each to the facts.

Three answers to "PESTLE for a new country"

Loses marks

"PESTLE means political, economic, social, technological, legal and environmental. ABC should study all of them."

The acronym, with nothing applied.

Passes

Six headings, each with general examples ("government stability", "inflation").

Correct but generic: nothing from the case, no consequence for the decision.

Full marks

The one-line purpose, six headings with drivers chosen for the case and what each tells the firm (risk, cost, demand, compliance), and a closing line on the decision.

Common mistakes

⚠ **Common mistake**

Hall of Shame: BrewBucks in the PESTLE table

Competitors, suppliers and dealers listed under "economic" or "political". **Fix:** they are the **micro** environment, acting on the firm regularly and directly; the Study Material's own question asks which is *not* an element of the macro environment, and the answer is competitors (SM 2.47, 2.50). PESTLE is for forces much beyond the firm's direct control.

⚠ **Common mistake**

Every regulation filed under "political"

Fix: government intervention, policy, taxation and stability are political; the specific laws a firm must comply with (company, employment, competition, health and safety, data and product rules) are legal (SM 2.17). In the MCQs, ICAI keyed regulatory approvals for a new drug as legal, not political.

⚠ **Common mistake**

Demographics and culture used as synonyms

Fix: demographics are characteristics (age, income, region); socio-cultural factors are behaviour and beliefs (SM 2.12). An answer on "what kind of factor is the age profile of buyers?" says demographic.

⚠ **Common mistake**

Planning steps out of order

Writing "set global objectives" before "evaluate global opportunities and threats". **Fix:** evaluate (against internal capabilities), describe the scope, create objectives, develop strategies: you cannot set objectives for markets you have not assessed.

Practice

Check yourself

1 Case scenario. Lotus Footwear Ltd, Agra, notes four developments: (i) a fall in the rupee against the euro; (ii) a new rule requiring every shoe sold to carry a country-of-origin tag; (iii) a leading Chinese brand opening 30 stores in Delhi; (iv) young buyers wanting vegan leather. Which of the following correctly classifies them?

A (i) Political, (ii) Legal, (iii) Economic, (iv) Socio-cultural

B (i) Economic, (ii) Political, (iii) Micro environment, (iv) Technological

C (i) Economic, (ii) Legal, (iii) Socio-cultural, (iv) Environmental

D (i) Economic, (ii) Legal, (iii) Micro environment, (iv) Socio-cultural

2 Within its micro environment, which issues does the Study Material say a firm must address? Select all that apply.

- **A** The ways in which the firm can raise its finance
- **B** The rate of inflation in the economy
- **C** The local community within which the firm operates
- **D** The government's current and future taxation policy

More than one answer may be right.

3 Case scenario. For Tapri's strategy review, Ananya's team prepares three studies: (i) Tapri's cost per cup against rivals, customer-satisfaction scores and new-product record; (ii) Tapri's past and current strategies, its strategic problems and its financial resources; (iii) the segments of office buyers, what motivates them and which of their needs no one meets. In the Study Material's framework of strategic analysis, which is correct?

- **A** (i) Market analysis, (ii) Competitor analysis, (iii) Customer analysis
- **B** (i) Performance analysis, (ii) Environmental analysis, (iii) Market analysis
- **C** (i) Performance analysis, (ii) Determinants analysis, (iii) Customer analysis
- **D** (i) Competitor analysis, (ii) Determinants analysis, (iii) Environmental analysis

4 Which of the following is NOT one of the three characteristics of a global business in the Study Material?

- **A** Multiple units in different parts of the globe linked by common ownership
- **B** Units drawing on a common pool of resources such as money, credit, patents and trade names
- **C** Units that each follow an independent strategy suited only to their own country
- **D** Units that respond to some common strategy

5 According to the Study Material, what is the first step toward internationalisation?

- **A** Setting up an overseas plant to reduce transport costs
- **B** An assessment of the external environment
- **C** Forming a strategic alliance with a foreign firm
- **D** Creating global business objectives

Answers: the answer key at the end of this lesson.

Recap

- Business environment: all external factors, influences or situations that affect business decisions, plans and operations; interaction with it gives opportunities and threats, direction for growth, continuous learning, image building and meeting competition.

- Micro environment: immediate periphery, regular and direct influence (suppliers, consumers, marketing intermediaries, competitors); macro environment: much beyond direct control.
- Strategic analysis precedes strategy: two considerations (industry and competitive conditions; own capabilities and position); limitations: many options with no pick, time-consuming; issues: strategy evolves, balance, risk.
- Macro elements: demographic (characteristics), socio-cultural (behaviour and beliefs), economic, political-legal, technological.
- PESTLE: political, economic, socio-cultural, technological, legal, environmental; earlier PEST; simple, quick, proactive and structured; it finds the drivers of change.
- Global business: units in many countries, common ownership, common resources, common strategy. Planning: evaluate, describe scope, set objectives, develop strategies.
- International environment: assess first, at multinational, regional and country levels; political risk, culture, exchange rates, legal compliance, taxation.
- Nine reasons to go global, led by the need to grow. (Tapri can phone its supplier, not the monsoon.)

Answer key · Check yourself

1 **D (i) Economic, (ii) Legal, (iii) Micro environment, (iv) Socio-cultural**

Exchange rates are economic; a rule to comply with is legal; a competitor is micro, not PESTLE; a change in buyers' attitudes and lifestyle is socio-cultural.

2 **A The ways in which the firm can raise its finance; C The local community within which the firm operates**

SM 2.11 lists six issues: the firm's employees and how they are organised; its existing customer base; the ways it can raise finance; its suppliers and the links with them; the local community; and the direct competition. Inflation is an economic factor and taxation policy a political one: both are macro.

3 **C (i) Performance analysis, (ii) Determinants analysis, (iii) Customer analysis**

SM 2.7: relative cost, customer satisfaction and new products are performance analysis, and past and current strategies, strategic problems and financial resources are determinants analysis (both internal); segments, motivations and unmet needs are customer analysis (external).

4 **C Units that each follow an independent strategy suited only to their own country**

SM 2.18: the units respond to some common strategy. Fully independent units would not make one global business.

5 **B An assessment of the external environment**

SM 2.20: "An assessment of the external environment is the first step toward internationalisation", at the multinational, regional and country levels. Objectives come third in the planning steps.

2.2 Defining the industry: value chain and product life cycle

What a business product is, how the product life cycle (introduction, growth, maturity, decline) guides strategic choice, and how Porter's value chain and value creation locate competitive advantage.

In plain words

Kesar prices a can of chai

Tapri is launching Kulhad Cold Brew, a chilled chai in a can. Kesar has already decided the price.

> **Kesar:** It costs us ₹52 a can. Add 40%, round it off, sell at ₹75. Simple.
>
> **Ananya:** BrewBucks sells its cold coffee at ₹100 and the corner shop sells iced tea at ₹40. The market has already decided the price, Kesar-ji. Our job is the cost.
>
> **Kesar:** Then what do we decide?
>
> **Ananya:** Which products to push, which to milk, which to let go. And which of our activities actually make people pay.

Ananya is doing the first job of strategic analysis: **understanding the product and the industry** it sits in. A **product** is what a business sells: a physical good (a can of chai) or a service, even an experience (a kulhad café evening). Products can be touched or not, they carry a price the market largely sets, they have features that satisfy a need, everything in the business revolves round them, and they do not live for ever.

That last point gives the first tool. Plot a product's **sales against time** and you get an S-shaped curve with four stages: **introduction** (few buyers, almost no rivals, high price), **growth** (demand takes off, rivals arrive, prices fall), **maturity** (growth slows, competition gets tough, profits come down) and **decline** (sales fall sharply as something new replaces it). This is the **product life cycle (PLC)**. Knowing the stage of each product tells you what to do with it: expand the young ones, use the mature ones for cash, harvest or retrench the declining ones.

The second tool looks inside. Michael Porter's **value chain** breaks a business into the activities it performs: five **primary activities** that move the product to the customer (bring inputs in, make it, deliver it, sell it, service it) and four **support activities** that help all of them (buying, technology, people, the firm's infrastructure). **Value chain analysis** asks how much value each activity adds, or subtracts, so the firm can see where its competitive advantage really comes from.

Think of it like

The mango season

A mango seller lives the PLC every summer. Early in the season, few mangoes, few sellers, high prices. Then every cart is full, buyers pour in, more sellers arrive and prices fall. At the peak, everyone sells the same Alphonso at the same price and margins are thin. By the monsoon, sales collapse as the market moves to jamun and pears. His day is a value chain: buying at the mandi and carrying the crates home, ripening and cutting, wheeling the cart to the station, shouting "Alphonso, sweet as sugar", and replacing the one bad mango a regular complains about. Behind it sit haggling with the wholesaler, his carbide-free ripening trick, training his nephew, and the notebook where he keeps accounts. His profit comes from doing some of these better than the next cart.

Key idea

Understand the industry through its product. The **product life cycle** (introduction, growth, maturity, decline) tells you the strategic choice for each product or business; the **value chain** (five primary and four support activities) tells you which activities create the value customers pay for, and so where competitive advantage is won.

How it works

After the macro environment (PESTLE and the international environment), the Study Material narrows down to the product and the industry it is sold in (SM 2.21). Four steps follow.

Step 1: know what a product is

Businesses sell products; a product can be a good or a service, a physical good or an experience. The Study Material lists five characteristics of business products (SM 2.21–2.22):

1. **Products are either tangible or intangible.** A tangible product can be handled, seen and physically felt (a car, book, pen, table, mobile handset); an intangible product is not a physical good (telecom services, banking, insurance, repair services).
2. **Product has a price.** The dynamics of supply and demand influence the market price, the price at which quantity provided equals quantity desired. The price that may be paid is determined by the market, the quality, the marketing and the targeted group. In the present competitive world price is often given by the market and businesses have to work on costs to maintain profitability: on account of competition they cannot fix the market price by adding a profit margin to costs.
3. **Products have certain features that deliver satisfaction.** A product feature is a component of a product that satisfies a consumer need. Features determine pricing and are altered during development to optimise the user experience; they distinguish the product in function, design, quality and experience. The customer's cumulative experience from purchase to the end of the product's useful life is an important component of a feature.
4. **Product is pivotal for business.** The product is at the centre of business around which all strategic activities revolve; it enables production, quality, sales, marketing, logistics and other business processes. Product is the driving force behind business activities.

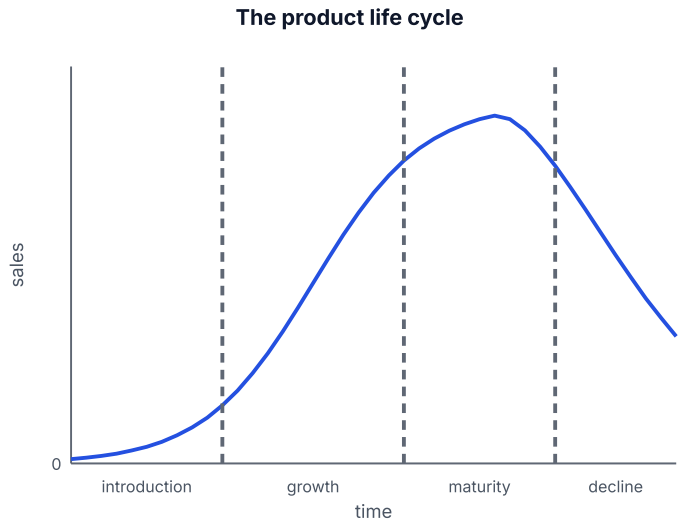
5. **A product has a useful life.** Every product has a usable life after which it must be replaced, and a life cycle after which it is reinvented or may cease to exist: fixed-line telephone instruments have largely been replaced by mobile phones.

Step 2: place each product on its life cycle

Definition

Product life cycle (PLC)

An important concept in strategic choice. "Essentially, PLC is an S-shaped curve which exhibits the relationship of sales with respect of time for a product that passes through the four successive stages of introduction, growth, maturity and decline." If businesses are substituted for products, the concept of PLC could work just as well (SM 2.22).



After the Study Material's figure (SM 2.23): sales creep up in introduction, climb steeply in growth, flatten in maturity and drift sharply down in decline. Dashed lines mark the stage boundaries.

What happens in each stage, in the Study Material's words, and the strategic choice it points to (SM 2.22–2.23):

Stage	What happens	Strategic choice
Introduction	Slow sales growth, because customers are not aware of the product; competition almost negligible; prices relatively high; markets limited	Expansion may be a feasible alternative
Growth	Rapid market acceptance: demand expands rapidly, prices fall, competition increases, market expands; customers know the product and show interest in buying	Expansion may be a feasible alternative
Maturity	Slowdown in the growth rate; competition gets tough and the market stabilises; profit comes down because of stiff competition; the firm works to maintain stability	Use as a source of cash for investment in other businesses that need resources
Decline	Sharp downward drift in sales; sales and profits fall sharply because a new product replaces the existing one	A combination of strategies (diversification or retrenchment), such as selective harvesting and retrenchment

Why strategists use it. The main advantage of the PLC approach is that it can be used to **diagnose a portfolio of products (or businesses)** to establish the stage at which each exists, paying particular attention to the businesses in the declining stage. Depending on the diagnosis, the appropriate strategic choice is made, and in this way **a balanced portfolio of businesses** may be built up (SM 2.23).

Step 3: break the business into its value chain

Successful businesses produce value for their consumers (satisfaction) and for themselves and their shareholders (profits); companies that generate more value are more likely to profit. Understanding an organisation's value chain is critical for evaluating how much value it generates. Strategists use value chain analysis to **break down each process** the business employs, which can improve the sequence of operations, enhance efficiency and create a competitive advantage. It can be used by businesses of all sizes, from sole proprietorships to multinational organisations, to evaluate and optimise their processes (SM 2.23–2.24).

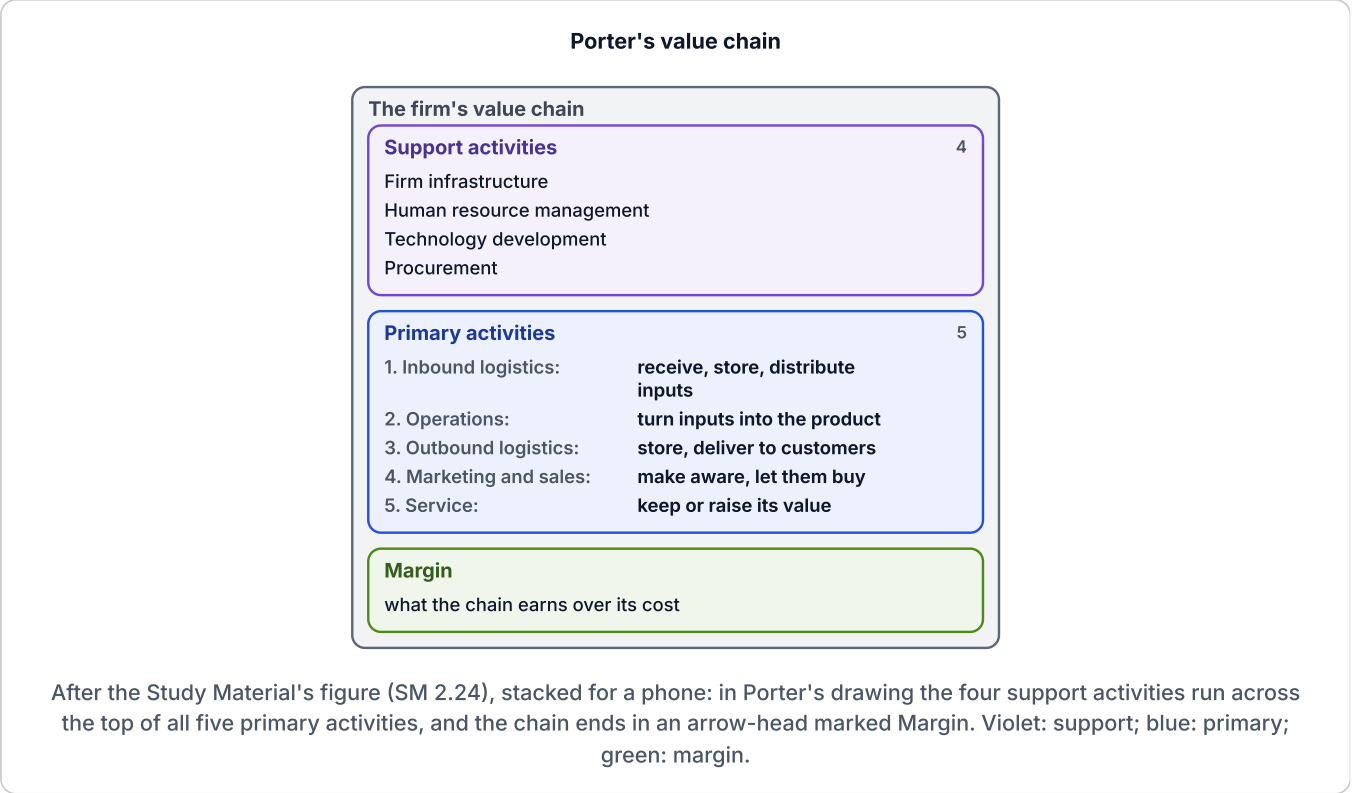
Definition

Value chain analysis

"Value chain analysis is a method of examining each activity in value chain of a business in order to identify areas for improvements." In doing it, you analyse how each stage in the process **adds or subtracts value** from the end product or service (SM 2.24).

It has been widely used to describe the activities within and around an organisation and relate them to an assessment of its **competitive strength** (its ability to provide value-for-money products or services). It was originally introduced as an **accounting analysis** to shed light on the "value added" of separate steps in complex manufacturing processes, to find where cost improvements could be made and/or value creation improved. Michael Porter linked its two basic steps, **identifying separate activities** and **assessing the value added from each**, to an analysis of the organisation's **competitive advantage** (SM 2.24).

The key insight: organisations are much more than a random collection of machines, material, money and people. These resources are of no value unless deployed into activities and organised into systems and routines that produce what the final consumer values. So it is the **competences to perform particular activities** and the **ability to manage linkages between activities** that are the source of competitive advantage. Porter argued that understanding strategic capability must start with identifying these separate value activities (SM 2.24–2.25).



After the Study Material's figure (SM 2.24), stacked for a phone: in Porter's drawing the four support activities run across the top of all five primary activities, and the chain ends in an arrow-head marked Margin. Violet: support; blue: primary; green: margin.

The five primary activities (SM 2.25):

- **Inbound logistics**: the activities concerned with receiving, storing and distributing the inputs to the product or service: materials handling, stock control, transport, warehousing.
- **Operations**: transform these inputs into the final product or service: machining, packaging, assembly, testing.
- **Outbound logistics**: collect, store and distribute the product to customers: for tangible products, warehousing, materials handling, transport; for services, arrangements for bringing customers to the service if it is at a fixed location (sports events).
- **Marketing and sales**: the means by which consumers or users are made aware of the product or service and are able to purchase it: sales administration, advertising, selling. In public services, the communication networks that help users access a service.
- **Service**: all activities that enhance or maintain the value of a product or service: installation, repair, training, spares.

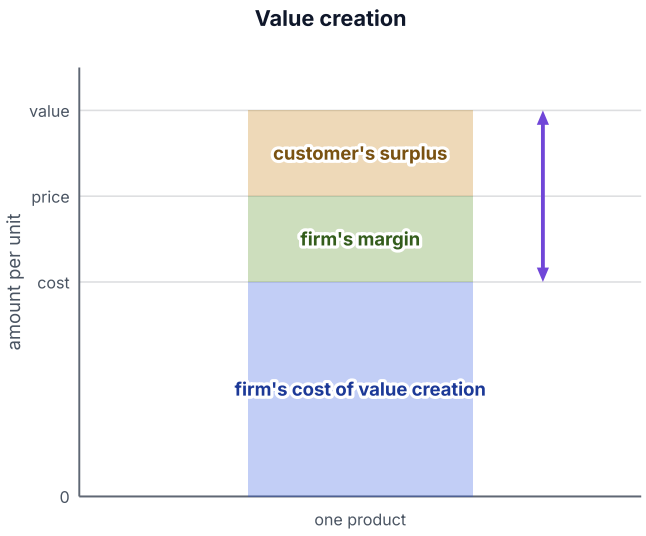
The four support activities, each linked to the groups of primary activities (SM 2.25–2.26):

- **Procurement**: the processes for acquiring the various resource inputs to the primary activities (**not the resources themselves**); it occurs in many parts of the organisation.
- **Technology development**: all value activities have a "technology", even if it is simply know-how. Key technologies may concern the product (R&D, product design), processes (process development) or a particular resource (raw material improvements).
- **Human resource management**: a particularly important area that transcends all primary activities: recruiting, managing, training, developing and rewarding people.

- **Infrastructure**: the systems of planning, finance, quality control and information management, crucially important to performance in the primary activities; also the structures and routines of the organisation that sustain its culture.

Step 4: see where the value is created

The concept of **value creation** was introduced primarily for providing products and services to customers with more worth. Value is measured by a product's **features, quality, availability, durability, performance and services** for which customers are willing to pay; the concept later widened to value creation for stakeholders, whose investment the business should make appreciate. Value creation is an activity or performance by the firm that increases the worth of goods, services, business processes or even the whole business system; ultimately it gives competitive advantage and helps earn above-average profits (SM 2.36–2.37).



After the Study Material's figure (SM 2.36). From the bottom: the firm's cost of value creation (blue), the firm's margin up to the price (green) and the customer's surplus up to the value to the customer (amber). The violet arrow, from cost to value, is the profitable pricing band.

At the most basic level, how profitable a company becomes depends on **three factors** (SM 2.37):

1. the **value** customers place on the company's products;
2. the **price** that the company charges for its products; and
3. the **costs** of creating those products.

The value a customer places on a product reflects its **utility**: the happiness or satisfaction gained from consuming or owning it. Utility must be distinguished from price: it is a function of the product's attributes, such as performance, design, quality, and point-of-sale and after-sale service (SM 2.37).

Porter argues that a company can generate competitive advantage in two ways, through **differentiation** (superior and special value in features, quality or after-sales service, which lets it demand a higher price; it earns higher profits if its expenses stay comparable to rivals') or through **cost advantage**. Many functions decide whether it achieves either, and the value chain, by dividing the organisation into primary and supporting activities, is an excellent tool to examine the origin of

competitive advantage: it shows the potential sources of differentiation and the organisation's cost behaviour (SM 2.37–2.38). The Study Material closes by describing value creation as the value the consumer wants to pay over and above the price the business charges: the consumer values the product more than it actually costs them (SM 2.38).

Worked examples

Worked example **Four products, four birthdays**

Ananya is reviewing four of Tapri Tea Co. Ltd's products for the board.

(a) **Kulhad Cold Brew** cans were launched five months ago and are sold only in Tapri's own cafés in three cities. Sales are growing slowly because few customers know what cold brew chai is. No rival sells anything like it, and the price is high.

(b) **TapriNow**, the delivery app, has trebled its orders in a year. Two rivals have launched similar apps, delivery charges across the market have fallen, and new customers sign up every week because they now know the service.

(c) **Tapri Classic premix**, sold for 14 years, now grows at 2% a year. Six national brands fight for the same shelf, the market has stabilised and profit margins are falling because of stiff competition.

(d) **Chai Flask Service**, which delivers flasks of chai to offices, has seen sales and profits fall steeply for two years as offices install chai vending machines.

Using the product life cycle concept, identify the stage of each product and advise the strategic choice Tapri should make for each.

MODEL ANSWER

The **product life cycle** is an S-shaped curve that exhibits the relationship of sales with respect to time for a product passing through four successive stages: introduction, growth, maturity and decline. Its main advantage is that it can be used to diagnose a portfolio of products to establish the stage of each, so that an appropriate strategic choice can be made and a balanced portfolio built up.

Product	Stage	Reason (the facts)	Strategic choice
(a) Kulhad Cold Brew	Introduction	Slow sales growth due to lack of awareness, negligible competition, high price, limited market	Expansion may be feasible: build awareness, extend to more cities and outlets
(b) TapriNow	Growth	Demand expanding rapidly, competition increasing, prices falling, customers aware and interested	Expansion: invest to grow while the market expands
(c) Tapri Classic premix	Maturity	Slowdown in growth rate, tough competition, stabilised market, falling profit	Maintain stability and use it as a source of cash for products that need resources, such as (a)
(d) Chai Flask Service	Decline	Sharp fall in sales and profits as a new product (vending machines) replaces it	A combination of strategies such as selective harvesting or retrenchment; diversification may also be considered

Particular attention should be paid to the Chai Flask Service, as it is in the declining stage. Using the premix's cash to fund the cold brew and the app gives Tapri a balanced portfolio, as the PLC concept suggests.

Interactive version: PassBook app, lesson Defining the industry: value chain and product life cycle

Worked example **From potato to freezer: the samosa factory's chain**

Tapri's samosa factory performs these activities:

1. Receiving potatoes and flour at the gate, storing them in the cold room and issuing them to the kitchen.
2. Peeling, frying, freezing and packing the samosas.
3. Keeping finished packs in the dispatch freezer and running cold-chain vans to cafés and supermarkets.
4. The "Samosa Sunday" social-media campaign and the team that takes supermarket orders.
5. Repairing supermarkets' display freezers and training their staff to store the packs correctly.
6. Negotiating a two-year potato contract with a farmer producer company.
7. Developing an air-fryer-ready recipe and a faster folding machine.
8. Recruiting, training and rewarding the cooks.
9. Planning, finance, the quality-control laboratory and the ERP system.

Required:

(a) Classify each activity into the primary and support activities of Michael Porter's value chain.

(b) Kesar says value chain analysis is "just the accountant's cost-cutting exercise". Comment.

MODEL ANSWER

(a) Value chain analysis is a method of examining each activity in the value chain of a business to identify areas for improvement. Porter groups the primary activities into five areas and links them to four support activities.

No.	Activity	Group	Value chain activity
1	Receiving, storing and issuing inputs	Primary	Inbound logistics
2	Frying, freezing, packing	Primary	Operations
3	Storing finished packs, delivery vans	Primary	Outbound logistics
4	Campaign and order-taking	Primary	Marketing and sales
5	Freezer repair, staff training	Primary	Service
6	Potato contract	Support	Procurement
7	New recipe, folding machine	Support	Technology development
8	Recruiting, training, rewarding cooks	Support	Human resource management
9	Planning, finance, QC, ERP	Support	Infrastructure

Note that transport appears twice: carrying inputs in is inbound logistics; delivering finished packs is outbound logistics. Procurement is the process of acquiring the potatoes, not the potatoes themselves.

(b) The statement is only partly correct. Value chain analysis was originally introduced as an accounting analysis to shed light on the value added by separate steps in complex manufacturing processes, to determine where cost improvements could be made and/or value creation improved. Michael Porter linked its two basic steps, identifying separate activities and assessing the value added by each, to an analysis of the organisation's competitive advantage. Resources are of no value unless deployed into activities and organised into systems and routines that produce what the final consumer values; the competences to perform particular activities and the ability to manage the linkages between them are the source of competitive advantage. So the analysis also shows Tapri where it can differentiate (for example, the freezer service and the air-fryer recipe), not only where it can cut costs.

Worked example **Who leaves more on the table?**

A market survey of Tapri's Kulhad Cold Brew and BrewBucks' cold coffee can found:

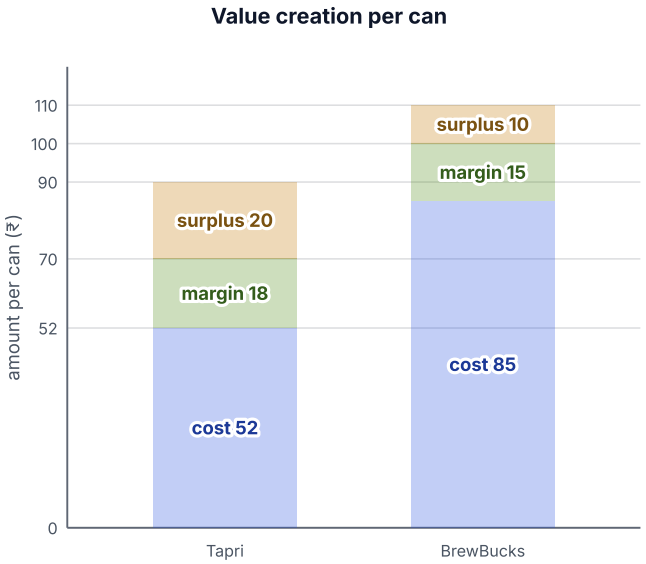
Per can	Tapri (₹)	BrewBucks (₹)
Value to the customer (the most a typical buyer would pay)	90	110
Price charged	70	100
Firm's cost of value creation	52	85

Required:

(a) For each can, calculate the customer's surplus, the firm's margin and the profitable pricing band.

(b) Kesar wants to raise Tapri's price to ₹95 "because BrewBucks charges ₹100". Advise him, stating the factors on which a company's profitability depends.

THE WORKING



Blue: the firm's cost of value creation; green: the firm's margin (price minus cost); amber: the customer's surplus (value minus price). Each bar's full height is the value to the customer.

(a) Working (per can):

Per can	Tapri (₹)	BrewBucks (₹)
Customer's surplus = value − price	90 − 70 = **20**	110 − 100 = **10**
Firm's margin = price − cost	70 − 52 = **18**	100 − 85 = **15**
Profitable pricing band (cost to value)	**52 to 90**	**85 to 110**

(b) How profitable a company becomes depends on three factors: the value customers place on its products, the price it charges, and the costs of creating those products. The value customers place on a product reflects its utility, which must be distinguished from price.

A price of ₹95 is above the ₹90 value Tapri's customers place on its can: it is outside the profitable pricing band, the customer's surplus disappears and a typical buyer would not buy. BrewBucks can charge ₹100 only because its customers value its can at ₹110. Tapri should keep its price within ₹52 to ₹90; to charge more it must first raise the value to the customer (features, quality, availability, service: differentiation), or it can widen its margin by lowering its cost of value creation (cost advantage). Tapri already earns the larger margin (₹18 against ₹15) while leaving its customers the larger surplus (₹20 against ₹10).

Exam angle

In the exam

Where these topics appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched for this lesson (eight past papers, eight RTPs and sixteen MTP series), about 20 ask about it:

- **Value chain, descriptive, 5 marks.** Meaning and the four support activities: May 2025 Q7(a) (1 + 4 marks) and MTP January 2026 Series I Q4(a). "Primary and support activities are intertwined: do you agree? Delineate the areas of primary activities": September 2024 Q6(b), repeated as RTP September 2025 Q10 and RTP September 2026 Q10.
- **Value chain, MCQs, 1–2 marks.** Partnerships with retail chains to distribute: **outbound logistics** (September 2025 MCQ 10). Material handling and stock control as strengths: **inbound logistics** (January 2026 MCQ 10). Negotiating prices and quality with suppliers: value creation by improving a **support** activity (MTP May 2024 Series II). The role of value chain analysis in a turnaround case (RTP January 2025). Partnerships with battery suppliers, efficient assembly lines and after-sales service centres that strengthen the entire chain of operations: **value chain analysis** (RTP May 2026 MCQ 1(ii)).
- **Product life cycle, MCQs.** Slow growth, stabilised market, falling margins: **maturity** (September 2024 MCQ 10). Sales and profits declining steeply: **decline** (January 2025 MCQ 9). A plateau in sales despite heavy promotions: **maturity**, with product differentiation as the option (RTP January 2025 MCQ 3). Initial doubts overcome by aggressive campaigns: **introduction** (MTP September 2024 Series II, RTP September 2024). Highest marketing expenditure per unit: **introduction** (MTP January 2025 Series II, 1 mark). New product variants launched to capitalise on expanding market demand: **growth** (RTP May 2025 MCQ 1(ii)). Heavy R&D that rejuvenated a saturated product: **maturity**, to extend the life cycle (MTP May 2025 Series I). The keys on marketing spend per unit, new variants, R&D rejuvenation and the product-differentiation option go beyond the Study Material's text: learn them as ICAI's keys.
- **Product life cycle, descriptive, 5 marks**: identify the stages from a description (RTP September 2024 Q9, repeated in MTP May 2025 Series I); a product at the maturity stage, so suggest the corporate strategy: **stability strategy**, with its reasons (May 2026 Q5(c)).
- **Characteristics of business products, 5 marks**: May 2024 Q7(a) (repeated in MTP May 2025 Series I) and May 2026 Q6(a); the suggested answers give the five characteristics in the Study Material's order. A case version asks how a furniture maker facing cheaper online rivals can differentiate, using the five characteristics (the Study Material's own scenario question, repeated in MTP May 2024 Series II and MTP January 2025 Series II).

In the exam

How the marks are earned

The suggested answers open with a one-line meaning ("Value chain analysis is a strategic tool used to examine each business activity ...") and then list ICAI's points in ICAI's order with a short explanation each. In "do you agree" questions the answer starts with "Yes, I agree" and gives the reason. In PLC MCQs, match the facts to the stage features word for word: "limited markets, high prices" (introduction), "demand expands rapidly, prices fall" (growth), "growth slows, market stabilised, profit down due to stiff competition" (maturity), "sharp fall as a new product replaces it" (decline).

Trick

In, Make, Out, Sell, Serve; and PTHI

Primary activities in order follow the product's journey: **In**bound logistics, **Make** (operations), **Out**bound logistics, **Sell** (marketing and sales), **Serve** (service). Support activities: **P**rocurement, **T**echnology development, **H**uman resource management, **I**nfrastructure ("PTHI", read upwards from the bottom of Porter's figure: procurement, technology, HRM, firm infrastructure at the top). Condition: transport belongs to inbound logistics when it carries inputs and to outbound logistics when it carries the finished product.

Answer frame

"What do you mean by value chain analysis? Delineate the support (or primary) activities." (5 marks)

1. **Meaning (1 mark; May 2025 Q7(a) printed the split as 1 + 4)**: a method of examining each activity in the value chain of a business to identify areas for improvement; how each stage adds or subtracts value; Porter linked it to competitive advantage.
2. **The activities (4 marks)**: name each in ICAI's order, with one line on what it covers.
   - Support: procurement (processes for acquiring inputs, not the resources themselves); technology development (product, process, resource); human resource management (transcends all primary activities); infrastructure (planning, finance, quality control, information management; structures that sustain culture).
   - Primary: inbound logistics, operations, outbound logistics, marketing and sales, service, with an example each.
3. In an "intertwined" question, open with "Yes, I agree": each group of primary activities is linked to support activities.

"Explain the characteristics of business products" (5 marks)

Five points for five marks, in the Study Material's order: tangible or intangible (with examples); has a price (market price where quantity provided equals quantity desired; businesses work on costs); features that deliver satisfaction (function, design, quality, experience); pivotal for business (centre of all strategic activities); has a useful life (replaced, reinvented or ceases to exist).

"Write a short note on the PLC and its significance in portfolio diagnosis"

The S-shaped curve of sales against time; the four stages with their features; then the significance: diagnose the portfolio, attention to declining businesses, expansion for introduction and growth, mature businesses as sources of cash, selective harvesting or retrenchment for declining ones, a balanced portfolio. The Study Material's own answer includes a sketch of the curve with the stages labelled (SM 2.57–2.58): draw one.

A PLC case: "identify the stage and suggest the strategy" (5 marks)

1. **Stage, from the facts**: quote the case facts that match the stage's features ("growth rate slow, market stabilised, profit down due to stiff competition": maturity).
2. **The strategic choice the PLC points to**: expansion (introduction, growth); source of cash and stability (maturity); selective harvesting, retrenchment or diversification (decline).

3. **The corporate strategy, if asked**: for a mature product, a stability strategy, with its reasons (the product has reached maturity; staff comfortable with the status quo; a relatively stable environment; expansion perceived as threatening; consolidation after rapid expansion), as in ICAI's answer to May 2026 Q5(c).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the delivery van that went into the wrong box

Bunty files every truck under outbound logistics, including the one bringing potatoes in. **Fix:** inbound logistics receives, stores and distributes the **inputs** (materials handling, stock control, transport); outbound logistics collects, stores and distributes the **product to customers**. Ask what the van carries.

⚠ **Common mistake**

"Procurement means the raw materials"

Fix: procurement refers to the **processes** for acquiring the resource inputs to the primary activities, not to the resources themselves (SM 2.25). Negotiating with suppliers is procurement, a support activity.

⚠ **Common mistake**

Calling every sales slowdown "decline"

A product whose growth has slowed in a stabilised market, with profits squeezed by stiff competition, is in **maturity**. **Fix:** decline needs a sharp downward drift in sales and profits, typically because a new product replaces the existing one.

⚠ **Common mistake**

Cost-plus pricing in a characteristics answer

Writing "businesses fix price by adding a margin to cost". **Fix:** the Study Material says the opposite: because of competition, price is often given by the market and businesses work on reducing costs to maintain profitability.

Practice

Check yourself

1 Case scenario. Malabar Filter Kaapi Ltd has two products. Its bottled coffee decoction, sold for 18 years, still earns most of the group's profit, but its sales have barely moved for three years, nine brands now crowd the same shelves and margins slip every quarter; no new product has replaced decoction. Its new single-serve filter-coffee pods, launched last year, need money for machines and advertising. A director proposes "exiting decoction before it dies". Using the product life cycle concept, which advice is most appropriate for the decoction business?

- **A** Retrench or harvest it, because falling margins mean it has entered the decline stage
- **B** Treat it as a mature business: maintain stability and use it as a source of cash to fund the coffee pods
- **C** Expand it aggressively, because a product with most of the group's profit is in its growth stage
- **D** Raise its price, because competition in its stage is almost negligible

2 Tapri's planning department, finance, quality-control laboratory and ERP system belong to which part of the value chain?

- **A** Operations, a primary activity
- **B** Technology development, a support activity
- **C** Human resource management, a support activity
- **D** Infrastructure, a support activity

3 Which of the following are support activities in Porter's value chain? Select all that apply.

- **A** Procurement
- **B** Outbound logistics
- **C** Technology development
- **D** Service
- **E** Human resource management

More than one answer may be right.

4 Customers value a premium kulhad gift box at ₹250; the company sells it at ₹200 and its cost of value creation is ₹160. What is the customer's surplus, in ₹?

Answer: _____

5 A tea estate's trucks carry plucked leaf from its gardens to its factory, where the leaf is stored before processing. This activity is:

- A Inbound logistics
- B Outbound logistics
- C Procurement
- D Operations

Answers: the answer key at the end of this lesson.

Recap

- Five characteristics of business products: tangible or intangible, has a price (often given by the market, so businesses work on costs), features that deliver satisfaction, pivotal for business, has a useful life.
- PLC: an S-shaped curve of sales against time through introduction, growth, maturity and decline; it works for businesses as well as products.
- Introduction: slow sales, negligible competition, high prices, limited markets. Growth: demand expands rapidly, prices fall, competition increases.
- Maturity: growth slows, competition tough, market stable, profit down. Decline: sales and profits fall sharply as a new product replaces it.
- PLC use: diagnose the portfolio; expand introduction and growth businesses, use mature ones for cash, harvest or retrench declining ones; build a balanced portfolio.
- Value chain analysis examines each activity to find improvements; Porter linked it to competitive advantage, which comes from competences in activities and managing linkages.
- Primary: inbound logistics, operations, outbound logistics, marketing and sales, service. Support: procurement, technology development, HRM, infrastructure.
- Profitability depends on value to customer, price and cost: customer's surplus = value − price; firm's margin = price − cost; price profitably between cost and value. (The mango seller knew it all along.)

Answer key · Check yourself

1 **B Treat it as a mature business: maintain stability and use it as a source of cash to fund the coffee pods**

Slow growth, tough competition, a stabilised market and profits squeezed by stiff competition are maturity, and mature businesses may be used as sources of cash for businesses that need resources. Decline needs a sharp downward drift in sales and profits as a new product replaces the existing one, which has not happened. Expansion suits introduction and growth; negligible competition is introduction.

2 **D Infrastructure, a support activity**

Infrastructure is the systems of planning, finance, quality control and information management, and the structures and routines that sustain the culture.

3 **A** Procurement; **C** Technology development; **E** Human resource management

The four support activities are procurement, technology development, human resource management and infrastructure. Outbound logistics and service are primary activities.

4 **50**

Customer's surplus = value to the customer − price = 250 − 200 = ₹50. The firm's margin is 200 − 160 = ₹40, and the profitable pricing band runs from ₹160 to ₹250.

5 **A** Inbound logistics

The trucks carry inputs to the factory, and the leaf is stored before it is processed: receiving, storing and distributing inputs is inbound logistics. Outbound logistics carries the finished product to customers.

2.3 Porter's five forces

Industry environment analysis with Porter's five forces (entrants, buyers, suppliers, rivalry, substitutes), the barriers to entry, when each force is strong, industry attractiveness and the experience curve.

In plain words

BrewBucks is not the only problem

BrewBucks has opened forty cafés in Tapri's cities, and Kesar has called a war council.

> **Kesar:** One enemy, one plan. We beat BrewBucks and the profits come back.
>
> **Ananya:** Five pressures are squeezing our margin, Kesar-ji, and BrewBucks is only one of them.
>
> **Dev:** And each of them has a present value. Mostly negative.

Ananya is doing **industry analysis**: looking at the whole industry Tapri competes in, to estimate how much **competitive pressure** it faces now and will face soon. Michael Porter's model says the pressure comes from five places:

- **Rivalry among existing firms**: the other café chains already fighting for the same customers with prices, offers and advertising.
- **New entrants**: firms that might enter (BrewBucks was one; a quick-commerce app planning its own chai counters is the next). They add capacity and push prices down.
- **Substitutes**: products from other industries that do the same job (cold coffee, energy drinks, chai made at home).
- **Suppliers**: if only two estates grow the special Assam blend, they can raise prices.
- **Buyers**: if a few corporate canteens and food apps buy most of the volume, they can squeeze prices.

The **collective strength** of these five forces decides how much profit an industry lets its firms earn. Where the forces are weak, the industry is **attractive**; where they are fierce, profits are thin for all. Attractiveness is **relative**: an industry that is unattractive to a weak firm may be attractive to a strong one.

One more weapon for the incumbents: the **experience curve**. The more samosas Tapri's factory has made in total, the cheaper each new one becomes, because people learn, processes improve and scale grows. A newcomer starts at the top of the curve, and that cost gap is itself a barrier to entry.

Think of it like

Your stall at the Diwali mela

You sell pani puri at the mela. The stall next door is the rivalry. The empty plot that a new stall could take tomorrow is the threat of entry. The family that brought its own tiffin is the substitute. The only ice-seller at the mela, who doubles his price on the busiest night, is supplier power. The school group asking for forty plates at a discount is buyer power. Your profit is not decided by your neighbour alone: it is what all five leave you. And having made pani puri for twenty Diwalis, you are faster and cheaper than any first-timer: that is the experience curve.

Key idea

The state of competition in an industry is a composite of five competitive pressures: rivalry among existing sellers, the threat of new entrants, substitutes from other industries, and the bargaining power of suppliers and of buyers. The collective strength of these five competitive forces determines the scope to earn attractive profits, and that attractiveness is relative, not absolute.

How it works

Industry environment analysis

Industry analysis builds a picture of key industry traits, competition intensity, industry change drivers, rivals' market positions and tactics, competitive success and profit forecasts, and helps decide whether the industry is lucrative. Its goal, typically an important step of strategic analysis, is to estimate the amount of competitive pressures the business is presently facing and is expected to face in the near future. It sees the firm in the context of a bigger framework and is the foundation for aligning strategy with changing industry circumstances (SM 2.26).

The five forces model

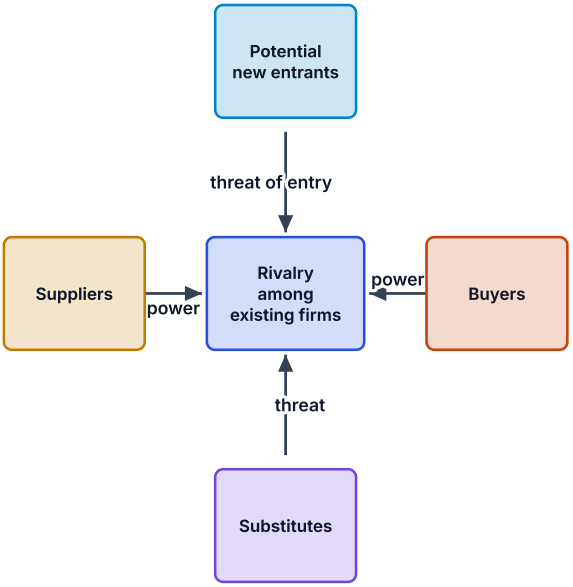
Porter's five forces analysis is a simple but efficient way of determining the key sources of competition in a business or industry, and a powerful and widely used tool to **systematically diagnose the significant competitive pressures in a market and assess the strength and importance of each** (SM 2.26). For Porter, the basic unit of analysis is **a group of competitors producing goods or services that compete directly with each other**: it is the industry where competitive advantage is ultimately won or lost (SM 2.27).

The character, mix and intricacies of competitive forces are never the same from one industry to another. The model holds that the state of competition in an industry is a composite of competitive pressures operating in **five areas** of the overall market (SM 2.27):

1. Competitive pressures associated with the market manoeuvring and jockeying for buyer patronage that goes on among **rival sellers** in the industry.
2. Competitive pressures associated with the threat of **new entrants** into the market.
3. Competitive pressures coming from the attempts of companies in other industries to win buyers over to their own **substitute products**.

4. Competitive pressures stemming from **supplier bargaining power** and supplier-seller collaboration.
5. Competitive pressures stemming from **buyer bargaining power** and seller-buyer collaboration.

Porter's five forces model of competition



After the Study Material's figure (SM 2.28). The industry competitors at the centre feel the threat of entry of new rivals (top), the bargaining power of suppliers (left) and of buyers (right), and the threat from firms in other industries offering substitute products (bottom).

Strategists use the model in **three steps** (SM 2.27):

1. **Identify** the specific competitive pressures associated with each of the five forces.
2. **Evaluate** how strong the pressures comprising each of the five forces are (fierce, strong, moderate to normal, or weak).
3. **Determine** whether the collective strength of the five competitive forces is conducive to earning attractive profits.

The model is one of the most effective and enduring frameworks to assess the nature of the competitive environment and describe an industry's structure; the interrelationship among the five forces gives each industry its own competitive environment, and by applying it managers can gauge their own firm's strengths, weaknesses and future opportunities (SM 2.28).

I. The threat of new entrants

New entrants can **reduce industry profitability** because they add new production capacity, increasing the supply of the product even at a lower price, and can substantially erode existing firms' market share. They are always a powerful source of competition; **the bigger the new entrant, the**

more severe the competitive effect; they also place a limit on prices. A firm's profitability tends to be higher when other firms are blocked from entering (SM 2.28–2.29).

> **Definition**
>
> **Barriers to entry**
>
> "Barriers to entry represent economic forces (or 'hurdles') that slow down or impede entry by other firms." Existing firms try to raise them to discourage new entrants (SM 2.29).

The common barriers to entry, in the Study Material's order (SM 2.29–2.30):

1. **Capital requirements**: when a large amount of capital is required to enter, firms lacking funds are effectively barred, enhancing the profitability of existing firms.
2. **Economies of scale**: the decline in the per-unit cost of production (or other activity) as volume grows. A large firm producing high volumes at successively lower costs discourages new entrants.
3. **Product differentiation**: the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers (personal care and cosmetics). The cost of creating genuine product differences may be too high for new entrants.
4. **Switching costs**: a new entrant must persuade customers of other companies to switch; buyers may have to test the product, negotiate new contracts, train personnel or modify facilities, incurring substantial financial (and psychological) costs. When switching costs are high, buyers are reluctant to change.
5. **Brand identity**: particularly important for infrequently purchased products that carry a high unit cost to the buyer; building it needs substantial resources over a long period.
6. **Access to distribution channels**: despite the internet, many firms rely on their control of physical distribution channels; existing firms can retard or impede their use by new firms.
7. **Possibility of aggressive retaliation**: the mere threat of retaliation by incumbents (cutting prices, raising advertising budgets when a new firm launches) can deter entry.

II. Bargaining power of buyers

This force becomes heavier where buyers can form **groups or cartels**, mostly seen in industrial products, where users come together formally or informally and pressure the producer. Powerful buyers influence not only the prices the producer can charge but also its **costs and investments**, because they bargain for better services. Buyers can exert considerable pressure to secure lower prices or better services particularly when (SM 2.30–2.31):

1. buyers have **full knowledge** of the sources of products and their substitutes;
2. they spend a lot of money on the industry's products, i.e. they are **big buyers**;
3. the industry's product is **not perceived as critical** to the buyer's needs and buyers are **more concentrated** than the firms supplying the product; they can easily switch to the substitutes available.

III. Bargaining power of suppliers

The more **specialised** the supplier's offering, the greater its clout; if suppliers are also **limited in number**, they stand a still better chance to exercise bargaining power. Supplier power determines the cost of raw materials and other inputs, and therefore industry attractiveness and profitability. Suppliers command bargaining power over a firm when (SM 2.31):

1. their products are **crucial** to the buyer and **substitutes are not available**;
2. they can erect **high switching costs**;
3. they are **more concentrated than their buyers**.

IV. The nature of rivalry in the industry

Rivalry among existing players is what is normally understood as competition; its impact shows most at the functional level, in prices, advertising and pressures on costs and product. Its intensity is a significant determinant of industry attractiveness and profitability: **the more intensive the rivalry, the less attractive the industry**. Rivalry tends to be cut-throat and profitability low under these conditions (SM 2.31–2.32):

Condition	What the Study Material says
(i) Industry leader	A strong leader can discourage price wars by disciplining initiators; with greater financial resources it can outlast smaller rivals, so they avoid starting one
(ii) Number of competitors	The leader's ability to exert pricing discipline diminishes as the number of rivals grows: communicating expectations becomes harder
(iii) Fixed costs	Rivals with high fixed costs are inclined to cut prices when they have excess capacity, so profitability is lower in high fixed cost industries
(iv) Exit barriers	Specialised assets find no buyer, so firms that want to leave stay and press down profitability; profitability is higher with few exit barriers
(v) Product differentiation	Differentiated products insulate firms from price wars; undifferentiated commodities (memory chips, natural resources, processed metals, railroads) earn lower profits
(vi) Slow growth	As industry growth slows, rivals fight harder to grow or even keep their share, reducing profitability for all

V. Threat of substitutes

Substitute products are a **latent source of competition** that often becomes a major one. Substitutes offering a **price advantage and/or performance improvement** can drastically alter the competitive character of an industry, and all of a sudden: coir suffered at the hands of synthetic fibre. Wherever substantial investment in R&D is taking place, threats from substitutes can be expected; substitutes usually limit the prices and profits in an industry. To predict this pressure, firms must search for products that perform **the same, or nearly the same, function**: real estate, insurance, bonds and bank deposits are substitutes for common stocks, because they are alternative ways to invest funds (SM 2.33).

The five forces together determine industry attractiveness and profitability, because they govern the elements (such as the cost and investment needed to be a player) that decide industry profitability.

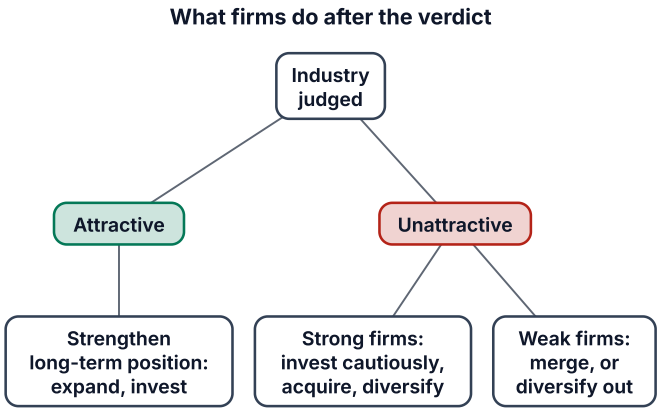
Their collective strength determines the scope to earn attractive profits, and varies from industry to industry (SM 2.33).

Attractiveness of the industry

Industry analysis culminates in conclusions about the relative attractiveness or unattractiveness of the industry, both near-term and long-term: companies invest capital, their promoters' or the public's, and must choose an industry with care. The factors on which management may base its conclusion (SM 2.33–2.34):

1. The industry's **growth potential**: is it futuristically viable?
2. Whether competition currently permits **adequate profitability**, and whether the competitive forces will become stronger or weaker.
3. Whether industry profitability will be favourably or unfavourably affected by the prevailing **driving forces**.
4. The **competitive position** of the organisation in the industry and whether it is likely to grow stronger or weaker (a well-entrenched leader in a lacklustre industry can still earn good profits; an uphill battle against much stronger rivals can make an attractive industry unattractive).
5. The potential to **capitalise on the vulnerabilities of weaker rivals**.
6. Whether the company can **defend against or counteract** the factors that make the industry unattractive.
7. The degrees of **risk and uncertainty** in the industry's future.
8. The **severity of problems** confronting the industry as a whole.
9. Whether continued participation adds importantly to the firm's ability to succeed in **other industries** in which it has business interests.

As a general proposition, an industry whose overall profit prospects are above average is attractive, and one below average unattractive. But it is a mistake to think of an industry as attractive or unattractive to all firms and all potential entrants: **attractiveness is relative, not absolute**; environments unattractive to weak competitors may be attractive to strong ones (SM 2.34).



SM 2.34–2.35. Attractive: participants strengthen their long-term positions, expanding sales efforts and investing in facilities. Unattractive: successful participants invest cautiously, protect long-term competitiveness, acquire smaller firms if the price is right and, over the longer term, may diversify; weak firms may merge with a rival or look outside the industry. Green: attractive; rose: unattractive.

Interactive version: PassBook app, lesson Porter's five forces

The experience curve

Definition

Experience curve

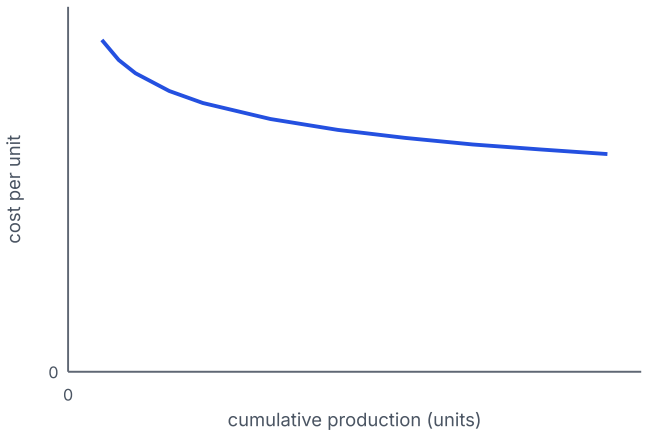
Akin to a learning curve, which explains the efficiency increase gained by workers through repetitive productive work. It is based on the commonly observed phenomenon that **unit costs decline as a firm accumulates experience in terms of a cumulative volume of production**: "we learn as we grow" (SM 2.35).

Implication: larger firms in an industry tend to have lower unit costs than smaller companies, gaining a competitive cost advantage. **Causes**: learning effects, economies of scale, product redesign and technological improvements in production (SM 2.35).

Features (SM 2.35):

- As business organisations grow, they gain experience.
- Experience may provide an advantage over the competition. Experience is a key **barrier to entry**.
- Large and successful organisations possess stronger "experience effect".

A typical experience curve



After the Study Material's figure (SM 2.35): cost per unit falls steeply at first and then more slowly as cumulative production grows. Illustrative shape; the Study Material gives no rate.

Relevance in strategic management (SM 2.36): the experience curve is considered a **barrier for new firms** contemplating entry; it is also used to **build market share and discourage competition**. In the Indian automobile industry it seems to be working in **Maruti Suzuki**; the likely strategic choice for competitors can be a **market niche approach or segmentation based on demography or geography**.

Worked examples

Worked example **Five pressures on a bottle of chai**

Tapri is studying the ready-to-drink bottled chai industry before entering it. Ananya's notes:

1. Four large beverage companies already sell bottled chai. Their products taste nearly the same, industry growth has slowed to 3% a year, and their bottling plants, which carry high fixed costs, run at 60% of capacity.
2. Two global soft-drink companies have announced bottled chai launches for next year.
3. Food-grade bottles come from two manufacturers only, and the regulator has approved no other packaging for hot-filled tea.
4. Three national supermarket chains and two quick-commerce apps buy 70% of the industry's volume. They track every brand's price and shift shelf space between brands at will.
5. Cold coffee, iced tea, lassi and energy drinks all compete for the same "cold drink on the go" occasion, often at lower prices.

Required:

(a) Identify the competitive force reflected in each note and evaluate its strength, following the steps in Porter's model.

(b) Conclude whether the industry is attractive, and advise Tapri.

MODEL ANSWER

(a) Porter's five forces model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas: rivalry among existing sellers, the threat of new entrants, substitutes from other industries, and the bargaining power of suppliers and of buyers. Following its steps, the pressures are identified and their strength evaluated:

Note	Force	Strength and reason
1	Rivalry among existing firms	Fierce: undifferentiated products, slow growth, and high fixed costs with excess capacity all incline rivals to cut prices
2	Threat of new entrants	Strong: large entrants add capacity and push prices down; the bigger the entrant, the more severe the effect
3	Bargaining power of suppliers	Strong: suppliers are few and concentrated, and their product is crucial with no substitutes available
4	Bargaining power of buyers	Strong: big, concentrated buyers with full knowledge of sources who can switch easily
5	Threat of substitutes	Strong: products performing nearly the same function, with a price advantage, limit prices and profits

(b) The collective strength of the five forces determines the scope to earn attractive profits. Here every force is strong or fierce, so the industry's profit prospects appear below average: it is unattractive for an average firm. Attractiveness is, however, relative, not absolute: an industry unattractive to weak competitors may be attractive to strong ones. Tapri should therefore enter only if it can defend against or counteract the factors that make the industry unattractive, for example a differentiated product (kulhad-style chai the four rivals cannot copy quickly) sold also through its own cafés and app, which reduces its dependence on the five big buyers. Otherwise it should invest cautiously or look for a more attractive opportunity.

Interactive version: PassBook app, lesson Porter's five forces

Worked example

The hurdles in front of BrewBucks

BrewBucks wants to enter India's packaged chai premix industry, where Tapri Classic is a leading brand. It learns that:

1. A national premix business needs blending plants, a national distribution system and three years of advertising before it breaks even.
2. Tapri blends 40,000 tonnes a year, so its cost per kilogram is far below what a small plant could achieve.
3. Shoppers buy premix every week and ask for Tapri by name; Tapri spent fifteen years building the brand.
4. Tapri's kirana distributors in 600 towns carry its stock on exclusive terms.
5. When a regional brand entered last year, Tapri cut its price by 15% in that brand's towns within a month.

Identify the barriers to entry BrewBucks faces and explain how each restrains its entry.

MODEL ANSWER

According to Porter, new entrants reduce industry profitability, so existing firms try to raise **barriers to entry**: economic forces (or hurdles) that slow down or impede entry by other firms. In BrewBucks' case:

1. **Capital requirements**: plants, distribution and years of advertising need a large amount of capital; firms lacking funds are effectively barred. BrewBucks, a global chain, may be able to raise the funds, so for it this hurdle is lower than for a small entrant.
2. **Economies of scale**: Tapri's per-unit cost declines as its volume grows; an entrant producing small volumes at higher unit costs is discouraged.
3. **Brand identity**: Tapri's brand is built by committing substantial resources over a long period, which an entrant must match. Because premix is a frequently purchased, low-cost product, brand identity is a weaker barrier here than it would be for an infrequently purchased product with a high unit cost.
4. **Access to distribution channels**: Tapri's exclusive control of kirana distributors can retard or impede their use by a new firm.
5. **Possibility of aggressive retaliation**: Tapri's past price cut shows that incumbents may reduce prices and raise advertising when a new firm enters; the mere threat can deter entry.

Product differentiation may also act as a barrier if Tapri's blends are genuinely different, as creating genuine differences may be too costly for an entrant. Taken together, the barriers make entry slow and costly, so the threat of new entrants is moderate rather than high; it is not negligible, because the bigger the new entrant, the more severe the competitive effect, and BrewBucks is big.

Interactive version: PassBook app, lesson Porter's five forces

Worked example **The samosa factory that learns**

Tapri's samosa factory has made 16 lakh samosas since it opened. Each time its cumulative output doubled, its cost per samosa fell by 10%:

Cumulative output (lakh samosas)	Cost per samosa (₹)
1	10.00
2	9.00
4	8.10
8	7.29
16	6.56

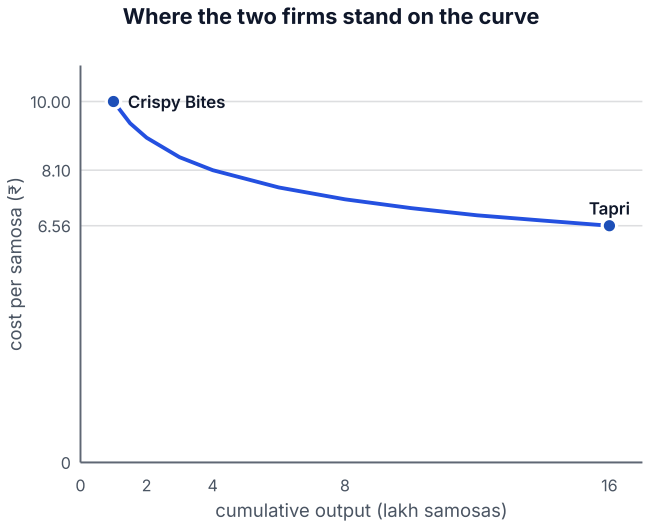
Crispy Bites, a new frozen-snacks company, has just reached a cumulative output of 1 lakh samosas at ₹10.00 each and wants to fight Tapri on price across India.

Required:

(a) Name and explain the concept that the table shows, with its causes.

(b) Explain its relevance in strategic management, and advise Crispy Bites.

MODEL ANSWER



Each doubling of cumulative output cuts the cost per samosa by 10% (computed from the table). Crispy Bites starts at ₹10.00; Tapri is at ₹6.56, about 34% lower.

(a) Experience curve. The experience curve is akin to a learning curve, which explains the efficiency increase gained by workers through repetitive productive work. It is based on the commonly observed phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production: "we learn as we grow". Tapri's cost per samosa has fallen from ₹10.00 to ₹6.56 as cumulative output rose from 1 lakh to 16 lakh. The curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production.

(b) Relevance. As organisations grow they gain experience, which may provide an advantage over the competition; large and successful organisations possess a stronger experience effect. The implication is that larger firms tend to have lower unit costs than smaller ones, thereby gaining a competitive cost advantage. The experience curve is therefore considered a barrier for new firms contemplating entry, and incumbents use it to build market share and discourage competition.

Advice. Crispy Bites' cost is about 52% higher than Tapri's (₹10.00 against ₹6.56), and even if it learns at the same rate it would have to produce 16 lakh samosas to reach Tapri's present cost, by which time Tapri will have moved further down the curve. A national price war is unlikely to succeed. The likely strategic choice for a competitor facing an experience curve leader is a **market niche approach or segmentation based on demography or geography**: for example, premium regional snacks for one state, or a range for one customer group, where Tapri's cost advantage matters less.

Exam angle

In the exam

Where the five forces appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs and sixteen MTP series), about 26 ask about this lesson:

- **The five areas of competitive pressure, 5 marks**: January 2026 Q8(a), whose suggested answer reproduces the Study Material's five bullet points word for word. RTP January 2025 Q10 asks for "the five competitive forces" and answers with each force and two lines from its explanation (entrants add capacity

and limit prices; buyers form groups; specialised, few suppliers; rivalry in prices and advertising; substitutes with a price or performance advantage).

- **When rivalry is cut-throat, 5 marks**: January 2025 Q8(a); RTP January 2026 Q10. The six conditions, each with a line of explanation.
- **Barriers to entry, 5 marks**: September 2024 Q8(a) ("the common barriers which may cause restrain for the keenness of new entrepreneurs"), repeated in MTP January 2026 Series II and MTP September 2026 Series II. A case: RTP May 2025 Q9, repeated in MTP January 2025 Series I Q3(a) (a government registration process that raises barriers to entry for the incumbents' benefit).
- **When buyers have power**: MTP September 2024 Series I Q4(a).
- **Five forces case analysis, 5 marks**: RTP September 2024 Q10 (four similar rivals, patents, many suppliers), RTP September 2026 Q9 (one force per fact, in a table), MTP May 2026 Series II Q1(c) (organic restaurants), MTP September 2026 Series I Q4(b) (electric vehicles), MTP May 2024 Series II Q1(c) (new sustainable fashion brands: threat of new entrants, the Study Material's own scenario question); RTP May 2026 Q9 asks which aspect of external analysis a crowded market reflects (the competitive or industry environment).
- **MCQs, 2 marks each in the MTPs**: identify the force from the facts in MTP January 2025 Series I and II, MTP January 2026 Series I (numerous players offering functionally similar, low-priced smartphones: **rivalry**), MTP May 2025 Series I and II, MTP September 2025 Series II, MTP May 2026 Series I and II, MTP September 2024 Series I and II, and in RTP January 2026, RTP May 2026 (few makers of a specialised screen with no alternative: **suppliers**) and RTP May 2024; when the threat of substitutes is high (low switching costs: MTP May 2024 Series I, 1 mark).
- **Experience curve**: descriptive, 5 marks, September 2025 Q6(b), RTP May 2024 Q10, MTP September 2025 Series II Q3(b), MTP May 2026 Series II Q3(a), MTP September 2026 Series II Q4(b); MCQs: September 2024 MCQ 11, RTP May 2025 MCQ 5, MTP May 2026 Series I.
- **Attractiveness of industry**: only the Study Material's own MCQ (attractiveness is seen in relative terms, SM 2.47).

In the exam

How the marks are earned

Descriptive answers reproduce ICAI's list in ICAI's order with one line each. Case answers name the force, quote the condition from the Study Material that the facts satisfy ("buyers are more concentrated than the firms supplying the product"), and end with a conclusion on the industry's attractiveness or the firm's position. Where the case says nothing about a force, ICAI writes so ("There is no information relating to substitutes ...") and may add a reasonable inference (RTP September 2024 Q10).

Trick

"Can Every Person Stand By Distributors' Retaliation?"

The seven barriers to entry in ICAI's order: **C**apital requirements, **E**conomies of scale, **P**roduct differentiation, **S**witching costs, **B**rand identity, **D**istribution channels (access to), aggressive **R**etaliation. Condition: these are the Study Material's "common" barriers; a case can add others (a licence, patents), which you name as barriers in the same way.

Answer frame

A five forces case (5 marks)

1. **Model (1 line)**: "Porter's five forces model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas ..."
2. **Force by force**: name the force, the fact from the case, the Study Material's condition it meets, and its strength (fierce, strong, moderate, weak). A table works well.
3. **Forces the case is silent on**: say so; add an inference only if the facts support it.
4. **Conclusion**: the collective strength of the forces decides the scope to earn attractive profits; is the industry attractive for this firm (relative, not absolute), and what should it do?

"Identify the areas in which competitive pressure operates" or "What are the five competitive forces?" (5 marks)

Five forces for five marks. For "areas", write the Study Material's five bullet points as they stand (rival sellers' jockeying for buyer patronage; threat of new entrants; substitutes from companies in other industries; supplier bargaining power and supplier-seller collaboration; buyer bargaining power and seller-buyer collaboration). For "forces", name each force and add its key line: new entrants add capacity and limit prices; buyers gain power by forming groups; specialised and few suppliers have clout; rivalry shows in prices, advertising and pressure on costs; substitutes with a price or performance advantage limit prices and profits. Close with: their collective strength determines the scope to earn attractive profits.

"Explain the conditions in which rivalry is cut-throat" (5 marks)

Open with "the more intensive the rivalry, the less attractive the industry", then the six conditions in order: industry leader, number of competitors, fixed costs, exit barriers, product differentiation, slow growth, each with its one-line reason.

"Explain the experience curve and its relevance" (5 marks)

Concept (learning curve; unit costs decline with cumulative volume; "we learn as we grow"); implication (larger firms, lower unit costs, cost advantage); causes (learning effects, economies of scale, product redesign, technological improvements); the three features; a sketch of cost per unit against cumulative production; relevance (barrier to entry, builds market share and discourages competition; Maruti Suzuki; rivals choose a niche or segmentation by demography or geography).

Common mistakes

⚠ **Common mistake**

Hall of Shame: "Bargaining power of unions"

Bunty's list of five forces includes trade unions and the government. **Fix:** the five are the threat of new entrants, the bargaining power of buyers, the bargaining power of suppliers, rivalry among existing firms and the threat of substitutes. The Study Material's own MCQ uses "bargaining power of unions" as the wrong option (SM 2.47).

⚠ **Common mistake**

Calling a rival's similar product a "substitute"

A competing bottled chai is rivalry; cold coffee is a substitute. **Fix:** substitutes come from **companies in other industries** and perform the same, or nearly the same, function; products of rivals in the same industry belong to rivalry.

⚠ **Common mistake**

Mixing up who has the power

"The suppliers are many and small, so supplier power is high." **Fix:** suppliers are powerful when they are few and more concentrated than their buyers, their product is crucial with no substitutes, and they can erect high switching costs; buyers are powerful when they are big, concentrated, fully informed and able to switch.

⚠ **Common mistake**

"This industry is attractive", full stop

Fix: attractiveness is relative, not absolute. State for whom: an industry unattractive to weak competitors may be attractive to strong ones, depending on the firm's competitive position and its ability to counteract the unattractive factors.

Practice

Check yourself

1 Case scenario. Shakti Cement Ltd is one of nine cement makers in Madhya Pradesh. Cement is a near-identical product, demand growth in the state has slowed, every plant has heavy fixed costs and spare capacity, and plants are so specialised that no buyer can be found for one. Which force is most significant for Shakti Cement?

- A Threat of substitutes
- B Bargaining power of suppliers
- C Rivalry among existing firms
- D Threat of new entrants

2 Which of the following is NOT one of the common barriers to entry listed in the Study Material?

- A Switching costs
- B Possibility of aggressive retaliation
- C Access to distribution channels
- D High exit barriers

3 Suppliers can command bargaining power over a firm when: Select all that apply.

- **A** their products are crucial to the buyer and substitutes are not available
- **B** they can erect high switching costs
- **C** they are many, small and compete for the firm's orders
- **D** they are more concentrated than their buyers

More than one answer may be right.

4 A spice exporter's unit cost was ₹200 a kilogram when its cumulative output was 1,000 tonnes, and each doubling of cumulative output has cut unit cost by 20%. What is its unit cost, in ₹ per kg, at a cumulative output of 4,000 tonnes?

Answer: _____

5 An insurance company's analyst lists products that compete for its customers' savings. Which of these is a substitute in Porter's sense?

- **A** A rival insurer's similar policy
- **B** Bank fixed deposits
- **C** A reinsurer that sells cover to the company
- **D** A large employer that buys group policies for its staff

Answers: the answer key at the end of this lesson.

Recap

- Industry analysis estimates the competitive pressures the business faces now and will face in the near future; the industry is where competitive advantage is won or lost.
- Five areas of pressure: rivalry among sellers, threat of new entrants, substitutes from other industries, supplier power and supplier-seller collaboration, buyer power and seller-buyer collaboration.
- Three steps: identify the pressures, evaluate their strength (fierce, strong, moderate to normal, weak), determine whether their collective strength permits attractive profits.
- Barriers to entry: capital requirements, economies of scale, product differentiation, switching costs, brand identity, access to distribution channels, aggressive retaliation.
- Buyers are powerful when fully informed, big, concentrated and able to switch; suppliers when their product is crucial with no substitutes, switching costs are high and they are more concentrated than their buyers.
- Rivalry is cut-throat with no strong leader to discipline it, many competitors, high fixed costs, high exit barriers, little differentiation and slow growth.
- Substitutes perform the same function from another industry and limit prices and profits. Attractiveness is relative, not absolute.

- Experience curve: unit costs decline with cumulative volume ("we learn as we grow"); a barrier to entry; rivals respond with a niche or segmentation by demography or geography. (The twentieth-Diwali pani puri stall wins on cost.)

Answer key · Check yourself

1 **C** **Rivalry among existing firms**

Undifferentiated products, slow growth, high fixed costs with excess capacity and high exit barriers (specialised assets) are four of the six conditions under which rivalry tends to be cut-throat.

2 **D** **High exit barriers**

Exit barriers are a condition of rivalry: specialised assets keep firms that want to leave in the industry. The seven barriers to entry are capital requirements, economies of scale, product differentiation, switching costs, brand identity, access to distribution channels and aggressive retaliation.

3 **A** **their products are crucial to the buyer and substitutes are not available**; **B** **they can erect high switching costs**; **D** **they are more concentrated than their buyers**

The Study Material's three conditions. Many small suppliers competing for orders have little power, as ICAI's suggested answer to RTP September 2024 Q10 notes for an extensive supplier base.

4 **128**

4,000 tonnes is two doublings: 200 × 0.8 = ₹160, then 160 × 0.8 = ₹128. This fall in unit cost as cumulative volume grows is the experience curve.

5 **B** **Bank fixed deposits**

Substitutes come from other industries and perform the same or nearly the same function: bank deposits are an alternative way to invest funds. A rival insurer is rivalry, the reinsurer a supplier, and the employer a buyer.

2.4 Understanding customers, markets and competition

Markets and marketing orientations, customers and consumers, customer analysis and customer behaviour, competitive strategy, the five steps to understand the competitive landscape, and key success factors.

In plain words

Everyone loves chai, so everyone will buy it?

Tapri is launching the Tapri Home Brewer, a ₹4,500 smart machine that makes masala chai at the press of a button.

> **Kesar:** India drinks chai twice a day. Put it in every shop, and sales will boil over.
>
> **Ananya:** Who pays for it, who drinks from it, how do they decide, and who else wants their ₹4,500? Answer those first, Kesar-ji.
>
> **Dev:** And discount the boiling over.

A **market** is where buyers and sellers exchange goods and services for a price: a shop, an app, a vegetable mandi, even a whole industry ("the global oil market"). **Marketing** is everything a business does to win in it: research, design, pricing, promotion, transport and distribution, often summed up as the four Ps (product, place, pricing, promotion).

Ananya's first questions are about the **customer**, the person or business that buys. The customer is not always the **consumer**, the one who uses it: an office manager buys Tapri premix for the pantry, and forty employees drink it. **Customer analysis** finds the target customers, what they want, and how the product meets that need. **Customer behaviour** goes further: *how* they buy, what influences them (advertisements and friends from outside, motivation and attitudes from inside), how they decide (spot a need, list alternatives, weigh them, choose) and how they feel afterwards (happy buyers come back and recommend; unhappy ones do neither).

Her next questions are about **competition**. A firm's **competitive strategy** is how it means to create and protect an advantage over rivals. To build one, it studies the **competitive landscape**: who the competitors are, what they sell, what they do well and badly, and what gap that leaves. Finally it asks what the industry's **key success factors** are: the three or four things that decide who prospers and who fails.

Think of it like

The wedding caterer

A good wedding caterer knows the bride's father is the customer who pays, while five hundred guests are the consumers who eat. He knows how families decide: they hear of him from relatives (external influences), want the wedding to feel grand (internal influences), hold three tasting sessions before choosing (decision making), and the aunties' verdict after the wedding decides his next ten bookings (post-decision). He knows every rival caterer in town, their speciality and their weak spot. And he knows the few things that really decide success: taste, serving five hundred people on time, and hygiene. The colour of the napkins is not one of them.

Key idea

Understand the market from both sides. On the customer side: who buys (the customer) and who uses (the consumer), what they need (customer analysis), and how they buy (external and internal influences, decision making, post-decision processes). On the competition side: who the competitors are and what they do well and badly (the competitive landscape, in five steps), and the few **key success factors** that decide success in the industry.

How it works

Markets and marketing

Definition

Market

"A market is a place for interested parties, buyers and sellers, where items and services can be exchanged for a price." It may be **physical** (a departmental store where people engage in person) or **virtual** (an online market where buyers and sellers use technology to strike a deal without meeting) (SM 2.38).

The term also applies to a wide range of contexts: the stock exchange, where securities are traded; a group of individuals trying to buy a specific commodity or service in a specific place (a grain or vegetable market where farmers sell their produce); or a business or industry (the global oil market) (SM 2.38).

Marketing encompasses research, designing, pricing, promotion, transportation and distribution, often explained as the **four Ps: product, place, pricing and promotion**, which help marketers identify customer needs and deliver satisfaction. Its main goals are delivering the best customer experience and establishing, maintaining and growing relationships with customers (SM 2.38).

The orientation of marketing has evolved around four ideas (SM 2.38–2.39):

Orientation	What the business believes
Product orientation	Buyers will choose the products with the best quality, performance, design or features
Production orientation	Customers choose low-price products
Sales orientation	If it spends enough on advertisement, sales and promotion, customers can be persuaded to buy
Customer (market) orientation	Prioritise efforts on customers: gather, disseminate and use customer and competitive information to create better value propositions

A **customer-centric** business continuously learns from its customers' needs and market dynamics; in the present times the success of many businesses lies in customer-centric approaches (SM 2.39).

The customer

> Definition
>
> **Customer**
>
> "A customer is a person or business that buys products or services from another organisation." Customers are important because they provide revenue, and organisations cannot exist without them (SM 2.39).

Customer and consumer are practically synonymous and often used interchangeably, but there is a thin distinction: **consumers** are the individuals or businesses that **consume or utilise** products and services; **customers** are the **purchasers**, and may be consumers too or only customers. In homes, groceries are often bought by a parent and consumed by all the members of the family (SM 2.39).

Businesses research their consumers' characteristics to fine-tune marketing strategies and adjust inventory. Customers are frequently categorised by **demographics**, such as age, race, gender, ethnicity, economic level and geographic region, to develop a profile of a perfect customer (SM 2.39). (How a firm analyses its own customers as a driver of its performance is covered in strategic drivers.)

Customer analysis

> Definition
>
> **Customer analysis**
>
> "Customer analysis is an essential marketing component of any strategic business plan. It identifies target clients, determines their wants, and then defines how the product meets those needs." It involves the examination and evaluation of consumer needs, desires and wants (SM 2.39).

It **includes** (SM 2.39–2.40):

1. the administration of customer surveys;
2. the study of consumer data;
3. the evaluation of market positioning strategies;
4. the development of customer profiles; and
5. the selection of the best market segmentation techniques.

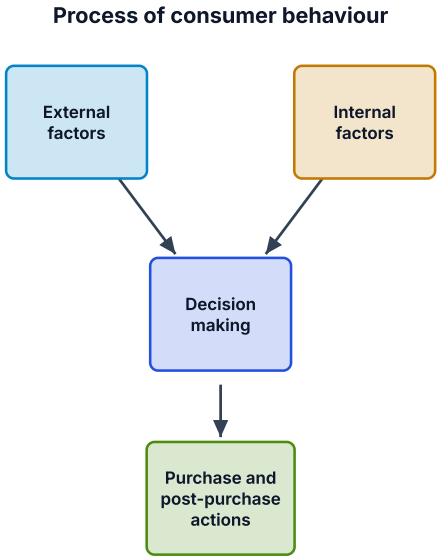
Customer profiles built from these facts can reveal demographic information. Many parties can help gather information on consumers' needs and desires: buyers, sellers, distributors, salespeople, managers, wholesalers, retailers, suppliers and creditors. Successful businesses constantly monitor the behaviour of **existing and prospective** customers (SM 2.40).

Customer behaviour

Customer behaviour moves beyond the identification of customers to explain **how they purchase** products: shopping frequency, product preferences, and their perception of the firm's marketing, sales and service. Understanding it lets a business communicate with customers effectively, establish effective marketing and advertising campaigns, provide products and services that meet their needs, and **retain customers for repeat sales** (SM 2.40).

The Study Material groups the elements that influence consumer behaviour into conceptual domains (SM 2.40–2.41):

- **External influences**: advertisement, peer recommendations or social norms, which directly affect the psychological and internal processes behind consumer decisions. They fall into two groups: **the company's marketing efforts** and **the numerous environmental elements**.
- **Internal influences**: psychological factors internal to the customer, such as **motivation and attitudes**, that affect decision making.
- **Decision making**: a rational consumer seeks information about potential decisions, integrates it with existing knowledge about the product, weighs the advantages and disadvantages of each option, and decides.
- **Post-decision processes**: after purchase, the final phase of the decision-making process is **evaluating the outcome**. A happy customer may make a repeat purchase and recommend the product to others; a customer with **dissonance** will neither purchase again nor recommend it.



After the Study Material's figure (SM 2.41). External factors are market stimuli (the company's marketing) and environmental factors; with the customer's internal factors they feed decision making, which ends in the purchase and post-purchase actions.

The **stages of the decision-making process** (SM 2.41):

1. **Problem recognition**: identify an existing need or desire that is unfulfilled.
2. **Search** for desirable alternatives and list them.
3. **Seek information** on the available alternatives and weigh their pros and cons.
4. **Make a final choice.**

This behaviour happens very frequently, but it mostly applies when the purchase is **significant to the customer**, such as when the product could significantly influence their health or self-image: it is extremely valid when purchasing a car, television or refrigerator, in contrast to ice creams or soft drinks (SM 2.41).

Competitive strategy

Competition is a fundamental attribute of economic systems and business: businesses compete for the same set of resources and customers (SM 2.42).

> **Definition**
>
> **Competitive strategy**
>
> The competitive strategy of a business is concerned with **how to compete** in the business areas in which the organisation operates: it defines how a firm expects to **create and sustain a competitive advantage** over competitors, which means being more profitable in the long run. It is analysed using two criteria: the creation of competitive advantage and the protection of competitive advantage (SM 2.42).

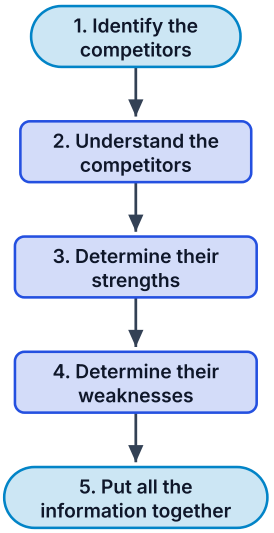
An important component of industry and competitive analysis is delving into the industry's competitive process to discover the main sources of competitive pressure and how strong each is: managers cannot devise a successful strategy without an in-depth understanding of the industry's competitive character. Porter's five forces model is the widely used, relatively easy tool for it (SM 2.42); the bases of advantage themselves are Porter's generic strategies.

The competitive landscape

> **Definition**
>
> **Competitive landscape**
>
> "Competitive landscape is a business analysis which identifies competitors, either direct or indirect." It is about identifying and understanding the competitors, and it permits the comprehension of their **vision, mission, core values, niche market, strengths and weaknesses**. Understanding it requires the application of **"competitive intelligence"** (SM 2.42).

An in-depth investigation of the competition lets a firm assess competitors' strengths and weaknesses in the marketplace and choose and implement effective strategies that improve its competitive advantage; understanding the competitive landscape is therefore important to build upon a competitive advantage (SM 2.43).

Steps to understand the competitive landscape



SM 2.43–2.44, in ICAI's order. The table below gives the questions each step answers.

Step	What the strategist does	Questions it answers
(i) Identify the competitor	Identify the competitors in the firm's industry and get actual data on their market share	Who are the competitors and how big are they?
(ii) Understand the competitors	Use market research reports, internet, newspapers, social media, industry reports and other sources to understand their products and services in different markets	What are their products and services?
(iii) Determine their strengths	What do they do well? Great products? Marketing that reaches more consumers? Why do customers give them their business?	Financial positions; what gives them cost and price advantage; what they are likely to do next; strength of distribution network; human resource strengths
(iv) Determine their weaknesses	Identify where they are lacking, from consumer reports and reviews in various media; financial strength and weakness from annual reports	Where are they lacking?
(v) Put all the information together	Infer what competitors are not offering and what the firm can do to fill the gaps; see which of the firm's own areas need strengthening	What will the business do with this information? What improvements does the firm need? How can it exploit competitors' weaknesses?

Key success factors

Definition

Key success factors (KSFs)

"An industry's Key Success Factors (KSFs) are those things that most affect industry members' ability to prosper in the marketplace": the particular strategy elements, product attributes, resources, competencies, competitive capabilities and business outcomes that spell the difference between profit and loss and, ultimately, between competitive success or failure. They are the **prerequisites for industry success**, the factors that shape whether a company will be financially and competitively successful (SM 2.44).

The answers to **three questions** help identify an industry's KSFs (SM 2.44–2.45):

1. On what basis do customers choose between the competing brands of sellers? What product attributes are crucial to sales?
2. What resources and competitive capabilities does a seller need to be competitively successful (better human capital, quality or quantity of product, cost of service, etc.)?
3. What does it take for sellers to achieve a sustainable competitive advantage, something that can be sustained for the long term?



SM 2.44–2.45. Apparel manufacturing, the Study Material's example: appealing designs and colour combinations (buyer interest) and low-cost manufacturing efficiency (attractive retail prices and ample margins).

Why KSFs matter (SM 2.45):

- Determining the industry's KSFs, given prevailing and anticipated conditions, is a **top-priority analytical consideration**; managers must know what is more important to competitive success and what is less, and what kinds of resources are competitively valuable.
- **Misdiagnosing** the factors critical to long-term success greatly raises the risk of a **misdirected strategy**. A firm with a perceptive understanding of KSFs can gain **sustainable competitive advantage** by training its strategy on them and being distinctively better than rivals on one or more of them: using the KSFs as cornerstones of strategy and excelling at one particular KSF is a fruitful competitive approach.
- KSFs **vary from industry to industry**, and from time to time within the same industry, as driving forces and competitive conditions change.
- Only rarely does an industry have more than three or four key success factors at any one time, and one or two usually outrank the others. Managers must resist including factors of only minor

importance: listing every factor that matters even a little defeats the purpose of concentrating management attention on what is truly critical.

Worked examples

Worked example **The ₹4,500 chai machine**

Tapri's market survey for the Tapri Home Brewer found:

- Most machines are bought by working sons and daughters aged 25 to 40, often as a gift for parents who live with them; the parents make chai with it every morning.
- Buyers first see the machine in short videos by food creators and in their housing-society WhatsApp groups.
- Buyers care about the taste being "like Ma's chai" and about not wasting milk.
- Before buying, most compare it with two rival machines over two weeks, reading reviews and specifications.
- Early buyers praise the taste, but some complain that the milk pipe is hard to clean and do not buy Tapri's spice pods afterwards.

Required:

(a) Distinguish the customer from the consumer in this case.

(b) Using the factors that influence customer behaviour, develop a marketing strategy for the Home Brewer.

MODEL ANSWER

(a) A customer is a person or business that buys products or services from another organisation; consumers are those who consume or utilise them. Customers may be consumers too, or only customers. Here the working sons and daughters are the **customers** (they purchase the machine), while the parents, who use it every morning, are the **consumers**; where the buyer also drinks from it, the same person is both. Understanding both is important: from a pricing perspective the customer is of more importance, while for value creation and design the consumer must be kept at the centre. Tapri must price for the sons and daughters and design for the parents.

(b) Customer behaviour explains how customers purchase products. The marketing strategy can be built on the factors that influence it:

1. **External influences**: advertisement, peer recommendations and social norms. Tapri should partner with food creators for short videos and seed demonstrations in housing societies, since that is where buyers first hear of the machine.
2. **Internal influences**: motivation and attitudes. The campaign should appeal to the wish to give parents "Ma's chai" every morning and to the dislike of wasting milk.
3. **Decision making**: the purchase is significant, so buyers recognise the need, search for and list alternatives, weigh their pros and cons, and then choose. Tapri should provide clear specifications, an honest comparison with rival machines, a taste trial in its cafés and customer reviews.
4. **Post-decision processes**: a satisfied customer buys again and recommends; one with dissonance neither buys again nor recommends. Tapri should redesign or replace the milk pipe for early buyers, offer free cleaning demonstrations and follow up after purchase, so that the consumers keep buying spice pods and the customers recommend the machine.

Worked example **Ananya's dossier on the rivals**

Sales at Tapri's 30 kulhad cafés in Bengaluru have fallen by 12% in a year, most of the fall at the 4 p.m. tea break. Ananya's research shows:

- BrewBucks holds 30% of the city's café market, Filter House (a local filter-coffee chain) 25%, ChaiCraft (a delivery-first chai brand) 15% and Tapri 18%.
- The large tech parks have installed free chai-and-coffee vending machines on every office floor.
- BrewBucks' annual report shows large cash reserves; it is opening 20 more cafés. Customers praise its seating and Wi-Fi but call it expensive.
- Filter House buys coffee directly from Coorg estates, which keeps its prices low; reviews praise the taste and complain about crowded, standing-only outlets.
- ChaiCraft delivers in 15 minutes through its own riders; reviews praise speed and complain that the chai arrives lukewarm.
- Tapri's own reviews praise its kulhad chai and complain that the billing queue at 4 p.m. takes ten minutes.

Explain the steps Ananya should follow to understand the competitive landscape, applying each to the facts, and advise Tapri on what to do with the result.

MODEL ANSWER

Competitive landscape is a business analysis which identifies competitors, either direct or indirect, and permits the comprehension of their vision, mission, core values, niche market, strengths and weaknesses. It requires the application of competitive intelligence. The steps are:

1. **Identify the competitors**: identify the competitors in the industry, with actual data on their market share. Here the direct competitors are BrewBucks (30%), Filter House (25%) and ChaiCraft (15%), against Tapri's 18%. The office vending machines are an indirect competitor: they meet the same tea-break need without a café.
2. **Understand the competitors**: use market research reports, the internet, newspapers, social media and industry reports to understand their products and services: premium cafés (BrewBucks), low-price filter coffee (Filter House), fast chai delivery (ChaiCraft), free chai at the desk (vending machines).
3. **Determine their strengths**: what they do well and why customers give them their business, including their financial position, cost and price advantage, likely next moves and distribution. BrewBucks has cash reserves and is adding 20 cafés, with good seating and Wi-Fi; Filter House's direct sourcing gives it a cost and price advantage; ChaiCraft's own riders give it 15-minute delivery; the vending machines are free and sit on every floor.
4. **Determine their weaknesses**: from consumer reports and reviews, and from annual reports for financial weakness. BrewBucks is seen as expensive; Filter House's outlets are crowded with no seating; ChaiCraft's chai arrives lukewarm. The facts give no weakness for the vending machines.
5. **Put all the information together**: infer what the competitors are not offering and what the firm can do to fill the gaps, and which of its own areas need strengthening. No rival delivers hot chai quickly, BrewBucks leaves price-conscious customers unserved and Filter House leaves those who want to sit; Tapri's own weak area is the 4 p.m. billing queue.

Advice. Tapri should first strengthen its own weak area, since the 4 p.m. queue sits exactly where its sales are falling: faster billing or pre-ordering on its app. It can then fill the gap the rivals leave by delivering hot kulhad chai to the tech parks from its nearby cafés, which answers both ChaiCraft's lukewarm chai and the vending machines at the desk. It should also prepare for BrewBucks' 20 new cafés, the rival's likely next move.

Worked example **Kesar's list of eleven**

Tapri is entering the cloud-kitchen chai delivery industry (orders through apps, no seating). Kesar has listed eleven "key success factors" for the board: delivery within 20 minutes; chai that arrives hot; a low cost per order; top ratings on the delivery apps; the colour of the logo; a head office in Indore; the founder's Instagram followers; a 120-item menu; the number of board meetings; Diwali gift boxes; and a mascot.

Required:

(a) Explain the meaning of an industry's key success factors and the questions that help identify them.

(b) Advise the board on which of Kesar's factors are KSFs for this industry, and why the list should be short.

MODEL ANSWER

(a) An industry's key success factors (KSFs) are those things that most affect industry members' ability to prosper in the marketplace: the particular strategy elements, product attributes, resources,

competencies, competitive capabilities and business outcomes that spell the difference between profit and loss and, ultimately, between competitive success or failure. They are the prerequisites for industry success. The answers to three questions help identify them:

1. On what basis do customers choose between the competing brands of sellers? What product attributes are crucial to sales?
2. What resources and competitive capabilities does a seller need to be competitively successful?
3. What does it take for sellers to achieve a sustainable competitive advantage?

(b) Applying the questions:

Kesar's eleven, sorted by the three questions

Factor	KSF?	Reason
Delivery within 20 minutes	**Yes**	Q1: customers choose on speed
Chai that arrives hot	**Yes**	Q1: crucial product attribute
Low cost per order	**Yes**	Q2, Q3: cost capability, lasting margin
Top app ratings	**Supports**	An outcome of the three above
Logo colour, mascot	No	Minor importance
Indore head office	No	Does not affect customers' choice
Founder's followers	No	Minor importance
120-item menu	No	Adds cost; not why customers choose
Number of board meetings	No	Not a market factor
Diwali gift boxes	No	A product idea, not a KSF

The KSFs for this industry are **fast delivery, chai that arrives hot and a low cost per order**; top app ratings follow from them. Only rarely does an industry have more than three or four key success factors at any one time, and one or two usually outrank the others. Managers must resist the temptation to include factors of only minor importance: compiling a list of every factor that matters even a little defeats the purpose of concentrating management attention on the factors truly critical to long-term success. Misdiagnosing them raises the risk of a misdirected strategy, while being distinctively better than rivals on one KSF (for example, chai that arrives hot) gives Tapri a sustainable competitive advantage.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs and sixteen MTP series), 16 ask about it:

- **Steps to understand the competitive landscape, 5 marks**, mostly as a case of a business with falling sales or margins: RTP May 2024 Q9 and RTP January 2026 Q9 (a confectionery business), RTP January 2025 Q9 (ceramic décor), January 2026 Q5(c) (organic grocery stores), MTP September 2024 Series I Q3(a), MTP September 2025 Series I (smart home devices). MCQ: which is **not** a step ("understanding the customer", MTP January 2026 Series II).
- **Key success factors, 5 marks**: meaning, the questions that identify them and how they help gain sustainable competitive advantage, May 2025 Q8(a) (1 + 2 + 2 marks); the role of KSFs in competitive success, MTP September 2024 Series II Q2(a) and MTP January 2025 Series II Q2(a); KSFs from a case, MTP May 2025 Series II Q1(a). In an MCQ, "key success factor" is a distractor: partnerships that enhance a travel firm's competitive advantage are keyed **competitive advantage** (MTP September 2026 Series I 1(A)(iv)); the same series' case lists the firm's KSFs in its facts.
- **Customer behaviour**: a marketing strategy built on the factors that influence consumer behaviour (a new smartphone in the Study Material's own question, repeated in MTP May 2024 Series I and MTP January 2025 Series I; an AI-enabled smartphone in MTP September 2026 Series I; celebrity endorsements of a skincare brand in MTP January 2026 Series II Q1(a)). MCQ: preferences, attitudes, motivation and perception shaping behaviour before any advertisement: **internal influences** (May 2026 MCQ 15).
- **Customer analysis**: an assertion-reason MCQ (September 2026 MCQ 9; ICAI's answers for that paper were not yet published).
- Markets, marketing orientations and competitive strategy have not been asked on their own in these documents; they appear inside case scenarios.

In the exam

How the marks are earned

The suggested answers to competitive landscape cases give a one-line meaning ("a business analysis which identifies competitors, either direct or indirect"), then the five steps in order, each with its Study Material sentence, then a line applying it to the case. KSF answers give the definition, the three questions as bullets, and the "distinctively better than rivals on one or more KSFs" point for sustainable competitive advantage. Behaviour answers use the four headings, each with a marketing action from the case.

Trick

"I Understand Strong, Weak, Together"

The five steps of the competitive landscape in order: **I**dentify the competitor, **U**nderstand the competitors, **S**trengths, **W**eaknesses, put it all **T**ogether. Condition: the steps study competitors; studying customers is customer analysis, a different tool.

Answer frame

"Explain the steps to understand the competitive landscape" (case, 5 marks)

1. **Meaning (1 line)**: a business analysis which identifies competitors, direct or indirect; requires competitive intelligence.
2. **The five steps, in order**: identify the competitor (market share data); understand the competitors (sources, their products and services); determine strengths (what they do well, why customers buy, finances, cost and price advantage, distribution, people); determine weaknesses (consumer reports, reviews, annual reports); put all the information together (gaps the firm can fill, areas it must strengthen).
3. **Apply each step** to the case in one sentence, and close with what the firm should do.

"What are KSFs? How do they help gain sustainable competitive advantage?" (5 marks)

Definition (1 mark); the three questions (2 marks); then (2 marks, the split printed on May 2025 Q8(a)): training strategy on KSFs and being distinctively better than rivals on one or more of them gives sustainable competitive advantage; misdiagnosing them risks a misdirected strategy; rarely more than three or four, one or two outrank the others (2 marks).

"Develop a marketing strategy using customer behaviour" (5 marks)

Meaning of customer behaviour (how customers purchase), then four headings, each with an action from the case: external influences (advertising, influencers, peers); internal influences (motivation, attitudes); decision making (information and comparisons for a significant purchase); post-decision processes (after-sales service and feedback to turn satisfaction into repeat purchases and recommendations).

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty studies the customers and calls it the competitive landscape

Asked for the steps to understand the competitive landscape, Bunty writes "survey customers, build customer profiles, segment the market". **Fix:** those belong to customer analysis. The competitive landscape's five steps are about **competitors**: identify them, understand them, their strengths, their weaknesses, then put it all together.

⚠ **Common mistake**

"Customer and consumer mean the same thing"

Fix: they are often used interchangeably, but there is a thin distinction: the customer purchases, the consumer consumes or uses. A parent buying groceries for the family is the customer; every family member is a consumer.

⚠ **Common mistake**

The KSF list that runs to a page

Fix: only rarely does an industry have more than three or four KSFs at any one time. Listing every factor that matters a little defeats the purpose of concentrating management attention on what is truly critical.

⚠ **Common mistake**

Writing "competitive strategy" as "beating competitors on price"

Fix: competitive strategy is how a firm competes in its business areas: how it expects to **create and sustain** a competitive advantage. It is analysed on two criteria: the creation and the protection of competitive advantage.

Practice

Check yourself

1 Case scenario. Meera bought a ₹14,000 air purifier after reading reviews and comparing three brands. A month later she finds it noisy, decides not to buy the brand's replacement filters, and warns her housing society's WhatsApp group against it. Which element of customer behaviour does her reaction illustrate?

- A External influences
- B Internal influences
- C Problem recognition in decision making
- D Post-decision processes

2 A school canteen contractor buys juice packs every week, and the children drink them at lunch. Who is the customer?

- A The canteen contractor
- B The children
- C The juice company's distributor
- D The school principal

3 A detergent maker believes that customers can be persuaded to buy if it spends enough on advertisement, sales and promotion. Its approach is:

- A Product orientation
- B Production orientation
- C Sales orientation
- D Customer orientation

4 Ananya is studying the competitive landscape for a new chai-premix launch. She now asks: "What gives each rival its cost and price advantage? How strong is its distribution network? What is it likely to do next?" At which step of understanding the competitive landscape do these questions belong?

- **A** Understand the competitors
- **B** Determine the strengths of the competitors
- **C** Determine the weaknesses of the competitors
- **D** Put all of the information together

5 Which statement about key success factors is correct?

- **A** An industry typically has ten or more KSFs, all equally important
- **B** KSFs are the same for every industry and never change
- **C** KSFs vary from industry to industry, and from time to time within the same industry
- **D** A firm must be the best at every KSF to have any competitive advantage

Answers: the answer key at the end of this lesson.

Recap

- Market: a place where buyers and sellers exchange items and services for a price; physical or virtual. Marketing: research, design, pricing, promotion, transport, distribution; the four Ps (product, place, pricing, promotion).
- Orientations: product (best quality and features), production (low price), sales (advertising and promotion persuade), customer or market (gather and use customer and competitive information); customer-centric firms keep learning.
- Customer: buys. Consumer: consumes or uses. A parent buys the groceries; the family consumes them.
- Customer analysis identifies target clients, their wants and how the product meets them: surveys, consumer data, positioning, customer profiles, segmentation.
- Customer behaviour: external influences (marketing efforts, environmental elements), internal influences (motivation, attitudes), decision making (problem recognition, search, weigh, choose), post-decision processes (satisfaction or dissonance).
- Competitive strategy: how a firm creates and sustains competitive advantage; judged on its creation and protection.
- Competitive landscape: identify competitors, understand them, their strengths, their weaknesses, put it all together; requires competitive intelligence.
- KSFs: what most affects the ability to prosper; three questions (basis of customer choice, resources and capabilities needed, sustainable advantage); rarely more than three or four. (The caterer never lists the napkins.)

Answer key · Check yourself

1 **D** **Post-decision processes**

After the purchase, evaluating the outcome is the final phase of the decision-making process. A customer with dissonance will neither purchase again nor recommend the product. Her review would be an external influence on her neighbours, not on her own decision.

2 **A** **The canteen contractor**

Customers are the purchasers; consumers are those who consume or utilise the product. The contractor buys (customer); the children drink (consumers).

3 **C** **Sales orientation**

That is the Study Material's description of sales-oriented businesses. Product orientation bets on the best quality and features, production orientation on low prices, and customer orientation on gathering and using customer and competitive information.

4 **B** **Determine the strengths of the competitors**

The Study Material lists these questions, with financial position and human resource strengths, under determining the strengths of the competitors. Understanding the competitors asks what products and services they offer; the weaknesses step asks where they are lacking; putting it together asks what the firm will do with the information.

5 **C** **KSFs vary from industry to industry, and from time to time within the same industry**

KSFs change with driving forces and competitive conditions; there are rarely more than three or four, one or two usually outrank the rest, and being distinctively better than rivals on one or more of them can give sustainable competitive advantage.

CHAPTER 3

Strategic Analysis: Internal Environment

3.1 Key stakeholders and Mendelow's matrix

Who the stakeholders are, and how Mendelow's power-interest grid sorts them into key players, keep satisfied, keep informed and low priority, and why the grid must be redrawn when things change.

In plain words

Forty pages for everyone

Tapri Tea Co. Ltd is building a second samosa factory near Bhopal. Kesar wants the plan sent to everybody.

> **Kesar:** Ananya, print the Bhopal plan. Forty pages each: the board, the bank, the workers, the milk co-op, the pollution board, that business magazine. Sab ko khush rakhenge.
>
> **Ananya:** Forty pages to a magazine that writes about us once a year, and the same forty to the board that must approve the money?
>
> **Kesar:** Equal treatment, no?
>
> **Ananya:** Equal respect, Kesar-ji. Not equal effort. Two questions first.

Everyone who has a stake in Tapri's success, and can affect it, is a **stakeholder**: the people inside (the board, managers, employees, the shareholders who own it) and outside (the bank, suppliers, customers, regulators, the town around the factory). They do not all matter equally, and they do not all want the same thing.

Ananya's two questions are: **how much power** does this stakeholder have over Tapri's strategy or resources, and **how interested** is it in Tapri succeeding? Mendelow's matrix crosses the two answers into four boxes. High power and high interest: **key players**, managed closely and involved in decisions (the board). High power, low interest: **keep satisfied**, with enough regular information that they never become a hurdle (the bank, the pollution board). Low power, high interest: **keep informed**, so that no major issue arises and their feedback is used (the factory workers, the milk co-operative). Low power, low interest: **low priority**, monitored with minimum effort (the magazine).

And the boxes are not permanent. If the factory breaks a pollution rule, the pollution board stops being a quiet giant and becomes a very interested one.

Think of it like

The wedding guest list

A big Indian wedding has its own Mendelow grid. The two families are key players: every decision goes past them. Phupha-ji, who does not care about the menu but can spoil the whole evening if he feels ignored, is "keep satisfied": greet him first, seat him well. The cousins' group chat wants every detail and decides nothing: keep them informed. The neighbour three buildings away is low priority, until the band plays past midnight and he calls the police. Now he has power and interest, and the grid has to be redrawn.

Key idea

Mendelow's matrix sorts stakeholders by **power** (ability to influence the organisation's strategy or resources) and **interest** (how interested they are in its success), so that effort follows importance: manage key players closely, keep the powerful satisfied, keep the interested informed, monitor the rest, and re-analyse the grid whenever the environment changes.

How it works

The internal environment starts with people

Definition

Internal environment

The sum total of people (individuals and groups, stakeholders), processes (input-throughput-output), physical infrastructure (space, equipment and physical conditions of work), administrative apparatus (lines of authority and power, responsibility, accountability) and organisational culture (the intangible aspects of working: relationships, philosophy, values, ethics) that shape an organisation's identity (SM 3.2).

It is specific to each organisation, based on its structure and business model, and includes all stakeholders such as top management, investors, employees and the board of directors (SM 3.3). The first internal question is therefore: who are they?

Who is a stakeholder?

A firm may be viewed as a **coalition of stakeholders**: all the individuals and entities that have a stake in its success and can impact it as well. This view contrasts with the earlier view of the firm as an extension of its owners and shareholders alone (SM 3.3).

Definition

Stakeholders

Any person or group of individuals, internal or external, that has an interest in, or impact on, the business or corporate strategy of the organisation. They have the power to influence the strategy or performance of that organisation (SM 3.3).

- Generally, stakeholders include **management, employees, shareholders, customers and vendors**. Governments, labour unions and local groups are often considered stakeholders too, **depending**

on their impact on the particular organisation. Each is affected by the strategy the organisation chooses (SM 3.3).

- It is important to **first identify the key stakeholders**: each exerts a different level of influence and has a differing level of interest in the organisation (SM 3.3).
- Their expectations can influence strategy, and a **clash of objectives** may have unfavourable consequences. The Study Material's example: a healthcare innovator needs a long-term view of its return on investment, because research takes years to reach a commercial outcome, while shareholders whose main concern is quick profits may hesitate to fund it (SM 3.3–3.4).

The Study Material lists what each key stakeholder of an OTT platform wants (SM 3.4):

Stakeholder	Requirements
Shareholders	Innovation and continuous creative content; total shareholder return (RoI); corporate social responsibility; top rankings; highest market share
CEO and board of directors	Prestige; market share; revenue and profit growth; market rankings
Major vendors (production houses)	Growth; stability of ordering; stable margins
Consumers (viewers)	New content (innovation); better deals (pricing benefits); value for money; continuous supply
Employees	Wages and benefits; stability of employment; pride of working for a reputed organisation

Mendelow's matrix: two questions

Definition

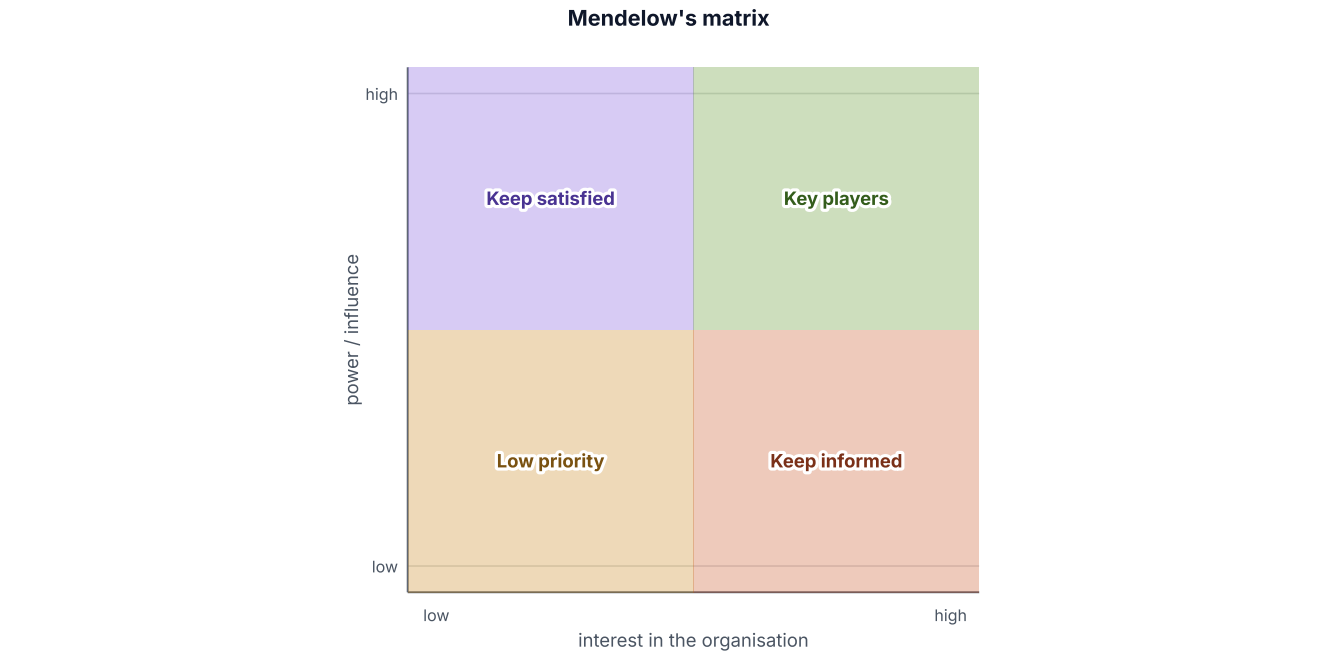
Mendelow's matrix

The Mendelow stakeholder matrix, also known as the **stakeholder analysis matrix** and the **power-interest matrix**, is a simple framework to help manage key stakeholders (SM 3.5).

Managing a project means managing the competing interests of many stakeholders: who needs to know what and when, who needs to give feedback and who has the final approval. Mendelow suggests analysing stakeholder groups on two dimensions (SM 3.5):

- **Power**: the ability to influence organisation strategy or resources.
- **Interest**: how interested they are in the organisation succeeding.

In reality some stakeholders hold more power than others and some have more interest than others. A **big shareholder** is likely to have high power and high interest; a **big competitor** has high power to impact strategy but potentially less interest in the success of its rival. The CEO has high power and high interest, so keeping the CEO informed almost daily should be a priority; a research institute seeking the organisation's data has low power and low interest, so it is monitored rarely, with minimum time and money spent on it (SM 3.5–3.6).



Power up the side, interest along the bottom, as in the Study Material's figure (SM 3.6). Violet: keep satisfied; green: key players; amber: low priority; orange: keep informed.

The four groups, in the Study Material's order, with what the organisation does and the Study Material's own examples (SM 3.6–3.7):

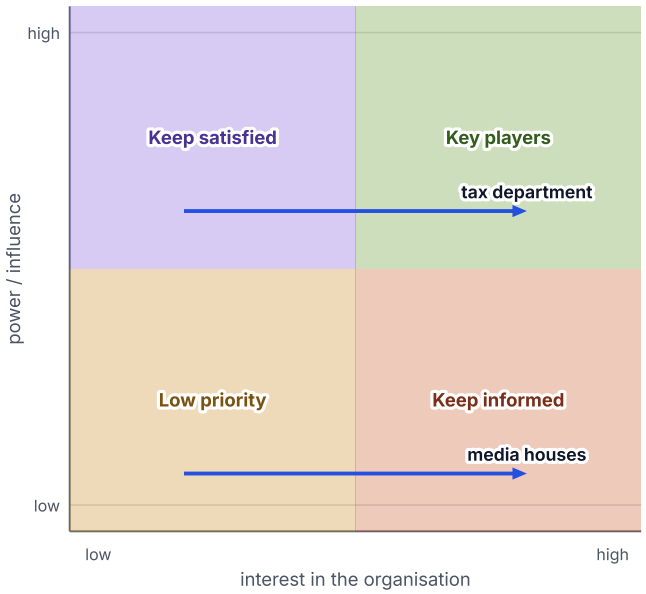
Group	Power, interest	What the organisation does	SM examples
Keep satisfied	High power, less interested	Put in enough work to keep them satisfied with their intended information on a regular basis. Figure: consult often; increase their interest; they can be a hindrance to new ideas or strategic choices	Banks, government, customers
Key players	High power, highly interested	Fully engage them, making the greatest efforts to satisfy them, take their advice, build actions, keep them informed with all information on a regular basis. Figure: manage closely; involve in decision making; engage regularly and build a strong relationship	Shareholders, CEO, board of directors
Low priority	Low power, less interested	Only monitor them, with no actions to satisfy their expectations; spend minimal effort, while keeping an eye on whether their interest or power changes. Figure: monitor only, no engagement; general occasional communication	Business magazines, media houses
Keep informed	Low power, highly interested	Adequately inform and communicate with them so that no major issues arise; they can give real-time feedback and areas of improvement. Figure: utilise the high interest by engaging in decisions; consult in their areas of expertise and interest	Employees, vendors, suppliers, legal experts

Stakeholders move between quadrants

The environment is highly dynamic, and events can make stakeholders **suddenly move between quadrants**. If an organisation inadvertently contravenes a regulation, say GST compliance, the regulatory body (the Indirect Taxes Department) moves from high power, low interest to **high power, high interest**, and needs a different way of managing and communicating. Media houses move from

low power, low interest to **low power, high interest**. So it is always worth re-analysing Mendelow's grid in the event of a change in the environment (SM 3.7).

Two moves after a GST lapse



The arrows (blue) are the Study Material's GST example (SM 3.7): power stays where it was, interest jumps. Quadrant colours as in the matrix above.

Interactive version: PassBook app, lesson Key stakeholders and Mendelow's matrix

Using the matrix, step by step

The Study Material describes the grid; ICAI's suggested answers to "How can Mendelow's matrix be used to analyse and manage the stakeholders effectively?" set out five steps (MTP May 2024 Series I Q4(b); RTP September 2024 Q12; RTP January 2026 Q11):

1. **Identify stakeholders**: all individuals, groups or organisations that may be impacted by, or have an impact on, the organisation's activities.
2. **Assess power and interest**: power from authority, resources and expertise; interest from involvement, expectations and the potential benefits or risks to them.
3. **Plot them on the grid**: power on one axis, interest on the other; each stakeholder lands in one of the four quadrants.
4. **Develop a strategy for each quadrant**: fully engage key players; keep the powerful satisfied with regular updates so that they do not become detractors; keep the interested informed and use their feedback; monitor the low-priority group with minimal resources.
5. **Monitor and adapt**: power and interest change, so review the grid and adjust the strategies.

Worked examples

Worked example **Scores on the board: TapriNow Express in Pune**

TapriNow is launching "TapriNow Express", ten-minute delivery from small dark stores across Pune. At a workshop Ananya's team scored each stakeholder's power and interest out of 10:

Stakeholder	Power	Interest
Tapri's board	9	9
Partner cloud kitchens (40% of the menu)	7	8
Pune Municipal Corporation (licenses the dark stores)	9	2
Pune traffic police	7	3
Delivery riders	3	9
Residents near the dark stores	2	4
A research firm writing an industry report	1	2

Treat a score above 5 as high.

Required:

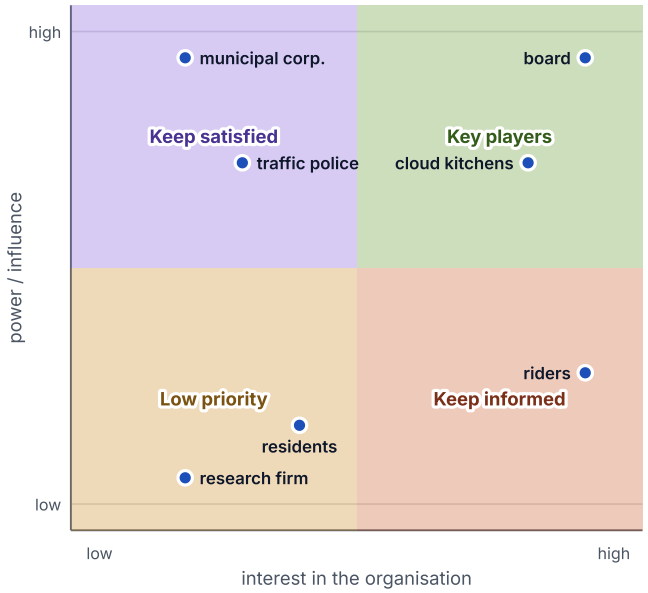
(i) Place each stakeholder in Mendelow's matrix, and state how TapriNow should manage each group.

(ii) Give one event in this launch that would move a stakeholder to another quadrant, and the change in approach it would need.

MODEL ANSWER

(i) Mendelow's matrix, also known as the power-interest matrix, is a simple framework to help manage key stakeholders. It analyses stakeholders on **power** (the ability to influence the organisation's strategy or resources) and **interest** (how interested they are in the organisation succeeding).

TapriNow Express stakeholders on the grid



Each dot is placed at its workshop scores (interest along the bottom, power up the side); the quadrant lines are at 5. Violet: keep satisfied; green: key players; amber: low priority; orange: keep informed.

1. **Key players (high power, high interest): the board (9, 9) and the partner cloud kitchens (7, 8).** The kitchens supply 40% of the menu, so they can make or break the launch. TapriNow should fully engage both, involve them in decision making, take their advice and keep them informed with all information on a regular basis.
2. **Keep satisfied (high power, low interest): the Pune Municipal Corporation (9, 2) and the traffic police (7, 3).** Their licences and rules can stop the dark stores, but they have little interest in TapriNow's success. TapriNow should put in enough work to keep them satisfied with the information they need on a regular basis (licence compliance, parking and traffic plans); neglected, they can become a hindrance to the launch.
3. **Keep informed (low power, high interest): the riders (3, 9).** TapriNow should inform them adequately (routes, incentives, safety rules) so that no major issues arise, and use their real-time feedback on the ten-minute promise.
4. **Low priority (low power, low interest): the residents (2, 4) and the research firm (1, 2).** TapriNow should only monitor them, with minimum time and resources, while keeping an eye on any change in their power or interest.

(ii) The environment is dynamic and stakeholders can suddenly move between quadrants, so the grid must be re-analysed. For example, if delivery bikes crowd the residents' lanes late at night, the residents' interest will rise sharply and they move to **keep informed**: TapriNow should then communicate with them adequately (timings, parking, a contact person) so that the issue does not grow. If they also take their complaints to the Municipal Corporation, their influence rises as well, and the grid must be redrawn again.

Worked example **Two years later: the grid moves**

When Tapri's Bhopal samosa factory opened two years ago, Ananya placed its 1,200 workers in **keep informed** (low power, high interest) and the lead bank, which had financed the plant, in **keep satisfied** (high

power, low interest). Since then:

(i) the workers have formed a registered union, which can call a strike that would stop production;

(ii) Tapri has repaid the bank's loan in full and has no plans to borrow again;

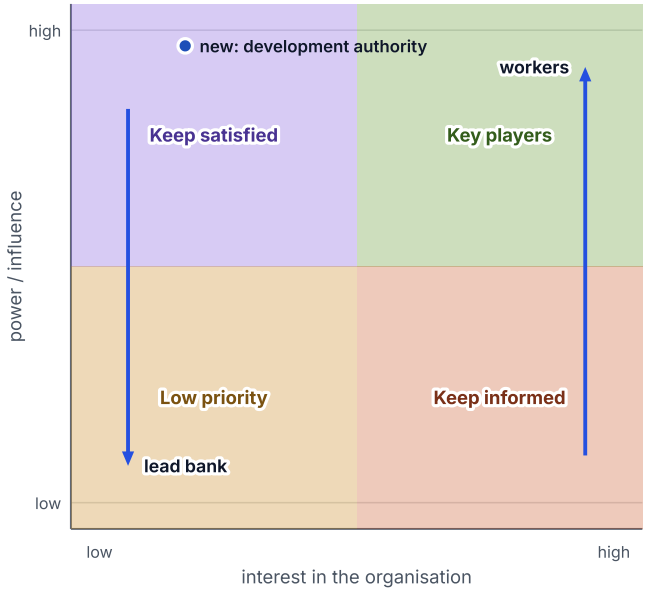
(iii) the state government has brought the factory's area under a new Industrial Area Development Authority, which must approve any expansion of the plant but takes no other interest in Tapri.

Using Mendelow's matrix, explain how the position of each stakeholder has changed (or, for a new stakeholder, where it sits) and how Tapri should now manage each.

MODEL ANSWER

Mendelow's matrix classifies stakeholders on power and interest. The environment is highly dynamic, and events can cause stakeholders to move between quadrants, so the grid should be re-analysed whenever the environment changes. Here it is **power**, not interest, that has changed.

The Bhopal grid, then and now



Blue arrows: the two moves, both caused by a change in power. The dot: a stakeholder that did not exist two years ago. Quadrant colours as in the matrix above.

1. **Workers: from keep informed to key players.** The union gives them the power to stop production, that is, to influence Tapri's strategy and resources; their interest was already high. Tapri should now manage them closely: involve the union in decisions on shifts and wages, engage regularly and build a strong relationship.
2. **Lead bank: from keep satisfied to low priority.** Its power came from the finance it provided; with the loan repaid and no borrowing planned, it can no longer influence Tapri's resources, and its interest remains low. Tapri need only monitor it with minimal effort, watching for a change (for instance, if Tapri borrows again to expand).
3. **Development Authority: a new stakeholder in keep satisfied.** It has high power (no expansion without its approval) and low interest. Tapri should put in enough work to keep it satisfied with its intended information on a regular basis (compliance filings, early notice of expansion plans), since a neglected high-power stakeholder can be a hindrance to new strategic choices.

Worked example

Kesar fills in the grid

Kesar has placed four stakeholders on Tapri's grid himself:

(a) **BrewBucks**, the global coffee chain, as a key player, "because they matter most to us".

(b) Tapri's **café staff**, who care deeply about the new shift system but have no say in it, under keep satisfied.

(c) The **lead bank**, which can refuse Tapri's next loan, under low priority, "because they never call".

(d) The 600 **TapriNow users** who post detailed suggestions in the app's community forum every day (together under 1% of orders), under keep satisfied, "because the Study Material lists customers there".

State, with reasons, the correct quadrant for each.

MODEL ANSWER

Under Mendelow's matrix the quadrant depends on each stakeholder's power to influence strategy or resources and its interest in the organisation succeeding, judged on the facts.

(a) Keep satisfied. A big competitor has high power to impact Tapri's strategy but potentially less interest in the success of its rival organisation (SM 3.5). It is not a key player.

(b) Keep informed. High interest, low power. Employees are the Study Material's example of this group: Tapri should adequately inform them so that no major issues arise, and use their feedback.

(c) Keep satisfied. The bank's power is high (it can refuse finance); its low interest in Tapri's day-to-day affairs does not reduce that power. Banks are the Study Material's example of keep satisfied.

(d) Keep informed. These users are highly interested, but as a small group they have little power over Tapri's strategy. The Study Material's examples are illustrations: the quadrant is decided on the facts of each case.

Interactive version: PassBook app, lesson Key stakeholders and Mendelow's matrix

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 21 ask about Mendelow's matrix, in 27 questions:

- **"'Managing stakeholders is critical to the success of a project'. Explain how Mendelow's Matrix helps in managing stakeholders and categorizing the stakeholders into groups", 5 marks**: January 2025 Q6(b); MTP January 2026 Series I Q4(b); MTP May 2026 Series II Q4(a).
- **"How can Mendelow's Matrix be used to analyze and manage the stakeholders effectively?", 5 marks**: MTP May 2024 Series I Q4(b); MTP May 2025 Series I Q4(b); MTP September 2025 Series II Q4(b); RTP September 2024 Q12.
- **Case, 5 marks**: categorise and manage a company's stakeholders (MTP September 2026 Series I Q3(a), an online grocer; RTP January 2026 Q11, a construction company); why a company prioritises one group, plus the four categories (RTP September 2025 Q11, a politically connected business coalition: key players).
- **Case MCQs, 2 marks**: the developer (September 2025 MCQ 13: key players); a CEO whom the company makes the greatest efforts to satisfy (May 2025 MCQ 13: key player); the CEO of a smaller company that a software firm plans to acquire (RTP May 2024 MCQ 5: key player); dealers with significant influence (MTP September 2025 Series II (A)(i): key players); a powerful NGO (RTP May 2026 Q1(v): key players); a community group and a group of activists (RTP September 2025 MCQ 4; MTP May 2025 Series II (B)(ii): high interest, low power).

In the exam

How the marks are earned

ICAI's suggested answers open with one line on the tool ("a simple framework to help manage key stakeholders"), state the two dimensions, then give **each of the four groups with what the organisation does about it**, usually with an example and often with the grid drawn. A case answer names the quadrant, quotes the case's power and interest cues, then states the engagement approach.

Trick

S for Strong, I for Interested

Keep **S**atisfied: the **S**trong (high power) but sleepy (low interest). Keep **I**nformed: the **I**nterested but not strong. Both high: key players; both low: low priority. Condition: this only names the box; the marks are for what the organisation does in it.

Answer frame

"Explain how Mendelow's matrix helps in managing stakeholders and categorising them" (5 marks)

1. **The tool**: Mendelow's matrix (stakeholder analysis matrix, power-interest matrix) is a simple framework to help manage key stakeholders.
2. **Managing stakeholders**: a project involves the competing interests of various stakeholders; the matrix categorises them on **power** (ability to influence strategy or resources) and **interest** (in the organisation succeeding), identifies which are most important and prioritises engagement.

3. **The four groups**, each with its action and an example: key players (manage closely, involve in decisions: CEO, shareholders, board); keep satisfied (enough regular information to keep them satisfied: banks, government); keep informed (inform adequately, use their feedback: employees, suppliers); low priority (monitor only, minimal effort: business magazines).
4. **The grid**, drawn with power up the side and interest along the bottom.
5. **Closing line**: stakeholders move between quadrants as the environment changes, so the grid is re-analysed; the matrix helps allocate time and resources and improves the chances of success.

"How can the matrix be used to analyse and manage stakeholders?" (5 marks)

The five steps: identify stakeholders; assess power and interest; plot them on the grid; develop strategies for each quadrant (the four actions); monitor and adapt.

A case: "classify and advise"

Step	What to write
Tool	One line: the matrix and its two dimensions
Facts	Each stakeholder's power cue and interest cue, quoted from the case
Quadrant	High or low on each, so the quadrant
Action	What the organisation should do with that quadrant
Change	If the case changes something (a lapse, a campaign), the move and the new action

Common mistakes

⚠ **Common mistake**

Hall of Shame: BrewBucks, key player

Kesar files the big rival as a key player because "they matter most". **Fix:** a big competitor has high power to impact strategy but potentially less interest in its rival's success: **keep satisfied** (SM 3.5).

⚠ **Common mistake**

Keep satisfied and keep informed swapped

Interested employees written under "keep satisfied", the powerful bank under "keep informed". **Fix:** satisfied goes with high power, informed with high interest. Check the axes before the names.

⚠ **Common mistake**

Classifying from the list, not the case

"Customers are keep satisfied, the Study Material says so." **Fix:** the examples illustrate; the case decides. The same customers can be key players, keep satisfied or keep informed in different ICAI answers.

⚠ **Common mistake**

The four names with nothing in them

Writing "key players, keep satisfied, keep informed, low priority" and stopping. **Fix:** each group earns its marks with its power-interest pair and the action the organisation takes, plus the line that positions change and the grid must be re-analysed.

Practice

Check yourself

1 Case scenario. Tapri's new Bhopal factory needs a building plan approval from the municipal council. The council has no interest in Tapri's growth or menus, but nothing can be built without its approval. In Mendelow's matrix the council is best placed in:

- A Key players
- B Keep satisfied
- C Keep informed
- D Low priority

2 Mendelow's matrix analyses stakeholder groups on which two dimensions?

- A Power and interest
- B Power and legitimacy
- C Interest and urgency
- D Market share and market growth

3 BrewBucks can change the market Tapri competes in with one price cut, but has no interest in Tapri succeeding. Where does BrewBucks sit?

- A Key players, because it matters most
- B Keep satisfied
- C Keep informed
- D Low priority, because it is not on Tapri's side

4 Case scenario. A residents' association near the Bhopal factory site had never shown any interest in Tapri. After Tapri's trucks began using its lanes, it filed a petition, and the High Court has stayed construction until the association's objections are heard. Which statement is correct?

- A It stays in low priority, because a residents' group has no say in Tapri's decisions
- B It moves to keep informed, because only its interest has risen
- C It moves to key players: the stay gives it power over the project and its interest is now high, so Tapri must manage it closely
- D It moves to keep satisfied, because the court is powerful while the association is not

5 Which of these are the Study Material's actions for key players? Select all that apply.

- A Manage closely
- B Involve in decision making
- C Engage regularly and build a strong relationship
- D Monitor only, no engagement

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Stakeholders: any person or group, internal or external, with an interest in, or impact on, the organisation's business or corporate strategy; the firm is a coalition of stakeholders, not just an extension of its owners.
- Identify the key stakeholders first: influence and interest differ, and clashing objectives (long-term research versus quick profits) can hurt.
- Mendelow's matrix (stakeholder analysis matrix, power-interest matrix): power = ability to influence strategy or resources; interest = interest in the organisation succeeding.
- Key players (high, high): manage closely, involve in decisions (shareholders, CEO, board).
- Keep satisfied (high power, low interest): enough regular information to keep them satisfied (banks, government).
- Keep informed (low power, high interest): inform adequately, use their feedback (employees, suppliers). Low priority (low, low): monitor only (business magazines).
- Stakeholders move: a GST lapse turns the tax department into a key player and the media into keep informed; re-analyse the grid when the environment changes. (Phupha-ji is always keep satisfied.)

Answer key · Check yourself

1 **B Keep satisfied**

High power (its approval is essential), low interest in Tapri's success: keep satisfied, with the regular information it needs.

2 **A Power and interest**

Power (ability to influence organisation strategy or resources) and interest (how interested they are in the organisation succeeding). Market share and growth are the BCG matrix's dimensions.

3 **B Keep satisfied**

The Study Material's own example: a big competitor has high power to impact strategy but potentially less interest in the rival's success.

4 **C** **It moves to key players: the stay gives it power over the project and its interest is now high, so Tapri must manage it closely**

Both dimensions have moved: the association's interest is now high, and the court's stay gives it the ability to influence the project, so it is high power as well. A low-priority stakeholder can become a key player when an event changes its power and interest, which is why the grid must be re-analysed when the environment changes.

5 **A** **Manage closely**; **B** **Involve in decision making**; **C** **Engage regularly and build a strong relationship**

"Monitor only, no engagement" is for low-priority stakeholders.

3.2 Strategic drivers

The four strategic drivers (industry and markets, customers, products/services, channels) that show how a business is performing and what sets it apart, with strategic group mapping and ICAI's list of marketing strategies.

In plain words

"How are we doing?"

The board asks Kesar how Tapri's cafés are performing.

> **Kesar:** Fantastic. The queue reaches the parking lot.
>
> **Ananya:** Whose parking lot, Kesar-ji? Ours, or BrewBucks' next door?
>
> **Kesar:** Does it matter? A queue is a queue.
>
> **Ananya:** It matters who is standing in it, what they are buying, and how the chai reached the counter.

Before a company can choose where to go, it must know how it is performing now and what makes it different from its rivals. The Study Material calls the places to look the **strategic drivers**, and names four.

Industry and markets: which industry Tapri belongs to, which market each product sells in, and where Tapri stands against rivals of every size. A **strategic group map** draws the rivals on one chart, so that the firms competing the same way sit together.

Customers: who buys, what each type of buyer needs and spends, and the difference between the **customer** who pays and the **consumer** who uses (a parent buys the school stationery; the child uses it).

Products and services: what Tapri sells, how each product is doing, and how it is branded, priced and marketed: what business are we in, and how do we win in each product?

Channels: how the product reaches the buyer. The **sales channel** sells it, the **product channel** carries it, the **service channel** supports it.

Think of it like

The highway dhaba

A dhaba on a national highway judging its own performance asks four questions. Which stretch of highway is it on, and which other dhabas there sell the same parathas at the same price (its strategic group)? Who stops: truck drivers, or families whose father pays while the children choose (customer and consumer)? What does it serve, and should the "Chinese corner" be dropped? How do travellers find it and get fed: the signboard five kilometres back, the parcel counter at the toll plaza, the puncture mechanic next door who keeps trucks parked long enough to order a second chai?

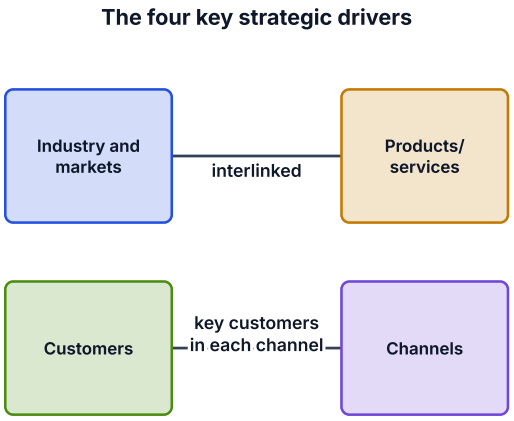
Key idea

Strategic drivers assess current performance by asking what differentiates the organisation from its competitors. The four key drivers are **industry and markets, customers, products/services and channels**; some are interlinked (markets with products, channels with the key customers in each channel).

How it works

What the drivers are

An important aspect of internal analysis is **assessing the current performance** of the business, and in doing so the strategic drivers consider what differentiates an organisation from its competitors. This involves analysing the key markets in which the organisation operates, its key customers, the products and services it provides, the channels through which they are delivered, and its competitive advantage. Some components are interlinked, such as markets and products/services, and channels and the key customers in each channel. Performance can be judged in varied ways (profit driven, purpose driven or other metrics management chooses), but in general the key strategic drivers are (SM 3.8):



The four drivers of SM 3.8. The two lines are the Study Material's examples of interlinked components.

Driver 1: industry and markets

It is very important for an organisation to understand its **relative position** in the industry and in the market in which it operates (SM 3.8).

- **Industry**: similar companies grouped together, basically by the **primary product** a company makes or sells. Maruti, Mahindra, Tata Motors, TVS and Bajaj Auto form the automotive industry; Zara, H&M, Marks & Spencer, Pantaloons, Westside and Uniqlo the apparels industry (SM 3.8).
- **Market**: the sum total of all the buyers and sellers in the area or region under consideration. The value, cost and price of items traded follow the forces of supply and demand. A market may be physical or virtual (e-commerce websites and applications), local or global (SM 3.9).
- **Is the market the same for all businesses?** No. Each business has its own set of customers, and each product within a business has its own market: an FMCG company selling shampoos, dairy products, flours and washing powder builds a strategy for each product line's market (SM 3.9). Tapri's premix, cafés and samosas each have a market of their own.

Strategic group mapping

Industry and market analysis identifies the organisation's position against competitors of equal size and value, bigger ones, or smaller and newer ones. The tool is **strategic group mapping** (SM 3.9).

> **Definition**
>
> **Strategic group**
>
> A strategic group consists of those rival firms which have similar competitive approaches and positions in the market (SM 3.9).

Firms in the same strategic group can resemble one another in several ways: comparable **product-line breadth**, the same **price/quality range**, the same **distribution channels**, essentially the same **product attributes** to appeal to similar buyers, identical **technological approaches**, or similar **services and technical assistance**. An industry has only one strategic group when all sellers pursue essentially identical strategies; at the other extreme there are as many strategic groups as competitors, when each rival pursues a distinctively different approach (SM 3.9).

The procedure for constructing a strategic group map (SM 3.10):

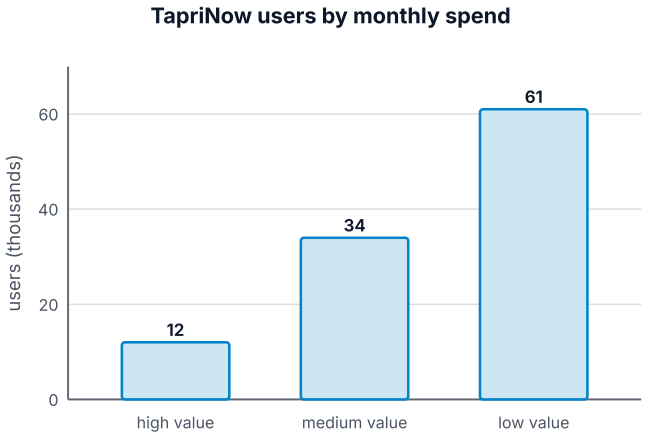
1. **Identify the competitive characteristics** that differentiate firms in the industry. Typical variables: price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); degree of service offered (no-frills, limited, full).
2. **Plot the firms on a two-variable map** using pairs of these differentiating characteristics.
3. **Assign firms** that fall in about the same strategy space to the same strategic group.
4. **Draw circles around each strategic group**, making the circles proportional to the size of the group's respective share of total industry sales revenues.

The Study Material's example plots five laptop makers on reputation against range of products: the map shows the competition on two factors in a single graphical representation (SM 3.10–3.11). The chapter's own MCQ adds that strategic group mapping helps in **identifying the weakest and strongest rival companies** (SM 3.37, answer 3.42).

Driver 2: customers

Understanding the different types of customers to whom the products are sold is important, and it is **the first step in deciding the product/service**. Different customers may have different needs and require different sales models or distribution channels. The Study Material groups a headphones brand's buyers into high, medium and low value by what they are willing to spend (SM 3.11–3.12). Customers are often responsible for the profits, so it is important to collect and display data to show **customer trends and profitability**; issues can then be identified and target areas for growth pursued (SM 3.12).

Tapri's TapriNow app users, grouped the same way:



High value: ₹1,500 a month and above (average ₹2,000); medium: ₹500 to ₹1,500 (average ₹900); low: below ₹500 (average ₹250).

The 12,000 high-value users are 11.2% of the 1,07,000 users but bring ₹2.40 crore of the ₹6.985 crore monthly revenue (34.4%); the 61,000 low-value users, 57.0% of users, bring ₹1.525 crore (21.8%). That is a "trend and profitability" display.

Definition

Customer and consumer

A **customer** is the one who buys a product or service; the **consumer** is the one who finally uses or consumes it. A customer can be a consumer and vice versa (SM 3.12).

Parents buy stationery (customers) that their children use (consumers); parents buy diapers and will pay more for higher quality, while the babies care about comfort, and if the consumer is not satisfied it is difficult to retain the customer. From a **pricing** perspective the customer is of more importance; for **value creation and design/usability** the consumer must be kept at the centre of decision making (SM 3.12).

Driver 3: products and services

Products and services are closely linked with the markets the organisation wants to serve. This driver identifies the key products and services and how they are performing, and answers the general question: what business are we in and what should be done to win over competition in each product/service we serve (SM 3.13).

- **Product** stands for the combination of "goods-and-services" that the company offers to the target market. Strategies are needed for managing existing products over time, adding new ones and dropping failed ones; decisions are also made on branding, packaging and features such as warranties (SM 3.13).
- Products can be classified as **industrial or consumer**, **essentials or luxury**, **durables or perishables**. Some have consistent demand over long periods; others have short life spans (SM 3.13).

- Products can be **differentiated** on size, shape, colour, packaging, brand names, after-sales service and so on. It does not matter whether the differentiation is real or imaginary; quite often it is psychological rather than physical. P&G's Head & Shoulders, Olay, Old Spice and Pantene are all made by the same company (SM 3.13).
- **Brand names** formalise the differentiation, usually with legal protection; they let customers identify the product and the organisation behind it, and customers develop brand loyalty over time (SM 3.13).
- For a **new product**, the entry pricing strategy must keep at least three objectives in mind: a customer-centric approach; sufficient returns through a reasonable margin over cost; increasing market share (SM 3.14).

Products and services need heavy investment in reaching customers. The marketing strategies that have evolved to handle marketing strategically and fight the competition, in the Study Material's order (SM 3.14–3.16):

Strategy	What it is	Study Material example
Social marketing	Programmes seeking to increase the acceptability of a social idea, cause or practice among a target group, to bring in social change	Delhi's publicity campaign on prohibition of smoking
Augmented marketing	Additional customer services and benefits besides the core and actual product, promising to elevate customer service to unprecedented levels	Movies on demand, online computer repair, secretarial services
Direct marketing	Advertising media that interact directly with consumers, generally calling for a direct response	Catalogue selling, e-mail, telecomputing, TV shopping
Relationship marketing	Creating, maintaining and enhancing strong, value-laden relationships with customers and other stakeholders	Airline lounges for frequent flyers
Services marketing	Applying marketing concepts, tools and techniques to services (essentially intangible), which need different strategies because of characteristics such as inseparability and variability	
Person marketing	Creating, maintaining or changing attitudes and behaviour towards a particular person	Politicians, sports stars, film stars
Organization marketing	Creating, maintaining or changing attitudes and behaviour of target audiences towards an organisation; profit and non-profit	
Place marketing	Creating, maintaining or changing attitudes and behaviour towards particular places	Business sites, tourism marketing
Enlightened marketing	A philosophy that marketing should support the best long-run performance of the marketing system; five principles: customer-oriented, innovative, value, sense-of-mission and societal marketing	
Differential marketing	Targeting several market segments with a separate offer for each	HUL: Lifebuoy, Lux, Rexona (popular); Dove, Pears (premium)

Strategy	What it is	Study Material example
Synchro-marketing	When demand is irregular (by season, part of the day or hour), causing idle or overworked capacity: altering the pattern of demand through flexible pricing, promotion and other incentives	Cheaper movie tickets on weekdays
Concentrated marketing	Going after a large share of one or a few sub-markets; can take the form of niche marketing	
Demarketing	Reducing demand temporarily or permanently when there is overfull demand: not destroying it, only reducing or shifting it	Overloaded buses at peak hours; crowded zoos on weekends

Driver 4: channels

Channels are the distribution system by which an organisation distributes its product or provides its service. Lakme sells through retail stores, intermediary stores and online platforms including its own website; Boat headphones only online through e-commerce platforms; Coca-Cola through retail shops in every district and town as well as quick-delivery apps. **The wider and stronger the channel, the better the position** to fight and win over competition, and robust channels keep new players away, acting as **barriers to entry** (SM 3.16). That is why bottled water and cold drinks reach a hill station or a desert; Coca-Cola, HUL, Patanjali, Asian Paints and Ola have built competitive advantage in channels (SM 3.17).

There are typically three channels to consider (SM 3.16–3.17):

Channel	What it is	Study Material example	Tapri
Sales channel	The intermediaries involved in selling the product through each channel and ultimately to the end user. Key question: who needs to sell to whom for the product to reach the end user?	Fashion designers using agencies to sell to retail organisations	Distributors selling premix to kirana stores
Product channel	The series of intermediaries who physically handle the product on its path from producer to end user	Australia Post delivering eBay purchases	The cold-chain fleet and third-party couriers
Service channel	The entities that provide the services needed to support the product as it moves through the sales channel and after purchase; important for products complex to install or support	A Bosch dishwasher sold in a Bosch showroom, installed by a Bosch-contracted plumber	Technicians who install and service office chai machines

Channel analysis is important when the strategy is to **scale up and expand beyond current geographies and markets**: growing into newer markets means developing or leveraging channels to reach new customers. A healthcare brand reaching elderly customers needs offline agents, since most of them are not active on smartphones; a new drink brand needs every channel possible, from stores to social media campaigns. Channels, the partners in growth, play a crucial role in internal strategic alignment (SM 3.17).

Worked examples

Worked example **Nine chains, one chart**

Ananya wants one picture of who competes with whom in the Indian chai-and-coffee café industry, so that she can see which rivals compete the way Tapri does. She has collected each chain's price/quality range, geographic coverage and share of industry sales:

Chain	Price	Coverage	Share (%)
BrewBucks	High	Global	18
Bean Royale	High	Global	12
ChaiNation	Low	National	15
Kadak Express	Low	National	10
Tapri	Medium	National	20
Brew Bazaar	Medium	Regional	6
Kettle & Co	Medium	Regional	4
Masala Mug	Low	Regional	9
Cutting Corner	Low	Local	6

Required:

(i) Recommend a suitable tool and outline the procedure for using it.

(ii) Apply it to the data and state what the result shows about Tapri's position.

MODEL ANSWER

The tool to study the market positions of rival companies by grouping them into like positions is **strategic group mapping**. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market. Grouping is useful here because there are nine competitors, too many to examine each in depth.

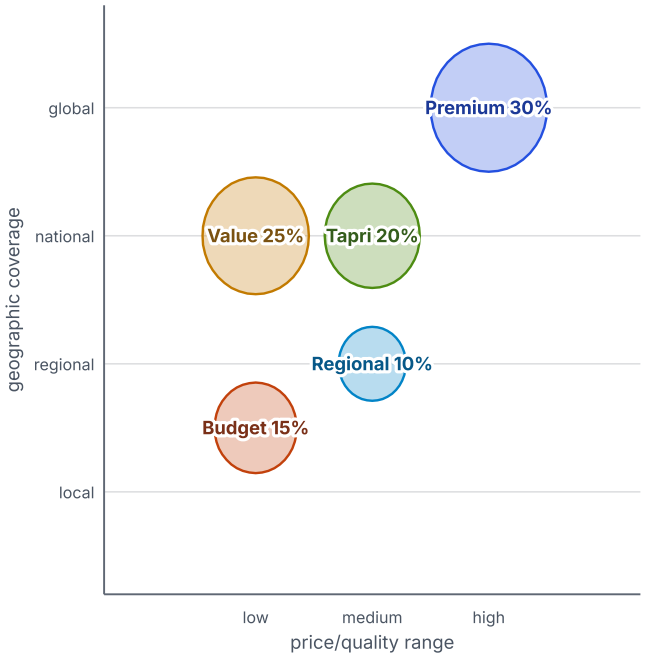
Procedure:

1. Identify the competitive characteristics that differentiate firms in the industry: typical variables are price/quality range (high, medium, low), geographic coverage (local, regional, national, global), degree of vertical integration, product-line breadth, use of distribution channels and degree of service offered. Ananya has chosen **price/quality range** and **geographic coverage**.
2. Plot the firms on a two-variable map using these two characteristics.
3. Assign firms that fall in about the same strategy space to the same strategic group.
4. Draw circles around each strategic group, proportional to the group's share of total industry sales revenues.

Applied to the data:

Strategic group	Firms	Share (%)
Global premium (high price, global)	BrewBucks, Bean Royale	30
National value (low price, national)	ChaiNation, Kadak Express	25
National mid-price (medium price, national)	Tapri	20
Budget local and regional (low price, local or regional)	Masala Mug, Cutting Corner	15
Regional mid-price (medium price, regional)	Brew Bazaar, Kettle & Co	10
Total		**100**

Strategic group map of the café industry



Circle areas are drawn in proportion to each group's share of total industry sales revenue. Blue: global premium; amber: national value; green: Tapri; sky blue: regional mid-price; orange: budget local and regional.

The map shows that Tapri is alone in its strategy space: its direct rivals are the national value chains on one side and the global premium chains on the other, while the regional mid-price chains are the firms closest to moving into Tapri's space. Ananya can now study the strongest and weakest rivals group by group.

Worked example **The masala-milk mix the children refused**

Tapri launched "Chhota Chai", a caffeine-free masala-milk mix for school children. Market research was done with parents: they liked the nutrition label and the price, and first-month sales were strong. The children found it too spicy, left their cups half full, and by the third month repeat orders had fallen by 60%. Kesar blames the distributors.

Identify the strategic driver Tapri overlooked, and state the other strategic drivers an organisation should analyse before such a decision.

MODEL ANSWER

Driver overlooked: customers. Understanding the different types of customers is the first step in deciding the product. The Study Material distinguishes the **customer**, who buys the product, from the **consumer**, who finally uses it. From a pricing perspective the customer matters more; for value creation and design/usability the consumer must be kept at the centre of decision making. Here the parents (customers) were researched and the children (consumers) were not. Because the consumers were not satisfied, Tapri could not retain the customers: repeat orders fell, although the price and the distribution were not at fault.

Other strategic drivers to analyse before a strategic decision:

1. **Industry and markets**: the organisation's relative position in its industry and in the market for each product, analysed through strategic group mapping.
2. **Products/services**: what business the organisation is in, how each product is performing, and its branding, packaging, features, pricing and marketing.
3. **Channels**: the sales, product and service channels through which the product reaches and is supported for the end user.

Worked example **Name the marketing strategy**

Identify the marketing strategy in each of Tapri's moves.

(a) Tapri's premix sells three times as much in December and January as in May and June, when the factory runs at a third of its capacity. From April to June Tapri runs an "iced masala chai" recipe campaign and packs a free steel tumbler with every pack.

(b) During the IPL final, TapriNow cannot deliver within its promised time, so it raises its delivery fee for that evening and stops advertising, to cut orders to what its riders can handle.

(c) Every year Tapri invites its top 200 kirana retailers and their families to a "Tapri Parivaar" meet, shares its plans with them first and lets them vote on the next festival flavour.

(d) Every premix pack carries a QR code for a free video call with a "chai sommelier" and a recipe library, and bulk buyers get free training for their staff in brewing.

(e) Tapri sells three versions of its premix, "Tapri Junior" (milder, sold near schools), "Tapri Fit" (sugar-free, sold in gyms) and "Tapri Classic" (for households), each with its own pack, price and advertising.

(f) A campaign "Kulhad lao, plastic hatao" urges people across the city to stop using plastic cups, whoever's tea they drink.

MODEL ANSWER

(a) Synchro-marketing. Demand is irregular by season, leaving capacity idle in summer and overworked in winter; the pattern of demand is altered through promotion and other incentives (the campaign and the free tumbler). Synchro-marketing does not need a price cut.

(b) Demarketing. Demand is overfull for one evening; Tapri reduces it temporarily without trying to destroy it. It is not synchro-marketing: Tapri is not filling idle hours by evening out a recurring pattern, it is cutting an excess it cannot serve.

(c) Relationship marketing. Creating, maintaining and enhancing strong, value-laden relationships with customers and **other stakeholders**: here the retailers through whom Tapri sells.

(d) Augmented marketing. Additional customer services and benefits besides the core and actual product (the premix), elevating customer service.

(e) Differential marketing. Several market segments targeted, with a separate offer designed for each.

(f) Social marketing. A programme to increase the acceptability of a social practice among a target group to bring in social change; it promotes a practice, not Tapri's product.

Cue to strategy

Cue in the case	Strategy
Seasonal or hourly peaks and idle capacity	Synchro-marketing
More demand than can be served	Demarketing
Bond with customers or other stakeholders	Relationship marketing
Services beyond the core product	Augmented marketing
A separate offer for each segment	Differential marketing
A social idea, cause or practice	Social marketing

Exam angle

In the exam

Where the drivers appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 19 ask about this lesson:

- **"Write a short note on the key strategic drivers of an organization", 5 marks**: January 2025 Q8(b); RTP January 2026 Q12; RTP May 2026 Q12; RTP September 2025 Q12; RTP September 2026 Q12; MTP September 2025 Series I Q3(a); MTP May 2026 Series I Q3(a). Case versions: a timber trader whose customers switched to polyester furnishings, "identify and explain the strategic driver overlooked ... also, state other strategic drivers" (MTP September 2026 Series I Q1(b): customers); a startup revising its model to follow user behaviour and platforms (MTP January 2026 Series II Q1(b)).
- **Channels, 5 marks**: "What are channels? Why is channel analysis important? Explain the different types of channels" (May 2024 Q8(a), 1 + 1 + 3; MTP January 2026 Series II Q3(b); RTP January 2025 Q12); May 2026 Q7(b); MTP September 2024 Series II Q2(b).
- **Strategic group mapping, 5 marks**: "recommend a tool to analyse the competitive position of rival companies and outline the procedure" (May 2024 Q8(b), an OR choice; January 2026 Q5(a), a beverage company in a saturated market; the same task in MTP May 2024 Series I, MTP September 2024 Series II, MTP September 2025 Series II and MTP September 2026 Series II); smartphone makers on price and features (MTP May 2026 Series I Q1(a)); identify the tool from a two-wheeler grouping (RTP May 2026 Q11).
- **MCQs, 1 or 2 marks**: the tool for identifying the strongest and weakest competitors, or the market positions of rivals (January 2025 MCQ 10; RTP January 2026 MCQ 5; RTP May 2025 MCQ 4; MTP September 2025 Series I (A)(i): strategic group mapping each time); enlightened marketing (January 2025 MCQ 13); augmented marketing (May 2025 MCQ 12; MTP September 2026 Series I); the product driver (January 2026 MCQ 13); a café overcrowded on weekends offering weekday discounts (January 2026 MCQ 16: synchro-marketing); frequent-flyer lounges (MTP January 2026 Series II: relationship marketing).

In the exam

The cue words

Marketing-strategy MCQs are decided by one phrase in the case. "Irregular demand, idle capacity, off-peak discount": synchro. "Overfull demand, reduce or shift it": demarketing. "Additional services beyond the core product, unprecedented level": augmented. "Long-run performance of the marketing system, customer orientation, sense of mission": enlightened. "Several segments, a separate offer for each": differential. "One or a few sub-markets": concentrated.

Trick

I-C-P-C: "I Count Profit Carefully"

Industry and markets, **C**ustomers, **P**roducts/services, **C**hannels, the Study Material's order (SM 3.8). For channels: **S**ell, **P**hysically carry, **S**upport (sales, product, service). Condition: the mnemonic gives the order; the marks are for the explanation of each.

Answer frame

"Write a short note on the key strategic drivers" (5 marks)

1. **Opening**: strategic drivers are essential elements that influence an organisation's ability to differentiate itself from its competitors; they assess the current performance of the business (key markets, key customers, products and services, channels and competitive advantage).
2. **Industry and markets**: relative position; industries group companies by primary product; a market is all buyers and sellers in a region; analysed through strategic group mapping.
3. **Customers**: types of customers and their needs; the first step in deciding the product; customer versus consumer.
4. **Products/services**: what business are we in and how to win in each product; branding, packaging, features, pricing; marketing strategies.
5. **Channels**: sales, product and service channels; wide and strong channels win and act as barriers to entry.
6. **Closing line**: by aligning these drivers with its goals, a business achieves sustained growth and a competitive edge.

"What are channels? Why is channel analysis important? Explain the types" (1 + 1 + 3)

Part	Marks	Write
What are channels	1	The distribution system by which an organisation distributes its product or provides its service; wide, strong channels help win and act as barriers to entry
Why channel analysis	1	Important when the strategy is to scale up and expand beyond current geographies and markets: new markets need new or leveraged channels to reach new customers
The three types	3	Sales channel (who sells to whom; designers' agencies), product channel (who physically handles it; Australia Post), service channel (who supports it during and after the sale; the Bosch plumber)

"Recommend a tool … and outline the procedure" (5 marks)

Name the tool (strategic group mapping) and define a strategic group; say why it suits the case (many rivals, need to group them); give the four steps in order, with the list of typical variables in step 1; close with what the map shows (relative positions, the strongest and weakest rivals, direct competitors).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the weekend café that got "demarketing"

Overcrowded weekends, empty weekdays, weekday discounts: Bunty ticks demarketing because "they want fewer people on weekends". **Fix:** irregular demand with idle and overworked capacity, evened out by pricing and incentives, is **synchro-marketing** (January 2026 MCQ 16). Demarketing reduces overfull demand.

⚠ **Common mistake**

Lounges are not "augmented"

A frequent-flyer lounge strengthens a bond with select customers: **relationship marketing**. Augmented marketing adds services beyond the core product (online repair, on-site service, a better customer interface: May 2025 MCQ 12).

⚠ **Common mistake**

Industry and market used as synonyms

Fix: an industry groups companies by their primary product; a market is the buyers and sellers in a region, and each product of a business has its own market.

Practice

Check yourself

1 Case scenario. Tapri launches "Tapri Sugar-Free", a premix only for people with diabetes, sold through chemists. Rather than serving every kind of tea drinker, it puts its whole marketing budget behind winning a large share of this one sub-market. This is:

- A Differential marketing, because diabetics are a separate segment
- B Synchro-marketing
- C Concentrated marketing
- D Augmented marketing

2 In strategic group mapping, the circle drawn around each strategic group is proportional to:

- A The number of firms in the group
- B The group's share of total industry sales revenues
- C The group's average profit margin
- D The age of the firms in the group

3 Case scenario. TapriNow sells snacks made by partner cloud kitchens. Orders are taken and paid for in the TapriNow app; DashKart, a courier company, collects each order from the kitchen and carries it to the customer; TapriNow's call centre handles complaints and refunds. DashKart forms TapriNow's:

- A Product channel
- B Sales channel
- C Service channel
- D Direct marketing channel

4 Which of the following are the key strategic drivers listed in the Study Material? Select all that apply.

- A Industry and markets
- B Customers
- C Products/services
- D Channels
- E Stakeholders' power

More than one answer may be right.

5 In trials, every dog finished its bowl of a pet-food brand's new chicken biscuits, but pet owners stopped buying after one pack because of the price, ₹900 a kilogram. In the Study Material's terms, the brand satisfied the:

- A Customer but not the consumer
- B Market but not the industry
- C Consumer but not the customer
- D Service channel but not the sales channel

Answers: the answer key at the end of this lesson.

Recap

- Strategic drivers assess current performance: what differentiates the organisation from its competitors. Four: industry and markets, customers, products/services, channels (some interlinked).
- Industry: companies grouped by primary product. Market: all buyers and sellers in a region; each product of a business has its own market.
- Strategic group: rivals with similar competitive approaches and positions. Map: identify characteristics; plot two at a time; group firms in the same space; circles proportional to each group's share of industry sales.
- Customers: types of customers are the first step in deciding the product; customer buys, consumer uses; pricing for the customer, design for the consumer.
- Products: "what business are we in and how do we win in each product?"; differentiation may be real or psychological; new-product pricing: customer-centric, reasonable margin, market share.
- Marketing strategies: social, augmented, direct, relationship, services, person, organisation, place, enlightened, differential, synchro, concentrated, demarketing.
- Channels: sales (who sells), product (who carries), service (who supports); wide, strong channels win and block entrants; analyse them before expanding. (The dhaba's puncture mechanic is its service channel.)

Answer key · Check yourself

1 **C** **Concentrated marketing**

Going after a large share of one or a few sub-markets is concentrated marketing, which can take the form of niche marketing. Differential marketing targets several segments with a separate offer for each; here there is one segment.

2 **B** **The group's share of total industry sales revenues**

Step 4 of the Study Material's procedure.

3 **A** **Product channel**

The product channel is the series of intermediaries who physically handle the product on its path to the end user. DashKart carries the snacks but does not sell them (the app does) or support the customer after the sale (the call centre is the service channel).

4 **A** **Industry and markets**; **B** **Customers**; **C** **Products/services**; **D** **Channels**

The four key drivers are industry and markets, customers, products/services and channels (SM 3.8). Power is a dimension of Mendelow's matrix.

5 **C** **Consumer but not the customer**

The customer buys (the owner); the consumer finally uses or consumes (the dog). From a pricing perspective the customer matters more, and the price is what lost the owners.

3.3 Resources, capabilities and core competence

How resources and capabilities combine into a core competence, Prahalad and Hamel's three conditions, the four criteria (valuable, rare, costly to imitate, non-substitutable), and the four characteristics that decide whether an advantage lasts.

In plain words

They stole the recipe. So what?

BrewBucks has launched a "Desi Masala Latte" with Tapri's own masala recipe, carried off by a former employee. Kesar is pacing the corridor.

> **Kesar:** They have our recipe! Dev, call the lawyers. Ananya, call the pandit.
>
> **Ananya:** Let them keep it. A recipe is one skill. Look at what reaches the customer: tea blended from fourteen estates by our tasters, kulhads at the right temperature in forty cities, staff trained the Tapri way.
>
> **Dev:** The present value of a stolen recipe without the other thirteen things is close to zero.

Three months later, BrewBucks' latte is quietly off the menu. Tapri did not win because of one ingredient. It won because of how its **resources** (what it has: tea contracts, a blending plant, cold-chain trucks, a brand, money, people) and **capabilities** (what it can do with them: blend, deliver, train, launch) fit together. When many of them are integrated so well that the whole organisation does something better than anyone else, the Study Material calls it a **core competence**.

C.K. Prahalad and Gary Hamel say a competence is core only if it **sets the firm apart** from rivals (and they find it hard to copy), **customers value** it (it is the reason they buy), and it **applies across the organisation**, opening up new markets. A second test asks four questions: is the capability **valuable, rare, costly to imitate and non-substitutable**? A third asks whether the advantage will **last**: how durable it is, how easily rivals can acquire it, how easily they can build it, and who gets the profits it earns.

Think of it like

The IPL auction

A star fast bowler can be bought at the next auction, and he will not bowl at 150 km/h for ever. What no franchise can bid for is a rival's scouting system, its years of training together and its dressing-room trust, which keep producing match-winners season after season and in every format. The bowler is a resource. The system is a core competence.

Key idea

A core competence is not one skill or one asset: it is the integration of many resources and capabilities (5–15 areas of developed expertise) that differentiates the firm from competitors, delivers customer value and applies across the organisation. Only a capability that is **valuable, rare, costly to imitate and non-substitutable** is a core competence, and the advantage lasts according to its **durability, transferability, imitability and appropriability**.

How it works

From resources to core competence

An organisation may be viewed as an entity **endowed with resources and capabilities**. These may be so synergised as to impart **distinct competencies** that the organisation can leverage to its advantage (SM 3.18).

> **Definition**
>
> **Core competency (Prahalad and Hamel)**
>
> The collective learning in the organisation, especially coordinating diverse production skills and integrating multiple streams of technologies (SM 3.18).

- An organisation's combination of technological and managerial know-how, wisdom and experience is a complex set of capabilities and resources that can lead to a competitive advantage over a competitor (SM 3.18).
- **Competency** is a combination of skills and techniques rather than an individual skill or a separate technique. So a core competence **cannot be built on one capability or a single technological know-how**: it has to be the integration of many resources. The optimal way to define it is as the sum of **5–15 areas of developed expertise** (SM 3.18).

How a core competence is built



Read top to bottom: no single layer is a core competence on its own (SM 3.18, 3.20, 3.21).

Prahalad and Hamel's three conditions

According to Prahalad and Hamel, major core competencies are identified in three areas (SM 3.18–3.19):

1. **Competitor differentiation.** The competence is unique and difficult for competitors to imitate. This gives an edge and lets the company offer better products or services with no fear that competitors can copy them; it must keep improving these skills to sustain its position. All companies in a market may have equal skills and resources, but if one performs significantly better, it has a core competence. Patented innovation is hard to imitate: Tesla has been winning in electric vehicles.
2. **Customer value.** It must deliver a **fundamental benefit to the end customer**, with a real impact that is the reason the customer chooses to buy. If customers choose the company without this

impact, it is not a core competence and does not affect market position. The consumer should value the differentiation offered.

3. **Application to other markets.** It must be **applicable to the whole organisation**, not one particular skill or area of expertise. A special capability crucial to one business activity is not a core competence if it is not fundamental from the whole organisation's point of view. A core competence is a unique set of skills and expertise used throughout the organisation to open up potential markets to be exploited.

If the three conditions are met, the company can regard its competence as a core competency (SM 3.19).

Core competencies are often visible as **organisational functions**: marketing and sales is a core competence of HUL, which lets it market its products better than competitors and launch new brands successfully. A core competency for a firm is whatever it does best: Wal-Mart's focus on lowering operating costs lets it price below most competitors, and its ability to generate large sales volume keeps it profitable at a low margin (SM 3.19–3.20).

What a core competence is made of

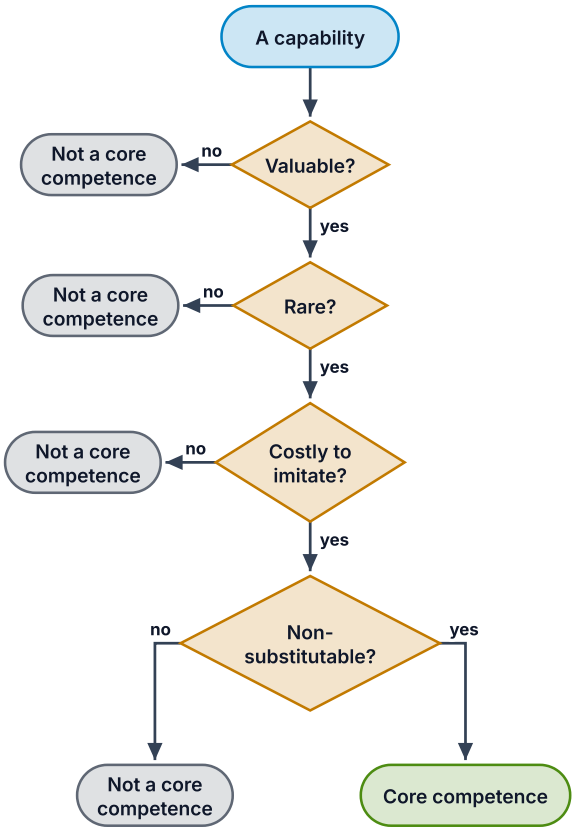
- Core competencies are the **knowledge, skills and facilities** necessary to design and produce **core products**. They are created by **superior integration of technological, physical and human resources** (SM 3.20).
- They represent distinctive skills as well as **intangible, invisible, intellectual assets and cultural capabilities**. Cultural capabilities are the ability to manage change, the ability to learn, and teamwork (SM 3.20).
- Organisations should be viewed as **a bundle of a few core competencies, each supported by several individual skills**. **Core competence-based diversification** reduces risk and investment and increases the opportunities for transferring learning and best practice across business units (SM 3.20).
- Core technological competencies are **corporate assets** that give access to a variety of markets and businesses; for competitive advantage they should be difficult for competitors to imitate (SM 3.20).

The four criteria for core competencies

Four specific criteria of sustainable competitive advantage determine which capabilities are core competencies: capabilities that are **valuable, rare, costly to imitate and non-substitutable** (SM 3.20–3.21).

Criterion	Meaning	Study Material example
Valuable	Allows the firm to exploit opportunities or avert threats in its external environment; value is created for customers by using capabilities to exploit opportunities	Finance companies' competence in financial services, which needs the right people in the right jobs: human capital creates value
Rare	Very few competitors possess it. Capabilities possessed by many rivals are unlikely to be a source of advantage for any one of them; advantage comes only from valuable capabilities that differ from those shared with competitors	
Costly to imitate	Competing firms are unable to develop it easily	Intel's fast R&D cycle time brought SRAM, DRAM and microprocessors to market ahead of rivals: the products could be imitated, the cycle-time capability much less so
Non-substitutable	Has no strategic equivalent: there must be no strategically equivalent valuable resources that are themselves either not rare or imitable. Strategic value rises as a capability becomes harder to substitute	Tata's low-cost strategy, built on a unique culture and top talent, which rivals could not duplicate; Apple's iOS, which no competitor has imitated, protected by copyrights

The four-criteria test



Only when a capability passes all four is it a core competence and a source of competitive advantage (SM 3.21). Green: the core competence; grey: every other outcome.

To sum up, only a capability that is valuable, rare, costly to imitate and non-substitutable is a core competence and a source of competitive advantage. Over time core competencies **must be supported**, and they are a source of competitive advantage **only when they allow the firm to create value by exploiting opportunities in its external environment** (SM 3.21). Airtel's "Zero Customer Complaints" campaign is about building a core competency of great customer service (SM 3.21).

Will the advantage last?

The sustainability of competitive advantage, and a firm's ability to earn profits from it, depends on four major characteristics of resources and capabilities (SM 3.24–3.25, printed under competitive advantage; see Porter's generic strategies for the definition of competitive advantage):

Characteristic	The question	Study Material's points
Durability	How fast do the resources and capabilities deteriorate?	Where product innovation is fast, patents soon become obsolete; capabilities that come from the CEO's expertise are vulnerable to retirement or departure; many consumer brand names have a highly durable appeal
Transferability	How easily can rivals gain access to them?	Even durable advantages are eroded by rivals who acquire the necessary resources and capabilities; the easier they are to transfer between companies, the less sustainable the advantage
Imitability	If they cannot be bought, how easily and quickly can rivals build them from scratch?	The true test of imitability. Financial-services innovations lack legal protection and are easily copied; capabilities that need networks of organisational routines, whose effectiveness depends on corporate culture, are difficult to imitate
Appropriability	Who receives the returns?	The ability of the firm's owners to appropriate the returns on its resource base: rewards should go to those who invested the funds, not create an advantage with no actual reward to the people who invested capital

Worked examples

Worked example **The kulhad network: core competence or not?**

Over thirty years Tapri has built a network of 300 potter families in Khurja and Kutch who make its kulhads to Tapri's own shape and firing standard. Tapri trains them, buys their whole output and moves the kulhads to its 40 cities in its own trucks. Customers say the earthy kulhad is part of why they come to Tapri, and no other national chain serves chai in clay; a rival would need years to build such a network.

Last year a packaging firm, Mitti-Pak, began selling a compostable cup lined with baked clay powder that keeps chai hot and gives it the same earthy aroma. In Tapri's own blind tests, 7 customers in 10 could not tell it from a kulhad. Mitti-Pak sells the cup to anyone, at a third of the cost of a kulhad.

Required: Examine whether Tapri's kulhad network is a core competence, with reference to the four criteria of sustainable competitive advantage, and advise Tapri.

MODEL ANSWER

Four specific criteria of sustainable competitive advantage determine which capabilities are core competencies: capabilities that are **valuable, rare, costly to imitate and non-substitutable** are core competencies.

1. **Valuable: met.** Valuable capabilities allow the firm to exploit opportunities or avert threats in its external environment. The network creates value for customers (the kulhad is part of why they choose Tapri).
2. **Rare: met.** Very few competitors possess it: no other national chain serves chai in clay.
3. **Costly to imitate: met.** Competing firms are unable to develop it easily: thirty years of relationships, training and logistics cannot be built quickly.
4. **Non-substitutable: not met.** Capabilities that do not have strategic equivalents are non-substitutable; there must be no strategically equivalent valuable resources that are themselves either not rare or imitable. Mitti-Pak's cup gives most customers the same benefit (7 in 10 cannot tell the difference), and it is neither rare nor hard to obtain, since anyone can buy it, at a third of the cost.

Conclusion. Only a capability that meets all four criteria is a core competence. The kulhad network has been valuable, rare and costly to imitate, but a strategic equivalent now exists, so it **no longer qualifies as a core competence**, however hard it would be to copy the network itself. The strategic value of a capability rises as it becomes harder to substitute; here it has become easy to substitute.

Advice. Tapri should treat the network as a valuable capability rather than as the basis of its advantage, and look for its advantage in capabilities that have no strategic equivalent. Core competencies must be supported over time, and they are a source of competitive advantage only when they allow the firm to create value by exploiting opportunities in its external environment.

Worked example **Can Tapri keep its edge?**

Tapri's board asks whether its advantage in cafés will last:

- The **Tapri brand**, built over 15 years, is trusted in every city it serves.
- Its chief tea-taster, Mr. Bhatt, designs every blend himself and is due to retire in two years; BrewBucks has offered him a job.
- Tapri's café routines (how orders flow, how staff are trained and rewarded) have grown out of its culture and are not written down anywhere.
- In 25 cities the cafés are franchised, and franchisees keep most of the café profits under agreements signed when Tapri was small.

Discuss the four characteristics of resources and capabilities on which the sustainability of Tapri's competitive advantage depends, applying them to these facts.

MODEL ANSWER

The sustainability of competitive advantage, and a firm's ability to earn profits from it, depends on four major characteristics of resources and capabilities:

1. **Durability**: the period over which an advantage is sustained depends on the rate at which resources and capabilities deteriorate. Consumer brand names often have a highly durable appeal, so the **Tapri brand** supports a lasting advantage. Capabilities that rest on one person's expertise are vulnerable to retirement or departure: **Mr. Bhatt's** blending skill is not durable unless Tapri builds it into a team.
2. **Transferability**: even durable resources are eroded if rivals can gain access to them; the easier they are to transfer between companies, the less sustainable the advantage. BrewBucks' offer to Mr. Bhatt shows that this capability **can be transferred** by hiring him away.
3. **Imitability**: if resources cannot be purchased, rivals must build them from scratch, and the test is how easily and quickly they can do so. Capabilities that require networks of organisational routines whose effectiveness depends on corporate culture are difficult to imitate: Tapri's unwritten **café routines** are a sustainable source of advantage.
4. **Appropriability**: the ability of the firm's owners to appropriate the returns on its resource base. Even where resources offer a sustainable advantage, the issue is who receives the returns: in the franchised cities the **franchisees** capture most of the profit that Tapri's brand and system generate.

Tapri should therefore protect and spread the blending capability, keep investing in its brand and culture, and revisit the franchise terms so that the returns reach the owners who invested in the resources.

Worked example **Which of the three conditions?**

For each statement, identify the condition of a core competence, according to Prahalad and Hamel, that it demonstrates.

(a) Tapri used its blending expertise to launch premix, ready-to-drink chai and kulhad cafés, each in a different market.

(b) BrewBucks has tried for two years to copy Tapri's blend consistency and failed.

(c) Surveys show that customers choose Tapri over cheaper chains because the taste never varies.

MODEL ANSWER

(a) Application to other markets. A core competence must be applicable to the whole organisation and is used throughout it to open up potential markets.

(b) Competitor differentiation. The competence is unique and difficult for competitors to imitate, giving Tapri an edge with no fear of being copied.

(c) Customer value. It delivers a fundamental benefit to the end customer, a real impact that is the reason the customer buys.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 15 ask about this lesson:

- **The four criteria, 5 marks**: "Explain the four specific criteria of sustainable competitive advantages that a company can use to determine the capabilities that are core competencies" (September 2024 Q7(a); MTP May 2025 Series I Q4(b); RTP May 2024 Q12). A case: a hospital whose surgical expertise rivals cannot copy despite buying the same robots (RTP September 2026 Q11: costly to imitate).
- **Prahalad and Hamel's three areas, 5 marks**: "Major core competencies are identified in three areas - competitor differentiation, customer value and application to other markets. Discuss" (MTP September 2024 Series I Q4(b); MTP January 2025 Series I Q4(b); MTP May 2025 Series II Q3(a); MTP January 2026 Series I Q4(b), an OR choice). "Explain the concept of core competency. What are the conditions required to be met for a company to regard its competence as core competency?" (September 2026 Q8(a); answers not yet published).
- **The four characteristics, 5 marks**: "explain the major characteristics of resources and capabilities" for sustainable competitive advantage (May 2025 Q6(b)).
- **Build competencies, 5 marks**: a small chemist shop against online sellers (MTP January 2025 Series II Q3(a)).
- **MCQs, 1 or 2 marks**: a product crucial across many industries (RTP September 2024 MCQ 4: application to other markets); rapid prototyping that beats rivals to market (MTP January 2025 Series I (B)(iii) and MTP September 2026 Series II (B)(iii): core competency); building AI strength through R&D, talent and training (MTP September 2024 Series I (B)(i): core competency building); easily copied R&D but an inimitable culture of innovation (MTP May 2026 Series I (B)(ii): the culture is the core competency); a fashion company's trend forecasting (RTP May 2025 MCQ 1(v)).

In the exam

How the marks are earned

ICAI's suggested answers open with the list's own sentence ("Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies"; "major core competencies are identified in three areas"; "the sustainability of competitive advantage ... depends upon four major characteristics"), then give each item with its Study Material explanation. In a case, apply each item to a fact and end with a conclusion.

Trick

VRIN and "Dear Tapri, Invest Appropriately"

Core competence test: **V**aluable, **R**are, **I**nimitable (costly to imitate), **N**on-substitutable. Sustainability: **D**urability, **T**ransferability, **I**mitability, **A**ppropriability. Condition: ICAI's answers use the full words ("costly to imitate", not "inimitable"); the letters are only for recall.

Answer frame

"Explain the four criteria … core competencies" (5 marks)

1. Opening: four specific criteria of sustainable competitive advantage determine which capabilities are core competencies; capabilities that are valuable, rare, costly to imitate and non-substitutable are core competencies.
2. Each criterion with its meaning, in this order: valuable (exploit opportunities or avert threats; human capital), rare (few competitors possess it; shared capabilities give no advantage), costly to imitate (rivals cannot develop it easily; Intel), non-substitutable (no strategic equivalent; Tata, Apple).
3. Closing: only when all four are met is a capability a core competence and a source of competitive advantage; it must be supported over time.

"Major core competencies are identified in three areas … Discuss" (5 marks)

1. Opening: according to C.K. Prahalad and Gary Hamel, major core competencies are identified in three areas.
2. Competitor differentiation; customer value; application of competencies to other markets: each with its Study Material explanation.
3. Closing: if the three conditions are met, the company can regard its competence as a core competency.

Case: "Is X a core competence?" or "Can the advantage be sustained?"

Step	What to write
The list	The opening sentence of the right list (criteria, conditions or characteristics)
Each item	Its meaning in the Study Material's words, then the case fact that meets or fails it
Conclusion	Core competence or not; advantage sustainable or not, and what the firm should do

Common mistakes

⚠ **Common mistake**

Hall of Shame: "Our core competence is our new machine"

One patent, one machine, one star employee is a resource or a single skill. **Fix:** a core competence cannot be built on one capability or a single technological know-how; it is the integration of many resources, 5–15 areas of developed expertise (SM 3.18).

⚠ **Common mistake**

The criteria answered with the characteristics

Asked for the four criteria, the answer gives durability, transferability, imitability and appropriability. **Fix:** criteria for core competencies = valuable, rare, costly to imitate, non-substitutable. Durability and the rest decide whether the advantage is sustained.

⚠ **Common mistake**

"Imitability" written as "costly to imitate"

They overlap in meaning but belong to different lists, and the examiner looks for the list's own words. **Fix:** in the core-competence criteria write "costly to imitate"; in the sustainability characteristics write "imitability" with its test: how easily and quickly can competitors build the resources from scratch?

Practice

Check yourself

1 Case scenario. Every bank in Indore offers the same kind of mobile banking app, and Sahyog Bank claims that its app is its core competence. Which criterion does the app most clearly fail?

- A Valuable
- B Rare
- C Durability
- D Customer value

2 According to Prahalad and Hamel, major core competencies are identified in which three areas?

- A Competitor differentiation, customer value and application to other markets
- B Durability, transferability and imitability
- C Valuable, rare and non-substitutable
- D Cost leadership, differentiation and focus

3 A railway caterer says its core competence is a new imported tea kettle, which any rival can buy from the same supplier next month. Why is this not a core competence?

- A Kettles are physical resources, and core competencies are always intangible
- B It is a single resource that rivals can acquire easily, so it is neither rare nor costly to imitate
- C It fails the appropriability test
- D It is a core competence, because it is valuable

4 Which of the following are among the four characteristics of resources and capabilities on which the sustainability of competitive advantage depends? Select all that apply.

- A Durability
- B Transferability
- C Appropriability
- D Profitability

More than one answer may be right.

5 A firm's competitive advantage rests on the personal expertise of its CEO, who retires next year. Which characteristic of its resources is weakest?

- A Durability
- B Appropriability
- C Customer value
- D Rarity

Answers: the answer key at the end of this lesson.

Recap

- Core competency (Prahalad and Hamel): the collective learning in the organisation, especially coordinating diverse production skills and integrating multiple streams of technologies.
- Never one skill or one know-how: the integration of many resources; 5–15 areas of developed expertise; superior integration of technological, physical and human resources plus cultural capabilities (managing change, learning, teamwork).
- Three areas: competitor differentiation (unique, hard to imitate), customer value (fundamental benefit to the end customer), application to other markets (whole organisation, opens new markets).
- Four criteria: valuable, rare, costly to imitate, non-substitutable; only all four make a core competence, and only when it exploits opportunities in the external environment.
- Sustainability of competitive advantage: durability, transferability, imitability, appropriability.
- Examples to quote: HUL (marketing and sales), Wal-Mart (low operating costs), Intel (R&D cycle time), Tata (culture and talent), Apple (iOS), Airtel (customer service). (A star bowler can be bought at auction; the team's system cannot.)

Answer key · Check yourself

1 **B Rare**

Capabilities possessed by many rivals are unlikely to be a source of competitive advantage for any one of them: the app is not rare. Durability is a sustainability characteristic; customer value is one of Prahalad and Hamel's areas.

2 **A Competitor differentiation, customer value and application to other markets**

The other options are the sustainability characteristics, three of the four criteria, and Porter's generic strategies.

3 **B It is a single resource that rivals can acquire easily, so it is neither rare nor costly to imitate**

A core competence is the integration of many resources, not one asset or one know-how, and a resource any rival can buy fails "rare" and "costly to imitate". Core competencies include facilities as well as intangible assets (SM 3.20).

4 **A Durability; B Transferability; C Appropriability**

Durability, transferability, imitability and appropriability (SM 3.24–3.25).

5 **A** **Durability**

Capabilities that result from the CEO's management expertise are vulnerable to his or her retirement or departure: durability (SM 3.25).

3.4 SWOT analysis: combining external and internal analysis

SWOT puts the internal strengths and weaknesses and the external opportunities and threats on one sheet, so that a decision is taken with full awareness of all the factors; what it is for, and its one big criticism.

In plain words

Two lists, one sheet

Kesar wants Tapri's chai in bottles: "Tapri Thanda", cold chai for supermarkets and quick-delivery apps, by next summer.

> **Kesar:** Our brand, our cold chain, our taste. What can go wrong?
>
> **Dev:** BrewBucks' canned coffee, new sugar labelling rules, milk prices. And we have never bottled anything in our lives.
>
> **Kesar:** Dev, you are discounting my dream.
>
> **Ananya:** You are both right, and each of you has half the picture. One sheet, four boxes.

Ananya draws a square and splits it twice. The top row is **inside** Tapri, things it has or lacks and can do something about: its brand and cold chain are **strengths**; its lack of bottling experience is a **weakness**. The bottom row is **outside** Tapri, things it does not control: young buyers wanting ready-to-drink beverages and fast-growing delivery apps are **opportunities**; BrewBucks' cans and stricter sugar rules are **threats**. The left column helps the plan; the right column harms it.

That is **SWOT analysis**: strengths, weaknesses, opportunities, threats. It **combines** the external analysis (what PESTLE and the five forces found out there) with the internal analysis (stakeholders, strategic drivers, core competence) into one simple framework, so that a decision is taken with full awareness of every factor. The point is not the list. It is the next step: use the strengths and the opportunities to overcome the weaknesses and the threats.

Think of it like

Your own SWOT before 12 January

Strength: you score well in SM case MCQs. Weakness: your FM capital budgeting numericals are unfinished. Opportunity: ICAI's RTPs and MTPs show what is asked. Threat: the paper may be lengthy, and your cousin's sangeet is on 11 January. The first two are about you, the last two about the world. A plan that only celebrates the strength, or only fears the wedding, fails; a good plan uses the strength and the RTPs to cover the weak chapters and the time pressure.

Key idea

SWOT analysis puts the organisation's internal **strengths and weaknesses** and its external **opportunities and threats** in one framework, so that a decision is taken with full awareness of all the factors. Do it before every major action, and use strengths and opportunities to overcome weaknesses and threats.

How it works

What SWOT analysis is

Definition

SWOT analysis

The analysis of a business's strengths, weaknesses, opportunities and threats. Its primary objective is to help organisations develop a full awareness of all the factors (external as well as internal) involved in making a business decision (SM 3.22).

- It should be implemented **before all company actions**: exploring new initiatives, revamping internal policies, considering opportunities to grow, or altering a plan midway (SM 3.22).
- It is used to **discover recommendations and strategies**, with a focus on **leveraging strengths and opportunities to overcome weaknesses and threats** (SM 3.22).
- Since its creation it has been the most widely used tool for business owners to grow their companies. It can also be done just to **check on the current landscape** of the business and improve operations, showing the areas where the organisation performs well and the areas that need improvement (SM 3.22).

The four boxes

The Study Material's figure (SM 3.22):

The SWOT grid

	Helpful	Harmful
Internal origin	**Strengths**	**Weaknesses**
External origin	**Opportunities**	**Threats**

Columns: helpful or harmful to achieving the objective. Rows: internal origin (attributes of the organisation) or external origin (attributes of the environment).

The chapter's own answers define each box (SM 3.51):

- **Strength**: an inherent capability of the organisation which it can use to gain strategic advantage over its competitors.
- **Weakness**: an inherent limitation or constraint of the organisation which creates strategic disadvantage to it.
- **Opportunity**: a favourable condition in the organisation's environment which enables it to strengthen its position.
- **Threat**: an unfavourable condition in the organisation's environment which causes a risk for, or damage to, the organisation's position.

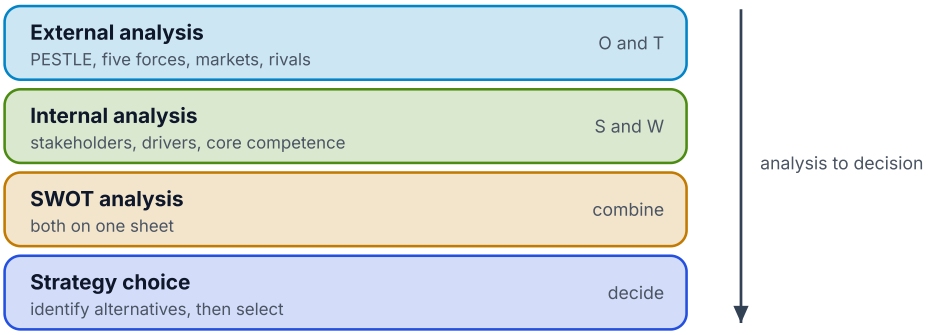
Opportunities and threats are **largely uncontrollable activities outside the organisation** (SM 3.36, answer 3.42). The goal of SWOT is to **exploit** the organisation's opportunities and strengths while

neutralising its threats and **correcting** its weaknesses (SM 3.36, answer 3.42).

Combining external and internal analysis

Internal analysis focuses on the existing structure and competencies of the business, and so highlights the **strengths and weaknesses**; external analysis identifies and prepares for the uncontrollable, the **opportunities or threats**. SWOT is therefore a tool used for **both** internal and external analysis (SM 3.23). The Study Material's framework of strategic analysis shows the same flow: external analysis yields opportunities, threats, trends and strategic uncertainties; internal analysis yields strategic strengths, weaknesses, problems, constraints and uncertainties; both lead to strategy identification and selection (SM 2.7).

Where the four boxes come from



Read down: the two analyses feed one framework (full awareness of all the factors), and the framework feeds the identification and selection of strategy (SM 2.7, 3.22–3.23). O, T: opportunities, threats; S, W: strengths, weaknesses.

The earlier lessons supply the boxes: PESTLE and Porter's five forces the opportunities and threats; stakeholders, strategic drivers and core competence the strengths and weaknesses.

The Study Material's example: a law firm

Strengths	Weaknesses
Multiple partners with varied expertise	Run by old methods
Long-term contractual service agreements	No automation of work and documentation
70 years of brand value	Not a very employee-friendly culture
Services spread across 20 states of India	
400+ employees to deliver work	

Opportunities	Threats
Automation-driven advancement	Online players entering the market
Startups can be supported with experienced partners	AI-based solutions and applications
Investment in technology can multiply returns	Very competitive price point of online players
	Speed of work becoming faster by the day

(SM 3.23)

Interactive version: PassBook app, lesson SWOT analysis: combining external and internal analysis

The benefit and the criticism

- **Benefit**: it identifies the complex issues for an organisation and puts them into a **simple framework** (SM 3.23).
- **Criticism**: it does not generally provide for **evaluation of strengths, weaknesses, opportunities and threats in the competitive context**. An organisation using it should therefore consider relative competitors and the external factors affecting it. Although a simple tool, it is a **useful starting point** for analysis (SM 3.23).

Why do SWOT before choosing a strategy?

An important part of strategic thinking is generating **strategic alternatives**, given the company's internal strengths and weaknesses and its external opportunities and threats; comparing them is SWOT analysis. It helps managers **craft a business model** that will let the company gain a competitive advantage in its industry; competitive advantage leads to increased profitability, which maximises the company's chances of surviving in a fast-changing, competitive environment (SM 3.51–3.52). The key reasons for SWOT analysis (SM 3.52):

1. It provides a **logical framework**.
2. It presents a **comparative account**.
3. It **guides the strategist in strategy identification**.

Worked examples

Worked example **Tapri Frozen: which road first?**

Tapri Frozen makes frozen samosas and kachoris at its Bhopal plant, which runs at 55% of its capacity. Its recipes are the ones café customers already love, and every batch is made to one standard. Its own cold-chain fleet already reaches every city Tapri serves. But it sells almost only through Tapri's cafés: it has no freezer cabinets in shops, its cost per piece is high because volumes are low, and its two-person sales team has never sold to institutions.

Two routes are on the table:

- **Route A**: supermarket and kirana freezers in ten cities. FrostBite Foods, a national frozen-food major, controls most freezer space in these shops and has just cut its prices by 15%; power cuts in smaller towns

often thaw the stock in shop freezers.

- **Route B**: tenders from airline caterers and railway e-catering kitchens for 40 lakh frozen snacks a year, awarded on taste, consistency and price, with bulk delivery to the caterers' own kitchens.

Required:

(i) Prepare a SWOT analysis of Tapri Frozen from the facts.

(ii) Using it, advise which route Tapri Frozen should take first.

MODEL ANSWER

(i) SWOT analysis of Tapri Frozen. SWOT analysis puts the organisation's internal strengths and weaknesses and its external opportunities and threats in one framework, so that the decision is taken with full awareness of all the factors involved.

Strengths	Weaknesses
Recipes customers already love	No freezer cabinets or presence in shops
Every batch made to one standard	High cost per piece from low volumes
Spare capacity: the plant runs at 55%	Sales team has never sold to institutions
Own cold-chain fleet in every Tapri city	

Opportunities	Threats
Airline and railway catering tenders for 40 lakh pieces a year	FrostBite's control of shop freezer space
Tenders awarded on taste and consistency, not only price	FrostBite's 15% price cut
	Power cuts that thaw stock in shop freezers

(ii) Advice: Route B first. SWOT is used to discover strategies that leverage strengths and opportunities to overcome weaknesses and threats.

1. **Strengths meet the opportunity**: the tenders reward taste and consistency, which Tapri Frozen has, and its spare capacity and cold-chain fleet can supply bulk deliveries to the caterers' kitchens.
2. **A weakness is corrected**: 40 lakh pieces a year would fill idle capacity and bring down the high cost per piece.
3. **The threats are side-stepped**: bulk delivery to kitchens needs no shop freezers, so FrostBite's grip on freezer space and the power cuts in small towns do not matter on this route.
4. **The remaining weakness must be corrected first**: Tapri Frozen needs a trained tender team before it bids, as its sales team has never sold to institutions.

Route A runs straight into the weaknesses (no freezer cabinets, high cost per piece) and the threats (FrostBite's shelf control and price cut, power cuts); it can be reconsidered once volumes from the tenders have lowered costs. Since SWOT does not by itself evaluate these factors in the competitive context, Tapri Frozen should also judge FrostBite's ability to bid for the same tenders before committing.

Worked example **Rocky's first SWOT**

Kesar's nephew Rocky, a summer intern, has prepared a SWOT for Tapri's cafés:

(a) BrewBucks is opening 30 new cafés in Tapri's cities: **weakness**.

(b) Tapri's café staff have never been trained to make cold beverages: **threat**.

(c) The state government now allows cafés to stay open 24 hours: **strength**.

(d) Tapri owns a cold-chain fleet: **opportunity**.

(e) Quick-delivery apps are growing fast, but TapriNow crashes at peak hours while BrewBucks' app does not: **opportunity**, nothing more.

Correct Rocky's classification, with reasons.

MODEL ANSWER

Strengths and weaknesses are internal (inherent capabilities, or limitations, of the organisation); opportunities and threats are external (favourable, or unfavourable, conditions in its environment).

(a) Threat. BrewBucks' expansion is an unfavourable condition in Tapri's environment that causes a risk to its position. It is external, so it cannot be a weakness.

(b) Weakness. Untrained staff are an inherent limitation of Tapri itself, creating a strategic disadvantage. It is internal, so it cannot be a threat.

(c) Opportunity. A rule change is a favourable condition in the environment that enables Tapri to strengthen its position; Tapri does not own it.

(d) Strength. The fleet is an inherent capability Tapri can use to gain strategic advantage over competitors.

(e) An opportunity that is also a threat, plus a weakness. The growth of delivery apps is an opportunity, but an opportunity is also a threat where internal weaknesses do not allow the organisation to take advantage of it in the manner a rival can (SM 3.46). TapriNow's crashes are an internal weakness that BrewBucks can exploit.

Exam angle

In the exam

Where SWOT appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 9 ask about SWOT analysis:

- **"The primary objective of SWOT analysis is to help organizations develop a full awareness of all factors involved in making a business decision. In the light of the above statement, explain why is it necessary to do SWOT analysis for business organization before using the strategy", 5 marks**: September 2025 Q7(a).
- **"Write short note on SWOT analysis", 5 marks**: RTP May 2025 Q12; MTP May 2026 Series II Q2(b).
- **A case, 5 marks**: conduct a SWOT for a new line of smart home devices (MTP May 2024 Series II Q3(a); RTP January 2025 Q11); identify the analysis an organic farm should conduct and outline the grid (MTP September 2024 Series I Q1(b)); describe SWOT and evaluate a training company's online expansion through it (September 2026 Q5(c), 1 + 4; answers not yet published).
- **MCQs, 2 marks**: a startup listing its unique technology, high competition, an untapped segment and inefficiencies (RTP September 2025 MCQ 3: SWOT); a company using its branding strength and AI opportunities against global competition (MTP May 2025 Series I (A)(v): SWOT).

In the exam

How the marks are earned

In a case, ICAI's answers draw the grid (Strengths and Weaknesses on top, Opportunities and Threats below), fill it with the case's facts in short bullets, and close with a paragraph on what the company should do: leverage the strengths, address the weaknesses and threats. For "why SWOT before strategy", ICAI's suggested answer (September 2025 Q7(a)) makes these points: full awareness of internal and external factors; strategies leveraging strengths and opportunities to overcome weaknesses and threats; areas performing well and needing improvement; checking the current landscape; complex issues in a simple framework.

Trick

Inside or outside? Then good or bad?

Ask two questions of each item, in this order. Is it **inside** the organisation (it owns it, does it, lacks it) or **outside** (a market, a rival, a rule, a trend)? Then, does it **help** or **harm** the objective? Inside-help: S; inside-harm: W; outside-help: O; outside-harm: T. Condition: a rival's move is always outside, even when it hurts.

Answer frame

"Why is it necessary to do SWOT analysis before selecting a strategy?" (5 marks)

1. Open with the primary objective: full awareness of all the factors, internal and external, involved in a business decision.
2. It identifies strengths and weaknesses (internal) and opportunities and threats (external), so that management considers all aspects before a strategic move.

3. It helps discover recommendations and strategies that leverage strengths and opportunities to overcome weaknesses and threats.
4. It shows where the business performs well and where it needs improvement; done periodically, it checks the current landscape.
5. It puts complex issues into a simple framework; key reasons: a logical framework, a comparative account, guidance in strategy identification.
6. Close: strategy is then based on internal capabilities and external realities, raising the chances of success.

A case: "Conduct (or evaluate through) a SWOT analysis"

Part	What to write
Describe (1 mark where asked)	Definition and primary objective; S and W internal, O and T external
The grid	Two tables or one 2 × 2: every case fact in its box, in short phrases
Evaluation	Which strengths meet which opportunities; how weaknesses and threats can be addressed
Caution	SWOT alone does not evaluate the factors in the competitive context: compare with rivals

Common mistakes

⚠ **Common mistake**

Hall of Shame: the rival filed as a weakness

"BrewBucks is opening 30 cafés: weakness." **Fix:** a competitor's action is outside the organisation: a **threat**. A weakness is an inherent limitation of the organisation itself.

⚠ **Common mistake**

A grid with no conclusion

Four boxes of bullets and a full stop. **Fix:** SWOT exists to discover strategies; end with how the strengths and opportunities will be used to overcome the weaknesses and threats.

⚠ **Common mistake**

"SWOT is an internal analysis tool"

Because it sits in the internal-environment chapter, students call it internal. **Fix:** internal analysis gives the strengths and weaknesses, external analysis the opportunities and threats: SWOT is used for both, and combines them (SM 3.23).

Practice

Check yourself

1 Case scenario. A dairy finds that its brand is trusted (A), its plant is old (B), demand for protein drinks is rising (C), and a large rival has cut prices (D). Which classification is correct?

- **A** A strength, B weakness, C opportunity, D threat
- **B** A strength, B threat, C opportunity, D weakness
- **C** A opportunity, B weakness, C strength, D threat
- **D** A strength, B weakness, C threat, D opportunity

2 The primary objective of SWOT analysis, per the Study Material, is to:

- **A** Group rival firms by their competitive approaches and positions
- **B** Help organisations develop a full awareness of all the factors, external as well as internal, involved in making a business decision
- **C** Classify stakeholders by power and interest
- **D** Measure the macro environment only

3 The major criticism of SWOT analysis in the Study Material is that it:

- **A** Ignores external factors
- **B** Is too complex for small firms
- **C** Does not generally provide for evaluating strengths, weaknesses, opportunities and threats in the competitive context
- **D** Can be used only once a year

4 Case scenario. A new rule will require every pack of tea to carry a QR code tracing the tea to its garden from 2027. Tapri already records every batch from estate to pack; Kadak Chai buys loose tea from traders and keeps no such records. In each company's SWOT analysis, the new rule is:

- **A** A strength for Tapri and a weakness for Kadak Chai
- **B** A threat for both, since both must change their packs
- **C** An opportunity for Tapri and a threat for Kadak Chai
- **D** An opportunity for both, since the whole industry gains credibility

5 Which of the following is NOT one of the key reasons for SWOT analysis given in the Study Material?

- **A** It provides a logical framework
- **B** It presents a comparative account
- **C** It guides the strategist in strategy identification
- **D** It evaluates each factor in the competitive context

Answers: the answer key at the end of this lesson.

Recap

- SWOT: strengths, weaknesses, opportunities, threats; primary objective: full awareness of all the factors (external as well as internal) in a business decision.
- Use it before all company actions (new initiatives, internal policies, growth, altering a plan midway), to find strategies that leverage strengths and opportunities to overcome weaknesses and threats.
- Strengths and weaknesses: internal origin, attributes of the organisation. Opportunities and threats: external origin, attributes of the environment, largely uncontrollable.
- Helpful: strengths, opportunities. Harmful: weaknesses, threats.
- Benefit: complex issues in a simple framework. Criticism: no evaluation in the competitive context, so consider relative competitors; a useful starting point.
- Key reasons: a logical framework, a comparative account, guidance in strategy identification.
- An opportunity is also a threat if internal weaknesses stop the firm using it as a rival can. (Your cousin's sangeet on 11 January is a threat, not a weakness.)

Answer key · Check yourself

1 **A** **A strength, B weakness, C opportunity, D threat**

Brand and plant are internal (strength, weakness); demand and the rival's price cut are external (opportunity, threat).

2 **B** **Help organisations develop a full awareness of all the factors, external as well as internal, involved in making a business decision**

The other options describe strategic group mapping, Mendelow's matrix and PESTLE.

3 **C** **Does not generally provide for evaluating strengths, weaknesses, opportunities and threats in the competitive context**

Hence the advice to consider relative competitors and external factors; it remains a useful starting point.

4 **C** **An opportunity for Tapri and a threat for Kadak Chai**

The rule is a condition in the environment, so it is an opportunity or a threat, never a strength or a weakness. It is favourable for Tapri, whose records let it strengthen its position, and unfavourable for Kadak Chai, whose lack of records puts its position at risk. Tapri's records are its strength and Kadak Chai's lack of them its weakness: the same external change is an opportunity or a threat depending on the firm's internal position.

5 **D** **It evaluates each factor in the competitive context**

The three key reasons are a logical framework, a comparative account and guidance in strategy identification (SM 3.52). Evaluation in the competitive context is exactly what SWOT does not generally provide: that is its main criticism, which is why relative competitors must also be considered (SM 3.23).

3.5 Porter's generic strategies

Competitive advantage and Porter's three bases (cost leadership, differentiation, focus), with how to achieve each, its advantages against the five forces and its disadvantages, plus the best-cost provider strategy.

In plain words

BrewBucks opens next door

BrewBucks has opened a café across the road from Tapri's busiest outlet in Indore.

> **Kesar:** We will be the cheapest, the most premium, and the favourite of every college student. All three, from Monday!
>
> **Ananya:** The cheapest needs a company that hates waste; the most premium needs one that spends on being unique; the students need one that knows one small segment inside out. Three different companies, Kesar-ji.
>
> **Dev:** Pick one. Then I will discount it.

A company has a **competitive advantage** when its profits are higher than the average for its industry, because it does something rivals cannot copy, or find too costly to copy. Michael Porter says there are three bases for it, the **generic strategies**:

- **Cost leadership**: be the lowest-cost producer for the whole market, selling standard products to price-sensitive buyers. Lower costs let you charge less and still earn satisfactory profits.
- **Differentiation**: make something the whole market sees as unique, and charge a premium to buyers who care less about price.
- **Focus**: serve one narrow segment better than the broad-market players do: either on price within that segment (**focused cost leadership**) or with unique features for it (**focused differentiation**).

The Study Material adds a fourth position, the **best-cost provider**: more value for money, by offering comparable quality at a lower price than rivals, or much better quality at a similar price.

Think of it like

The Indian food street

The ₹20 vada pav sold at every station, made the same way in huge numbers, is cost leadership. The famous biryani chain whose name alone fills the room at a premium is differentiation. The Jain tiffin service for six housing societies, cheaper than any other Jain caterer there, is focused cost leadership; the caterer who does only royal-themed weddings in Udaipur is focused differentiation. And the new thali chain serving restaurant-quality food at dhaba prices is the best-cost provider.

Key idea

Competitive advantage is profitability above the industry average that rivals cannot duplicate. Porter's three generic strategies, **cost leadership, differentiation and focus** (focused cost leadership or focused differentiation), are three bases for it; the **best-cost provider** gives more value for money by combining low cost with upscale features. Each needs different organisational arrangements, controls and incentives.

How it works

Competitive advantage

If a company's strategies result in superior performance relative to rivals, it is said to have a **competitive advantage**. It allows a firm to gain an edge over rivals when competing (SM 3.24).

Definition

Competitive advantage

"A set of unique features of a company and its products that are perceived by the target market as significant and superior to the competition." An organisation has competitive advantage if its **profitability is higher than the average profitability** for all companies in its industry (SM 3.24).

It is achieved when the firm successfully formulates and implements a value creation strategy and other firms are **unable to duplicate it or find it too costly to imitate**; a firm can be said to have achieved it only after other firms' efforts to duplicate or imitate it fail (SM 3.24). "If you don't have a competitive advantage, don't compete" (Jack Welch). Whether it lasts depends on the durability, transferability, imitability and appropriability of the resources behind it (resources and core competence).

Porter's three bases

According to Porter, strategies allow organisations to gain competitive advantage from three different bases: **cost leadership, differentiation and focus**. Porter called them **generic** because they can be pursued by **any type or size of business firm, and even by not-for-profit organisations** (SM 3.25).

- **Cost leadership** emphasises producing standardised products at a very low per-unit cost for consumers who are price-sensitive.
- **Differentiation** aims at producing products and services considered unique industry-wide, directed at consumers who are relatively price-insensitive.
- **Focus** means producing products and services that fulfil the needs of small groups of consumers with very specific tastes (SM 3.25–3.26).

Porter's strategies imply **different organisational arrangements, control procedures and incentive systems**. Larger firms with greater access to resources typically compete on cost leadership and/or differentiation; smaller firms often compete on focus (SM 3.26).

Michael Porter's generic strategies		
Competitive scope	Low-cost products/services	Differentiated products/services
Broad target	**Cost leadership**	**Differentiation**
Narrow target	**Focused cost leadership**	**Focused differentiation**

Columns: the competitive advantage (low cost or differentiation). Rows: the competitive scope (SM 3.26).

Porter also stresses cost-benefit analysis of **"sharing opportunities"** among the firm's existing and potential business units (sharing activities and resources lowers costs or raises differentiation) and the effective **"transfer" of skills and expertise** among autonomous business units (SM 3.26).

Cost leadership

A low-cost competitive strategy that aims at the **broad mass market**. It requires vigorous pursuit of cost reduction in **procurement, production, storage and distribution**, and economies in overhead costs. Because of its lower costs, the cost leader can charge a lower price than most competitors and still earn satisfactory profits: McDonald's and Decathlon are the Study Material's examples (SM 3.26–3.27).

- A primary reason for **forward, backward and horizontal integration** is to gain cost leadership benefits. Generally, cost leadership must be pursued **in conjunction with differentiation** (SM 3.27).
- Cost elements that affect the choice: economies or diseconomies of scale, learning and experience curve effects, capacity utilisation, linkages with suppliers and distributors; also the potential for sharing costs and knowledge within the organisation, R&D costs, labour costs, tax rates, energy costs and shipping costs. Sharing resources internally to build advantage is the **synergy benefit** (SM 3.27).
- It is especially effective **when the market has many price-sensitive buyers, when there are few ways to achieve product differentiation, when buyers do not care much about brand differences, or when there are many buyers with significant bargaining power**. The idea is to underprice competitors, gain market share and drive some competitors out (SM 3.27).
- A successful cost leadership strategy **permeates the entire firm**: high efficiency, low overheads, limited perks, intolerance of waste, intensive screening of budget requests, wide spans of control, rewards linked to cost containment, broad employee participation in cost control (SM 3.27).
- **Risks**: competitors may imitate it, driving industry profits down; technological breakthroughs may make it ineffective; buyer interest may swing to differentiating features other than price (SM 3.27–3.28).

Achieving cost leadership (SM 3.28): (1) prompt forecasting of demand; (2) optimum utilisation of resources; (3) economies of scale, so lower per-unit cost; (4) standardisation of products for mass production (McDonald's); (5) investment in cost-saving and advanced technologies; (6) resistance to differentiation till it becomes essential.

Disadvantages (SM 3.29): (1) the cost advantage may not last long, as competitors may imitate cost reduction techniques; (2) it succeeds only if the firm achieves higher sales volume; (3) cost leaders keep costs low by minimising advertising, market research and R&D, which can prove expensive in the long run; (4) technological advancement is a great threat.

Differentiation

Aimed at the **broad mass market**, it involves creating a product or service that customers perceive as **unique**. The uniqueness can come from **product design, brand image, features, technology, dealer network or customer service**, and lets the business **charge a premium**: Domino's "30 minutes or free" is the Study Material's example (SM 3.29).

- It does not guarantee competitive advantage if standard products sufficiently meet customer needs or rapid imitation is possible; durable products protected by barriers to quick imitation are better. Successful differentiation can mean greater product flexibility, compatibility, lower costs, improved service, less maintenance, greater convenience or more features (SM 3.29).
- It should be pursued **only after a careful study of buyers' needs and preferences**. It allows a higher price and builds **customer loyalty** (SM 3.29).
- **Risks**: the unique product may not be valued highly enough to justify the higher price, and then **cost leadership will easily defeat differentiation**; competitors may copy the features quickly, so firms need durable sources of uniqueness (Amazon Prime's two-hour delivery) (SM 3.30).

Bases of differentiation (SM 3.30): **product** (innovative products that meet customer needs; costly in R&D, production and marketing, but customers flock to be first: Apple iPhone); **pricing** (the lowest price, or superiority through higher prices: iPhone's high prices); **organisation** (maximising the brand or specific advantages such as location, name recognition and customer loyalty: Apple's fanbase).

Achieving differentiation (SM 3.31): (1) offer utility and match products with customers' tastes and preferences; (2) elevate or improve the product's performance; (3) offer a high-quality product or service; (4) rapid product innovation; (5) enhance brand image and brand value; (6) fix prices on the unique features and the buying capacity of the customer.

Disadvantages (SM 3.32): (1) in the long term, uniqueness is difficult to sustain; (2) too high a price may make customers switch (iPhone users moving to Android flagships); (3) it fails if its basis is not valued by customers (30-minute home delivery of packed snacks).

Both strategies against the five forces

Each strategy helps the firm remain profitable even with rivalry, new entrants, suppliers' power, substitutes and buyers' power (Porter's five forces):

Force	Cost leadership (SM 3.28)	Differentiation (SM 3.31)
Rivalry	Competitors avoid a price war: the low-cost firm keeps earning profits after rivals have competed theirs away	Brand loyalty is a safeguard: customers are less sensitive to price increases while their needs are met
Buyers	Powerful buyers cannot exploit the cost leader, and keep buying	Buyers do not negotiate on price: they get special features and have fewer options
Suppliers	Can absorb greater price increases from suppliers before raising prices	The premium price lets it absorb higher supply costs
Entrants	Continuous focus on efficiency and cost reduction creates entry barriers	Innovative features are expensive; entrants cannot match them at a comparable price
Substitutes	Can lower costs to keep customers, invest in developing substitutes, even buy patents	Substitutes cannot replace products with high brand value and customer loyalty

Focus strategies

A successful focus strategy depends on an industry **segment of sufficient size, with good growth potential, not crucial to the success of other major competitors**. Midsize and large firms can pursue focus effectively **only in conjunction with differentiation or cost leadership**. "All firms in essence follow a differentiated strategy": only one firm can be the lowest-cost, so the rest must find other ways to differentiate (SM 3.32).

- Most effective **when consumers have distinctive preferences or requirements, and rivals are not specialising in the same segment**. Risks: numerous competitors may imitate a successful focus strategy, or consumer preferences may drift towards what the market as a whole wants (SM 3.32).
- A focuser may concentrate on a particular **group of customers, geographic market or product-line segment**, serving a well-defined but narrow market better than broad-market competitors (Ferrari sports cars) (SM 3.32).
- **Focused cost leadership** competes on **price** in a narrow market. It does not necessarily charge the lowest prices in the industry: it charges low prices relative to other firms competing within the target market (SM 3.32).
- **Focused differentiation** offers **unique features** that fulfil the demands of a narrow market, defined for example by one sales channel (selling over the internet only) or a demographic group: Rolls-Royce's limited number of high-end, custom-built cars (SM 3.33).

Achieving focus (SM 3.33): (1) select specific niches not covered by cost leaders and differentiators; (2) create superior skills for catering to such niches; (3) generate high efficiencies in serving them; (4) develop innovative ways of managing the value chain.

Advantages (SM 3.33): (1) premium prices can be charged for the focused products or services; (2) because of the firm's tremendous expertise, rivals and new entrants may find it difficult to compete.

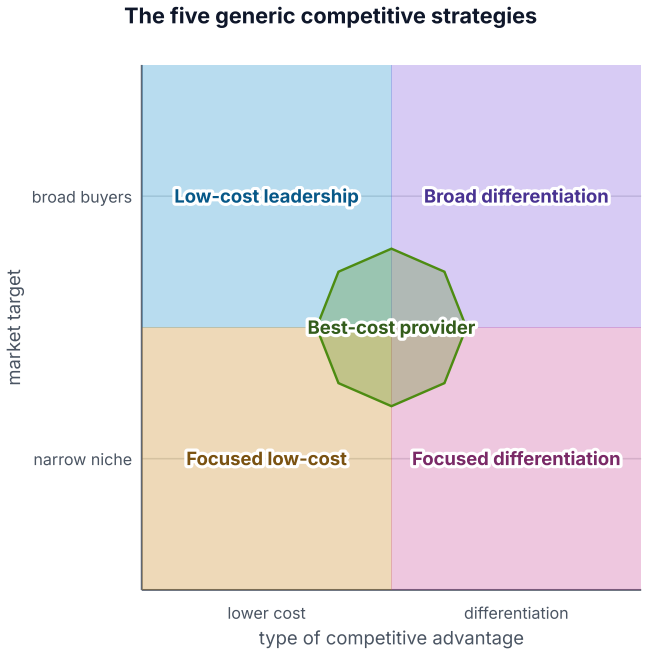
Disadvantages (SM 3.33): (1) firms lacking distinctive competencies may not be able to pursue it; (2) limited demand makes costs high; (3) in the long run the niche could disappear or be taken over by larger competitors acquiring the same distinctive competencies.

Best-cost provider strategy

A further development of the three generic strategies, directed towards giving customers **more value for the money** by emphasising both **low cost and upscale differences**. The objective is to keep costs and prices lower than those of other sellers of **"comparable products"**. It can be done by (SM 3.34):

- (a) offering products at a **lower price** than rivals for products with **comparable quality and features**; or
- (b) charging a **similar price** as rivals for products with **much higher quality and better features**.

Android flagship phones from OnePlus, Xiaomi, Oppo and Vivo, giving better quality at the lowest prices to penetrate the market, are the Study Material's example (SM 3.34).



After the Study Material's figure (SM 3.34): the best-cost provider sits between lower cost and differentiation, and between the broad market and the niche. Sky blue: overall low-cost leadership; violet: broad differentiation; amber: focused low-cost; pink: focused differentiation; green: best-cost provider.

Worked examples

Worked example **Five ways to sell a cup**

Identify the generic strategy of each player in India's café industry, and explain how it gains competitive advantage.

(a) **ChaiNation** sells one standard cup of chai at the lowest price in the country through 3,000 identical no-frills kiosks, buying tea and milk centrally in huge volumes.

(b) **BrewBucks** sells signature drinks, designed cafés and a global brand to customers across the country, at prices well above everyone else's.

(c) **Royal Kulhad Events** sets up custom chai bars only for luxury weddings in Udaipur and Jaipur, with hand-painted kulhads and rare teas.

(d) **Kota Cutting** serves students in Kota's coaching district only, at prices below the hostel canteens there, though not the lowest in India.

(e) **Tapri Smart** offers café-quality cold brews and kulhad chai at the same price as rivals' ordinary chai.

MODEL ANSWER

According to Porter, strategies allow organisations to gain competitive advantage from three bases: cost leadership, differentiation and focus.

(a) Cost leadership. ChaiNation produces a standardised product at a very low per-unit cost for price-sensitive buyers in the broad market. Bulk procurement, standardisation and economies of scale let it charge the lowest price and still earn satisfactory profits.

(b) Differentiation. BrewBucks targets the broad market with products and an experience perceived as unique (design, brand image, features), directed at relatively price-insensitive customers, so it can charge a premium and build loyalty.

(c) Focused differentiation. It offers unique features that fulfil the demands of a narrow market (luxury weddings in two cities). Its expertise makes it difficult for rivals and new entrants to compete, and it can charge premium prices.

(d) Focused cost leadership. It competes on price in a narrow market, charging low prices relative to the other firms competing within that target market, not necessarily the lowest prices in the industry.

(e) Best-cost provider. It gives more value for the money by charging a similar price as rivals for much higher quality and better features.

Interactive version: PassBook app, lesson Porter's generic strategies

Worked example **Sasti Chuski**

Tapri plans "Sasti Chuski", one standard tea premix sold through kirana stores across India at a price below every national brand. It will run one large automated plant, buy tea at auction in bulk and spend almost nothing on advertising. Kesar calls the advertising cut "pure savings, no downside".

(i) Identify the generic strategy and state the market conditions in which it is especially effective.

(ii) Discuss the disadvantages of the strategy, with reference to Tapri's plan, and comment on Kesar's view.

MODEL ANSWER

(i) Strategy: cost leadership. According to Porter, strategies allow organisations to gain competitive advantage from three bases: cost leadership, differentiation and focus. Tapri is pursuing cost leadership: a low-cost competitive strategy aimed at the broad mass market (kirana stores across India), producing a standardised product at a very low per-unit cost for price-sensitive buyers. It requires vigorous cost reduction in procurement, production, storage and distribution and economies in overheads; bulk buying at auction and one large automated plant serve that purpose. Because of its lower costs, Tapri can charge a lower price than most competitors and still earn satisfactory profits.

Conditions for effectiveness. Striving to be a low-cost producer is especially effective:

- when the market is composed of many price-sensitive buyers;
- when there are few ways to achieve product differentiation;
- when buyers do not care much about differences from brand to brand; and
- when there are a large number of buyers with significant bargaining power.

(ii) Disadvantages of cost leadership, applied to the plan:

1. The cost advantage may not last long, as competitors may imitate cost reduction techniques: national brands can also automate and buy in bulk.
2. Cost leadership can succeed only if the firm achieves higher sales volume: one large plant pays only if Sasti Chuski sells in volume across India.
3. Cost leaders keep costs low by minimising advertising, market research and R&D, but this approach can prove expensive in the long run.
4. Technological advancement is a great threat to cost leaders: a cheaper process adopted by a rival can wipe out the advantage of Tapri's plant.

Comment on Kesar's view. The advertising cut is not "pure savings": the Study Material lists minimising advertising, market research and R&D as a disadvantage of cost leadership, because the saving can prove expensive in the long run. Cost leadership can give Tapri a strong competitive advantage only if the market conditions above hold and it guards against these risks.

Worked example **Two roads to Kulhad Gold**

Tapri wants to sell a premium "Kulhad Gold" chai in all 40 of its cities at twice the price of regular Tapri chai. Two managers propose how to make it unique:

- **Ritu's proposal**: a free refill for members, and each customer's name printed on a gold cup sleeve.
- **Ananya's proposal**: single-estate teas bought under ten-year exclusive contracts with three Darjeeling gardens, served in kulhads hand-thrown by Khurja potters who have agreed to work only for Tapri.

BrewBucks, in the same cities, already runs a membership programme and prints customers' names on its cups.

Required:

(i) Identify the generic strategy Tapri is pursuing with Kulhad Gold.

(ii) Which proposal gives Tapri the more durable basis for this strategy? Explain with reference to the risks of the strategy.

(iii) What should Tapri do before committing to either proposal?

MODEL ANSWER

(i) Differentiation. According to Porter, strategies allow organisations to gain competitive advantage from three different bases: cost leadership, differentiation and focus. Kulhad Gold is aimed at the broad mass market (all 40 cities) and involves the creation of a product perceived by customers as unique, through its features, design and brand image. Because of the differentiation, Tapri can charge a premium: here, twice the regular price.

(ii) Ananya's proposal. Differentiation does not guarantee competitive advantage if rapid imitation by competitors is possible; durable products protected by barriers to quick imitation are better. One risk of the strategy is that competitors may develop ways to copy the differentiating features quickly, so firms must find **durable sources of uniqueness** that cannot be imitated quickly or cheaply by rival firms.

- Ritu's refill and printed sleeves can be copied at once: BrewBucks already runs a membership programme and prints names on its cups.
- Ananya's exclusive ten-year contracts with the gardens and the potters are barriers to quick imitation: no rival can buy the same teas or the same kulhads during the contracts.

The second risk applies to both proposals: the unique product may not be valued highly enough by customers to justify the higher price, and when this happens a cost leadership strategy will easily defeat a differentiation strategy.

(iii) Study the buyers first. Differentiation strategy should be pursued only after a careful study of buyers' needs and preferences, to determine the feasibility of incorporating one or more differentiating features into a unique product that has the customers' desired attributes. Tapri should find out whether its customers value single-estate tea and artisan kulhads enough to pay twice the price. If they do, successful differentiation will let it charge the higher price and gain customer loyalty, as customers become strongly attached to the differentiated features.

Exam angle

In the exam

Where the generic strategies appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 23 ask about this lesson:

- **Descriptive, 5 marks**: cost leadership, its conditions and disadvantages (January 2026 Q6(b), 1 + 4); differentiation, its bases and the measures to achieve it (May 2025 Q7(b), 1 + 2 + 2); "Explain in brief the various basis of differentiation strategies" (MTP January 2025 Series I Q3(b)).
- **Identify and explain, 5 marks**: differentiation with its disadvantages (May 2026 Q5(b)), the measures to achieve it (RTP May 2024 Q11) or its advantages against the five forces (RTP September 2024 Q11); focused strategies with advantages and disadvantages, a baby-care firm pricing low for one niche and premium for another (September 2024 Q5(c)); best-cost provider, "explain the strategy briefly and enumerate the key ways" it was implemented (September 2025 Q5(a)); focused differentiation (RTP May 2025 Q11; RTP September 2026 Q13); three companies, three strategies (MTP May 2025 Series II Q1(b)).
- **MCQs, 1 or 2 marks**: focused differentiation (September 2024 MCQ 12; May 2026 MCQ 9; MTP May 2024 Series II (A)(v)); best-cost provider (May 2026 MCQ 14, choose the actions that fit; MTP September 2024 Series I (A)(iii); MTP September 2024 Series II (A)(v); MTP January 2026 Series I (A)(ii); RTP September 2026 MCQ 1(iii)); cost leadership (RTP May 2024 MCQ 4, the risk from technological breakthroughs; MTP September 2024 Series II (B)(ii); MTP September 2025 Series II (A)(v); MTP May 2026 Series II (A)(v); RTP September 2024 MCQ 1(ii)); differentiation (MTP January 2025 Series I (A)(ii); MTP January 2026 Series II (A)(v); MTP May 2024 Series I (A)(iii), why it fell short; RTP September 2025 MCQ 1(iii); RTP January 2026 MCQ 1(v); RTP May 2026 MCQ 5); September 2026 MCQ 12 (answers not yet published).

In the exam

How the marks are earned

ICAI's suggested answers start with the same line ("According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies"), name the strategy, apply its definition to the case facts, then give the list asked for (conditions, measures, advantages against the five forces, or disadvantages) in the Study Material's order.

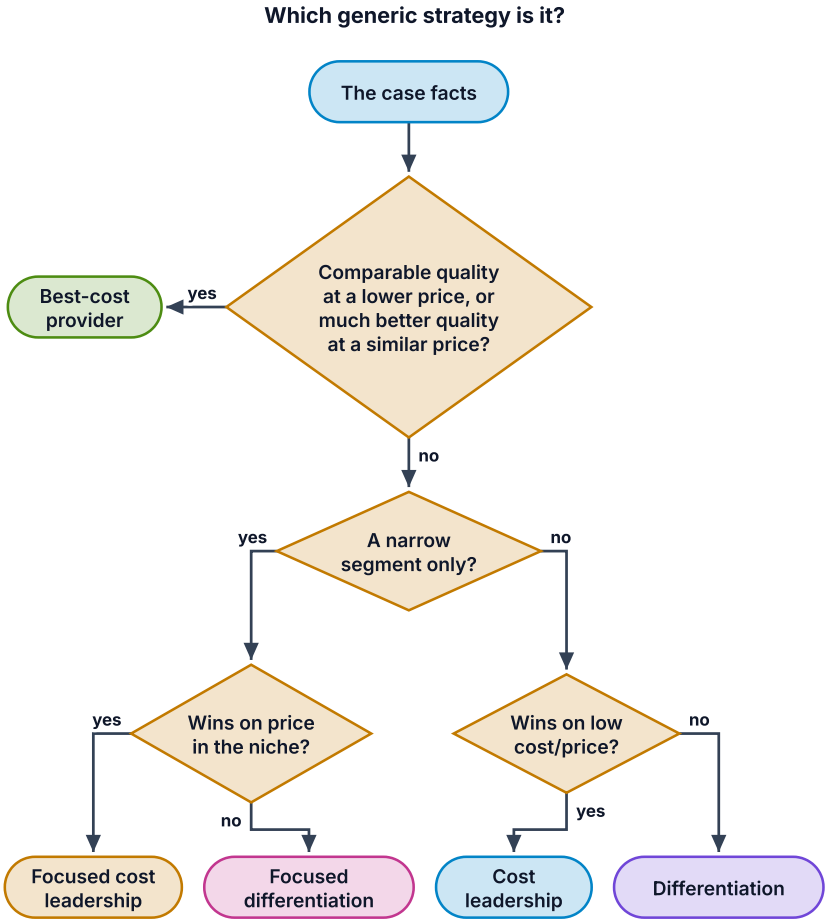
Trick

Two questions, then a third

How wide? The whole market, or one niche? **Win how?** On cost and price, or on uniqueness? Broad and price: cost leadership. Broad and unique: differentiation. Niche and price: focused cost leadership. Niche and unique: focused differentiation. Then ask: **against rivals' comparable products, the same quality at a lower price, or much better quality at a similar price?** Best-cost provider. Condition: a niche player's prices are judged against rivals in its niche, not the whole industry.

Answer frame

"Identify the strategy" in a case



A reading aid built on the Study Material's definitions, not an ICAI procedure. Colours as in the five-strategies figure: green best-cost, amber focused low-cost, pink focused differentiation, sky blue cost leadership, violet differentiation.

Then write: the opening line on Porter's three bases; the strategy named; its definition applied to the case facts; the list the question asks for.

The lists, in the Study Material's order

Asked	Cost leadership	Differentiation	Focus
How to achieve	6 measures: forecasting, resources, scale, standardisation, technology, resisting differentiation	6 measures: utility and tastes, performance, quality, innovation, brand, value-based pricing	4: niches, superior skills, efficiencies, value chain
Advantages	The five forces: rivalry, buyers, suppliers, entrants, substitutes	The five forces	2: premium prices; expertise deters rivals and entrants
Disadvantages	4: imitation, volume, low spending on advertising and R&D, technology	3: uniqueness hard to sustain, too high a price, basis not valued	3: competencies needed, high costs, niche disappears or is taken over

Common mistakes

⚠ **Common mistake**

Hall of Shame: the cheap niche player called a cost leader

Kota Cutting is cheaper than the hostel canteens, so Bunty writes "cost leadership". **Fix:** it serves a narrow market and charges low prices relative to firms in that market, not the lowest prices in the industry: **focused cost leadership**.

⚠ **Common mistake**

Premium means focus

Charging a premium does not make a strategy "focus". **Fix:** a premium product sold to the broad market (all cities, all customer groups) is **differentiation**; it is focused differentiation only when the target is a narrow segment.

⚠ **Common mistake**

Best-cost provider confused with cost leadership

"Low price and good features" written as cost leadership. **Fix:** a cost leader sells standardised products cheaply; the best-cost provider gives more value for money: a lower price for comparable quality, or a similar price for much higher quality.

⚠ **Common mistake**

Advantages written as a general list

Asked "how will this strategy help the company remain profitable?", students write "more profit, more customers". **Fix:** the Study Material's answer is the five forces, one by one: rivalry, buyers, suppliers, entrants, substitutes.

Practice

Check yourself

1 Case scenario. Netra Seva Trust, a charitable hospital chain, performs standard operations (cataract, hernia, knee replacement) for patients from every state at the lowest prices in India. It standardises every procedure, buys implants in bulk and keeps its operation theatres running at full capacity. Which statement is correct?

- A It follows none of Porter's strategies: they apply only to firms that seek profit
- B It follows differentiation, because a charity is unique
- C It follows cost leadership: generic strategies can be pursued by any type or size of organisation, even a not-for-profit one
- D It follows the best-cost provider strategy, because the prices are low

2 Case scenario. A company makes hand-built electric bicycles only for professional mountain racers, with custom frames and parts no mass maker offers, at very high prices. This is:

- **A** Differentiation
- **B** Focused differentiation
- **C** Focused cost leadership
- **D** Cost leadership

3 Which of the following correctly distinguishes the best-cost provider from the cost leader?

- **A** The best-cost provider always charges the lowest price in the industry
- **B** The best-cost provider serves only one narrow niche
- **C** The best-cost provider charges a premium for features no rival offers
- **D** The best-cost provider keeps its price below that of sellers of comparable products, or matches their price with much better quality, whereas the cost leader sells standardised products at a very low unit cost to price-sensitive buyers

4 Which of the following are disadvantages of cost leadership given in the Study Material? Select all that apply.

- **A** Competitors may imitate cost reduction techniques
- **B** It can succeed only with higher sales volume
- **C** Customers may not value the unique features
- **D** Technological advancement is a great threat

More than one answer may be right.

5 A differentiator can absorb higher costs of supplies. Against which competitive force does this help?

- **A** Rivalry
- **B** Buyers
- **C** Suppliers
- **D** Substitutes

Answers: the answer key at the end of this lesson.

Interactive version: PassBook app, lesson Porter's generic strategies

Recap

- Competitive advantage: profitability above the industry average, from unique features the target market sees as superior, which rivals fail to duplicate.

- Porter's generic strategies: cost leadership, differentiation, focus; generic because any type or size of firm, even not-for-profit, can pursue them; each needs different arrangements, controls and incentives.
- Cost leadership: standardised products, very low unit cost, price-sensitive broad market; effective with many price-sensitive buyers and few ways to differentiate; 6 measures, five-force advantages, 4 disadvantages.
- Differentiation: unique industry-wide, premium price, price-insensitive buyers; bases: product, pricing, organisation; 6 measures, five-force advantages, 3 disadvantages.
- Focus: a narrow segment of sufficient size and growth, not crucial to major rivals; focused cost leadership (low prices relative to the niche's rivals) or focused differentiation (unique features for the niche); 4 measures, 2 advantages, 3 disadvantages.
- Best-cost provider: more value for money, a lower price for comparable quality or a similar price for much better quality (Android flagships).
- Answer pattern: Porter's three bases, the strategy named, its definition applied to the case, then the list asked for. (The vada pav leads on cost; the Udaipur wedding caterer focuses on uniqueness.)

Answer key · Check yourself

1 **C** **It follows cost leadership: generic strategies can be pursued by any type or size of organisation, even a not-for-profit one**

Standardised services at a very low unit cost for price-sensitive buyers in the broad market, through economies of scale and optimum utilisation of resources: cost leadership. Porter called the strategies generic because any type or size of business firm, and even a not-for-profit organisation, can pursue them (SM 3.25). Best-cost would need better quality than rivals' comparable services at a similar or lower price.

2 **B** **Focused differentiation**

Unique features for a narrow market. Plain differentiation would target the broad market.

3 **D** **The best-cost provider keeps its price below that of sellers of comparable products, or matches their price with much better quality, whereas the cost leader sells standardised products at a very low unit cost to price-sensitive buyers**

Best-cost means more value for the money: low cost combined with upscale differences, judged against comparable products (SM 3.34). The lowest price for a standard product is cost leadership; one narrow niche is focus; a premium for unique features is differentiation.

4 **A** **Competitors may imitate cost reduction techniques**; **B** **It can succeed only with higher sales volume**; **D** **Technological advancement is a great threat**

"Customers may not value the basis" is a disadvantage of differentiation.

5 **C** **Suppliers**

Because differentiators charge a premium price, they can absorb higher costs of supplies (SM 3.31).

CHAPTER 4

Strategic Choices

4.1 Growth strategies: integration and diversification

How a firm grows: intensifying, diversifying (concentric through vertical or horizontal integration, or conglomerate), innovating, merging or acquiring, and forming strategic alliances.

In plain words

Kesar wants to be bigger than BrewBucks

Tapri Tea Co. Ltd makes chai premix in Indore and sells it through shops and its own kulhad cafés. BrewBucks has just opened coffee shops in twelve of Tapri's cities, and Kesar has called a 7 a.m. meeting.

> **Kesar:** Ananya, we must grow. Buy a tea garden in Assam! Buy Kadak Chai! And start making cricket bats.
>
> **Ananya:** Those are three different strategies, Kesar-ji. Only one has nothing to do with chai.
>
> **Kesar:** Cricket bats. Everyone at a tapri talks about cricket. Sab adjust ho jayega.

Growth (**expansion**) means enlarging the scope of the business and putting substantially more money into it. Every way of doing it answers one question: *how is the new business linked to the old one?*

- More of the present products, to present or new customers, or related new items for present customers: **intensification**.
- A business linked to chai by process, technology or marketing: **concentric diversification**. The tea garden is the step *before* Tapri's factory in the chain (**backward integration**); the kulhad cafés, which sell to the drinker, are the step *after* it (opening them was **forward integration**); Kadak Chai, a rival premix maker, is the *same* step (**horizontal integration**).
- A business with no link at all: **conglomerate diversification**. That is the cricket bat.

Tapri can grow alone (intensifying, diversifying, **innovating**), or with others: a **merger** or **acquisition** (two firms become one) or a **strategic alliance** (two firms work together and stay separate).

Think of it like

The tailor who wants to grow

A tailor can stitch more shirts for the same customers; start making shoes for them; buy the cloth mill that supplies him; open a showroom for his shirts; buy the tailor shop next door; or open a mobile-repair counter. The first is intensification. The next four are related moves: shoes sold to his own customers, then backward, forward and horizontal. The last is conglomerate: nothing he knows about shirts helps him repair phones.

Key idea

Classify a growth move by its link with the present business. Linked by process, technology or marketing: concentric, either vertical (an earlier or later step of the same chain) or horizontal (the same step). No link of product, market or technology: conglomerate.

How it works

Expansion in ICAI's words

Expansion is one of the four corporate strategies, with stability, retrenchment and combination (SM 4.4–4.5; the other three are in stability and retrenchment, and the corporate level itself in strategy levels).

Definition

Growth/Expansion strategy

Growth/Expansion strategy is implemented by redefining the business by enlarging the scope of business and substantially increasing investment in the business. It is a strategy that can be equated with dynamism, vigour, promise and success. (SM 4.7)

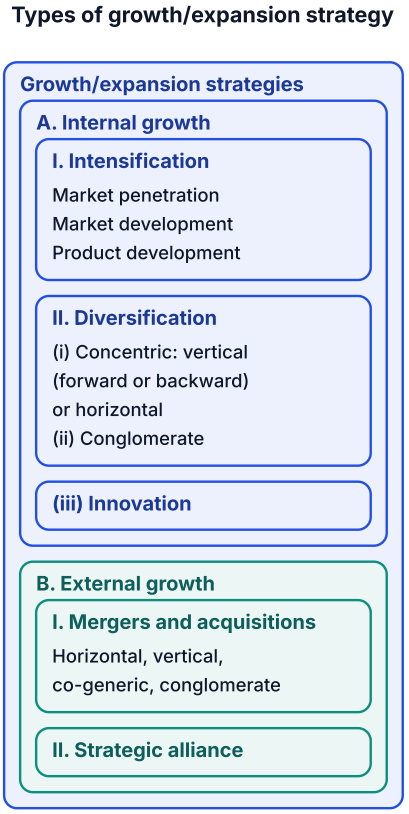
Characteristics (SM 4.7–4.8):

1. It involves a **redefinition of the business** of the corporation.
2. It is the **opposite of stability**: rewards in stability are limited, in expansion very high; the risks are opposites too.
3. It leads to **business growth**; a firm with a mammoth growth ambition can meet its objective only through expansion.
4. **Renewal** of the firm through fresh investments and new businesses, products or markets is facilitated only by expansion.
5. It is a **highly versatile** strategy, offering several permutations and combinations for growth: by altering its propositions regarding products, markets and functions, the firm can generate many alternatives and pick the one that suits it most.
6. It holds within its fold two major routes, **intensification and diversification**; both are growth strategies, and the difference lies in the way the firm actually pursues the growth.

Major reasons for expansion strategy (SM 4.8):

1. It may become imperative when the environment demands an increase in the pace of activity.
2. Strategists may feel more satisfied with the prospects of growth; chief executives may take pride in presiding over organisations perceived to be growth-oriented.
3. Expansion may lead to greater control over the market vis-a-vis competitors.
4. Advantages from the experience curve and scale of operations may accrue.
5. Expansion also includes intensifying, diversifying, acquiring and merging businesses (the line that leads into the types of growth below; ICAI's answer to MTP September 2024 Series II Q3(b) lists it as the fifth reason).

The family tree of growth



The Study Material's classification (SM 4.8–4.18). It names two internal routes, intensification and diversification, then numbers innovation (iii), straight after concentric (i) and conglomerate (ii) diversification. Blue: growing with the firm's own resources; teal: growing with other organisations.

I. Intensification: more from what you have

The organisation grows internally by intensifying its operations, cashing in on its internal capabilities and internal resources (SM 4.8–4.9):

- **Market penetration**: highly common; concentration on the current business, the firm directing its resources to the profitable growth of its existing product in the existing market.
- **Market development**: marketing present products to customers in related market areas, by adding different channels of distribution or by changing the content of advertising or the promotional media.
- **Product development**: substantial modification of existing products, or creation of new but related items that can be marketed to current customers through established channels.

These are three cells of Ansoff's product-market grid, where Table 3 lists the options under each.

Interactive version: PassBook app, lesson Growth strategies: integration and diversification

II. Diversification: a new business

> **Definition**
>
> **Diversification**
>
> Diversification is defined as an entry into new products or product lines, new services or new markets, involving substantially different skills, technology and knowledge. (SM 4.9)

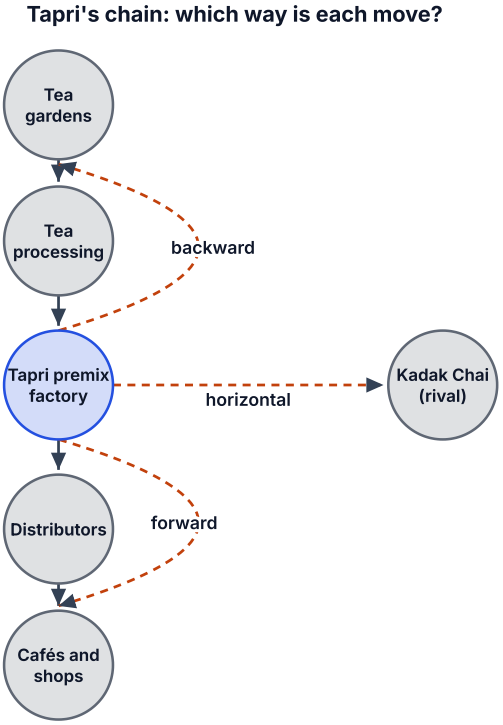
Innovative and creative firms feel that diversification offers greater prospects of growth and profitability than intensification (SM 4.9). Two reasons in the Study Material (SM 4.10):

1. **Better use of existing facilities and capabilities**: the firm may have excess capacity or capability in manufacturing facilities, investible funds, marketing channels, competitive standing, market prestige, managerial and other manpower, research and development, raw material sources and so forth.
2. **Synergy**: it may be possible to improve the sales and profits of existing products by adding suitably related or new products, because of linkages in technology and/or in markets.

Based on the nature and extent of the relationship with existing businesses there are two broad categories: **concentric** (into related business, for synergistic gains) and **conglomerate** (into unrelated business, to explore opportunities beyond existing areas of expertise).

(i) Concentric diversification (related): the new business is linked to the existing businesses through process, technology or marketing. The new product is a spin-off from the existing facilities and products or processes, so there are benefits of synergy with current operations; it is connected in a loop-like manner at one or more points in the firm's existing process, technology or product chain. ICAI's example: a company producing clothes ventures into the manufacture of shoes (SM 4.10). It is generally understood in two directions (SM 4.11–4.12):

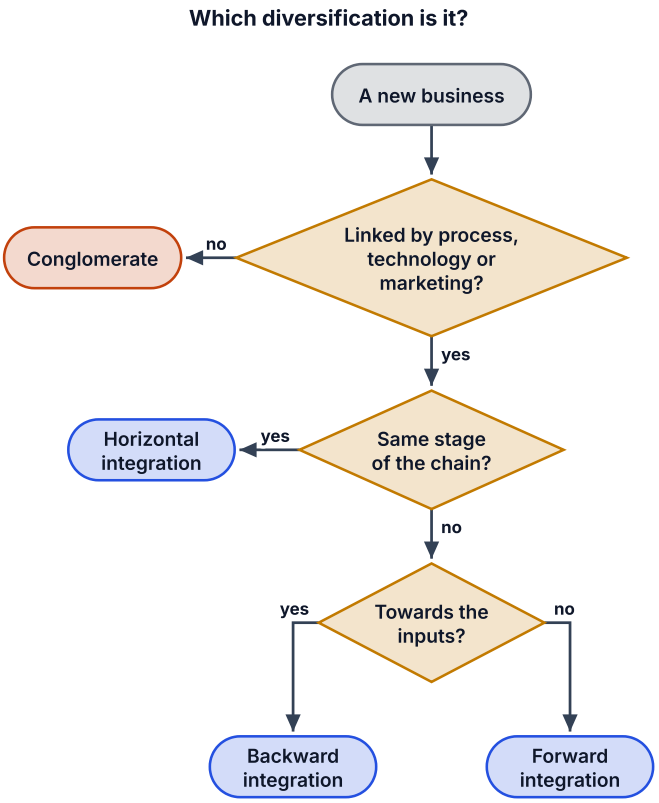
- **(a) Vertically integrated diversification**: the firm remains in the vertically linked product-process chain and moves forward or backward in it.
  - **Backward integration** is concerned with creation of effective supply by entering the business of input providers, to increase its own supply capability or lessen its cost of production. Example: a supermarket chain buys farms that supply its fresh produce.
  - **Forward integration** is moving forward in the value chain into business lines that use existing products, including the businesses of distribution channels. Example: a coffee bean manufacturer merges with a coffee café.
- **(b) Horizontal integrated diversification**: a firm gets horizontally diversified by integrating through acquisition of one or more similar businesses operating at the **same stage** of the production-marketing chain; it can also integrate with firms producing complementary products or by-products, or take over competitors' products. Example: textile mill 1 acquires textile mills 2 and 3.



Solid arrows: the product moving down the chain towards the customer. Orange dashed arrows: the directions in which Tapri (blue) can integrate; the other businesses are grey. Up towards the inputs is backward, down towards the customer is forward, the same stage is horizontal.

Interactive version: PassBook app, lesson Growth strategies: integration and diversification

(ii) Conglomerate diversification (unrelated): no linkages related to product, market or technology exist; the new businesses or products are disjointed from the existing ones in every way. In process, technology or function there is no connection between the new products and the existing ones; it has **no common thread at all** with the firm's present position. Example: a cement manufacturer diversifies into steel and rubber products (SM 4.12). Earlier the Study Material describes it as a new product with little or no affinity with the present product line, meant for a new class of customers, where both the technology and the market differ from the firm's present experience (SM 4.9–4.10).



Blue ends: the two directions of concentric (related) diversification, vertical (backward or forward) and horizontal. Orange end: conglomerate (unrelated).

Table 4 of the Study Material (SM 4.13) sets out the two:

Related diversification	Unrelated diversification
Exchange or share assets or competencies by exploiting: brand name; marketing skills; sales and distribution capacity; manufacturing skills; R&D and new product capability; economies of scale	Investment in new product portfolios; employment of new technologies; focus on multiple products; reduce risk by operating in multiple product markets; defend against takeover bids; provide executive interest

Is it worth diversifying into unrelated products? Despite its complexity, conglomerate diversification financially makes a lot of sense (SM 4.13): it gives access to a new pool of customers, expanding the customer base; it allows access to markets and cross-selling of new products, increasing revenues; and it eases the management of losses, since profits in one business can keep a loss-making business afloat within the same organisation.

(iii) Innovation

The Study Material lists expansion through innovation as item (iii), straight after the two kinds of diversification, within internal growth (SM 4.10, 4.13). Innovation drives upgradation of existing product lines or processes, leading to increased market share, revenues, profitability and, most

important, customer satisfaction. Some argue that innovation leads to unnecessary expenses that do not give as much returns; on the contrary, for long-term growth it offers (SM 4.13–4.14):

1. **Helps to solve complex problems**: a business finds opportunities in existing problems of society through planned innovation in areas of expertise, developing customer-centric sustainable solutions (the shift to solar, wind and sea-wave energy: costly at first, sustainable in the long run).
2. **Increases productivity**: innovation simplifies and often automates existing tasks (MS Excel for finance professionals), adding to the productivity of teams and the organisation, with a ripple effect across industries.
3. **Gives competitive advantage**: the faster a business innovates, the farther it goes from its competitors' reach; innovative products need less marketing, retain existing customers and help acquire new ones with ease.

B. External growth: mergers and acquisitions

Acquisition or merger with an existing concern is an **instant means** of achieving expansion: it circumvents the time, risks and skills involved in screening internal growth opportunities, seizing them and building up the resource base. Apart from the urge to grow, firms merge for **synergy**, which may come from physical facilities, technical and managerial skills, distribution channels, general administration, research and development and so on; only positive synergy is relevant, where the merged resources achieve more than the individual resources did before (SM 4.14–4.15).

- **Merger**: two or more companies come together to expand their business operations; the deal is finalised on friendly terms and both share profits in the newly created entity, combining to increase their strength and financial gains.
- **Acquisition**: one organisation takes over the other and controls all its business operations. The financially strong overpowers the weaker one, often during a recession or declining profit margins; the combined operations run under the name of the powerful entity, and the deal is often unfriendly, a forced association (SM 4.15).

The Study Material names four types of merger, quite similar to the types of diversification (SM 4.16–4.17):

Type of merger	Who combines	Purpose or example
Horizontal	Firms in the same industry: a direct competitor	Economies of scale by shedding duplication of installations and functions, widening the product line, less working capital and fixed assets, getting rid of competition; Brooke Bond Lipton India Ltd.
Vertical	Same industry, different stages of production or distribution	Taking over suppliers is backward integration, buyers or distribution channels forward; operating and financial economies; an advantage from restricting inputs to other players or supplying them at a higher cost
Co-generic	Firms related by production processes, business markets or basic technologies	Extending the product line, or acquiring components required in daily operations; diversifying around a common set of resources: a refrigerator maker with a kitchen-appliance firm
Conglomerate	Unrelated firms: no linkage of customer groups, functions or technologies	In practice some overlap exists

B. External growth: strategic alliance

Definition

Strategic alliance

A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is terminated. (SM 4.17)

Strategic alliances are often formed in the global marketplace between businesses based in different regions of the world. An alliance is usually formed only if it provides an advantage to all the parties. **Advantages** (SM 4.17–4.18):

1. **Organisational**: it helps to learn necessary skills and obtain capabilities from partners; partners may enhance productive capacity, provide a distribution system or extend the supply chain; a complementary good or service creates synergy; a well-known and respected partner adds legitimacy and credibility to a new venture.
2. **Economic**: costs and risks are reduced by distributing them across the members; greater economies of scale as production volume rises and cost per unit falls; co-specialisation creates additional value (a leading computer maker bundling a leading monitor maker's monitor).
3. **Strategic**: rivals join together to cooperate instead of competing; vertical integration where partners are part of the supply chain; pooling of resources and skills creates competitive advantage, future business opportunities and new products and technologies; access to new technologies or joint research and development.
4. **Political**: an alliance with a local foreign business gains entry into a foreign market despite local prejudices or legal barriers to entry; politically influential partners improve influence and

position.

Disadvantages (SM 4.18): the major disadvantage is **sharing**: of resources and profits, and of knowledge and skills that organisations may not like to share. Sharing is problematic for trade secrets; agreements protect them only as far as the parties are willing to abide by them or courts to enforce them. An ally may also become an opponent in future when it decides to separate out.

Worked examples

Worked example **Three acquisitions, three wrong labels**

Three acquisition proposals reach Tapri's board, each with its sponsor's label:

(i) **Dev** wants to buy Rail Chai Express, a chain of 120 railway-station tea stalls that today buys its premix from Tapri and from Kadak Chai. His label: "horizontal integration, because both of us sell chai."

(ii) **Ritu** wants to buy Malwa Flexi-Pack Pvt Ltd, which makes the laminated foil from which Tapri's premix sachets are formed. Her label: "conglomerate diversification: plastics have nothing to do with chai, so it spreads our risk."

(iii) **Kesar** wants to buy Meerut Willow Works, which makes cricket bats from English willow and sells them through sports shops. His label: "concentric diversification, because everyone at a tapri talks about cricket."

Required:

(a) Examine whether each label is correct, and identify the correct type of diversification with reasons.

(b) Which of the three proposals can give Tapri synergy with its present business?

MODEL ANSWER

(a)

(i) The label is incorrect: this is forward integration, a form of vertically integrated (concentric) diversification. Horizontal integration means acquiring similar businesses operating at the **same stage** of the production-marketing chain, such as another premix maker. Rail Chai Express buys Tapri's premix and sells tea to the traveller, so it is a later stage of the same chain. Forward integration is moving forward in the value chain into business lines that use existing products, including the businesses of distribution channels. Selling the same drink does not place the two businesses at the same stage.

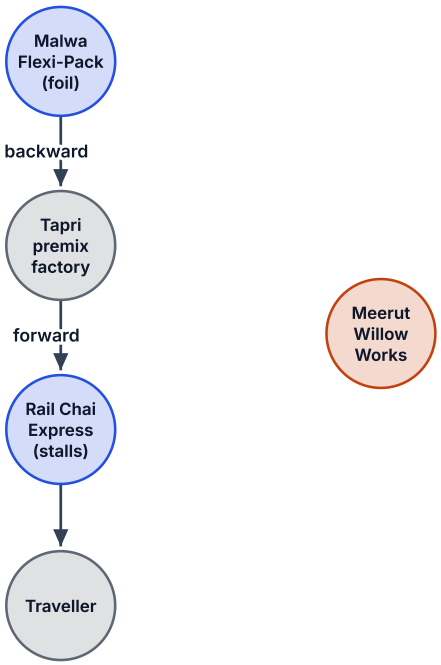
(ii) The label is incorrect: this is backward integration, a form of vertically integrated (concentric) diversification. The foil is an input to Tapri's product. Backward integration is concerned with creation of effective supply by entering the business of input providers, to increase the firm's own supply capability or lessen its cost of production. A business that looks unrelated can still be a link in the firm's own product-process chain; conglomerate diversification requires that no linkage exists at all.

(iii) The label is incorrect: this is conglomerate diversification. Concentric diversification needs a link with the existing business through process, technology or marketing. Bats are made from willow by a different process and sold through sports shops to cricketers, so no linkages related to product, market or technology exist; the new business has no common thread with Tapri's present position. What customers talk about over a cup is not a marketing link.

(b) Synergy. Concentric diversification brings benefits of synergy with current operations, because the new business is connected at one or more points of the firm's existing process, technology or product

chain. Proposals (i) and (ii) can therefore give synergy: (i) assured outlets for Tapri's premix, (ii) assured supply of packaging at lower cost. Proposal (iii) gives none: being conglomerate, it can only be justified as an opportunity beyond Tapri's existing areas of expertise.

The three proposals on Tapri's chain



Blue: the two proposals that sit on Tapri's own chain, the supplier above the factory and the buyer below it. Orange: the bat maker, with no link to the chain.

Worked example **Tapri and Kadak Chai share a desk and a truck**

Tapri and Kadak Chai Pvt Ltd compete for every grocery shelf in Madhya Pradesh. Both buy Assam CTC tea at the Guwahati auctions, and both send half-empty trucks to the North-East. They sign a five-year agreement: one joint buying desk at the auctions and one shared fleet of trucks to Guwahati and Shillong, with costs split by tonnage. Neither buys shares in the other; each keeps its own brands, blends and prices, and they go on competing in the shops.

Required:

(i) Identify the growth strategy, and state with reasons whether it is a merger.

(ii) Explain the advantages the two companies may derive, under the Study Material's categories.

(iii) State the main risk for Tapri.

MODEL ANSWER

(i) Strategic alliance, an external growth strategy. A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own; the strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is terminated. It is **not a merger**: in a merger two or more companies come together and share profits in a newly created entity, whereas here no new entity is created, no shares change hands and each company keeps its own business and profits.

(ii) Advantages:

1. **Organisational**: each partner extends its supply chain through the shared fleet and gains buying capacity at the auctions; each can learn skills from the other's buyers.
2. **Economic**: costs and risks are reduced by distributing them across the two members; larger joint volumes at the auction and full trucks give greater economies of scale, so the cost per kilogram falls.
3. **Strategic**: rivals join together to cooperate instead of competing in buying and transport, while still competing for customers; pooling resources and skills creates a competitive advantage against larger players such as BrewBucks.
4. **Political**: not a driver here. This category matters when an alliance with a local business helps a firm enter a foreign market despite local prejudices or legal barriers, or when a partner is politically influential.

(iii) Risk: sharing. The major disadvantage of an alliance is the sharing of resources, profits, knowledge and skills. Tapri's auction bids, volumes and quality grades will be visible to its closest rival; such information is protected by the agreement only as far as the partner is willing to abide by it or the courts to enforce it, and an ally may become an opponent when it decides to separate out. Here the ally is already an opponent in the shops.

Worked example **Four mergers on Dev's desk**

Dev, Tapri's CFO, has four merger proposals on his desk.

> **Kesar:** Merge with all four. Bigger is better.
>
> **Dev:** Bigger, yes. But I have discounted a bad merger twice, Kesar-ji, and it is still negative.

Classify each proposal by type of merger, with the reason in one line.

(a) Kadak Chai Pvt Ltd, which makes chai premix.

(b) Khurja Kulhad Works, which supplies clay cups to Tapri.

(c) Namkeen Nation Ltd, which makes the snacks sold with chai, using the same food-processing technology and the same shops.

(d) SolarSetu Ltd, which installs rooftop solar panels.

MODEL ANSWER

(a) Horizontal merger: firms engaged in the same industry; a merger with a direct competitor.

(b) Vertical merger: same industry, different stages; taking over a supplier of inputs is backward integration.

(c) Co-generic merger: associated through production processes, business markets and basic technologies; it extends the product line around common resources.

(d) Conglomerate merger: unrelated firms, with no linkage of customer groups, customer functions or technologies.

Exam angle

In the exam

Where growth strategies appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 24 ask about this lesson:

- **Distinguish concentric and conglomerate diversification, 5 marks**: RTP September 2024 Q14; MTP May 2024 Series I Q4(b); MTP May 2025 Series I Q3(b); MTP January 2026 Series I Q3(b); MTP September 2025 Series II Q4(a).
- **Vertically integrated diversification, forward versus backward, 5 marks**: May 2024 Q8(b); MTP January 2026 Series II Q4(a); as a case, RTP September 2025 Q13.
- **Expansion strategy and its characteristics, 1 + 4**: May 2025 Q8(b). **Identify the strategy from its definition and give the major reasons for it, 5 marks**: MTP September 2024 Series II Q3(b).
- **Innovation, 5 marks**: May 2024 Q6(a) (1 + 4: do you agree that innovation leads to unnecessary expenses? The answer disagrees, then gives the three things innovation offers); January 2026 Q7(b) (4 + 1: what innovation offers, and any risk involved). The MTPs repeat both: MTP May 2025 Series II Q3(b) the first, MTP September 2026 Series II Q3(b) the second.
- **Mergers and their types, 5 marks**: September 2025 Q7(b); MTP September 2024 Series II Q1(a).
- **Strategic alliance, 5 marks**: RTP January 2025 Q14; MTP January 2025 Series II Q4(b); MTP May 2024 Series II Q4(b); MTP September 2026 Series I Q1(c).
- **Identify the diversification**: RTP May 2025 Q13 and MTP May 2025 Series II Q2(a) (conglomerate); RTP May 2026 Q13.
- **MCQs, 2 marks**: conglomerate (May 2025 MCQ 11; RTP May 2026 MCQ 6; MTP January 2025 Series II (A)(iii)); concentric (January 2026 MCQ 11); forward integration (RTP September 2026 MCQ 1(ii)); strategic alliance (January 2025 MCQ 12; RTP May 2025 MCQ 3; RTP January 2026 MCQ 6; MTP January 2025 Series I (B)(ii)).

In the exam

The words that decide the answer

"No linkage ... with specific reference to product or market or technology" (May 2025 MCQ 11): conglomerate. "Greater control over its supply chain" (Organo, SM 4.36): backward. "Connect directly with consumers and increase its control over the distribution process" (RTP September 2026 MCQ 1(ii)): forward. "Continue to exist as independent entities while sharing resources, expertise and risks" (MTP September 2026 Series I Q1(c)): strategic alliance.

In the exam

The risk in innovation

The Study Material mentions only the argument that innovation "leads to unnecessary expenses that do not give as much returns" (SM 4.13). For the "risk involved" mark in January 2026 Q7(b), ICAI's suggested answer listed four risks of its own: high cost and financial risk, uncertain returns, technological uncertainty (rapid change may make an innovation obsolete) and implementation risk (poor execution or lack of capability).

Trick

Up, down, sideways

Draw the chain with raw materials at the top and the customer at the bottom. Moving **up** to suppliers is **backward**, **down** to customers is **forward**, staying at your own level is **horizontal**, leaving the chain is **conglomerate**. It works for any business with a production-marketing chain.

Answer frame

"Identify the growth strategy" (5 marks)

1. **Name it**: "The strategy adopted is backward integration, a form of vertically integrated (concentric) diversification."
2. **Define it** in the Study Material's words.
3. **Apply** the facts: which link exists, which stage of the chain is entered.
4. **Conclude**, then what else is asked (advantages, risks, the difference from another type).

"Distinguish between concentric and conglomerate diversification"

ICAI's suggested answers (RTP September 2024 Q14 and four MTPs) give three points:

Point	Concentric diversification	Conglomerate diversification
(i) What is added	Related products or markets	Areas unrelated to the current line of business
(ii) Linkage	Linked to the existing businesses through process, technology or marketing	No such linkages; disjointed from the existing businesses
(iii) Usual reason	Opportunities are available in the existing line of business	Opportunities in the current line are limited, or outside are highly lucrative

Point (iii) is from ICAI's suggested answers; the Study Material gives (i) and (ii) (SM 4.10–4.12). For "Explain the expansion strategy and its characteristics" (1 + 4), write the definition, then the characteristics in the Study Material's order (May 2025 Q8(b)).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the supermarket that "integrated horizontally" with a farm

Buying farms is called horizontal "because the supermarket gets bigger". **Fix:** horizontal is the *same* stage (another supermarket). Farms supply the supermarket, so it is **backward** integration (SM 4.11).

⚠ **Common mistake**

Forward and backward swapped

"Backward" read as "going back to an old business". **Fix:** direction is about the chain: towards inputs is backward, towards distribution and the customer is forward.

⚠ **Common mistake**

Calling every partnership a merger

Fix: if both firms remain separate entities sharing resources, benefits and control, it is a **strategic alliance**; a merger creates one entity. (Where ICAI's facts said two firms "join forces" to design products, without saying they stay separate, the answer was a co-generic merger: MTP September 2024 Series II Q1(a).)

⚠ **Common mistake**

"Unrelated because it is a new product"

Fix: a new product linked by process, technology or marketing is concentric (clothes to shoes; a dairy launching vegan yogurt and organic milk, January 2026 MCQ 11). Conglomerate needs *no* link.

Practice

Check yourself

1 Case scenario. Tapri's premix reaches shops through 300 independent distributors. Kesar suspects that several of them push Kadak Chai harder because it pays a higher margin, so Tapri buys Sharma Distributors, its largest distributor in Madhya Pradesh, and keeps it as a Tapri-only channel. Which strategy is this?

- A Forward integration
- B Backward integration, because Tapri depends on the distributor
- C Horizontal integration, because Sharma Distributors also handles premix
- D Conglomerate diversification

2 Tapri acquires Chai Chaupal Games, which designs tea-themed board games, has them printed in Sivakasi and sells them through toy shops and online toy stores. Which type of diversification is this?

- **A** Concentric diversification, because the games are about tea
- **B** Horizontal integration
- **C** Backward integration
- **D** Conglomerate diversification

3 Tapri and a Singapore logistics firm run a joint cold-chain service for five years, sharing costs and profits; both stay separate companies. Select all that apply.

- **A** It is a strategic alliance
- **B** The partners maintain their status as independent and separate entities
- **C** It is a horizontal merger, because both gain economies of scale
- **D** Sharing of knowledge and skills is its major disadvantage

More than one answer may be right.

4 Which is an advantage of **related** diversification in the Study Material's Table 4?

- **A** Defend against takeover bids
- **B** Provide executive interest
- **C** Sharing sales and distribution capacity
- **D** Employment of new technologies

5 A maker of ceiling fans merges with a maker of LED lights. Neither competes with the other, neither supplies the other, and both sell through the same electrical retailers using similar motor-and-electronics know-how, so the fan maker extends its product line. The merger is:

- **A** Horizontal
- **B** Co-generic
- **C** Vertical
- **D** Conglomerate

Answers: the answer key at the end of this lesson.

Recap

- Corporate strategies: stability, expansion, retrenchment, combination (SM 4.4).
- Expansion: redefining the business by enlarging scope and substantially increasing investment; opposite of stability in risk and reward; routes: intensification and diversification.
- Internal growth: intensification (penetration, market development, product development), diversification, innovation; external: mergers and acquisitions, strategic alliance.

- Concentric = linked by process, technology or marketing: vertical (backward to inputs, forward to distribution) or horizontal (same stage).
- Conglomerate = no linkage of product, market or technology.
- Mergers: horizontal, vertical, co-generic, conglomerate.
- Strategic alliance: partners stay independent; advantages organisational, economic, strategic, political; the major disadvantage is sharing. (The cricket bats stay a dream.)

Answer key · Check yourself

1 **A Forward integration**

The distributor is the next stage of Tapri's chain, between the factory and the shop: moving into the business of the distribution channel is forward integration. Backward is towards inputs (tea, milk, packaging); depending on a business does not set the direction. Horizontal would be another premix maker.

2 **D Conglomerate diversification**

Concentric diversification needs a link through process, technology or marketing. Designing and printing games, toy-shop channels and game buyers have nothing in common with making and selling premix: no linkage of product, market or technology. A shared theme is not a link.

3 **A It is a strategic alliance; B The partners maintain their status as independent and separate entities; D Sharing of knowledge and skills is its major disadvantage**

No new entity is created, so it is not a merger; sharing is the disadvantage the Study Material names first.

4 **C Sharing sales and distribution capacity**

Shared sales and distribution capacity is a related-diversification advantage; the other three are listed under unrelated.

5 **B Co-generic**

Related through business markets and basic technologies, extending the product line around a common set of resources, but neither a direct competitor (horizontal) nor a supplier or buyer (vertical): co-generic (SM 4.16). Conglomerate would need no linkage at all.

4.2 Stability and retrenchment: turnaround, divestment and liquidation

When a firm holds its course (stability), and when it pulls back: turning a declining business around, divesting a part, or liquidating; plus combination strategy.

In plain words

The samosa that stopped being crispy

Tapri has two very different businesses. Its chai premix is mature and steady: the same customers, the same shops, a comfortable share. Its frozen samosa division, Tapri Frozen, has lost money for three years.

> **Kesar:** Shut Tapri Frozen down. No, sell it. No, wait, I love that samosa.
>
> **Ananya:** Those are three different exits, Kesar-ji: fix it, sell it, or close it. And the order matters.
>
> **Dev:** Whichever you choose, choose it before the next interest payment.

For the premix, Tapri follows a **stability strategy**: stay in the same business, product and market, and become a little more efficient every year. It is not "do nothing": a mature product must keep pace with the market to keep its share.

For the samosa division, Tapri needs **retrenchment**, which the Study Material calls a **strategic exit**: substantially reducing the scope of activity. There are three, in a natural order. First try to reverse the decline by improving internal efficiency: **turnaround**. If that is not enough, cut off the part that bleeds, a division, product line or function: **divestment**. If nothing works, abandon the activities totally: **liquidation**.

A firm can also mix these with growth, expanding one business while retrenching another: a **combination strategy**.

Think of it like

The family car and the second car

Your family car is old but reliable: you service it on time and drive carefully (stability). The second car keeps breaking down: first a proper repair by a new mechanic (turnaround); if it still eats money, sell it so the family budget survives (divestment); and if the family can no longer run any car, sell everything for scrap (liquidation).

Key idea

Stability keeps the same business and improves it incrementally; it is not "do nothing". A declining business is first turned around (reverse the decline by improving internal efficiency); divestment of a part usually follows a turnaround that has failed; liquidation is the last resort, abandoning the activities totally.

How it works

The four corporate strategies

The corporate strategies a firm can adopt fall into four broad categories (SM 4.4–4.5); their basic features, in ICAI's words:

Strategy	Basic feature
Stability	The firm stays with its current businesses and product markets; maintains the existing level of effort; and is satisfied with incremental growth.
Expansion	Here, the firm seeks significant growth: maybe within the current businesses; maybe by entering new businesses that are related to existing businesses; or by entering new businesses that are unrelated to existing businesses.
Retrenchment	The firm retrenches some of the activities in some business(es), or drops the business as such through sell-out or liquidation.
Combination	The firm combines the above strategic alternatives in some permutation/combination so as to suit the specific requirements of the firm.

Expansion is in growth strategies. This lesson covers the other three.

Stability strategy

A firm opts for stability to safeguard its existing interests and strengths, pursue well established and tested objectives, continue in the chosen business path, maintain operational efficiency on a sustained basis, consolidate the commanding position already reached, and optimise returns on the resources committed (SM 4.5). It is pursued when the firm continues to serve the same or similar markets with the same or similar products and services; it is typical of firms whose products have reached the **maturity stage** of the product life cycle or who have a sufficient market share but need to retain it. They must keep pace with a dynamic market, so stability strategy should not be confused with 'do nothing' strategy (SM 4.5–4.6). Small organisations may also use it to consolidate before launching growth.

Characteristics (SM 4.6):

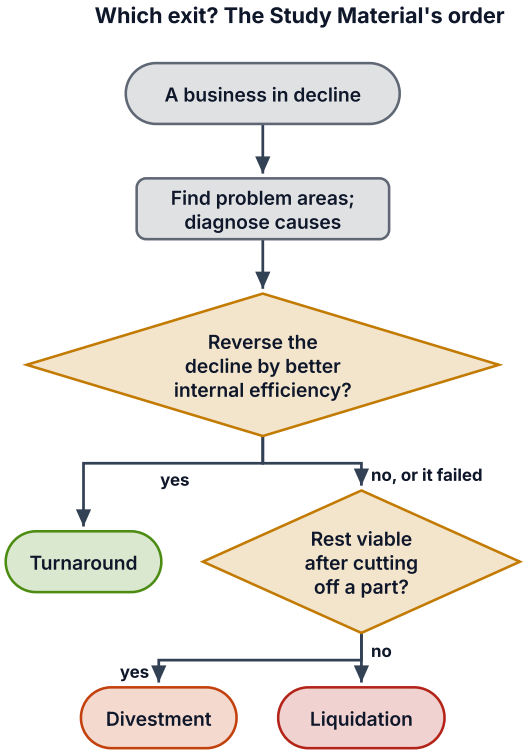
1. The firm stays with the same business, same product-market posture and functions, maintaining the same level of effort.
2. It enhances functional efficiencies in an incremental way, through better deployment and utilisation of resources.
3. It does not involve a redefinition of the business of the corporation.
4. It is a safe strategy that maintains status quo.
5. It does not warrant much fresh investment.
6. The risk involved is less.
7. The firm can concentrate on its resources and existing businesses, products and markets, building core competencies.
8. Firms with a modest growth objective choose it.

Major reasons (SM 4.6): (1) a product has reached the maturity stage of the product life cycle; (2) the staff feels comfortable with the status quo, as it involves less change and less risk; (3) the environment is relatively stable; (4) it is not advisable to expand, as expansion may be perceived as threatening; (5) after rapid expansion, a firm might want to stabilise and consolidate itself.

Start-ups rarely aim for stability (SM 4.7): a start-up is in the early stages of ideation and development, where speed and agility matter most; stability is meaningful when operations have expanded to full capacity and the business is mature.

Retrenchment: the strategic exits

Strategic exits are followed when an organisation **substantially reduces the scope of its activity**. It first finds the problem areas and diagnoses their causes, then takes steps to solve them; those steps are the kinds of retrenchment (SM 4.18–4.19):



A part means a loss-making unit, division or SBU, a product line or a function. Green: turnaround, which tries to reverse the decline; orange: divestment, usually after a turnaround has failed; rose: liquidation, abandoning the activities totally when none of these actions works (SM 4.18–4.21).

I. Turnaround strategy

Retrenchment may be done internally or externally. For internal retrenchment, emphasis is laid on **improving internal efficiency**, known as turnaround strategy (SM 4.19). The **danger signals** that a turnaround is needed if the company is to survive:

1. Persistent negative cash flow from business(es)
2. Uncompetitive products or services
3. Declining market share

4. Deterioration in physical facilities
5. Over-staffing, high turnover of employees, and low morale
6. Mismanagement

For a turnaround to succeed it must focus on the short and long-term financing needs as well as on strategic issues. A workable **action plan** has five stages (SM 4.19–4.20):

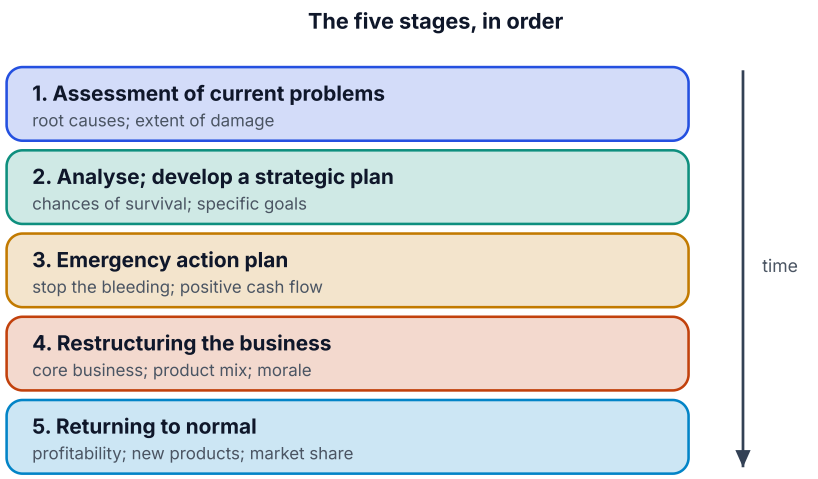
1 **Stage One – Assessment of current problems**: assess the current problems and get to the root causes and the extent of damage the problem has caused. Once the problems are identified, focus resources on the areas essential to correcting and repairing any immediate issues.

2 **Stage Two – Analyse the situation and develop a strategic plan**: before any major change, determine the chances of the business's survival; identify appropriate strategies and develop a preliminary action plan, looking for viable core businesses, adequate bridge financing and available organisational resources. Analyse the strengths and weaknesses in the areas of competitive position, and once the major problems and opportunities are identified, develop a strategic plan with specific goals and detailed functional actions.

3 **Stage Three – Implementing an emergency action plan**: if the organisation is in a critical stage, an action plan must stop the bleeding and enable it to survive. It typically includes human resource, financial, marketing and operations actions to restructure debts, improve working capital, reduce costs, improve budgeting practices, prune product lines and accelerate high-potential products. A positive operating cash flow must be established as quickly as possible, and enough funds raised to implement the turnaround.

4 **Stage Four – Restructuring the business**: the financial state of the core business is particularly important; if it is irreparably damaged, the outlook for the whole organisation may be bleak. Prepare cash forecasts, analyse assets and debts, review profits and other key financial functions. The product mix may be changed, requiring repositioning; neglected core products may need immediate attention; some facilities may be closed, or the organisation may withdraw from certain markets to become leaner or target a different niche. Morale building matters: reward and compensation systems that encourage dedication and creativity, and make employees think about profits and return on investment.

5 **Stage Five – Returning to normal**: the organisation should begin to show signs of profitability, return on investment and enhancing economic value added. Emphasis moves to strategic efforts such as carefully adding new products, improving customer service, creating alliances with other organisations and increasing the market share.



Learn the five stage names in this order: they carry most of the marks in a turnaround answer.

The **important elements** of a turnaround (SM 4.21): changes in the top management; initial credibility-building actions; neutralising external pressures; identifying quick payoff activities; quick cost reductions; revenue generation; asset liquidation for generating cash; better internal coordination.

Turnaround is not only for losses: it is relevant whenever a company is in a period of **poor performance**, which may also mean lower than expected growth, no future clarity, or less than target profits (SM 4.22).

II. Divestment strategy

Definition

Divestment strategy

Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. The option of a turnaround may even be ignored if it is obvious that divestment is the only answer. (SM 4.21)

Reasons (SM 4.21):

1. A business that had been acquired proves to be a mismatch and cannot be integrated within the company.
2. Persistent negative cash flows from a particular business create financial problems for the whole company.
3. Severity of competition and the inability of the firm to cope with it.
4. Technological upgradation is required for the business to survive, but the firm cannot do it.
5. A better alternative may be available for investment.

Characteristics (SM 4.22): it involves divestment of some of the activities in a business, or sell-out of some of the businesses as such; and it is to be viewed as an integral part of corporate strategy **without any stigma** attached.

The Study Material's "major reasons for retrenchment/turnaround strategy" (SM 4.22) repeat these five and add two at the top: the management no longer wishes to remain in business, partly or wholly, due to continuous losses and unviability; and the management feels the business could be made viable by divesting some activities or liquidating unprofitable ones.

III. Liquidation strategy

If neither a turnaround nor a divestment works, the organisation may choose to **abandon the activities totally**, resulting in a liquidation strategy (SM 4.18–4.19). The Study Material says no more about it: it is the last of the exits. Retrenchment's basic feature also speaks of dropping a business "through sell-out or liquidation" (SM 4.5).

Worked examples

Worked example **The Delhi cafés: in profit, still in trouble**

Tapri's 60 kulhad cafés in Delhi NCR have never made a loss. But since BrewBucks arrived in 2024 their market share has fallen from 21% to 15%; last year they earned ₹9 crore against a target of ₹20 crore; customer surveys rate their service the slowest in the city; the kitchens have not been renovated since 2019; and two of every three café managers resigned last year.

> **Kesar:** We are still in profit, na? Leave the Delhi cafés exactly as they are.

Required:

(i) Examine Kesar's view, and identify the strategy the Delhi NCR cafés need.

(ii) State the stages of the action plan for that strategy, applied to the case.

MODEL ANSWER

(i) Kesar's view and the strategy. Leaving the cafés as they are would be a stability strategy, which suits a firm that serves the same markets with the same products in a relatively stable environment and has a sufficient market share to retain. The Delhi cafés are losing share to a new competitor, so the environment is not stable and the share is not being retained.

Kesar assumes that only a loss-making business needs a turnaround. That is not correct: turnaround strategy is relevant when a company is experiencing a period of **poor performance**, and poor performance does not always mean losses; it may also mean lower than expected growth, no future clarity, or even lesser than target profits (SM 4.22). The cafés earn less than half their target profit, and several danger signals are present: **declining market share**, **uncompetitive services** (the slowest in the city), **deterioration in physical facilities** (kitchens not renovated since 2019) and **high turnover of employees**.

The cafés therefore need a **turnaround strategy**: internal retrenchment, in which emphasis is laid on improving internal efficiency to reverse the decline. For it to succeed, it must focus on the short and long-term financing needs as well as on strategic issues.

(ii) Stages of the action plan:

1. **Stage One – Assessment of current problems**: get to the root causes of the falling share and profit (BrewBucks' entry, slow service, manager resignations) and the extent of damage.

2. **Stage Two – Analyse the situation and develop a strategic plan**: determine the chances of the cafés' survival against BrewBucks, look for the viable core (locations, brand, loyal customers), and develop a strategic plan with specific goals and detailed functional actions.
3. **Stage Three – Implementing an emergency action plan**: the cafés are not in a critical stage, as they still earn a profit and a positive cash flow, so the emergency actions are limited: human resource actions to stop the loss of managers, operations actions to speed up service, and cost reduction.
4. **Stage Four – Restructuring the business**: review the financial state of each café; renovate the kitchens, or close cafés that cannot be repaired; reposition the menu against BrewBucks if needed; and rebuild morale through reward and compensation systems that encourage dedication and make managers think about profits and return on investment.
5. **Stage Five – Returning to normal**: the cafés should show profitability back at target, return on investment and enhancing economic value added, with improved customer service and an increasing market share.

Interactive version: PassBook app, lesson Stability and retrenchment: turnaround, divestment and liquidation

Worked example

Mumbai Bakes: closed, not sold

Tapri's bread unit, Mumbai Bakes, sold almost all its output to one airline caterer. In June the caterer lost its airline contract and stopped buying. No other buyer needs the unit's specialised sandwich loaves, and the factory's lease ends in October. Without attempting any revival, the board decides to close the unit in September, auction its ovens and transfer its 40 staff to the samosa plant; the rest of Tapri carries on. Kesar's press note calls the decision "Tapri's liquidation strategy".

Required:

(i) Identify the strategy adopted, with reasons.

(ii) Was the board wrong to close the unit without first attempting a turnaround?

(iii) Is Kesar right to call it a liquidation strategy?

MODEL ANSWER

(i) Divestment strategy, one of the strategic exits under retrenchment. Divestment strategy involves the sale **or liquidation** of a portion of business, or a major division, profit centre or SBU. Closing one unit and auctioning its assets, while the company continues its other businesses, is the liquidation of a portion of the business: divestment. The unit became unprofitable and unviable because of an external factor, the loss of its only customer, and divestment is the strategy adopted when a business turns unviable due to external factors, whereas turnaround is the internal form of retrenchment (SM 4.44).

(ii) No. Divestment is usually adopted when a turnaround has been attempted but has proved to be unsuccessful; however, the option of a turnaround may even be ignored if it is obvious that divestment is the only answer. A turnaround improves internal efficiency; it cannot replace a customer who has gone, create demand for a product no one else buys, or extend a lease that is ending. Divestment was obviously the only answer.

(iii) No. Liquidation strategy is the last of the strategic exits, adopted when neither a turnaround nor a divestment works and the organisation abandons its activities totally. Tapri abandons only one unit and carries on with the rest of its business. Divestment is to be viewed as an integral part of corporate strategy, without any stigma attached.

Interactive version: PassBook app, lesson Stability and retrenchment: turnaround, divestment and liquidation

Worked example

TapriNow's first hundred days

TapriNow, Tapri's delivery app, has lost money for three years. The board replaces its head with Zoya Siddiqui and asks her to turn it around. In her first hundred days she:

1. sells two warehouses that TapriNow no longer uses;
2. settles the complaints of the food-safety regulator and the riders' union that had stalled two city launches;
3. publishes TapriNow's true delivery times every week, including the bad weeks, so that customers and staff can trust the numbers again;
4. launches a paid "TapriNow Plus" membership for regular customers;
5. picks the three cities where adding lunch-hour riders would raise orders within weeks, and fixes those first;
6. renegotiates the cloud-server contract and stops the loss-making late-night service;
7. makes the tech, kitchen-partner and rider teams meet in one daily stand-up.

Required:

(a) Identify the element of turnaround strategy reflected in each of Zoya's actions.

(b) Which important element of turnaround is reflected in the board's own decision?

MODEL ANSWER

(a) The important elements of turnaround strategy, as listed in the Study Material (SM 4.21), are: changes in the top management; initial credibility-building actions; neutralising external pressures; identifying quick payoff activities; quick cost reductions; revenue generation; asset liquidation for generating cash; and better internal coordination.

Action	Element of turnaround
1. Sells unused warehouses	Asset liquidation for generating cash
2. Settles the regulator's and the union's complaints	Neutralising external pressures
3. Publishes true delivery times every week	Initial credibility-building actions
4. Paid membership for regulars	Revenue generation
5. Three cities with quick gains first	Identifying quick payoff activities
6. Server contract, late-night service	Quick cost reductions
7. One daily stand-up for all teams	Better internal coordination

(b) Changes in the top management. By replacing TapriNow's head with Zoya Siddiqui, the board itself supplied the first element of the turnaround; her actions then supply the other seven.

Interactive version: PassBook app, lesson Stability and retrenchment: turnaround, divestment and liquidation

Exam angle

In the exam

Where these strategies appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 16 ask about this lesson:

- **Turnaround: identify it and state the stages of the action plan, 5 marks**: September 2024 Q5(b); January 2026 Q5(b); RTP September 2024 Q13 (Pizza Galleria); RTP January 2026 Q13; MTP May 2024 Series I Q3(b) and MTP September 2024 Series I Q2(a) (a loss-making textile mill).
- **Danger signals for a turnaround, 5 marks**: RTP September 2025 Q14; MTP September 2026 Series I Q2(b).
- **Divestment**: May 2025 Q5(c) (1 + 1 + 3: turnaround in one year, divestment the next, and reasons); September 2025 Q5(b) (a CFO with a loss-making unit and a better investment elsewhere); MTP September 2025 Series I Q1(c) (selling the rights to unviable content).
- **Stability**: September 2024 Q7(b) ("Start-ups rarely aim for stability", 5 marks); May 2026 Q5(c) (1 + 3 + 1); RTP May 2024 Q14 ("Stability is opposite of expansion").
- **All four corporate strategies**: May 2026 Q6(b) (1 + 4).
- **MCQs**: the initiative that supports stability (January 2025 MCQ 14: improving functional efficiency); which actions do not pertain to the turnaround plan (May 2026 MCQ 12: restructuring the organisational hierarchy, and a new transport service); the strategy after a failed turnaround (MTP May 2025 Series I (B)(iii): divestment); selling an arm of the business (MTP September 2024 Series I (A)(v): divestment); permanently closing a loss-making company and selling its assets (RTP September 2026 MCQ 5: liquidation).

In the exam

How the marks are earned

In the turnaround answers read for this lesson ICAI names the strategy, ties it to the danger signals in the facts, then writes the five stages by name, in order, with one or two lines each. For divestment, the definition (including "a turnaround has been attempted but has proved to be unsuccessful") is followed by the reasons applied to the case.

Trick

Fix, cut, close

The exits go in the order of the Study Material: **fix** (turnaround), **cut** (divestment), **close** (liquidation). The turnaround stages: **A**ssess, **A**nalyse, **E**mergency, **R**estructure, **R**eturn: "two As, an E, two Rs".

Answer frame

Turnaround case (5 marks)

1. Strategy named, with the turnaround definition (internal retrenchment, improving internal efficiency).
2. The danger signals found in the facts.

3. "For turnaround strategies to be successful, it is imperative to focus on the short and long-term financing needs as well as on strategic issues."
4. The five stages, named in order, one or two lines each, applied to the case.
5. A closing line: the firm can regain financial stability and its competitive position.

"What is meant by corporate level strategies? Identify the strategy in each decision" (May 2026 Q6(b), 1 + 4)

1. One line: corporate level strategies are formulated by the top management and give direction to the organisation as a whole; the four categories are stability, expansion, retrenchment and combination.
2. For each decision: name the strategy, write its **basic feature** from the table above, and point to the fact that shows it.
3. A decision that expands one part of a business and closes another (ICAI's case: expanding profit-making units abroad while closing loss-making units) was keyed as **combination**; a decision to sell out a whole loss-making division as **retrenchment**.

"Justify: stability strategy is opposite of expansion strategy"

ICAI's suggested answer (RTP May 2024 Q14) runs on the first four points; the last row adds the Study Material's own contrast (SM 4.7):

Point	Stability strategy	Expansion strategy
Purpose	Safeguards existing interests and strengths	Redefines the business by substantially adding to its scope
Business	Same or similar markets and products; few functional changes	New products, markets, technology; diversifying, acquiring, merging
Character	Not a "do nothing" strategy, but a safe one	An aggressive strategy: dynamism, vigour, promise and success
Typical user	Mature organisations; some small organisations, to maintain a comfortable market or profit position	Firms with a mammoth growth ambition
Risk and reward	Less risk, limited rewards	Relatively unknown and risky paths, very high rewards

Common mistakes

⚠ **Common mistake**

Hall of Shame: the stability strategy that bought more farms

Asked which initiative supports stability, Bunty picks "buy more farms to raise output". **Fix:** stability keeps the same business and improves **functional efficiency** incrementally. Buying farms, new segments and new channels are growth moves (January 2025 MCQ 14).

⚠ **Common mistake**

"Restructure the organisation chart" as Stage Four

Fix: Stage Four is *restructuring the business*: the core business, cash forecasts, assets and debts, product mix, facilities, markets and morale. In May 2026 MCQ 12, "restructuring organizational hierarchy" (with "providing innovative transport service") was keyed as an action that did *not* pertain to the turnaround plan.

⚠ **Common mistake**

Divestment and liquidation used as synonyms

Fix: divestment sells or liquidates a **portion** (a division, profit centre or SBU) and the company carries on; liquidation **abandons the activities totally**.

⚠ **Common mistake**

Jumping straight to divestment

A declining business with a board that wants to continue is given "divest". **Fix:** if the board wants to continue and improve internal efficiency, the answer is **turnaround**; divestment usually follows a turnaround that has proved unsuccessful, unless it is obvious that divestment is the only answer.

Practice

Check yourself

1 Case scenario. In two years Tapri opened 300 cafés in 22 cities. Now Ananya tells the board: "No new cities, menus or plants for a year. We train café staff, fix the supply schedules and get every café to its target." Profits are healthy and no café is losing money. Which corporate strategy is this?

- A Expansion strategy
- B Stability strategy
- C Turnaround strategy
- D Divestment strategy

2 Which of these is NOT one of the danger signals that a turnaround is needed?

- A Persistent negative cash flow from business
- B Deterioration in physical facilities
- C Rapid growth in market share
- D Over-staffing, high turnover of employees and low morale

3 Put the turnaround action plan in order. Which stage comes third?

- A Restructuring the business
- B Analyse the situation and develop a strategic plan
- C Implementing an emergency action plan
- D Returning to normal

4 A cement group sells its loss-making paints division after two years of failed efforts to revive it, and carries on with cement. Which statements are correct? Select all that apply.

- A It is a divestment strategy
- B Divestment is usually adopted when a turnaround has been attempted but has proved unsuccessful
- C It is a liquidation strategy, because a division was sold
- D Divestment is an integral part of corporate strategy without any stigma attached

More than one answer may be right.

5 Which of the following is a reason for divestment given in the Study Material, rather than a reason for stability?

- A The product has reached the maturity stage of its life cycle
- B The staff feel comfortable with the status quo
- C The firm wants to consolidate after a period of rapid expansion
- D Technological upgradation is needed for the business to survive, but the firm cannot invest in it

Answers: the answer key at the end of this lesson.

Recap

- Four corporate strategies: stability, expansion, retrenchment, combination (SM 4.4).
- Stability: same business, product-market posture and level of effort; incremental efficiency; no redefinition; low risk; typical of mature products; not "do nothing".
- Stability reasons: maturity; staff comfort; stable environment; expansion seen as threatening; consolidation after rapid expansion.
- Strategic exits: turnaround (reverse the decline), divestment (cut off a unit), liquidation (abandon totally).
- Turnaround signals: negative cash flow, uncompetitive products, falling share, poor facilities, over-staffing and low morale, mismanagement.
- Turnaround stages: assessment; analysis and strategic plan; emergency action plan; restructuring; return to normal.
- Divestment: sale or liquidation of a portion, usually after a failed turnaround; reasons: mismatch, negative cash flows, competition, technology, better investment.

- Combination: mixing the alternatives, such as expanding one business while closing another. (The samosa gets one honest repair first.)

Answer key · Check yourself

1 **B** **Stability strategy**

After rapid expansion a firm might want to stabilise and consolidate itself: one of the Study Material's reasons for stability. The same business and product-market posture, with functional efficiency improved incrementally. Nothing is declining, so it is not turnaround; nothing is sold, so it is not divestment.

2 **C** **Rapid growth in market share**

The six signals are persistent negative cash flow, uncompetitive products or services, declining market share, deterioration in physical facilities, over-staffing with high turnover and low morale, and mismanagement.

3 **C** **Implementing an emergency action plan**

Assessment of current problems; analyse and develop a strategic plan; emergency action plan; restructuring the business; returning to normal.

4 **A** **It is a divestment strategy**; **B** **Divestment is usually adopted when a turnaround has been attempted but has proved unsuccessful**; **D** **Divestment is an integral part of corporate strategy without any stigma attached**

A portion of the business is sold and the company continues: divestment. Liquidation abandons the activities totally.

5 **D** **Technological upgradation is needed for the business to survive, but the firm cannot invest in it**

The first three are reasons for stability strategy (SM 4.6). Divestment's reasons are an acquired business that proves a mismatch, persistent negative cash flows, severity of competition, technological upgradation the firm cannot do, and a better alternative for investment (SM 4.21).

4.3 Ansoff's matrix and the ADL matrix

Ansoff's grid sorts growth by two questions, new product and new market; the ADL matrix crosses the industry's stage of maturity with the firm's competitive position.

In plain words

Five ideas before breakfast

Kesar walks into Ananya's cabin with a list.

> **Kesar:** Sugar-free chai premix! Our chai in Dubai! Cold coffee cans for gyms in Singapore! A second cup at half price before 8 a.m.!
>
> **Ananya:** Four ideas, four boxes. Two questions sort them: is the product new, and is the market new?
>
> **Kesar:** And which box makes the most money?
>
> **Ananya:** The boxes tell you what kind of growth it is. Money is Dev's department.

Those two questions make **Ansoff's product market growth matrix**. Old product, old market: sell more to the people you already serve (**market penetration**, the half-price second cup). Old product, new market: take it to new people or places (**market development**, chai in Dubai). New product, old market: give your present customers something new (**product development**, the sugar-free premix). New product, new market: start afresh on both counts (**diversification**, the cold coffee cans), the riskiest box, because neither the product nor the market is one you know.

Then Ananya asks two different questions about each business: how old is its industry (just born, growing, mature, ageing), and how strong is Tapri in it (dominant down to weak)? The **ADL matrix** crosses the two and gives, in each of its 20 cells, a list of strategies to choose from.

Think of it like

The biryani house

A biryani house can sell more biryani to its regulars (penetration), open the same biryani in a new city (market development), add a new kebab for the regulars (product development), or open a pizza place in a new city (diversification). Which of these makes sense also depends on how old the food street is and how famous the biryani house already is on it: that is the ADL question.

Key idea

Ansoff asks two questions, new product? new market?, and gives four growth strategies: penetration, market development, product development and diversification (the riskiest). ADL crosses the stage of industry maturity with the firm's competitive position, and the cell gives the strategies.

How it works

Strategic options

The Study Material groups Ansoff's matrix, the ADL matrix, the BCG matrix and the GE matrix as **strategic options**: models that help strategists take decisions about the individual products or businesses in a firm's portfolio, primarily in multi-product, multi-business firms (SM 4.23, 4.32). The BCG and GE matrices are in BCG and GE matrices.

Ansoff's product market growth matrix

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their **product and market growth strategy**; it is a portfolio-planning tool for identifying growth opportunities for the future (SM 4.23).

Ansoff's product market growth matrix

	Existing products	New products
Existing markets	Market penetration	Product development
New markets	Market development	**Diversification**

Amber: diversification, the risky box, where neither the product nor the market is one the firm already has (SM 4.24–4.25).

The Study Material's definitions, each with its Gucci example (SM 4.24–4.25):

Strategy	ICAI's definition	Gucci example
Market penetration	Selling **existing products into existing markets**, by making more sales to present customers without changing products in any major way	Luxury clothing in European markets, with new designs
Market development	Selling **existing products into new markets**, by identifying and developing new markets for current products	Luxury clothing in Chinese markets
Product development	Introducing **new products into existing markets**, by offering modified or new products to current markets	Casual clothing in European markets
Diversification	Marketing **new products in new markets**, by starting up or acquiring businesses outside the current products and markets	Casual clothing in Chinese markets

The fine print that answers carry (SM 4.24–4.25):

- **Penetration** may need greater spending on advertising or personal selling; in a mature market it needs an aggressive promotional campaign with a pricing strategy that makes the market unattractive for competitors; it is also done by increasing usage by existing customers.
- **Market development** may be achieved through new geographical markets, new product dimensions or packaging, new distribution channels, or different pricing policies to attract different customers or create new market segments.
- **Product development** may require the development of new competencies.

- **Diversification** is risky because it does not rely on either the company's successful product or its position in established markets; the business typically moves into markets in which it has little or no experience. ICAI's suggested answers call it the most risky strategy in the matrix (MTP May 2026 Series I Q1(c)).
- As market conditions change over time, a company may shift strategies: when its present market is fully saturated, it may have no choice other than to pursue a new market.

Penetration, market development and product development are the **intensification** options of the growth chapter, and diversification may be related or unrelated: both are classified in growth strategies. The Study Material's **product-market expansion grid** (Table 3, SM 4.9) lists what each box involves:

Box	Options in Table 3
Market penetration	Increase market share; increase product usage; increase the frequency used; increase the quantity used; find new application for current users
Product development	Add product features, product refinement; develop a new-generation product; develop new product for the same market
Market development	Expand geographically; target new segments
Diversification	New products and new markets: related or unrelated

Interactive version: PassBook app, lesson Ansoff's matrix and the ADL matrix

The ADL matrix

Definition

ADL matrix

The ADL matrix (derived its name from Arthur D. Little) is a portfolio analysis technique that is based on **product life cycle**. The approach forms a two-dimensional matrix based on stage of industry maturity and the firm's competitive position, environmental assessment and business strength assessment. (SM 4.25)

- **Stage of industry maturity** is an environmental measure: the position in the industry's life cycle. The matrix uses four stages: **embryonic, growth, mature, ageing**.
- **Competitive position** is a measure of business strengths that places a product or SBU in one of five positions: **dominant, strong, favourable, tenable, weak**.

Four stages by five positions make it a four by five matrix (SM 4.26). The five positions are assessed on these criteria (SM 4.27):

The five competitive positions

Dominant
comparatively rare; a monopoly or a strong, protected technological leadership

Strong
considerable freedom over its choice of strategies; position not unduly threatened

Favourable
a fragmented industry, no one stands out; leaders have reasonable freedom

Tenable
performs satisfactorily, but vulnerable to stronger, more proactive rivals

Weak
performance generally unsatisfactory, though opportunities to improve exist

From the strongest position at the top to the weakest at the bottom, in the Study Material's words (SM 4.27).

Each cell of the matrix lists the strategies suited to that position at that stage. Read from the rendered Study Material figure (SM 4.26):

Arthur D. Little strategic condition matrix

Position	Embryonic	Growth	Mature	Ageing
Dominant	Fast grow; build barriers; act offensively	Fast grow; attend cost leadership; renew; defend position; act offensively	Defend position; attend cost leadership; renew; fast grow; act offensively	Defend position; renew; focus; consider withdrawal
Strong	Differentiate; fast grow	Differentiate; lower cost; attack small firms	Lower cost; focus; differentiate; grow with industry	Find niche; hold niche; harvest
Favourable	Differentiate; focus; fast grow	Focus; differentiate; defend	Focus; differentiate; harvest; find niche; hold niche; turnaround; grow with industry; hit smaller firms	Harvest; turnaround
Tenable	Grow with industry; focus	Hold niche; turnaround; focus; grow with industry; withdraw	Turnaround; hold niche; retrench	Divest; retrench
Weak	Find niche; catch-up; grow with industry	Turnaround; retrench; niche or withdraw	Withdraw; divest	Withdraw

Cell colours copy the Study Material's figure: green, amber (orange in the figure) and rose (red in the figure). The Study Material does not explain them; broadly, the green cells hold growth and defence strategies and the rose cells mostly turnaround, retrenchment, divestment and withdrawal.

Interactive version: PassBook app, lesson Ansoff's matrix and the ADL matrix

Worked examples

Worked example **Four Tapri moves on Ansoff's grid**

In the context of Ansoff's product market growth matrix, identify with reasons the growth strategy in each of the following moves Tapri has planned for next year.

(a) In Pune, where Tapri already runs 30 cafés, anyone who shows a BrewBucks loyalty card gets the first kulhad chai free, to win over BrewBucks' regulars.

(b) Chai-spiced cookies, a product Tapri has never made, baked for its cafés and sold across the counter to the same café customers.

(c) Tapri's cold-chain fleet, which has only ever carried Tapri's own milk and snacks, starts renting out its refrigerated trucks to pharmaceutical distributors for vaccine transport.

(d) The existing masala premix, unchanged, sold through the Tapri app to households in 200 small towns where Tapri has no café or shop.

MODEL ANSWER

The Ansoff's product market growth matrix helps a business decide its product and market growth strategy by asking whether the product, and the market, are existing or new.

(a) Market penetration: existing products into existing markets. Pune is a market Tapri already serves and the chai is unchanged. Customers won from a competitor in the same market increase Tapri's market share, which is market penetration; overcoming competition calls for an aggressive promotional campaign supported by pricing (SM 4.24). New customers do not by themselves make a new market.

(b) Product development: new products into existing markets, by offering modified or new products to current markets. The cookies are new to Tapri, but they are sold to its present café customers through its present cafés. A new product for the existing market is product development, however different the product is; it may require the development of new competencies (here, baking).

(c) Diversification: new products in new markets, by starting up businesses outside the company's current products and markets. Tapri has never sold refrigerated transport (the fleet only served Tapri itself), and pharmaceutical distributors are customers it has never served. Using an existing asset does not make the service an existing product. It is the riskiest option, because Tapri relies neither on a successful product nor on its position in an established market.

(d) Market development: existing products into new markets. The premix is unchanged; the 200 towns are new geographical markets, reached through a new distribution channel. The app is the channel, not a new product.

The four moves on the matrix

	Existing products	New products
Existing markets	(a) BrewBucks card offer in Pune: penetration	(b) Chai-spiced cookies: product development
New markets	(d) Premix by app in 200 towns: market development	**(c) Trucks for vaccine transport: diversification**

Amber: diversification, the only move where both the product and the market are new.

Worked example

Three Tapri businesses on the ADL matrix

Ananya assesses three Tapri businesses for the board.

(i) **Chai premix.** The packaged premix industry is mature: growth has slowed and the brands are established. Tapri has a considerable degree of freedom over its choice of strategies and can act without its market position being unduly threatened by competitors.

(ii) **Kulhad cafés.** The café industry is in its growth stage. It is fragmented and no one competitor stands out clearly; as one of the leaders, Tapri has a reasonable degree of freedom.

(iii) **Cold-chain fleet.** The cold-chain trucking industry is mature. Tapri's performance in it is generally unsatisfactory, although opportunities for improvement exist.

Identify the competitive position and stage of industry maturity of each business on the ADL matrix, and the strategies the matrix suggests.

MODEL ANSWER

The ADL matrix is a portfolio analysis technique based on the product life cycle, which crosses the stage of industry maturity (embryonic, growth, mature, ageing) with the firm's competitive position (dominant, strong, favourable, tenable, weak).

(i) Chai premix: strong position in a mature industry. A strong firm has a considerable degree of freedom over its choice of strategies and is often able to act without its market position being unduly threatened by competitors. Suggested strategies: **lower cost, focus, differentiate, grow with industry**.

(ii) Kulhad cafés: favourable position in a growth industry. A favourable position generally comes about when the industry is fragmented and no one competitor stands out clearly, giving market leaders a reasonable degree of freedom. Suggested strategies: **focus, differentiate, defend**.

(iii) Cold-chain fleet: weak position in a mature industry. Performance in this category is generally unsatisfactory, although opportunities for improvement exist. Suggested strategies: **withdraw, divest**.

The three businesses on the matrix

Position	Embryonic	Growth	Mature	Ageing
Strong			**Chai premix: lower cost; focus; differentiate; grow with industry**	
Favourable		**Kulhad cafés: focus; differentiate; defend**		
Weak			**Cold-chain fleet: withdraw; divest**	

Cells coloured as in the Study Material's figure: green for the premix and the cafés, rose (red in the figure) for the cold-chain fleet.

Worked example

Advise Tapri when the home market is full

Tapri's 40 cafés in Indore and Bhopal already hold about 60% of the organised café market in the two cities, and sales at those cafés grew only 2% last year. The board wants growth. Dev adds a condition: the company can build only one new capability at a time, either a new product or a new market, never both at once. Ananya puts four proposals before the board:

1. A loyalty app with a "tenth cup free" offer at the existing cafés.
2. The same café format and menu, opened in Nagpur and Raipur.
3. A range of herbal infusions (tulsi, ginger, mulethi) for the existing café customers.
4. Bottled cold coffee for supermarkets in Dubai.

Required: Draw Ansoff's product market growth matrix, place the four proposals on it, and advise the board which proposal to take up first and which to postpone.

MODEL ANSWER

The Ansoff's product market growth matrix, proposed by Igor Ansoff, helps a business decide its product and market growth strategy and identify growth opportunities for the future. A business can

adopt the four strategies simultaneously for different products, but its choice must fit its resources and its markets.

The four proposals on the matrix

	Existing products	New products
Existing markets	Market penetration: loyalty app, tenth cup free	Product development: herbal infusions
New markets	Market development: cafés in Nagpur and Raipur	**Diversification: bottled cold coffee in Dubai**

Amber: diversification, the risky option, which needs a new product and a new market together.

1. **Market penetration (loyalty app)**: selling existing products into existing markets, by making more sales to present customers without changing products in any major way. It needs no new capability, but Tapri already holds about 60% of a market that grew only 2%: the present market is close to saturation, so penetration can defend share and add frequency of use, but cannot carry the growth the board wants.
2. **Market development (Nagpur and Raipur)**: selling existing products into new markets, here new geographical markets. It needs one new capability (a new market) and relies on Tapri's proven product. As the Study Material notes, when the present market is fully saturated a company may have no choice other than to pursue new markets.
3. **Product development (herbal infusions)**: offering new or modified products to current markets. It needs one new capability (a new product) and may require the development of new competencies, but it sells into the same saturated cities.
4. **Diversification (bottled cold coffee in Dubai)**: marketing new products in new markets. It needs two new capabilities at once, breaking the board's condition, and it is the riskiest strategy because it relies neither on Tapri's successful product nor on its position in established markets.

Advice: Take up **market development** first: it uses the existing product, needs only one new capability, and answers the saturation of the home market. Continue the loyalty app as low-cost penetration to defend share in Indore and Bhopal, without relying on it for growth. Take up **product development** next, once the new cities are running. **Postpone diversification** until Tapri has built the new product and new-market capabilities separately. As market conditions change over time, Tapri can shift between these strategies.

Interactive version: PassBook app, lesson Ansoff's matrix and the ADL matrix

Exam angle

In the exam

Where Ansoff and ADL appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 18 ask about this lesson:

- **"Explain the product market growth matrix as propagated by Igor Ansoff as a device for identifying growth opportunities for the future", 5 marks**: January 2025 Q8(b); RTP January 2026 Q14; MTP September 2025 Series I Q4(a); MTP May 2026 Series I Q4(a); MTP September 2026 Series II Q4(a). **Advise a company using the matrix**: MTP January 2026 Series II Q2(a).
- **Identify the Ansoff strategy, 5 marks**: MTP May 2025 Series I Q1(c) and MTP May 2026 Series I Q1(c) (products tailored to each region's tastes, in international markets: diversification); MTP September 2024 Series I Q1(c) (existing juices taken to new countries with adapted packaging: market development).
- **MCQs, 1–2 marks**: market development (RTP January 2026 MCQ 1(ii); MTP January 2025 Series I (A)(iv)); market penetration (RTP September 2025 MCQ 5: promotional discounts, more advertising and more retailers for existing phones in the home country; RTP September 2026 MCQ 1(i)); product development (MTP September 2024 Series II (B)(iii)); diversification (MTP September 2024 Series II (A)(iv); MTP September 2025 Series II (B)(iii); MTP January 2025 Series II (A)(v)); September 2026 MCQs 11 and 16 (answers not yet published).
- **ADL**: "Write a short note on the role of ADL matrix in assessing the competitive position of a firm", 5 marks (RTP May 2025 Q14; MTP May 2026 Series II Q3(b)); September 2025 MCQ 14 (a pioneer with a leading position in a maturing industry: strong position in a mature industry); MTP May 2026 Series II (A)(ii) (the BCG-ADL contradiction).

In the exam

The new-country trap, set in three MTPs

New country plus *the same* product, even with adapted packaging or marketing: **market development** (MTP September 2024 Series I). New country plus products *created* for local tastes: **diversification** (MTP May 2025 and May 2026 Series I). Decide the product question honestly before the market question.

Trick

Product first, then market

Read every case twice: once for the product (same or new?), once for the market (same or new?). Same-same: penetration; same-new: market development; new-same: product development; new-new: diversification. For the ADL positions remember the order **D-S-F-T-W**: "Don't Stop For Tea, Waiter".

Answer frame

"Explain Ansoff's product market growth matrix" (5 marks)

1. One line on the tool: proposed by Igor Ansoff; helps businesses decide their product and market growth strategy; a device for identifying growth opportunities for the future.
2. The 2 × 2 matrix drawn (existing and new products across, existing and new markets down).
3. The four strategies, one definition each, in the order penetration, market development, product development, diversification (with "diversification is risky" and why).

4. Closing line: as market conditions change, a company may shift strategies; when the present market is saturated it may have to pursue a new market.

For "advise company X using the matrix" (MTP January 2026 Series II Q2(a); the chapter's own question on a pharmaceutical company, SM 4.47–4.48), add that the company can adopt the four strategies simultaneously for different products.

"Write a short note on the ADL matrix" (5 marks)

ICAI's suggested answers (RTP May 2025 Q14; MTP May 2026 Series II Q3(b)): the name (Arthur D. Little); a portfolio analysis method based on product life cycle; a two-dimensional matrix of stage of industry maturity and the firm's competitive position; then the **five competitive positions, each with its description** in the Study Material's words. The 4 × 5 figure itself is not reproduced in those answers.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the new label that became a "new product"

New labels or packs for a new country turn into "product development". **Fix:** packaging adapted for new customers is one of the Study Material's means of **market development**; the product is still the existing one (MTP September 2024 Series I Q1(c)).

⚠ **Common mistake**

"Increase usage" filed under product development

"Brush your teeth twice a day" or "a second cup before 8 a.m." is still the existing product to existing customers: **market penetration** (the chapter's own toothpaste case, SM 4.49).

⚠ **Common mistake**

ADL positions mixed with BCG names

Writing "Dominant = Star" or "Weak = Dog". **Fix:** ADL's five positions (dominant, strong, favourable, tenable, weak) measure business strength against the industry's life-cycle stage; BCG's quadrants come from market growth and relative market share. A business can be a Question Mark and Dominant at once.

Practice

Check yourself

1 Case scenario. Tapri's kulhad chai has always been sold to walk-in customers at its 25 Indore cafés. Kesar signs up Indore's wedding caterers: Tapri will supply the same chai, made to the same recipe and served in the same kulhads, at their banquet counters, billed per hundred cups. As per Ansoff's matrix this is:

- **A** Market penetration, because Indore is a city Tapri already serves
- **B** Market development
- **C** Product development, because banquet supply is a new offering
- **D** Diversification, because the buyers are businesses, not consumers

2 Tapri launches scented candles under the Tapri name, sold through home-décor stores to buyers of home décor, a channel and a set of customers it has never served. As per Ansoff's matrix this is:

- **A** Product development, because the Tapri brand is already known to these buyers
- **B** Market development, because home-décor stores are a new channel
- **C** Market penetration, because the brand is an existing one
- **D** Diversification

3 Which of the following does the Study Material's Table 3 list under market penetration? Select all that apply.

- **A** Increase the frequency used
- **B** Find new application for current users
- **C** Develop a new-generation product
- **D** Increase market share

More than one answer may be right.

4 In the ADL matrix, which competitive position is "comparatively rare" and in many cases attributable to a monopoly or a strong and protected technological leadership?

- **A** Dominant
- **B** Strong
- **C** Favourable
- **D** Tenable

5 A business holds a tenable position in an ageing industry. Which strategies does the ADL matrix suggest?

- A Fast grow; build barriers
- B Differentiate; lower cost
- C Divest; retrench
- D Defend position; renew

Answers: the answer key at the end of this lesson.

Recap

- Ansoff (Igor Ansoff): a product-market growth matrix for identifying growth opportunities; two questions, new product? new market?
- Penetration: existing products, existing markets (more sales to present customers; increase usage).
- Market development: existing products, new markets (new regions, segments, channels, packaging, pricing).
- Product development: new or modified products, existing markets; may need new competencies.
- Diversification: new products, new markets; risky; related or unrelated.
- ADL (Arthur D. Little): portfolio technique based on the product life cycle; stage of industry maturity (embryonic, growth, mature, ageing) × competitive position (dominant, strong, favourable, tenable, weak): a four by five matrix.
- Each ADL cell lists strategies: dominant-embryonic "fast grow, build barriers, act offensively"; weak-ageing "withdraw". (Don't Stop For Tea, Waiter.)

Answer key · Check yourself

1 **B Market development**

The chai is unchanged; wedding caterers are a customer segment, and banquet counters a channel, that Tapri has never served. Identifying and developing new markets (new segments, new distribution channels, different pricing) for an existing product is market development (SM 4.24). A market is a group of customers, not a city: being in Indore already does not make this penetration.

2 **D Diversification**

Candles are a new product and home-décor buyers are a new market: diversification, the riskiest box. A familiar brand name does not turn a new market into an existing one: Ansoff's two questions are about the product and the customers, not the name on the label.

3 **A Increase the frequency used; B Find new application for current users; D Increase market share**

A new-generation product is a product development option.

4 **A Dominant**

Dominant. A strong firm has considerable freedom over its strategies, but that position is not described as rare.

5 **C** **Divest; retrench**

The tenable-ageing cell lists divest and retrench (SM 4.26). Fast grow and build barriers belong to dominant-embryonic.

4.4 BCG and GE matrices

Two portfolio tools for deciding which business gets money: BCG's growth-share matrix (stars, cash cows, question marks, dogs) and GE's nine-cell stop-light matrix.

In plain words

Kesar loves all his children equally

Tapri now runs four businesses: the chai premix, the kulhad cafés, a young delivery app called TapriNow, and a cold-chain truck fleet. There is ₹120 crore to invest this year.

> **Kesar:** Split it equally. I love all my businesses the same.
>
> **Dev:** The premix makes the most profit. Give it the most.
>
> **Ananya:** Neither, Dev. The premix makes the cash; the question is who should spend it.

A **portfolio** is the set of businesses a company owns, and portfolio models help the head office decide which business should receive more, less or no investment. The best known is the **BCG growth-share matrix**. It asks two questions about each business: is its market growing fast (**market growth rate**), and is it big compared with its rivals (**relative market share**)? The answers give four types:

- **Stars**: high share in a fast-growing market. The cafés: they need heavy investment, and they are the best opportunity for expansion.
- **Cash cows**: high share in a slow-growing market. The premix: it generates cash and needs little investment to keep its share.
- **Question marks**: low share in a fast-growing market. TapriNow: it eats cash; it may become a star, or a cash trap.
- **Dogs**: low share in a slow market. The truck fleet: not much future.

So the most profitable business is not always the one that gets the money: the cash cow's cash is often what pays for the stars and question marks.

The **GE matrix** does the same job with richer measures. Instead of growth alone it rates **market attractiveness** (size, growth, profitability, competition and more), and instead of share alone it rates **business strength** (share, margins, brand, cost position and more). The nine cells are coloured like a traffic light: green, go and invest; amber, careful; red, stop, harvest or divest.

Think of it like

The cricket selector

A selector has an established opener who scores steadily in a format nobody new is watching (cash cow), a young batsman scoring heavily in the fast-growing T20 format (star), a newcomer with talent but few runs yet in that same format (question mark), and an out-of-form veteran in a fading format (dog). The selector builds the star, keeps giving the newcomer chances (or not), takes the runs from the veteran opener while they last, and lets the out-of-form veteran go.

Key idea

Portfolio matrices allocate money across businesses. BCG uses market growth rate and relative market share: stars (build), question marks (hold), cash cows (harvest), dogs (divest), in the pairing ICAI's suggested answers use. GE uses the broader market attractiveness and business strength, in a nine-cell green-amber-red grid.

How it works

Why portfolio models

Portfolio models help strategists take decisions about individual products or businesses in a firm's portfolio, primarily for competitive analysis and corporate strategic planning in multi-product and multi-business firms (they may also be used in less-diversified firms with a main business and minor complementary interests). The main advantage of the portfolio approach is that resources could be channelised at the corporate level to those businesses that possess the greatest potential: for instance, a diversified company may divert resources from its cash-rich businesses to more prospective ones that hold promise of faster growth. Management analyses its current portfolio and decides which business should receive more, less or no investment (SM 4.23). Ansoff's and the ADL matrix are in Ansoff's matrix and the ADL matrix.

The BCG growth-share matrix

The BCG growth-share matrix is the simplest way to portray a corporation's portfolio of investments. Known for its cow and dog metaphors, it is popularly used for **resource allocation in a diversified company** (SM 4.27). The Boston Consulting Group developed it in the early 1970s for companies large enough to be organised into strategic business units (SM 4.45). A company classifies its businesses on two dimensions:

- The **vertical axis** represents **market growth rate** and provides a measure of market attractiveness.
- The **horizontal axis** represents **relative market share** and serves as a measure of company strength in the market.

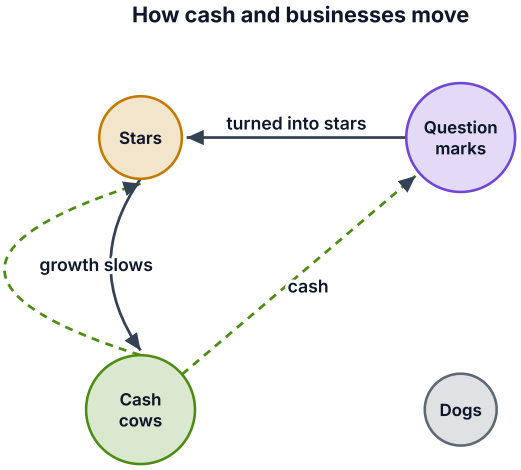
BCG growth-share matrix

Market growth rate	High relative market share	Low relative market share
High	Stars	Question marks
Low	Cash cows	Dogs

High relative market share is on the **left**, as in the Study Material's figure (SM 4.28). The four types, in ICAI's words (SM 4.28–4.29):

- **Stars** are products or SBUs that are growing rapidly. They also need heavy investment to maintain their position and finance their rapid growth potential. They represent best opportunities for expansion.

- **Cash cows** are low-growth, high market share businesses or products. They generate cash and have low costs. They are established, successful, and need less investment to maintain their market share. In the long run, when the growth rate slows down, stars become cash cows.
- **Question marks**, sometimes called problem children or wildcats, are low market share businesses in high-growth markets. They require a lot of cash to hold their share; they need heavy investments with low potential to generate cash. Question marks if left unattended are capable of becoming **cash traps**. Since the growth rate is high, increasing share should be relatively easier; it is for business organisations to turn them into stars, and then into cash cows when the growth rate reduces.
- **Dogs** are low-growth, low-share businesses and products. They may generate enough cash to maintain themselves, but do not have much future; sometimes they may need cash to survive. Dogs should be minimised by means of divestment or liquidation.



Laid out like the matrix. Solid arrows: how businesses move (question marks turned into stars; stars become cash cows when growth slows). Green dashed arrows: cash diverted from the cash-rich cash cows to the more prospective stars and question marks (SM 4.23). Dogs are minimised by divestment or liquidation.

Post-identification strategies

After classifying its products or SBUs, a firm must determine what role each will play in the future. The four strategies (SM 4.29):

1. **Build**: the objective is to increase market share, even by forgoing short-term earnings in favour of building a strong future with large market share.
2. **Hold**: the objective is to preserve market share.
3. **Harvest**: the objective is to increase short-term cash flow regardless of long-term effect.
4. **Divest**: the objective is to sell or liquidate the business because resources can be better used elsewhere.

Note

Which strategy for which quadrant?

The Study Material lists the four strategies without pairing them to quadrants. ICAI's suggested answers pair them: **Stars, Build; Question marks, Hold; Cash cows, Harvest; Dogs, Divest** (RTP May 2026 Q14; MTP January 2025 Series II Q4(b)). Write that pairing. For a Star alone, the January 2025 suggested answer (Q5(c)) accepted both Build and Hold and rejected Harvest and Divest.

Interactive version: PassBook app, lesson BCG and GE matrices

Is the BCG matrix really helpful?

It has done much to help strategic planning, but it has problems and limitations (SM 4.29):

1. It can be **difficult, time-consuming and costly** to implement.
2. Management may find it difficult to **define SBUs and measure market share and growth**.
3. It focuses on **classifying current businesses** but provides little advice for future planning.
4. It can lead the company to place **too much emphasis on market-share growth** or growth through entry into attractive new markets, causing unwise expansion into hot, new, risky ventures, or divesting established units too quickly.

One parameter of market share cannot define the status of an SBU; it should be categorised on its inherent characteristics. The Study Material's Coufix case (SM 4.29–4.30): a new cough medicine with heavy R&D, marketing and licensing spend gains 60% market share in six months and is profitable from day one. It is a **Star**, not a cash cow, because it is growing rapidly and needs heavy investment to maintain its position.

The GE matrix ("Stop-Light" strategy model)

This model has been used by the General Electric Company (developed by GE with the assistance of the consulting firm McKinsey and Company). It is also known as the **Business Planning Matrix, GE Nine-Cell Matrix and GE Model**. Its approach is inspired by traffic control lights: green for go, amber or yellow for caution, and red for stop. It uses two factors: **business strength** and **market attractiveness** (SM 4.30).

The **vertical axis** indicates market attractiveness and the **horizontal axis** business strength in the industry. Market attractiveness is measured by a number of factors, and business strength by typical drivers, like these (SM 4.30–4.31):

Market attractiveness factors	Business strength drivers
Size of the market	Market share
Market growth rate	Market share growth rate
Industry profitability	Profit margin
Competitive intensity	Distribution efficiency
Availability of technology	Brand image
Pricing trends	Ability to compete on price and quality
Overall risk of returns in the industry	Customer loyalty
Opportunity for differentiation of products and services	Production capacity
Demand variability	Technological capability
Segmentation	Relative cost position
Distribution structure (e.g. direct marketing, retail, wholesale) etc.	Management calibre, etc.

GE nine-cell matrix: rows are market attractiveness, columns business strength

Attractiveness	Strong	Average	Weak
High	**Invest/Expand**	**Invest/Expand**	**Select/Earn**
Medium	**Invest/Expand**	**Select/Earn**	**Harvest/Divest**
Low	**Select/Earn**	**Harvest/Divest**	**Harvest/Divest**

The cells as in the Study Material's figure (SM 4.31): green (here green), yellow (here amber) and red (here rose). What each zone means (SM 4.32):

- **Green**: the business is at an advantageous position; to reap the benefits, the strategic decision can be to **expand, to invest and grow**.
- **Amber or yellow**: it needs **caution, and managerial discretion** is called for in making the strategic choices.
- **Red**: it will eventually lead to losses that would make things difficult; the appropriate strategy should be **retrenchment, divestment or liquidation**.

The GE model is similar to the BCG matrix, with two differences (SM 4.32): first, **market attractiveness replaces market growth** as the dimension of industry attractiveness and includes a broader range of factors than just the market growth rate; second, **competitive strength replaces market share** as the dimension by which the competitive position of each SBU is assessed.

Worked examples

Worked example **Tapri's four businesses on the BCG matrix**

Tapri gives you the following data for 2025-26. Treat a market growth rate above 10% a year as high, and a relative market share (Tapri's share ÷ the largest rival's share) above 1.0 as high.

Business	Revenue (₹ crore)	Tapri's share	Largest rival's share	Market growth
Chai premix	420	30%	15%	4%
Kulhad cafés	260	24%	16%	22%
TapriNow delivery app	35	5%	40%	35%
Cold-chain fleet	60	3%	20%	−3%

Required:

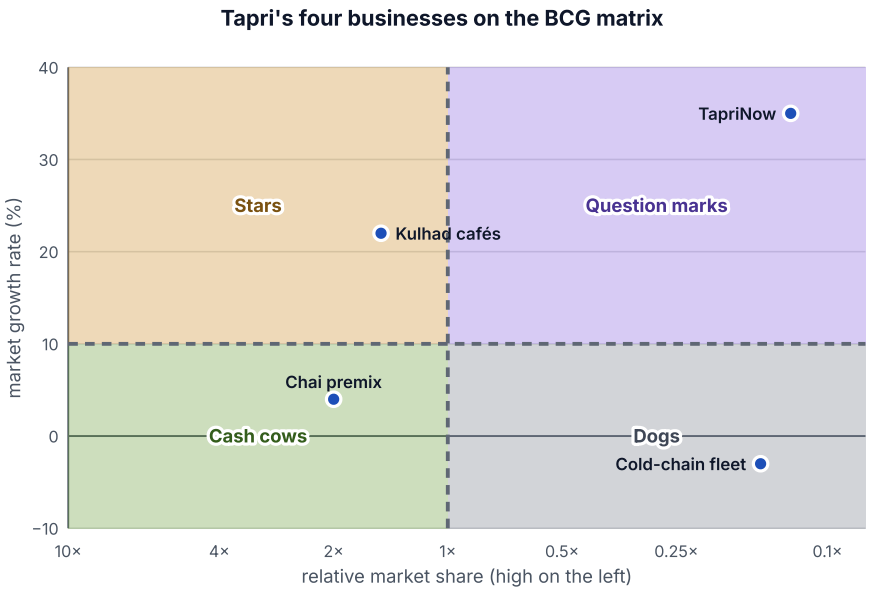
(i) Calculate the relative market share of each business and place it on the BCG growth-share matrix.

(ii) State the strategy that may be pursued for each.

THE WORKING

(i) Relative market share and classification

Business	Relative share	Growth	Share	Quadrant
Chai premix	30 ÷ 15 = 2.00	Low (4%)	High	**Cash cow**
Kulhad cafés	24 ÷ 16 = 1.50	High (22%)	High	**Star**
TapriNow delivery app	5 ÷ 40 = 0.13	High (35%)	Low	**Question mark**
Cold-chain fleet	3 ÷ 20 = 0.15	Low (−3%)	Low	**Dog**



Amber: stars; violet: question marks; green: cash cows; grey: dogs. Dashed lines: the dividing lines given (growth 10%, relative share 1.0). The share axis is logarithmic and runs from high on the left to low on the right, as in the Study Material's figure.

(ii) Strategies (the pairing used in ICAI's suggested answers):

1. **Kulhad cafés (Star): Build.** Stars grow rapidly and need heavy investment to maintain their position and finance their growth; they are the best opportunities for expansion. Increase market share, even by forgoing short-term earnings.
2. **Chai premix (Cash cow): Harvest.** It generates cash, has low costs and needs less investment to maintain its share: increase short-term cash flow, and use it to fund the cafés and TapriNow.
3. **TapriNow (Question mark): Hold.** It needs heavy investment just to hold its share and, if left unattended, can become a cash trap. Since its market grows fast, Tapri should try to turn it into a star and later a cash cow.
4. **Cold-chain fleet (Dog): Divest.** Low growth and low share, with not much future: sell or liquidate it, because the resources can be better used elsewhere.

Revenue is not a BCG dimension: the premix, with ₹420 crore of revenue, is still a cash cow.

Worked example **Five Tapri businesses on the GE matrix**

Ananya has rated five Tapri businesses on the GE factors:

Business	Market attractiveness	Business strength
Kulhad cafés	High	Strong
Chai premix	Medium	Strong
TapriNow delivery app	High	Weak
Tapri Frozen (samosas)	Medium	Average
Cold-chain fleet	Low	Average

Place each business on the GE nine-cell matrix, state its zone and the strategic action suggested.

MODEL ANSWER

The GE matrix ("Stop-Light" strategy model, developed by GE with McKinsey and Company) assesses each business on market attractiveness (vertical axis) and business strength (horizontal axis), in nine cells coloured like traffic lights.

Business	Cell	Zone	Strategic action
Kulhad cafés	High attractiveness, strong	Green	Invest/Expand: expand, invest and grow
Chai premix	Medium attractiveness, strong	Green	Invest/Expand
TapriNow	High attractiveness, weak	Yellow	Select/Earn: caution and managerial discretion
Tapri Frozen	Medium attractiveness, average	Yellow	Select/Earn
Cold-chain fleet	Low attractiveness, average	Red	Harvest/Divest: retrenchment, divestment or liquidation

Tapri's five businesses on the GE matrix

Attractiveness	Strong	Average	Weak
High	**Kulhad cafés**		**TapriNow**
Medium	**Chai premix**	**Tapri Frozen**	
Low		**Cold-chain fleet**	

Cells coloured as in the Study Material's figure: green (Invest/Expand), amber for its yellow (Select/Earn), rose for its red (Harvest/Divest).

In the green zone the business is at an advantageous position, so Tapri should invest and grow; in the yellow zone caution is needed and choices are left to managerial discretion; a business in the red zone will eventually lead to losses, so retrenchment, divestment or liquidation is appropriate.

Worked example **Dev's 2031 projection: every business a leader**

Dev projects Tapri's portfolio five years ahead, assuming the board approves no new business. Use the dividing lines of the first example (market growth above 10% a year is high; a relative market share above 1.0, which every market leader has, is high).

- The **kulhad cafés** stay the market leader, but café-market growth slows from 22% to 5% a year.
- The **chai premix** stays the market leader in a market growing at 3% a year.
- **TapriNow** is shut down next year.
- The **cold-chain fleet** stays a distant fifth in a market shrinking at 3% a year.

Kesar is delighted: "In 2031 every business is either the leader or cheap to run. What can go wrong?"

Required:

(i) Classify each business on the BCG growth-share matrix as projected for 2031, with reasons.

(ii) Comment on Kesar's view of the 2031 portfolio, and advise the board.

MODEL ANSWER

(i) Classification for 2031. The BCG growth-share matrix classifies each business by market growth rate (vertical axis, a measure of market attractiveness) and relative market share (horizontal axis, a measure of company strength).

Business	Today	2031	Reason
Kulhad cafés	Star	**Cash cow**	Still high share, but growth slows; stars become cash cows when the growth rate slows down
Chai premix	Cash cow	**Cash cow**	High share, low growth
TapriNow	Question mark	**None**	Shut down
Cold-chain fleet	Dog	**Dog**	Low share in a declining market

Tapri's portfolio, today and in 2031

Growth	High relative share	Low relative share
High	Stars: cafés now; none in 2031	Question marks: TapriNow now; none in 2031
Low	**Cash cows: premix now; premix and cafés in 2031**	**Dogs: fleet, now and in 2031**

Amber: in 2031 every leader sits in the low-growth row. Rose: the dog. Nothing remains in the high-growth row.

(ii) Comment and advice. Kesar's view is incomplete. The 2031 portfolio has two cash cows and one dog, and **no stars or question marks**. Cash cows generate cash and need less investment, but the opportunities for expansion lie with stars, and question marks are the businesses that can be turned into stars and later into cash cows. A portfolio with nothing in the high-growth row will produce cash for some years, with no business to replace the cash cows when their markets decline; the dog does not have much future.

The main advantage of the portfolio approach is that resources can be channelised at the corporate level to the businesses with the greatest potential, diverting resources from cash-rich businesses to more prospective ones that hold promise of faster growth. The board should therefore:

1. **Harvest** the premix and, as their growth slows, the cafés: increase short-term cash flow.
2. Use that cash to **build** new businesses in high-growth markets (question marks that can become stars), and review whether TapriNow should be shut or given the investment it needs to become a star.

3. **Divest** the cold-chain fleet: its resources can be better used elsewhere.

Exam angle

In the exam

Where BCG and GE appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 19 ask about this lesson:

- **BCG case, 1 + 2 + 2 marks**: January 2025 Q5(c), repeated as MTP January 2026 Series I Q1(c): a sugar-free drink with heavy R&D and marketing spend, a major share within five months and rapid growth: classify it (Star), the post-identification strategies, and the limitations of the technique.
- **"Explain the strategic implications of Stars, Question Marks, Cash Cows and Dogs"**: RTP May 2026 Q14; MTP January 2025 Series II Q4(b).
- **Identify the Star**: RTP May 2024 Q13 (the newly established software development unit).
- **Justify a contrasting allocation**: September 2026 Q6(b), a company's most profitable business "is not receiving the highest investment allocation" (answer not yet published).
- **BCG MCQs, 2 marks**: Build (September 2024 MCQ 15); harvest the cash cow and invest in the star (RTP May 2026 MCQ 1(iv)); the cash cow funds growth (MTP January 2026 Series II (A)(iii); MTP May 2026 Series II (A)(i)); Star (MTP May 2026 Series I (B)(i); MTP September 2026 Series II (B)(ii)); Cash cow (MTP September 2025 Series I (B)(ii)); a new product just launched in a rapidly growing market is a **Question mark** (MTP May 2024 Series I (B)(i); MTP September 2025 Series II (B)(i)); ice-cream flavours kept on despite an early market sense that they should be stopped: Dog (MTP May 2024 Series II (B)(ii)).
- **GE**: the two dimensions (May 2026 MCQ 16: business strength and market attractiveness); high attractiveness and strong business strength: Invest/Expand (September 2025 MCQ 16); identify the tool from "industry attractiveness and business unit strength" with "go ahead" and "be careful" ratings (RTP January 2025 Q13).

In the exam

The GE cell where an RTP and the Study Material differ

RTP September 2026 Q14 (EcoBuild Materials) puts a division with **medium business strength in an industry with low market attractiveness** in the **yellow zone**, with selective investment and harvest or divest if prospects stay weak. In the Study Material's figure (SM 4.31) the low-attractiveness, average-strength cell is **Harvest/Divest, in red**. This lesson teaches the Study Material's figure. If you meet the case, name the cell from the figure; harvesting or divesting appears in both readings.

Interactive version: PassBook app, lesson BCG and GE matrices

Trick

Read the BCG axes in the right direction

Vertical: market **growth** (up is high). Horizontal: relative **share**, with high on the **left**. "Stars shine high and to the left; dogs sit low and to the right." For GE, read the colour from the number of "good" ratings: two good (high, strong) or one good and one middle is green; the three diagonal cells from high-weak to low-strong are yellow; the rest are red. Check it against the figure, which it reproduces exactly.

Answer frame

"Describe the construction of the BCG matrix and its utility" (the chapter's own question)

1. What it is: developed by BCG in the early 1970s for companies organised into SBUs that must allocate resources among them.
2. The two axes and what each measures; the 2 × 2 figure with high share on the left.
3. The four types, one ICAI definition each.
4. The four strategies (build, hold, harvest, divest) and, if asked, the pairing with quadrants.
5. Conclusion: a powerful tool for strategic planning analysis and choice (SM 4.45–4.46). Add the limitations if the question asks for them.

"Explain how the BCG matrix may justify a seemingly contrasting allocation" (September 2026 Q6(b))

1. The portfolio approach: resources can be channelised at the corporate level to the businesses with the greatest potential, diverting them from cash-rich businesses to more prospective ones that hold promise of faster growth (SM 4.23).
2. The two BCG axes, and that profit is not one of them.
3. The most profitable business is typically a **cash cow**: it generates cash and needs less investment to maintain its share, so the strategy is **harvest**.
4. The less profitable business receiving resources is typically a **star** (heavy investment to maintain its position and finance growth: **build**) or a **question mark** (a lot of cash to hold its share; to be turned into a star).
5. Conclusion: the cash cow's cash funds the businesses that hold the company's future growth; when their markets mature, stars become cash cows.

"Distinguish between the BCG matrix and the GE matrix"

Point	BCG growth-share matrix	GE nine-cell matrix
Vertical axis	Market growth rate	Market attractiveness (size, growth, profitability, competitive intensity and other factors)
Horizontal axis	Relative market share	Business strength (share, margin, brand, cost position and other drivers)
Cells	Four: stars, question marks, cash cows, dogs	Nine, in green, yellow and red zones
Strategies	Build, hold, harvest, divest	Invest/Expand, Select/Earn, Harvest/Divest
Origin	Boston Consulting Group	General Electric, with McKinsey and Company

The two differences the Study Material itself states (SM 4.32): market attractiveness replaces market growth, with a broader range of factors; competitive strength replaces market share.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the new product that was "obviously a Star"

A product launched last month in a booming market is called a Star. **Fix:** it does not yet have a high share: a new product in a rapidly growing market is a **Question mark** (MTP May 2024 Series I; MTP September 2025 Series II). It becomes a Star only once it wins a high share, as Coufix and "Say No to Sugar" did.

⚠ **Common mistake**

"Most profitable, so cash cow"

Fix: BCG classifies on growth and relative share, not profit. Coufix is profitable from day one and is a **Star**, because its market is growing rapidly and it needs heavy investment (SM 4.29–4.30).

⚠ **Common mistake**

Axes swapped or flipped

Putting growth along the bottom, or high share on the right. **Fix:** vertical: market growth rate; horizontal: relative market share, high on the left. For GE: vertical, market attractiveness; horizontal, business strength (May 2026 MCQ 16 asks for these two dimensions).

⚠ **Common mistake**

Writing "Divest" for every question mark

Fix: question marks need heavy investment, and the Study Material says it is for the organisation to turn them into stars; ICAI's answers pair them with **Hold**. Divest is the strategy for dogs.

Practice

Check yourself

1 Case scenario. TapriNow has had three years of heavy investment, yet its share is stuck at 4% against the leader's 40%, in a delivery market still growing at 30% a year. Which of the following is correct as per the BCG matrix?

- **A** It has become a Dog, because three years of investment have not raised its share
- **B** It is still a Question mark, and left unattended it can become a cash trap
- **C** It is a Star, because its market is growing at 30% a year
- **D** It is a Cash cow, because it has absorbed the most cash

2 Tapri's bottled iced tea holds 30% of a market growing at 25% a year; the leader, Thandai Co., holds 45%. Taking relative market share as Tapri's share ÷ the largest rival's share, with 1.0 as the dividing line, and 10% a year as the growth dividing line, the iced-tea business is a:

- **A** Question mark
- **B** Star, because a 30% share is large
- **C** Cash cow
- **D** Dog

3 Which of the following are limitations of the BCG matrix stated in the Study Material? Select all that apply.

- **A** It can be difficult, time-consuming and costly to implement
- **B** It focuses on classifying current businesses but gives little advice for future planning
- **C** It ignores market growth rate
- **D** It can lead to too much emphasis on market-share growth

More than one answer may be right.

4 Tapri Frozen sits in the GE cell for medium market attractiveness and average business strength. A new automated plant then cuts its unit cost below every rival's and lifts its market share, so its business strength becomes strong; the market's attractiveness stays medium. Its GE cell changes from:

- **A** Harvest/Divest to Select/Earn
- **B** Select/Earn to Harvest/Divest
- **C** Nothing: a business cannot change cells while market attractiveness is unchanged
- **D** Select/Earn to Invest/Expand

5 In the BCG matrix, the objective "to increase short-term cash flow regardless of long-term effect" describes which strategy?

A Build

B Hold

C Harvest

D Divest

Answers: the answer key at the end of this lesson.

Recap

- Portfolio models channel resources at the corporate level to the businesses with the greatest potential; cash-rich businesses can fund more prospective ones (SM 4.23).
- BCG: vertical axis market growth rate (market attractiveness), horizontal axis relative market share (company strength), high share on the left.
- Stars: rapid growth, heavy investment, best opportunity for expansion. Cash cows: low growth, high share, generate cash, need less investment.
- Question marks: low share, high growth, need a lot of cash, can become cash traps; turn them into stars. Dogs: low growth, low share; minimise by divestment or liquidation.
- Strategies: build, hold, harvest, divest; ICAI's answers pair stars–build, question marks–hold, cash cows–harvest, dogs–divest.
- BCG limitations: difficult and costly; hard to define SBUs and measure share and growth; classifies the present, little advice on the future; over-emphasis on share growth.
- GE (stop-light, with McKinsey): market attractiveness (vertical) × business strength (horizontal); nine cells; green invest and grow, yellow caution, red retrenchment, divestment or liquidation.
- GE differs from BCG: attractiveness replaces growth; competitive strength replaces share. (Kesar still loves all four businesses; the budget does not.)

Answer key · Check yourself

1 **B It is still a Question mark, and left unattended it can become a cash trap**

A low relative share (4 ÷ 40 = 0.1) in a high-growth market is a question mark, however long it has been in the portfolio. Question marks need a lot of cash to hold their share and, if left unattended, are capable of becoming cash traps; it is for the organisation to turn them into stars. A dog needs a low-growth market.

2 **A Question mark**

30 ÷ 45 = 0.67, below 1.0: a low relative share, because Thandai Co. is bigger. Low relative share with high growth (25%) is a question mark. The BCG axis is relative market share, not the share itself.

3 **A It can be difficult, time-consuming and costly to implement; B It focuses on classifying current businesses but gives little advice for future planning; D It can lead to too much emphasis on market-share growth**

Market growth rate is one of its two axes. The Study Material also notes that defining SBUs and measuring share and growth may be difficult.

4 **D Select/Earn to Invest/Expand**

In the medium-attractiveness row, average strength is Select/Earn (yellow) and strong is Invest/Expand (green) (SM 4.31). Relative cost position and market share are business-strength drivers, so the firm's own strength can move it to the green zone: from caution and managerial discretion to expand, invest and grow.

5 **C Harvest**

Harvest, the strategy ICAI's suggested answers pair with cash cows. Build increases share, hold preserves it, divest sells or liquidates.

CHAPTER 5

Strategy Implementation and Evaluation

5.1 Formulation versus implementation: matrix, linkages and issues

The five stages of strategic management, why a sound strategy still fails without good implementation, the A-B-C-D and thrive-or-die matrices, forward and backward linkages, and the issues in implementing strategy.

In plain words

The kiosks that existed only in PowerPoint

In April 2025 Ananya Rao showed Tapri's board a beautiful plan: **Kulhad Express**, 120 chai kiosks on national highways for truckers and families on road trips. The research was solid, BrewBucks had no highway presence, and the board loved it. Eighteen months later, 31 kiosks were open.

> **Kesar:** The highway idea was a bad idea. Next festival we try something else.
>
> **Ananya:** The idea was fine, Kesar-ji. The budget for kiosks came six months late, nobody hired kiosk managers, and the regional heads read about the plan in the newspaper.
>
> **Dev:** The present value of a plan nobody executes is exactly zero. I checked.

Kesar is making the classic mistake: blaming the strategy for what was really a failure to carry it out. Strategic management has two halves. **Strategy formulation** is deciding what to do: the vision, the analysis of the environment and of the firm, and the choice of strategy. **Strategy implementation** is making it happen: budgets, people, structure, systems, culture and leadership. Formulation is thinking, done by a few people at the top; implementation is doing, done by many people at the middle and lower levels.

A company succeeds only when the strategy is **sound** and its implementation **excellent**. Put the two on a grid and you get four squares: sound and excellent (the ideal), sound but weak (Kulhad Express), flawed but excellent (a bad plan carried out beautifully), flawed and weak (both need redoing).

A second grid asks a different pair of questions: is the firm doing **the right thing** (effectiveness, set by strategy), and is it doing **the thing right** (efficiency, run by operations)? Effective but wasteful firms survive; efficient firms heading the wrong way die slowly.

Think of it like

The biryani test

A great recipe cooked badly gives burnt biryani: change the cook, not the recipe. A bad recipe cooked perfectly gives a perfectly made dish nobody wanted: change the recipe first. A bad recipe cooked badly needs both. Only a good recipe, well cooked, gets eaten. The recipe is formulation; the cooking is implementation.

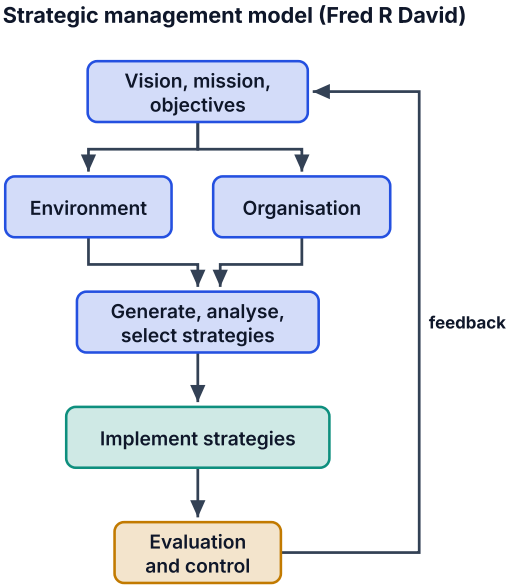
Key idea

Organisational success is a function of good strategy **and** proper implementation. Successful formulation does not guarantee successful implementation: it is always more difficult to do something than to say you are going to do it.

How it works

The strategic management process

The process of developing a strategy is methodical: a clear vision, mission, values and goals; analysis of themes to find the most promising options; and a strategic plan with a high-level implementation plan and **key performance measures**, which link the themes back to the goals and measure the strategy's success after implementation (SM 5.3). The process is **dynamic and continuous**: a change in any one component (a shift in the economy, a failure to meet annual objectives, a competitor's change of strategy) can require a change in any or all of the others. So formulation, implementation and evaluation are performed on a continual basis; the strategic management process never really ends (SM 5.3).



Blue: formulation (including environmental analysis and organisation appraisal); teal: implementation; amber: evaluation. The feedback arrow is why the process never ends. In practice strategists do not move in lockstep: the process is iterative, with give-and-take among levels (SM 5.3–5.4).

Strategic management involves five **stages** (SM 5.4):

1. Developing a strategic vision and formulation of statement of mission, goals and objectives.
2. Environmental and organisational analysis.
3. Formulation of strategy.
4. Implementation of strategy.
5. Strategic evaluation and control.

Stage 1. Vision, mission and objectives (SM 5.5–5.6). A **strategic vision** delineates management's aspirations for the organisation and highlights a particular direction, or strategic path, for it to follow; a **mission** states the role of the organisation, the overall strategic direction rather than the details of SBU competitive strategy. **Objectives** convert the strategic vision into specific performance targets, the yardsticks for tracking progress, and are needed at all levels: broken down for each business, product line, functional department and work unit so that they support, rather than conflict with, the companywide objectives. (Vision and mission are taught in strategic intent.)

Stage 2. Environmental and organisational analysis (SM 5.6–5.7). The diagnostic phase: **environmental scanning** of the economic, social, technological, market and other forces to find opportunities and threats, and **organisational analysis** of financial and technological resources, productive capacity, marketing and distribution, R&D and human resource skills to find strengths and weaknesses. Matched together they give the framework for SWOT analysis.

Stage 3. Formulating strategy (SM 5.7). First develop strategic alternatives in the light of SWOT; then analyse them deeply to choose the most appropriate. The alternatives: continue in the same business at the same volume; grow within it (expand existing units, establish new ones or acquire others); diversify into related or unrelated areas; or get out of a business fully or partially. These are **stability, growth/expansion and retrenchment**, and a mix of them is a **combination strategy** (stability and retrenchment).

Stage 4. Implementation of strategy (SM 5.7–5.8). Implementation and execution are an **operations-oriented activity** aimed at shaping the performance of core business activities in a strategy-supportive manner. It is the **most demanding and time-consuming** part of the process: a manager must direct organisational change, motivate people, build competencies and capabilities, create a strategy-supportive work climate, and meet or beat performance targets. In most situations the strategy-execution process includes these **principal aspects**:

1. Developing budgets that steer ample resources into those activities critical to strategic success.
2. Staffing the organisation with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities and organising the work effort.
3. Ensuring that policies and operating procedures facilitate rather than impede effective execution.
4. Using the best-known practices to perform core business activities and pushing for continuous improvement.
5. Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.
6. Motivating people to pursue the target objectives energetically.
7. Creating a company culture and work climate conducive to successful strategy implementation and execution.
8. Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution; stumbling blocks and weaknesses must be addressed and rectified quickly.

Good execution creates strong **"fits"**: between strategy and organisational capabilities, the reward structure, the internal operating systems, and the work climate and culture (SM 5.8).

Stage 5. Strategic evaluation and control (SM 5.8–5.9). Evaluating progress, assessing the impact of new external developments and making corrective adjustments is the **trigger point** for deciding whether to continue or change the vision, objectives, strategy or execution methods. While direction and strategy fit the conditions and targets are met, executives may stay the course and fine-tune. After disruptive change, a downturn in market position or a performance shortfall, managers must find out whether the cause is **poor strategy, poor execution, or both**, and act in time. (The tools are in strategic control.)

Strategy formulation: strategic and operational planning

Planning is choosing what has to be done in the future and creating action plans. The game plan that directs the company towards success is **corporate strategy**; its formation is the result of **strategic planning**, done by senior management for the whole organisation after weighing strengths and weaknesses against the opportunities and threats outside. **Operational plans** are made at middle and lower levels and give specifics on how resources are to be used to achieve the goals (SM 5.9–5.10).

Strategic planning	Operational planning
Shapes the organisation and its resources	Deals with current deployment of resources
Assesses the impact of environmental variables	Develops tactics rather than strategy
Takes a holistic view of the organisation	Projects current operations into the future
Develops overall objectives and strategies	Makes modifications to the business functions but not fundamental changes
Is concerned with the long-term success of the organisation	—
Is a senior management responsibility	Is the responsibility of functional managers

The Study Material's figure lists six characteristics of strategic planning and five of operational planning (SM 5.10), so the table pairs the two "responsibility" items and leaves one cell empty; see the Exam angle for the row ICAI's answers add.

Strategic planning is the process of determining the objectives of the firm, the resources required to attain them and the policies to govern the acquisition, use and disposition of resources; it involves interactive and overlapping decisions; it determines where the organisation is going over the next year or more and how; and it is organisation-wide or focused on a major function such as a division (SM 5.10–5.11).

Strategic uncertainty

Definition

Strategic uncertainty

Strategic uncertainty refers to the unpredictability of future events and circumstances that can impact an organisation's strategy and goals. It can be driven by changes in the market, technology, competition, regulation and other external factors. (SM 5.11)

Uncertainties are made manageable by grouping them into logical clusters or themes and assessing the importance of each cluster, to set priorities for information gathering and analysis. Organisations need flexibility, resilience and agility to respond. Ways of dealing with it (SM 5.11):

1. **Flexibility**: build flexibility into strategies to adapt quickly to changes in the environment.
2. **Diversification**: diversify the product portfolio, markets and customer base to reduce the impact of uncertainty.
3. **Monitoring and scenario planning**: regularly monitor key indicators of change and plan for how different future scenarios might affect strategies.
4. **Building resilience**: strengthen operational processes, increase financial flexibility, improve risk management capabilities.
5. **Collaboration and partnerships**: work with other organisations, suppliers, customers and partners to pool resources, share risk and reach new markets and technologies.

Its **impact** depends on the importance of the affected SBU, indicated by its sales, profits or costs, supplemented for potential growth, which present figures may not reflect: a trend toward natural foods may present opportunities for juices for a firm producing aerated drinks (SM 5.11–5.12).

Strategy implementation, and the matrix

Definition

Strategy implementation

Strategy implementation concerns the managerial exercise of putting a freshly chosen strategy into action. It deals with the managerial exercise of supervising the ongoing pursuit of strategy, making it work, improving the competence with which it is executed and showing measurable progress in achieving the targeted results. (SM 5.12)

It translates a strategic decision into action, presupposing that the choice was made with some thought to **feasibility and acceptability**; it needs resources allocated to the new courses of action, perhaps an adapted structure, trained personnel and appropriate systems. Formulation and implementation need very different skills, and people often blame the strategy model when the flaw lies in failed implementation. Thus organisational success is a function of good strategy and proper implementation (SM 5.12).

Formulation (rows) and implementation (columns) matrix

Formulation	Weak	Excellent
Sound	**A: fix execution**	**B: ideal**
Flawed	**C: redo both**	**D: redo strategy**

The squares (SM 5.13), read with the table above (amber A, green B, rose C, blue D):

- **Square A**: a very competitive strategy, but difficulties in implementing it, due to lack of experience (for example, start-ups), lack of resources, missing leadership and so on. The company aims to move from **A to B**, once it realises its implementation difficulties.
- **Square B**: the ideal: a sound, competitive strategy, successfully implemented.
- **Square D**: flawed formulation, excellent implementation. The first thing to do is to **redesign the strategy** before readjusting implementation and execution skills.
- **Square C**: neither a sound strategy nor good implementation; the path to success goes through **business model redesign and implementation readjustment**.

Strategy is a chosen set of actions by which a market position relative to competitors is sought and maintained (**competitive position**). It is not synonymous with a long-term plan: it is the enterprise's attempt to reach a preferred future state by adapting its competitive position as circumstances change, so planned moves are modified as competitors act (SM 5.13–5.14).

Efficiency and effectiveness

Firms that lack strategic direction tend to look inwards in times of stress, cutting costs and shedding unprofitable divisions: a focus on **efficiency** (the relationship between inputs and outputs, usually with a short time horizon) rather than **effectiveness** (the attainment of organisational goals, including the desired competitive position). Efficiency is essentially introspective; effectiveness highlights the links between the organisation and its environment. Efficiency is the responsibility of **operational managers**; strategic orientation is the primary responsibility of **top management** (SM 5.14).

Operational management (rows) and strategic formulation (columns)

Operations	Effective	Ineffective
Efficient	1: Thrive	2: Die slowly
Inefficient	3: Survive	4: Die quickly

These are the Study Material's principal combinations of efficiency and effectiveness. Cell 1 thrives: it achieves what it aspires to with an efficient output/input ratio. Cells 2 and 4 are doomed unless they establish some strategic direction. **Cell 2 is a worse place than cell 3**, because cell 3 has the strategic direction that ensures effectiveness even if too much input is used (SM 5.14–5.15). In crude terms, to be effective is to do the right thing, while to be efficient is to do the thing right; to be effective is to survive, whereas efficiency is not in itself either necessary or sufficient for survival (SM 5.15).

Who decides what is effective? An organisation is a **coalition of diverse interest groups**, each participating for some advantage: dividends to shareholders, wages to employees, continued business to suppliers, satisfaction to consumers, legal compliance for government, responsible behaviour for pressure groups (SM 5.15).

Even the most technically perfect plan serves little purpose if not implemented effectively; **change comes through implementation and evaluation, not through the plan**. A technically imperfect plan implemented well achieves more than the perfect plan that never gets off the paper (SM 5.15).

Formulation versus implementation

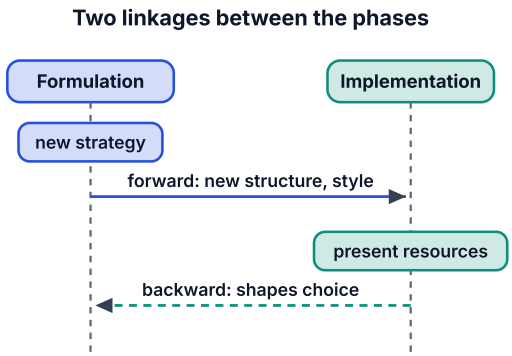
Although inextricably linked, the two are fundamentally different (SM 5.15–5.16):

Strategy formulation	Strategy implementation
Includes planning and decision-making involved in developing the organisation's strategic goals and plans	Involves all those means related to executing the strategic plans
Placing the forces before the action	Managing forces during the action
An entrepreneurial activity based on strategic decision-making	An administrative task based on strategic and operational decisions
Emphasises effectiveness	Emphasises efficiency
Primarily an intellectual and rational process	Primarily an operational process
Requires co-ordination among few individuals at the top level	Requires co-ordination among many individuals at the middle and lower levels
Requires a great deal of initiative, logical skills, conceptual, intuitive and analytical skills	Requires specific motivational and leadership traits
Precedes strategy implementation	Follows strategy formulation

Formulation concepts and tools do not differ greatly for small, large, for-profit or non-profit organisations; implementation **varies substantially** among types and sizes. It requires actions such as altering sales territories, adding new departments, closing facilities, hiring and training employees, changing pricing or advertising strategies, developing financial budgets and employee benefits, establishing cost-control procedures, building facilities, transferring managers among divisions and building a better management information system, which differ greatly among manufacturing, service and governmental organisations (SM 5.16–5.17).

Forward and backward linkages

The division into phases is only for orderly study; in real life formulation and implementation are intertwined, joined by two types of linkages (SM 5.17):

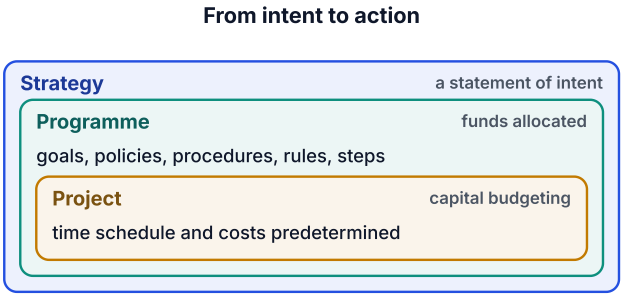


Forward linkages: the impact of formulation on implementation. Backward linkages: the impact in the opposite direction.

- **Forward linkages.** The elements of formulation, from objective setting through environmental and organisational appraisal, strategic alternatives and choice to the strategic plan, determine the course the organisation adopts. New or reformulated strategies require changes within the organisation: the **organisational structure** has to change to suit the strategy, and the **style of leadership** has to be adapted to it.
- **Backward linkages.** Formulation is also affected by implementation. Past strategic actions determine the choice of strategy: organisations tend to adopt strategies that can be implemented with the **present structure of resources combined with some additional efforts**. Such incremental changes, over time, take the organisation from where it is to where it wishes to be.

Issues in strategy implementation

Implementation tests the strategist's abilities to **allocate resources, design organisational structure, formulate functional policies and provide strategic leadership** (SM 5.18). The chain from intent to action:

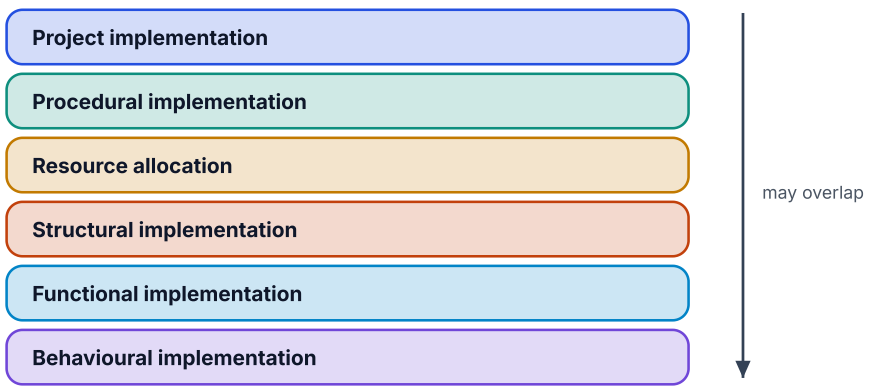


A research and development programme may hold several projects, each with a specific, limited objective, its own funds and its own time schedule (SM 5.18).

1. Strategies by themselves do not lead to action; they are a **statement of intent**, activated through implementation.

2. Strategies lead to **programmes**: a broad term including goals, policies, procedures, rules and steps in putting a plan into action, usually supported by funds.
3. Programmes lead to **projects**: highly specific programmes with predetermined time schedules and costs, funded through capital budgeting.

Then resources are provided, a proper structure designed, systems installed, functional policies devised and behavioural inputs provided. The issues, in sequential manner (SM 5.18–5.19):



The sequence does not mean one after another: many are done simultaneously, some repeated over time, some only once.

The shift in responsibility. In all but the smallest organisations, implementation moves responsibility from strategists to **divisional and functional managers**; problems arise especially if strategic decisions come as a surprise to middle and lower-level managers, who are motivated more by perceived self-interest than by organisational interest unless the two coincide. So divisional and functional managers should be involved as much as possible in formulation, and strategists as much as possible in implementation (SM 5.19).

Management issues central to strategy implementation (SM 5.19): establishing annual objectives, devising policies, allocating resources, altering an existing organisational structure, restructuring and reengineering, revising reward and incentive plans, minimising resistance to change, developing a strategy-supportive culture, adapting production/operations processes, developing an effective human resource system and, if necessary, downsizing. The changes are more extensive when the strategy moves the firm in a new direction.

Making it work (SM 5.19–5.20): managers and employees should participate early and directly; strategists' genuine personal commitment is a powerful motivational force (their lack of interest can be detrimental); the rationale for objectives and strategies should be understood throughout; competitors' accomplishments and plans should be apparent to all; **top-down flow of communication is essential for developing bottom-up support**; every employee should benchmark against best-in-class competitors; and training keeps skills world-class.

Worked examples

Worked example **Two launches, two different failures**

Tapri Tea Co. Ltd's strategy committee is reviewing two launches of 2025.

Tapri Pods, chai capsules for home coffee machines, was approved even though Tapri's own consumer survey had found that very few Indian households own a capsule machine, and BrewBucks already sells capsules to the few who do. The launch itself went exactly to plan: stock reached 3,000 stores on launch day, the advertising campaign ran on schedule and spending stayed within budget. Twelve months later, sales are a fraction of the target.

Tapri Frozen, ready-to-fry samosas sold only to five-star hotels, was approved without any study of hotel kitchens, most of which make their own snacks. The refrigerated trucks it needed were ordered late, no sales team was hired, and the few hotels that did order faced repeated stock-outs.

Kesar's verdict: "Both failed, so the execution team is the problem. Replace it."

Required:

(i) Using the strategy formulation and implementation matrix, place each launch and advise the path each should take.

(ii) Comment on Kesar's verdict.

MODEL ANSWER

(i) Position of each launch. The strategy formulation and implementation matrix distinguishes sound or flawed strategy formulation from excellent or weak strategy implementation. Square A is sound formulation with weak implementation; Square B, the ideal, is sound formulation with excellent implementation; Square C is flawed formulation with weak implementation; Square D is flawed formulation with excellent implementation. A company will be successful only when the strategy formulation is sound and implementation is excellent.

- **Tapri Pods: Square D.** The formulation is **flawed**: the strategy was chosen against Tapri's own evidence that the market hardly exists and is already served by a competitor. The implementation is **excellent**: on time, on schedule and within budget. When a company finds itself in square D, the first thing it has to do is to **redesign its strategy** before readjusting its implementation/execution skills. Tapri should rethink the product-market choice; its proven launch capability can then be used for the redesigned strategy.
- **Tapri Frozen: Square C.** The formulation is **flawed** (no analysis of whether hotels need the product) and the implementation is **weak** (trucks late, no sales team, stock-outs). Its path to success goes through **business model redesign and implementation/execution readjustment**: both must be redone.

(ii) Kesar's verdict. Formulation and implementation require very different skills, and organisational success is a function of good strategy and proper implementation, so the cause of each failure must be traced to the right phase. The verdict is not correct for Tapri Pods, where the execution team performed excellently: replacing it would remove a strength and leave the flawed strategy in place. It is only partly correct for Tapri Frozen: execution did fail there, but better execution of a flawed strategy would still not succeed. The committee should first review how both strategies were formulated, and correct implementation where it was weak, that is, in Tapri Frozen.

Worked example **The vending machines that never break down**

After a weak quarter, Tapri's board reviewed two units.

- **Chai-on-Tap**, the office vending business, has the lowest cost per cup in the industry (₹6.40) and machines that are almost never out of order. Since offices moved to hybrid work, cups sold have fallen in each of the last three years, and the unit has no plan for where else to sell.
- **Tapri Town Cafés**, opened in tier-2 towns under the 2024 strategy, have customers queuing at the door and same-store sales up 26% this year, as the strategy intended. But wastage and overtime are high: cost per cup is ₹11.80 against a plan of ₹9.00.

The board's proposal: "Close the town cafés, they are wasteful. Keep Chai-on-Tap, it is our most efficient unit."

Required: Using the principal combinations of efficiency and effectiveness, place each unit and examine the board's proposal.

MODEL ANSWER

Efficiency and effectiveness. Efficiency is the relationship between inputs and outputs, usually with a short time horizon; effectiveness is concerned with the attainment of organisational goals, including that of desired competitive position. To be effective is to do the right thing, while to be efficient is to do the thing right. The responsibility for efficiency lies with operational managers; top management has the primary responsibility for the strategic orientation of the organisation.

The principal combinations:

	Effective	Ineffective
Efficient	1: Thrive	2: Die slowly
Inefficient	3: Survive	4: Die quickly

Placing the units.

- **Chai-on-Tap** is efficient (lowest cost per cup) but ineffective (its market is shrinking and it has no strategic direction): **cell 2, die slowly**.
- **Tapri Town Cafés** are effective (they are attaining the goal the strategy set, with demand growing) but inefficient (cost per cup is about 31% above plan): **cell 3, survive**.

The board's proposal. Organisations that lack strategic direction tend to look inwards in times of stress and devote their attention to cost cutting and to shedding unprofitable divisions: a focus on efficiency rather than effectiveness. The proposal does exactly this. But cell 2 is a worse place to be than cell 3, since cell 3 has the strategic direction that ensures effectiveness even if too much input is being used. To be effective is to survive, whereas to be efficient is not in itself either necessary or sufficient for survival. An emphasis on efficiency rather than effectiveness is clearly wrong.

Advice. Keep the town cafés and move them from cell 3 to cell 1 by reducing wastage and overtime, a task for operational managers. Chai-on-Tap is doomed unless top management establishes some strategic direction for it, such as new places to sell. Closing the cafés would cut the unit that is doing the right thing.

Worked example **Why the app, and what changed after**

In 2024 Tapri chose between a chain of highway motels and expanding its delivery app. It chose the app because its existing cafés, cold chain and technology team could run it with some additional effort. After the decision, Tapri created a separate digital division with its own head, and the CEO moved from close personal supervision to a more participative style suited to young technology teams.

Explain the linkages between strategy formulation and implementation in this case.

MODEL ANSWER

Formulation and implementation are intertwined; two types of linkages exist between these phases.

Backward linkage (implementation affecting formulation). Formulation is affected by factors related to implementation: past strategic actions determine the choice of strategy, and organisations adopt strategies that can be implemented with the present structure of resources combined with some additional efforts. Tapri chose the app over motels because its existing cafés, cold chain and technology team could implement it.

Forward linkage (formulation affecting implementation). The formulation of a new strategy requires changes within the organisation: the structure has to change in the light of the new strategy, and the style of leadership has to be adapted to it. Tapri created a digital division and its CEO adapted his leadership style.

Such incremental changes, over time, take the organisation from where it is to where it wishes to be.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched (eight past papers, eight RTPs, sixteen MTPs), 13 ask about this lesson:

- **Formulation versus implementation, 5 marks**: September 2025 Q8(b) ("Many managers fail to distinguish..."); MTP May 2025 Series II Q4(a).
- **Efficiency and effectiveness**: RTP September 2025 Q15 and MTP May 2026 Series II Q4(b) (OR), the same Merako Appliances case: how to balance them, and the four situations; ICAI's answer draws the 2 × 2 grid.
- **Principal aspects of the strategy-execution process**: RTP September 2025 Q16; MTP September 2024 Series II Q4(a) (5 marks).
- **Forward and backward linkages, with examples**: MTP May 2024 Series II Q3(b) (5 marks).
- **Strategic uncertainty and how to manage it**: May 2026 Q8(a) (5 marks); RTP January 2026 Q16.
- **Strategic planning versus operational planning**: RTP May 2025 Q16; RTP September 2026 Q16; MTP January 2025 Series I Q4(b) (OR); MTP September 2025 Series I Q3(b) (5 marks).
- **MCQ, 2 marks**: January 2026 MCQ 15 (a realty firm allocates budgets, assigns projects, sets up monitoring and builds culture: **strategy implementation**).

In the exam

How the marks are earned

"Distinguish" answers in the Suggested Answers reproduce the Study Material's two-column table, row for row. Case answers name the concept first (the cell, the square, the linkage), quote its definition, apply it to the facts, and end with the advice. For strategic versus operational planning, ICAI's RTP answers add one row the Study Material's figure lacks: operational planning "is concerned with the short-term success of the organisation".

Trick

A-B on top, C-D below; "sound" before "flawed", "weak" before "excellent"

Draw the grid as ICAI does: formulation on the side (sound above, flawed below), implementation along the bottom (weak, then excellent). Then A = sound/weak, B = sound/excellent, C = flawed/weak, D = flawed/excellent, read like a page. For the second grid: effective survives, efficient alone dies slowly.

Answer frame

A case on the matrix or the efficiency grid (5 marks)

1. Name the tool and the concept: "the strategy formulation and implementation matrix" or "the principal combinations of efficiency and effectiveness".
2. Define the two dimensions in ICAI's words (sound or flawed formulation, weak or excellent implementation; efficiency as input-output, effectiveness as attainment of goals).
3. Describe all four squares or cells, one line each.
4. Place the company, with the facts that put it there.
5. Advise the path: A to B; D redesigns strategy first; C redesigns both; cell 2 needs strategic direction.

Three answers to "Distinguish between strategy formulation and implementation"

Loses marks

"Formulation is planning, implementation is doing."

True, but one point for a five-mark question.

Passes

Four rows of the table: meaning, entrepreneurial versus administrative, effectiveness versus efficiency, precedes versus follows.

About half the points.

Full marks

All eight rows of ICAI's table in its order, as a two-column table, each row a contrast.

Every point the Suggested Answer gives.

Common mistakes

Common mistake

Hall of Shame: Bunty's square D

Asked about a company that executes a poor strategy brilliantly, Bunty writes "Square A, improve implementation". **Fix:** square A is sound strategy, weak implementation. Brilliant execution of a flawed strategy is **square D**, and the first step there is to redesign the strategy.

⚠ **Common mistake**

"Efficient is safer than effective"

Ranking cell 2 (efficient, ineffective) above cell 3 (inefficient, effective). **Fix:** the Study Material says the opposite: cell 2 is a worse place than cell 3, because effectiveness (the right strategic direction) is what ensures survival.

⚠ **Common mistake**

The linkages written backwards

"Forward linkage: implementation affects formulation." **Fix:** forward is formulation's impact on implementation (new strategy, so new structure and leadership style); backward is implementation's impact on formulation (strategies chosen that the present structure of resources can implement).

⚠ **Common mistake**

Tactics on the wrong side

Writing "strategic planning develops tactics". **Fix:** operational planning develops tactics rather than strategy; strategic planning develops overall objectives and strategies.

Practice

Check yourself

1 Case scenario. Pashmeena Foods Pvt Ltd, a two-year-old start-up, found that no brand sells ready-to-cook Kashmiri meals; investors praised its research and pricing, and two large retail chains want to stock it. But its founders have never run a factory: deliveries are late and quality varies from batch to batch. Using the strategy formulation and implementation matrix, which of the following is correct?

- A Square D: redesign the strategy before readjusting implementation
- B Square B: the ideal situation; no change is needed
- C Square C: redesign both the business model and implementation
- D Square A: correct the implementation difficulties and move to square B

2 According to the Study Material, which of these positions is worse for an organisation?

- A Efficient but ineffective
- B Inefficient but effective
- C Efficient and effective
- D The two middle cells are equally placed

3 Which of the following are principal aspects of the strategy-execution process? Select all that apply.

- **A** Developing budgets that steer ample resources into activities critical to strategic success
- **B** Installing information and operating systems that help personnel carry out their strategic roles
- **C** Generating, analysing and selecting strategic alternatives
- **D** Creating a company culture and work climate conducive to successful implementation

More than one answer may be right.

4 Tapri's board picks a strategy of opening cafés inside its existing petrol-pump partners' outlets, because the present structure of resources can carry it out with some additional efforts. This illustrates:

- **A** A forward linkage
- **B** A backward linkage
- **C** Strategic surveillance
- **D** Operational planning

5 Which of the following is a characteristic of operational planning?

- **A** Assesses the impact of environmental variables
- **B** Takes a holistic view of the organisation
- **C** Projects current operations into the future
- **D** Is a senior management responsibility

Answers: the answer key at the end of this lesson.

Recap

- Strategic management has five stages, from vision, mission and objectives through analysis, formulation and implementation to evaluation and control, and the process never really ends; it is dynamic and continuous.
- Implementation is operations-oriented, the most demanding and time-consuming stage; eight principal aspects from budgets to internal leadership, building "fits" with capabilities, rewards, systems and culture.
- Matrix: A sound/weak (move to B), B sound/excellent (ideal), C flawed/weak (redesign both), D flawed/excellent (redesign strategy first).
- Efficiency grid: 1 thrive, 2 die slowly, 3 survive, 4 die quickly; cell 2 is worse than cell 3. Effective = right thing; efficient = thing right.
- Formulation: entrepreneurial, intellectual, effectiveness, few people at the top, precedes. Implementation: administrative, operational, efficiency, many people at middle and lower levels, follows.

- Forward linkage: formulation changes structure and leadership style. Backward linkage: the present structure of resources shapes the choice.
- Issues, in order: project, procedural, resource allocation, structural, functional, behavioural (they can overlap). Strategy, then programmes, then projects.
- Strategic uncertainty: flexibility, diversification, monitoring and scenario planning, resilience, collaboration. (Kulhad Express needed a cook, not a new recipe.)

Answer key · Check yourself

1 **D Square A: correct the implementation difficulties and move to square B**

A sound, competitive strategy (an unserved market, demand from retailers) with weak implementation is square A; the Study Material names lack of experience, as in start-ups, as one cause. The company aims to move from A to B. Square D is the reverse: flawed strategy, excellent implementation.

2 **A Efficient but ineffective**

Cell 2 (efficient, ineffective: die slowly) is worse than cell 3 (inefficient, effective: survive), because cell 3 has the strategic direction that ensures effectiveness.

3 **A Developing budgets that steer ample resources into activities critical to strategic success; B Installing information and operating systems that help personnel carry out their strategic roles; D Creating a company culture and work climate conducive to successful implementation**

Generating and selecting alternatives is formulation (Stage 3). The other three are among the eight principal aspects of execution.

4 **B A backward linkage**

Implementation affecting the choice of strategy is a backward linkage. A forward linkage runs from a new strategy to changes in structure and leadership style.

5 **C Projects current operations into the future**

The other three describe strategic planning. Operational planning deals with current deployment of resources, develops tactics, projects current operations into the future and is the responsibility of functional managers.

5.2 Strategic change and digital transformation

Why strategy needs change, the three steps to initiate it, Lewin's unfreeze-change-refreeze with Kellman's three methods, and how change management carries a digital transformation: four elements, five best practices, five pointers.

In plain words

Tapri OS meets the paper register

Tapri's 300 kulhad cafés have always run on a paper register: stock in, stock out, a pencil behind the manager's ear. This year Tapri builds **Tapri OS**, one app for ordering, stock, staff rosters and the delivery partners.

> **Kesar:** Monday ko saare cafés live. Simple.
>
> **Ananya:** On Monday you will have 300 managers who are scared, a helpline that melts, and registers hidden in every drawer.
>
> **Dev:** And an app that cost ₹6 crore, used as a very expensive calculator.

Ananya is talking about **strategic change**: when the environment shifts, a firm must change its strategy and its ways of doing business, and people do not change because a memo says so. Change has to be managed.

The classic model comes from **Kurt Lewin**, in three phases. First **unfreeze**: make people see why the old way must go, so the change is not a surprise. Then **change**: build the new behaviour, through rewards and penalties, role models, or people genuinely adopting the new way. Then **refreeze**: make the new behaviour the normal way of life, so nobody slides back to the register.

Using digital technology to create new or improved procedures, products or services is **digital transformation**, and the discipline that plans, prepares for and carries out such changes is **change management**. Without it, digital transformation efforts are more likely to fail.

Think of it like

The kulfi mould

To change the shape of a kulfi you melt it (unfreeze), pour it into the new mould (change) and put it back in the freezer (refreeze). Pour without melting and nothing changes shape. Skip the freezer and it slides back into a puddle. And next summer, when you want a new shape again, the cycle starts over.

Key idea

Strategy changes only when behaviour changes. Lewin's unfreezing, changing and refreezing is a continuous cycle, not a one-time event, and a digital transformation succeeds only when change management carries it at every level of the organisation.

How it works

Strategic change

Definition

Strategic change

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business. (SM 5.20)

Steps to initiate strategic change (SM 5.20–5.21):

1. **Recognise the need for change.** Diagnose which facets of the present corporate culture are strategy supportive and which are not: environmental scanning, appraising both internal and external capabilities (perhaps through SWOT analysis), then determining where the lacuna lies and the scope for change.

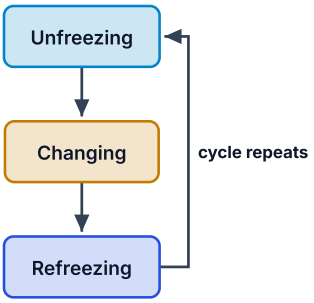
2. **Create a shared vision to manage change.** The objectives of individuals and the organisation should coincide, with no conflict between them; this is possible only if management and members follow a shared vision. Senior managers must constantly and consistently communicate the vision to all members and convince them that the change in business culture is not superficial or cosmetic. Actions must be credible, highly visible and unmistakably indicative of management's seriousness.

3. **Institutionalise the change.** The action stage: implementing the changed strategy. Creating and sustaining a different attitude towards change ensures that the firm does not slip back into old ways of thinking or doing things. **Capacity for self-renewal** should be a fundamental anchor of the new culture. The change must be regularly monitored and reviewed, deviations brought to the notice of the persons concerned for corrective action. It takes time for the changed culture to prevail.

Kurt Lewin's model of change

To make the change lasting, Kurt Lewin proposed three phases for moving the organisation from the present to the future: **unfreezing, changing and refreezing** (SM 5.21).

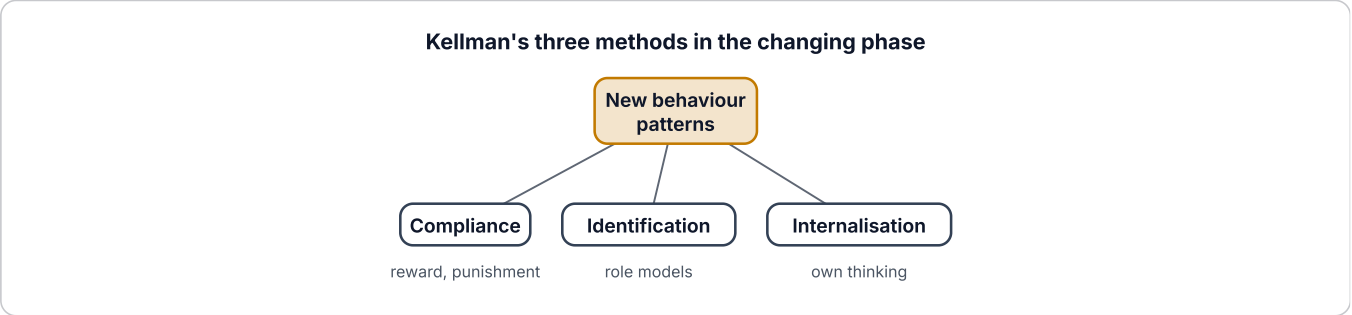
Lewin's three phases, a continuous cycle



The process of unfreezing, changing and refreezing is a cyclical one and remains continuously in action, because the environment keeps changing (SM 5.22).

(a) Unfreezing the situation. Unfreezing makes individuals aware of the necessity for change and prepares them for it. Changes should not come as a surprise: sudden and unannounced change would be **socially destructive and morale lowering**. Management must pave the way by "unfreezing the situation", so that members are willing and ready to accept the change. Unfreezing is the process of **breaking down the old attitudes and behaviours, customs and traditions** so that people start with a clean slate, achieved by making announcements, holding meetings and promoting the new ideas throughout the organisation (SM 5.21–5.22).

(b) Changing to the new situation. Once members recognise the need for change and are fully prepared to accept it, their behaviour patterns need to be redefined. **H.C. Kellman** proposed three methods for reassigning new patterns of behaviour (SM 5.22):



- **Compliance**: achieved by strictly enforcing the reward and punishment strategy for good or bad behaviour. Fear of punishment, actual punishment or actual reward seems to change behaviour for the better.
- **Identification**: members are psychologically impressed upon to identify themselves with given role models whose behaviour they would like to adopt, and try to become like them.
- **Internalisation**: some internal changing of the individual's thought processes to adjust to the changes introduced; they are given freedom to learn and adopt new behaviour to succeed in the new circumstances.

(c) Refreezing. Refreezing occurs when the new behaviour becomes a normal way of life. The new behaviour must replace the former behaviour completely for successful and permanent change, and must be **continuously reinforced** so that it does not diminish or extinguish. Change is not a one-time application but a continuous process, because of dynamism and the ever-changing environment (SM 5.22).

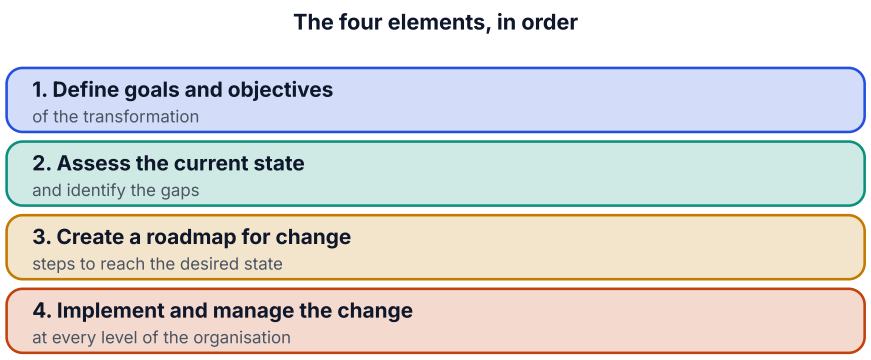
Digital transformation and change management

Definition

Digital transformation

The use of digital technologies to develop fresh, improved, or entirely new company procedures, goods, or services is known as "digital transformation". It is a fundamental adjustment that can be challenging to identify and even more challenging to implement. (SM 5.23)

Change management is the discipline with whose aid organisations plan, prepare for and carry out changes to their operations, including digital transformations. **Change management in the digital transition consists of four essential elements** (SM 5.23):



Each element is necessary; what matters most is how they work together (SM 5.23).

How change management works (SM 5.23–5.24). Change management is a process or set of tools and best practices used to manage changes in an organisation, making them in a **safe and regulated manner** and reducing the possibility of detrimental effects. Any organisation can use it: enterprises, governmental bodies, even families. Its many models share four things: a clear vision for the change, involving stakeholders, a plan for putting the change into action, and keeping an eye on the results.

Its role in digital transformation (SM 5.24). Digital transformation is a process of organisational change that enables an organisation to use technology to **create new value for customers, employees and other stakeholders**. Change management is the process of **planning, implementing and monitoring** changes in an organisation, helping it achieve its objectives while reducing risks and disruptions. A properly implemented change management strategy can help an organisation to:

1. Specify the parameters and goals of the digital transformation.
2. Determine which procedures and tools need to be modified.
3. Make a plan for implementing the improvements.
4. Involve staff members and parties involved in the transformation process.
5. Track progress and make required course corrections.

It gains more importance in current times because organisations can improve their chances of success by approaching change in a **proactive and organised manner**.

Change management strategies: five best practices

Modern businesses manage more than staff, clients and products: new technology, the unexpected emergence of new market opportunities and changing customer preferences about brands. They must modify their management techniques. **The five best practices for managing change in small and medium-sized businesses** (SM 5.24–5.26):

1. **Begin at the top.** Change that begins at the top reflects a focused, invested, united leadership on the same page about the company's future; only in this way can the culture that motivates the rest of the organisation to accept change be generated and promoted.

2. **Ensure that the change is both necessary and desired.** Decision-makers are often unaware of how to handle a digital transformation and its effects on the firm; without a sound strategy, introducing too much too fast can become a major issue down the road.
3. **Reduce disruption.** Perceptions of what change is required or desirable differ by department, rank or performance history, and new tactics or technologies cause concern. Disruption is reduced by:
    - (a) getting the word out early and preparing for some interruption;
    - (b) giving staff the knowledge and tools they need to adjust;
    - (c) creating an environment that encourages transformation or change;
    - (d) empowering change agents, such as project managers or team leaders, to provide context and clarity;
    - (e) ensuring that the IT department is informed of changes in technology or infrastructure and is prepared to support them.
4. **Encourage communication.** Create channels for queries and complaints; encourage departmental collaboration to propagate ideas as new procedures take root. Communication promotes efficiency, can influence culture, and reassures those most affected that they are not in danger.
5. **Recognise that change is the norm, not the exception.** Prepare for change in advance and expect it; change is not a project but an ongoing process.

> **Definition**
>
> **Change readiness**
>
> The ability to continuously initiate and respond to change in ways that create advantage, minimise risk, and sustain performance. (SM 5.26)

Managing change during digital transformation: five pointers

Pointers for navigating change during a digital transformation (SM 5.26–5.27):

1. **Specify the digital transformation's aims and objectives**: the intended outcome and the precise objectives, so that everyone is on the same page.
2. **Always, always, always communicate**: routinely and honestly discuss the objectives and how they will affect stakeholders, including employees, clients and other parties.
3. **Be ready for resistance**: even a change for the better can be hard to embrace; have a strategy for dealing with resistance.
4. **Implement changes gradually**, rather than all at once, so that people are not overwhelmed and have time to get used to the new way.
5. **Offer assistance and training**: workers need guidance in the new procedures and software applications.

Effective completion of the massive project of digital transformation depends on meticulous planning and change management; **digital transformation efforts are more likely to fail without change management** (SM 5.27).

Worked examples

Worked example **Tapri OS, take one (and why it melted)**

In March 2026 Tapri Tea Co. Ltd switched all 300 cafés from paper registers to Tapri OS, its app for stock, ordering and rosters, overnight. Café managers learnt of it from an email on the Sunday night before; the only training was a two-page PDF. For the first month the app was used, because head office telephoned every café that had not logged its stock by noon. In May the calls stopped, nobody looked at the app data, and the internal auditors went back to checking the paper registers that most managers had quietly kept. By July most cafés were running on paper again.

Tapri will relaunch Tapri OS in 2027.

Required:

(i) Using Kurt Lewin's model of change, explain why the change did not last.

(ii) Advise how the relaunch should be designed, phase by phase, including the methods H.C. Kellman proposed for the changing phase.

(iii) Once the relaunch succeeds, is the work of change over?

MODEL ANSWER

(i) Why the change did not last. To make change lasting, Kurt Lewin proposed three phases for moving the organisation from the present to the future: unfreezing, changing and refreezing. Tapri's launch failed in each of them.

1. **Unfreezing was skipped.** Changes should not come as a surprise to the members of the organisation; sudden and unannounced change would be socially destructive and morale lowering. A Sunday-night email gave managers no reason for the change and no time to prepare, so the old attitudes and behaviours (and the registers) were never broken down.
2. **Changing was incomplete.** Behaviour patterns were redefined only while head office kept up its telephone calls. Managers were given no role models to follow and no real freedom to learn the app (a two-page PDF).
3. **Refreezing never happened.** Refreezing occurs when the new behaviour becomes a normal way of life; it must replace the former behaviour completely and be continuously reinforced so that it does not diminish or extinguish. The registers were never withdrawn, the auditors went back to them and the app data was ignored, so the new behaviour faded.

(ii) Design of the relaunch.

1. **Unfreezing the situation**: make managers aware of the necessity for change and prepare them for it, by making announcements, holding meetings and promoting the new ideas throughout the organisation, for example by showing how the registers caused stock-outs and late orders.
2. **Changing to the new situation**: once managers recognise the need, redefine their behaviour using Kellman's three methods:
   - **Compliance**: strictly enforce a reward and punishment strategy, for example a monthly bonus for cafés whose app stock matches the physical count, and action against cafés that keep paper records;
   - **Identification**: make managers of successful pilot cafés role models whom others would like to become like;

- **Internalisation**: give managers the freedom to learn and adopt the new behaviour (practice sessions, a helpline), so that their own thinking changes.

3. **Refreezing**: withdraw the paper registers so that the new behaviour replaces the old completely, make audits and reviews use only app data, and keep reinforcing the new behaviour so that it does not diminish or extinguish.

(iii) Not a one-time process. Change process is not a one-time application but a continuous process due to dynamism and the ever-changing environment. The process of unfreezing, changing and refreezing is cyclical and remains continuously in action: the next change at Tapri will start the cycle again.

Worked example **Mehra Packaging Works goes digital**

Mehra Packaging Works, a small firm in Pithampur owned by Kesar's cousin Rajiv Mehra, makes kulhad cartons for Tapri and other customers. To keep Tapri's business, it must take orders through Tapri's supplier portal, and it plans an ERP for inventory, invoicing and dispatch. Rajiv wants everything switched on in Diwali week. His two partners still disagree about whether the ERP is needed at all, the staff fear losing their jobs and have nobody to ask, and the IT vendor has not been told about the server change.

Required: Identify the strategy the firm needs for this digital transformation, and advise it, practice by practice, on what it should do differently.

MODEL ANSWER

Strategy. Mehra Packaging Works requires a **change management strategy**. For any organisation undergoing a digital transition, change management is crucial: a properly implemented change management strategy helps it specify the goals of the transformation, determine which procedures and tools need to be modified, plan the improvements, involve staff and track progress.

The five best practices for managing change in small and medium-sized businesses, applied:

1. **Begin at the top**: change that begins at the top reflects a focused, invested, united leadership on the same page about the company's future; only in this way can a culture that motivates the rest of the organisation to accept change be generated. The partners must settle their disagreement before anything is switched on.
2. **Ensure that the change is both necessary and desired**: decision-makers should understand how the transformation will affect the firm; without a sound strategy, introducing too much too fast (everything in Diwali week) can become a major issue down the road.
3. **Reduce disruption**: get the word out early and prepare for some interruption; give staff the knowledge and tools they need to adjust; create an environment that encourages change; empower change agents such as team leaders; and ensure that the IT department, here the IT vendor, is informed of the changes in technology and infrastructure and is prepared to support them.
4. **Encourage communication**: create channels through which staff can raise queries and complaints, so that those most affected are reassured that they are not in danger.
5. **Recognise that change is the norm, not the exception**: the portal and the ERP are not a one-time project but part of an ongoing process of change.

Worked example **The plan with three sections**

Malwa Municipal Corporation is moving property-tax payments, building permits and water bills from its counters to an online portal. The commissioner's plan has three sections: what the portal must achieve by March 2027; a three-phase roadmap of the steps to get there; and how each department will run the change. Nobody has reviewed today's counters, files and staff skills. Her deputy says: "Change management is complete. We go live in all 85 wards on 1 January, the staff will learn on the job, and there is no need to discuss it with the staff unions."

Required:

(i) Examine the commissioner's plan using the four essential elements of change management in the digital transition.

(ii) Do you agree with the deputy? Advise, using the pointers for navigating change during digital transformation.

MODEL ANSWER

(i) The four elements. Change management in the digital transition consists of four essential elements:

Element	In the plan?
1. Defining the goals and objectives of the transformation	Yes: what the portal must achieve by March 2027
2. Assessing the current state of the organisation and identifying gaps	**No**: counters, files and staff skills not reviewed
3. Creating a roadmap for change that outlines the steps needed to reach the desired state	Yes: the three-phase roadmap
4. Implementing and managing the change at every level of the organisation	Yes: department-wise

Each element is necessary to navigate a digital transformation successfully, and what matters most is how they work together. Without an assessment of the current state and its gaps, the roadmap cannot show how to get from where the corporation is to where it wants to be.

(ii) The deputy's view. It cannot be agreed with. Digital transformation efforts are more likely to fail without change management, and the deputy ignores the pointers for navigating change:

1. **Specify the digital transformation's aims and objectives**: the plan has them; everyone, including staff, must have a clear grasp of them so that all are on the same page.
2. **Always, always, always communicate**: routinely and honestly discuss the objectives and how they will affect stakeholders, including employees, clients and other parties; refusing to discuss the change with the unions does the opposite.
3. **Be ready for resistance**: even a change for the better can be hard to embrace; the corporation needs a strategy for dealing with resistance from counter staff.
4. **Implement changes gradually**: not in all 85 wards on one day, which would overwhelm people and contradicts the plan's own three-phase roadmap.
5. **Offer assistance and training**: staff need guidance in the new procedures and software; "learn on the job" is not enough.

> The corporation should complete the assessment of its current state and add these pointers before going live.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched, 18 ask about this lesson:

- **Lewin's model, 1 + 3 + 1 marks**: May 2026 Q5(a) (Eagle Manufacturing: identify the model, explain the phases, is it a one-time process?). MCQs: September 2024 MCQ 16 (sequence: unfreezing, changing, refreezing); MTP May 2026 Series I MCQ 1(B)(iii) (the final step: refreeze).
- **Steps to initiate strategic change, 5 marks**: MTP January 2025 Series I Q2(a) and MTP January 2026 Series I Q2(a) (a handset maker that did not adapt); MTP September 2025 Series II Q2(b).
- **Change management strategy and the five best practices (SMEs)**: May 2025 Q5(b) (the Twaran case, 5 marks), repeated word for word as MTP September 2026 Series II Q1(b), and with a renewable-energy firm in RTP January 2026 Q15; MTP May 2024 Series I Q1(c); MTP May 2025 Series II Q1(c) (a firm whose staff resist a cloud system: "key change management strategies").
- **Pointers for navigating change during digital transformation, 5 marks**: September 2024 Q8(b) (OR); MTP May 2025 Series I Q3(a); MTP September 2025 Series I Q4(b); MTP January 2026 Series II Q3(a); MTP September 2026 Series I Q3(b); also RTP May 2024 Q16 and MTP May 2026 Series I Q4(b) (OR) ("Why is change management crucial..., and what are some key strategies for navigating change?"), both answered with the five pointers.
- **The four elements**: RTP May 2026 Q15 (a firm defines objectives, assesses gaps, prepares a phased roadmap and implements: "which concept?").
- **Definitions and the five ways change management helps**: September 2026 Q8(b) (1 + 3 + 1; answers not yet published).

In the exam

How the marks are earned

Case answers name the concept in the first line ("Kurt Lewin's Three Phase Model of Change"; "a Change Management Strategy"), then list the phases or practices by their Study Material names, each tied to the facts. In the Lewin case, the "one-time process?" mark goes to: no, it is cyclical and remains continuously in action.

Trick

Which list does the question want?

"Best practices", "change management strategies", "small and medium-sized business": the **five best practices** (Begin, Ensure, Reduce, Encourage, Recognise). "Pointers", "navigating", "how to manage change during": the **five pointers** (Specify, Communicate, Resistance, Gradually, Training). "Elements of change management in the digital transition": the **four elements** (Define, Assess, Roadmap, Implement). "How a change management strategy can help": the **five ways** (parameters and goals, procedures and tools, plan, involve, track). When "navigating" appears next to "strategies" (RTP May 2024 Q16), ICAI's answer gives the pointers; "change management strategies" to "minimise disruption" in a firm whose staff resist (MTP May 2025 Series II Q1(c)) gets the best practices.

Answer frame

Lewin case (1 + 3 + 1 = 5 marks)

1. **Identify** (1 mark): "The model being applied is Kurt Lewin's three-phase model of change: unfreezing, changing and refreezing."
2. **Explain** (3 marks): each phase in the Study Material's words, followed by "In the given case, ...".
3. **One-time?** (1 mark): "No. Change is a continuous process due to the ever-changing environment; the cycle of unfreezing, changing and refreezing remains continuously in action."

Five lists that look alike

List	How many	Items in order
Steps to initiate strategic change	3	Recognise the need; create a shared vision; institutionalise the change
Lewin's phases	3	Unfreezing; changing (compliance, identification, internalisation); refreezing
Elements of change management in the digital transition	4	Define goals; assess current state and gaps; roadmap; implement and manage at every level
Best practices for SMEs	5	Begin at the top; necessary and desired; reduce disruption; encourage communication; change is the norm
Pointers during digital transformation	5	Aims and objectives; always communicate; ready for resistance; gradually; assistance and training

Common mistakes

Common mistake

Hall of Shame: Kesar's Monday launch

"All 300 cafés live on Monday" breaks two rules at once: unfreezing (change must not come as a surprise) and the pointer "implement changes gradually". **Fix:** in any digital-transformation case with a big-bang launch, say so: sudden and unannounced change is socially destructive and morale lowering.

⚠ **Common mistake**

Writing the pointers when the question wants the best practices

A case about a small or medium-sized firm asking for "practices" or "change management strategies" answered with "specify aims, communicate, be ready for resistance...". **Fix:** ICAI's answers to those questions give the five best practices (begin at the top ... change is the norm). The pointers answer "how to manage" or "navigate" change during digital transformation.

⚠ **Common mistake**

Compliance, identification and internalisation as Lewin's phases

Fix: they are H.C. Kellman's three methods inside Lewin's **changing** phase. The phases are unfreezing, changing and refreezing.

Practice

Check yourself

1 Case scenario. While moving its 40 branches to an online loan system, Sahyadri Co-operative Bank announces a bonus for branches that clear 95% of applications online and a written warning for branches that keep paper files. Which of Kellman's methods is the bank using?

- A Compliance
- B Identification
- C Internalisation
- D Unfreezing

2 Which of the following correctly places the item in its list?

- A "Institutionalise the change" is the last of Lewin's three phases
- B "Internalisation" is the second of Lewin's three phases
- C "Create a shared vision to manage change" is the second of the three steps to initiate strategic change
- D "Refreezing" is the last of the three steps to initiate strategic change

3 Which of the following is NOT one of the four elements of change management in the digital transition?

- A Assessing the current state of the organisation and identifying gaps
- B Creating a roadmap for change
- C Offering assistance and training
- D Implementing and managing the change at every level

4 Which of these are among the five best practices for managing change in small and medium-sized businesses? Select all that apply.

- **A** Begin at the top
- **B** Reduce disruption
- **C** Implement changes all at once to avoid prolonged uncertainty
- **D** Recognise that change is the norm, not the exception

More than one answer may be right.

5 Case scenario. Six months before any new software is chosen, the HR head of Narmada Agro Mills holds meetings on every shift to show how the paper attendance system keeps getting wages wrong, and puts the idea of a digital system on every notice board. In Kurt Lewin's model, this is:

- **A** Refreezing, because it makes the new behaviour permanent
- **B** Compliance, because the workers are being told what to do
- **C** Changing to the new situation, because a new system is coming
- **D** Unfreezing the situation, because it prepares people for the change before it happens

Answers: the answer key at the end of this lesson.

Recap

- Strategic change: modifying existing strategies or bringing out new ones as the environment changes; a corporate strategy focused on new markets, products, services and new ways of doing business.
- Strategic change is initiated in three steps: recognise the need for change, create a shared vision to manage change, and institutionalise the change.
- Lewin's three phases are unfreezing (no surprise: announcements, meetings, new ideas), changing (Kellman: compliance, identification, internalisation) and refreezing (new behaviour the normal way of life, continuously reinforced), in a continuous cycle.
- Digital transformation: digital technologies to develop fresh, improved or entirely new procedures, goods or services.
- Four elements: define goals; assess current state and gaps; roadmap; implement and manage at every level.
- Five best practices (SMEs): begin at the top; necessary and desired; reduce disruption; encourage communication; change is the norm.
- Five pointers: aims and objectives; always communicate; ready for resistance; gradually; assistance and training.
- Digital transformation efforts are more likely to fail without change management. (Melt, mould, freeze, and do not forget the freezer.)

Answer key · Check yourself

1 **A Compliance**

Strictly enforcing a reward and punishment strategy is compliance. Identification uses role models; internalisation changes the individual's own thinking. Unfreezing is a Lewin phase, not a Kellman method.

2 **C "Create a shared vision to manage change" is the second of the three steps to initiate strategic change**

The steps to initiate strategic change are: recognise the need, create a shared vision, institutionalise the change. Lewin's phases are unfreezing, changing and refreezing; internalisation is one of Kellman's methods inside the changing phase.

3 **C Offering assistance and training**

The four elements are defining goals, assessing the current state and gaps, a roadmap, and implementing at every level. Assistance and training is one of the five pointers.

4 **A Begin at the top**; **B Reduce disruption**; **D Recognise that change is the norm, not the exception**

The other two are "ensure the change is necessary and desired" and "encourage communication". Introducing too much too fast is the danger the second practice warns against.

5 **D Unfreezing the situation, because it prepares people for the change before it happens**

Unfreezing makes individuals aware of the necessity for change and prepares them for it, so that it does not come as a surprise; it is achieved by making announcements, holding meetings and promoting the new ideas. Nothing has changed yet, so it is not changing or refreezing, and no reward or punishment is involved.

5.3 Organisation structure and culture

The McKinsey 7S model's hard and soft elements, why structure follows strategy, the eight structures from simple to hourglass with their uses and limits, and how culture helps or blocks strategy execution.

In plain words

From one stall to five businesses

When Tapri was one roadside stall in Indore, Kesar bought the milk, made the chai, counted the cash and decided everything. Today Tapri has cafés in 40 cities, a premix plant, a samosa factory, a cold-chain fleet and a delivery app. Kesar still wants to approve every new samosa filling.

> **Kesar:** I decided everything for twenty years and we grew. Why change now?
>
> **Ananya:** Because you grew. One person cannot be the bottleneck for five businesses, Kesar-ji.
>
> **Dev:** Last month the samosa factory waited eleven days for your signature on a ₹40,000 purchase. I calculated the cost of that delay. You do not want to know.

How a company divides and coordinates its work is its **organisation structure**: who reports to whom and who decides what. Tapri began with a **simple structure** (the owner decides everything), moved to a **functional** one (production, marketing, finance), then to product **divisions**, and now needs **strategic business units**, each with its own head. Chandler saw this pattern repeat: a new strategy creates new problems, performance falls until a new structure is built, so **structure follows strategy**.

Structure is the "hard" side, drawn on a chart. **Culture** is the "soft" side: the values, beliefs and habits that decide how people behave when no one is watching. A culture that fits the strategy is its ally; one that clashes can defeat it. The **McKinsey 7S model** puts hard and soft on one picture.

Think of it like

The kitchen and the cooks

Structure is the kitchen's layout: which station chops, which fries, who calls the orders. Culture is what the cooks do when the head chef is not looking: wash hands, taste before serving. Rebuild the kitchen but keep the old habits, and the food does not change.

Key idea

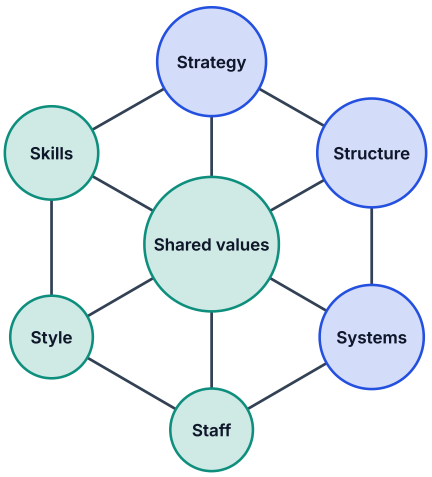
Structure should be designed to fit the strategy (Chandler: structure follows strategy), and the culture must fit it too. Changing structure cannot make a bad strategy good, and a strategy-culture conflict can defeat the best plan.

How it works

The McKinsey 7S model

The McKinsey 7S model analyses a company's "organisational design": how effectiveness is achieved through the interactions of **hard and soft elements**; modifying one may have a ripple effect on the others (SM 5.27).

The McKinsey 7S model



Blue: the three hard elements; teal: the four soft elements, with shared values at the centre. The elements are interrelated: modifying one may have a ripple effect on the others (SM 5.27).

Element	Type	Meaning (SM 5.27–5.28)
Strategy	Hard	The direction: a blueprint to build on a core competency and achieve competitive advantage
Structure	Hard	How work is divided; chosen by resources and the centralisation desired
Systems	Hard	Daily tasks, operations and teams that execute the goals
Shared values	Soft	The core values reflected in the culture or the code of ethics
Style	Soft	The leadership style and how it influences strategic decisions; people motivation
Staff	Soft	The talent pool of the organisation
Skills	Soft	The core competencies or key skills of the employees

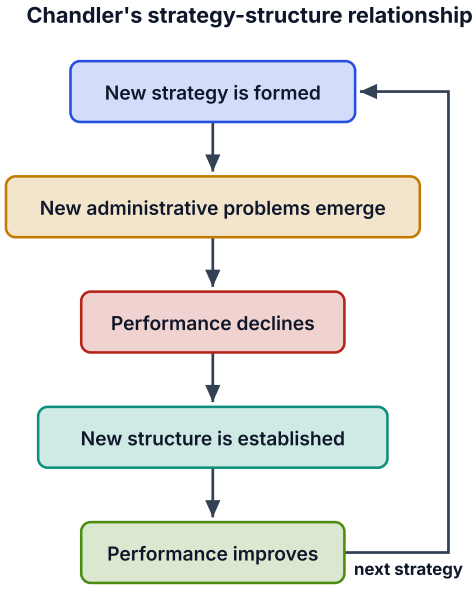
The **hard elements are directly controlled by management**; the soft elements are difficult to define as they are governed more by culture, but are equally important for success and growth (SM 5.28). **Limitations** (SM 5.28–5.29): it ignores the external environment, showing only the crucial internal elements; it does not clearly explain organisational effectiveness or performance; it is more static and less flexible for decision making; and it is criticised for missing the real gaps in conceptualisation and execution of strategy.

Why strategy changes structure: Chandler

Changes in strategy often require changes in structure for two reasons (SM 5.29): **structure dictates how objectives and policies will be established** (in geographic terms under a geographic structure, in product terms under product groups), and **how resources will be allocated** (by customer group, or by function).

According to **Chandler**, changes in strategy lead to changes in organisational structure: structure should be designed or redesigned to facilitate the strategic pursuit of a firm, and therefore structure

should follow strategy. He found a particular sequence repeated as organisations grow and change strategy (SM 5.29–5.30):



As organisations grow, their structures generally change from simple to complex, as a result of linking together several basic strategies (SM 5.30).

There is no one optimal design for a given strategy, though firms in an industry tend to organise alike (consumer goods companies: divisional by product). **Small firms tend to be functional (centralised), medium-size firms divisional (decentralised), and large firms SBU or matrix** (SM 5.29–5.30).

Symptoms of an ineffective structure (SM 5.30): too many levels of management; too many meetings attended by too many people; too much attention to solving interdepartmental conflicts; too large a span of control; too many unachieved objectives. Changes in structure can facilitate implementation, but **should not be expected to make a bad strategy good, bad managers good, or bad products sell**. Structure can also influence strategy: a strategy requiring massive structural changes would not be an attractive choice.

Definition

Organisational structure

Organizational structure is the company's formal configuration of its intended roles, procedures, governance mechanisms, authority, and decision-making processes. Influenced by factors such as an organisation's age and size, it acts as a framework which reflects managers' determination of what a company does and how tasks are completed, given the chosen strategy. The structure must be congruent with or fit with the company's strategy. (SM 5.31)

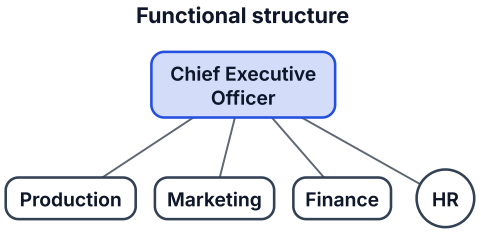
A. Simple structure

Most appropriate for a **single-business strategy** with a line of products in a single geographic market, and for **focused cost leadership or focused differentiation**. The **owner-manager makes all major decisions** and monitors all activities; staff merely execute. Little specialisation, few rules, little

formalisation, unsophisticated information systems; communication is frequent and direct, and new products reach the market quickly. Advantages for small firms: openness to innovation, structural flexibility, faster response to change. Growth brings more information than owner-managers can process, so the company outgrows it and should move to the functional structure (SM 5.31–5.32).

B. Functional structure

Groups tasks and activities by **business function**: production/operations, marketing, finance/accounting, R&D, management information systems. Widely used for its **simplicity and low cost**; it also promotes specialisation of labour, encourages efficiency, minimises the need for an elaborate control system and allows rapid decision making. It is used by larger companies and by companies with **low levels of diversification** (SM 5.32).

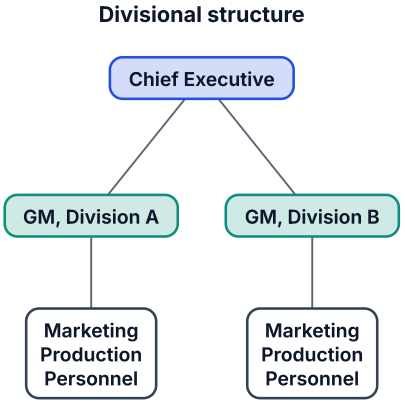


A CEO supported by corporate staff, with functional line managers in the dominant functions (SM 5.32–5.33).

It overcomes the growth constraints of the simple structure, but differences in functional specialisation may impede communication and coordination, so the CEO must integrate functional decision-making; specialists may develop a **myopic (narrow) perspective**, losing sight of the vision and mission. That problem is overcome by the multidivisional structure (SM 5.33).

C. Divisional structure

As a firm grows it finds it hard to manage different products in different markets; a divisional structure becomes necessary to motivate employees, control operations and compete in diverse locations. It is organised in one of **four ways: by geographic area, by product or service, by customer, or by process**. Functional activities are performed both **centrally and in each division** separately (SM 5.33).



Each division has its own functions; corporate staff such as finance and legal stay at headquarters (SM 5.33).

Advantages (SM 5.34): clear accountability (divisional managers answer for sales and profit); with extensive delegation people see their results, so morale is higher than in a centralised structure; career development for managers; local control of local situations; a competitive internal climate; new businesses and products added easily.

Limitations (SM 5.34): it is **costly**: each division pays its own functional specialists; staff services, facilities and personnel are duplicated (specialists are needed centrally too); well-qualified managers need higher salaries; and it needs an elaborate, headquarters-driven control system. Some regions, products or customers may get special treatment, and consistent companywide practices are hard to keep. For most firms the advantages outweigh these.

Basis	Appropriate when (SM 5.34–5.35)
Geographic area	Customers' needs differ by area; similar branches widely dispersed
Product or service	Products need special emphasis; few products are offered; products differ substantially
Customer	A few major customers of paramount importance (airlines: passengers and cargo)
Process	Like functional, but departments are judged on profits or revenues

D. Multidivisional (M-form) structure

Operating divisions, **each representing a separate business**, to which the top corporate officer delegates day-to-day operations and business-unit strategy; the corporate office handles overall corporate strategy and manages divisions through **strategic and financial controls**. It was developed in the **1920s**, when functional departments could not handle distinct product lines, product costs and profits were unknown, and top managers were lost in short-run problems (SM 5.35).

It calls for (SM 5.36): separate divisions, each a distinct business with its own functional hierarchy; division managers responsible for day-to-day operations; and a **small corporate office** setting long-term direction and exercising financial control over the semi-autonomous divisions. A less diversified firm manages divisions by **strategic controls** (understanding each unit's strategy); a more diversified one by **financial controls** (budgets, profits), which need each division's performance to be independent of the others. So SBUs come into the picture.

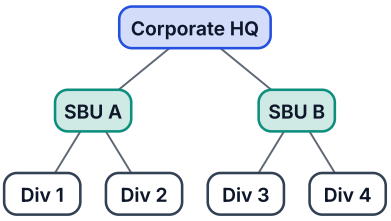
E. Strategic business unit (SBU) structure

For multi-product, multi-business enterprises it is impractical to plan each business separately; they group them into a manageable number of strategically related units. An SBU is a grouping of related businesses, which is amenable to composite planning treatment (SM 5.36–5.37). Its three most important **characteristics** (SM 5.37):

1. It is a single business or a collection of related businesses which offer scope for independent planning and which might feasibly stand alone from the rest of the organisation.
2. It has its own set of competitors.
3. It has a manager who has responsibility for strategic planning and profit performance, and who has control of profit-influencing factors.

Planning by territory gave the same product varied treatments across territories, and dissimilar products in one territory identical treatment; a firm with six territorial units may be in only three businesses, or more than six (SM 5.37). The SBU structure groups similar products into SBUs, each under a senior executive who **reports directly to the CEO** (SM 5.38).

SBU structure: at least three levels



Corporate headquarters (with corporate R&D, finance, planning, marketing and HR) at the top, SBU groups at the second level, divisions grouped by relatedness within each SBU at the third. Divisions inside an SBU are related; SBUs are unrelated to each other (SM 5.38).

SBUs are **profit centres**; headquarters concentrates on strategic planning rather than operational control, so divisions react faster. It allows accurate monitoring of each business, simpler control, comparisons between divisions, better resource allocation, and pressure on weak divisions to improve (SM 5.38–5.39). Sony grouped ten internal companies into four SBUs (SM 5.39). The grouping principle: products related from the standpoint of **"function"** fall under one SBU.

Attributes and benefits of the SBU structure (SM 5.39–5.40):

1. A scientific method of grouping the businesses of a multi-business corporation, which helps in strategic planning.
2. An improvement over territorial grouping and planning based on territorial units.
3. A grouping of related businesses taken up for strategic planning distinct from the rest; products within an SBU receive the same strategic planning treatment and priorities.
4. Businesses related from the standpoint of "function" are assembled together as a distinct SBU.
5. Unrelated businesses are separated: moved to another SBU by functional relation, or made separate SBUs.
6. It removes vagueness and confusion in grouping and sets correct relative priorities and resources.
7. Each SBU is a separate business for planning: distinct in mission, objectives, competition and strategy.
8. Each SBU has its own distinct set of competitors and its own distinct strategy.
9. Each SBU has a CEO responsible for its strategic planning and profit performance, with control over most factors affecting its profit.

Relatedness between SBUs may lie in technologies or products, markets or customers (Unilever's frozen food, washing powders and margarine all sell through retail), or competences such as marketing skills (SM 5.40). The chapter's own answers add the **benefits**: coordination between divisions with common strategic interests; strategic management and control of large, diverse organisations; accountability at the level of distinct business units; planning at the most relevant

level; more objective strategic review by top executives; and allocation of resources to areas with the best opportunities (SM 5.74–5.75). SBU structure becomes **imperative** in an organisation with increase in number, size and diversity (SM 5.69).

F. Matrix structure

Used when neither functional nor divisional forms, even with horizontal links like SBUs, suit the strategy. **Functional and product forms are combined simultaneously at the same level**: employees have **two superiors**, a product or project manager and a functional manager. The functional "home" department is reasonably permanent; product units or projects are usually temporary (SM 5.41).

Matrix structure: every cell has two bosses

Project	Engineering	Marketing	Finance
Project P1	unit	unit	unit
Project P2	unit	unit	unit
Project P3	unit	unit	unit

Each unit answers to its functional head (column) and its project manager (row). It is **the most complex of all designs**, depending on both vertical and horizontal flows of authority and communication: **higher overhead** (more management positions), dual lines of budget authority (a **violation of the unity of command principle**), dual sources of reward and punishment, shared authority, dual reporting channels, and a need for extensive communication. Yet it is widely used in construction, healthcare, research and defence (SM 5.41).

Advantages (SM 5.41): project objectives are clear; there are many channels of communication; workers can see the visible results of their work; shutting down a project is accomplished relatively easily. **To be effective** it needs planning, training, clear mutual understanding of roles and responsibilities, excellent internal communication, and mutual trust and confidence (SM 5.41–5.42). It combines the **stability of the functional structure with the flexibility of the product form**, suits a complex, changeable environment, and works when product, customer, technology, geography and function have roughly equal strategic priorities; but it breeds conflict over duties, authority and resources, and with vague goals a power battle between product and functional managers is likely (SM 5.42).

It is often found when **three conditions** exist (SM 5.42–5.43): ideas need to be cross-fertilised across projects or products; resources are scarce; and abilities to process information and make decisions need to be improved. **Davis and Lawrence's three phases** of matrix development (SM 5.43–5.44):

1. **Cross-functional task forces**: temporary, used when a new product line is introduced; a project manager is the key horizontal link.
2. **Product/brand management**: the task forces become more permanent; the project manager becomes a product or brand manager; function is still the primary structure, with product or brand managers as integrators of semi-permanent products.

3. **Mature matrix**: a true dual-authority structure; both functional and product structures are permanent; all employees connect to a vertical functional superior and a horizontal product manager, who have equal authority.

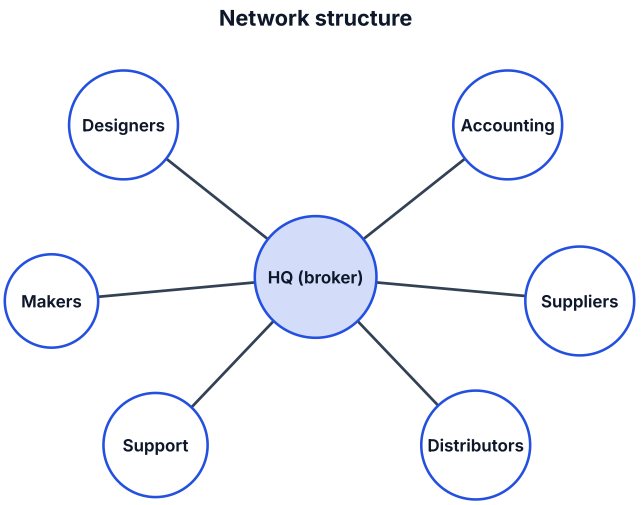
The matrix is still **not very popular**, because of difficulties in implementation and trouble in managing (SM 5.44).

Changing organisational design (SM 5.43):

Old design	New design
One large corporation	Mini-business units and cooperative relationships
Vertical communication	Horizontal communication
Centralised top-down decision making	Decentralised participative decision making
Vertical integration	Outsourcing and virtual organisations
Work/quality teams	Autonomous work teams
Functional work teams	Cross-functional work teams
Minimal training	Extensive training
Specialised job design focused on the individual	Value-chain team-focused job design

G. Network structure

A radical design, a **"non-structure"**, virtually eliminating in-house business functions: many activities are outsourced. It is often called a **virtual organisation**: project groups or collaborations linked by constantly changing, non-hierarchical, **cobweb-like networks**. It is most useful when the **environment is unstable and expected to remain so**, needing innovation and quick response. People are contracted per project instead of salaried; long-term contracts with suppliers and distributors replace vertical integration; information systems justify "buy" over "make"; functions are scattered across locations. The organisation is in effect a **shell, with a small headquarters acting as a "broker"** (SM 5.44).

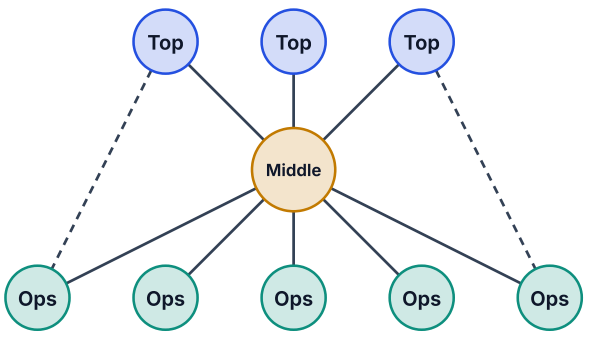


Designers, accounting, suppliers, distributors, customer support and manufacturers sit outside the firm, linked electronically to a small headquarters (SM 5.45).

It gives flexibility and adaptability to cope with rapid technological change and shifting competition, and lets the company **concentrate on its distinctive competencies** while gathering efficiencies from specialists (Airtel subcontracts manufacturing). **Disadvantages** (SM 5.45): numerous potential partners can be a source of trouble; contracting out may keep the firm from discovering **synergies**; over-specialising in a few functions risks choosing the wrong ones. New forms also demand self-motivated continuous learners and more intense personal interactions, which may create **stress** (SM 5.45–5.46).

H. Hourglass structure

IT is replacing the tasks of middle management. The hourglass structure has **three layers with a constricted middle**: a short and narrow middle-management level. Information technology links the top and bottom levels, and a shrunken middle layer coordinates diverse lower-level activities. Its middle managers are **generalists**, handling cross-functional issues from marketing, finance or production (SM 5.46).



Blue: top management; amber: the shrunken, generalist middle layer; teal: the operating level. Dashed lines: information technology linking the top and bottom directly.

Benefits: reduced costs; enhanced responsiveness by simplifying decision making, with authority shifted close to the source of information so decisions are faster. **Drawbacks**: promotion opportunities for the lower levels diminish significantly; continuity at the same level may bring monotony and lack of interest, making motivation hard to keep high. Organisations respond with **challenging tasks, lateral transfers and proper rewards for performance** (SM 5.46).

Organisation culture

Definition

Corporate culture

Corporate culture refers to a company's values, beliefs, business principles, traditions, ways of operating, and internal work environment. (SM 5.47)

Where it comes from (SM 5.47): culture is manifested in the values and business principles management preaches and practises; ethical standards and official policies; stakeholder relationships (employees, unions, stockholders, vendors, communities); traditions; supervisory practices; employees' attitudes and behaviour; legends people repeat; peer pressures; and organisational politics. It can originate anywhere, from one influential individual to a whole division, at the bottom or the top, and much of it comes from **stories told over and over** to newcomers.

Ally or obstacle (SM 5.47–5.48): when the beliefs and practices behind a strategy are compatible with the culture, culture is a valuable ally in implementation; when they conflict, it becomes a **stumbling block**. A strong culture promotes good execution when there is fit and impedes it when there is negligible fit:

Shared values	Strategy they support (SM 5.48)
Frugality and thrift	Low-cost leadership
Creativity, embracing change, challenging the status quo	Product innovation and technological leadership
Listening to customers, pride in work, decision-making authority for employees	Delivering superior customer value

A strategy-supportive culture provides **informal rules and peer pressure**, shapes the workforce's mood and motivation, and promotes identification with the vision, targets and strategy (SM 5.48).

Perils of strategy-culture conflict (SM 5.49): a culture out of sync with strategic success must be changed as rapidly as can be managed. Occasionally the strategy is revamped to fit the culture; more usually the mismatched cultural features are revamped. The more entrenched the mismatch, the harder implementation; a sizable, prolonged conflict may defeat the strategy. **Creating a strong fit**: the strategy maker must select a strategy compatible with the "sacred" or unchangeable parts of the culture; the strategy implementer must then change whatever facets hinder execution.

Changing a problem culture (SM 5.49–5.50) is among the toughest management tasks, because people cling emotionally to the old and familiar. First **diagnose which facets of the present culture**

are strategy supportive and which are not; then talk openly to all concerned about what must change; then follow swiftly with **visible, aggressive actions**: revising policies and procedures, altering incentive compensation, visibly praising people who display the new traits, recruiting managers and employees with the desired values as role models, replacing key executives strongly associated with the old culture, and communicating the basis for change and its benefits at every opportunity.

It depends on a **sincere, sustained commitment by the chief executive** and persistence in word and deed; charisma is not essential, but personally talking to many groups is: changes are seldom accomplished from an office. The whole management team, first-line supervisors and employee opinion leaders must be enlisted. In large companies a significant change can take **two to five years**, and reshaping a deeply ingrained culture is usually tougher than instilling one in a new organisation (SM 5.50).

Hard and soft, balanced (SM 5.50–5.51): excessive focus on hard management gives at best a linear improvement in performance; the soft side can improve it exponentially; the optimal approach lies between.

Worked examples

Worked example **Nine divisions and one very tired chairman**

As it grew, Tapri Tea Co. Ltd was reorganised into nine product divisions, each with its own production, marketing and finance staff, and every division head reports to Kesar: chai premix, iced chai, masala blends, kulhad cafés, highway kiosks, the delivery app, samosas, frozen snacks, and cold-chain logistics (which also carries other companies' goods). Kesar reviews every division every week. The premix, iced chai and masala divisions advertise separately against the same rivals for the same supermarket shelf; the samosa and frozen snack divisions buy potatoes from the same farmers under two different contracts; and the planning team uses one template for all nine divisions, although the logistics division's competitors and customers have nothing in common with those of the chai divisions.

Required:

(i) Identify Tapri's present structure and explain why it no longer suits Tapri.

(ii) Recommend a structure, show how Tapri's nine divisions could be grouped in it, and state the benefits Tapri may derive from it.

MODEL ANSWER

(i) Present structure. Tapri has a **divisional structure by product**: functional activities are performed both centrally and in each division separately, and each division head is responsible for a product line. A divisional structure is costly where staff services, facilities and personnel are duplicated, as Tapri's two potato contracts show. More importantly, with the increase in the number, size and diversity of its businesses, the structure no longer serves strategic planning:

- related divisions (premix, iced chai and masala blends) are planned separately and compete with one another for the same shelf;
- unrelated businesses (cold-chain logistics and the chai divisions) get identical planning treatment from one template;

- the chairman reviews nine divisions every week, instead of concentrating on strategic planning.

(ii) Recommended structure: strategic business units (SBUs). An SBU is a grouping of related businesses which is amenable to composite planning treatment. The SBU structure groups similar products into strategic business units and delegates authority and responsibility for each unit to a senior executive who reports directly to the chief executive officer. It has at least three levels: corporate headquarters, SBU groups, and divisions grouped by relatedness within each SBU. SBU structure becomes imperative in an organisation with increase in number, size and diversity.

Grouping. Products and businesses related from the standpoint of "function" are assembled together as a distinct SBU; unrelated businesses are assigned to another SBU by the same criterion, or else made into separate SBUs:

SBU	Divisions	Basis
Packaged beverages	Chai premix, iced chai, masala blends	Same rivals, same retail shelf
Cafés and delivery	Kulhad cafés, highway kiosks, delivery app	Serve the same chai drinkers
Snacks	Samosas, frozen snacks	Similar products and raw materials
Logistics	Cold-chain logistics	Unrelated: its own competitors and customers

Benefits to Tapri:

1. Coordination between divisions having common strategic interests: the three beverage divisions stop competing for one shelf.
2. Strategic management and control of a large and diverse organisation.
3. Accountability at the level of distinct business units: each SBU is a profit centre.
4. Strategic planning at the most relevant level, with each SBU's own competitors and strategy.
5. A more objective and effective strategic review by top executives: four SBU heads instead of nine division heads.
6. Resources allocated to areas with better opportunities.

Within each SBU, divisions producing similar products can be organised to achieve synergy (one potato contract for both snack divisions), and corporate headquarters can concentrate on strategic planning rather than operational control.

Worked example **How the iced-chai team grew two bosses**

Within Tapri, the packaged beverages business is organised by function, with R&D, marketing, operations and finance departments. In 2024 it formed a temporary team, drawn from all four departments under a project manager, to launch iced chai. The launch succeeded and the team stayed on: in 2025 its project manager became the brand manager for iced chai, coordinating the departments, while each specialist still reported only to his or her department head. The business now has four brands. Ananya proposes that from 2027 every specialist should report permanently both to a department head and to a brand manager, with equal

authority, because the brands need ideas from one another, there are too few specialists to give every brand its own, and decisions about the brands take too long.

Required:

(i) Identify the structure Tapri is moving towards, and the phases of its development Tapri has passed through.

(ii) Is this structure suitable for Tapri? State what Tapri will need for it to be effective, and the problems it should prepare for.

MODEL ANSWER

(i) Structure and phases. Tapri is moving towards a **matrix structure**, in which functional and product forms are combined simultaneously at the same level of the organisation, and employees have two superiors, a product or project manager and a functional manager. Davis and Lawrence proposed three distinct phases for the development of a matrix structure:

1. **Cross-functional task forces**: temporary cross-functional task forces are initially used when a new product line is being introduced, with a project manager as the key horizontal link. *Tapri*: the 2024 iced-chai launch team.
2. **Product/brand management**: the task forces become more permanent and the project manager becomes a product or brand manager; function is still the primary organisational structure, with brand managers as integrators of semi-permanent brands. *Tapri*: 2025.
3. **Mature matrix**: a true dual-authority structure; both the functional and product structures are permanent, every employee is connected to a vertical functional superior and a horizontal product manager, and the two have equal authority. *Tapri*: Ananya's proposal for 2027.

(ii) Suitability. The matrix structure is often found in an organisation or within an SBU when three conditions exist: ideas need to be cross-fertilised across projects or products; resources are scarce; and abilities to process information and to make decisions need to be improved. All three exist at Tapri (brands need each other's ideas, specialists are too few, decisions are slow), so the structure is suitable.

What Tapri will need: planning, training, clear mutual understanding of roles and responsibilities, excellent internal communication, and mutual trust and confidence.

Problems to prepare for:

1. It is the most complex of all designs, depending on both vertical and horizontal flows of authority and communication.
2. Higher overhead, because it has more management positions.
3. Dual lines of budget authority (a violation of the unity of command principle), dual sources of reward and punishment, shared authority and dual reporting channels.
4. Conflicts over duties, authority and resource allocation; where goals are vague, a continuous battle for power between product and functional managers is likely.

The matrix structure is not very popular because of difficulties in implementation and trouble in managing, so Tapri should introduce the mature matrix only with the conditions above in place.

Worked example **BrewBucks buys a tapri**

BrewBucks India acquires Chai Chaupal, a 60-outlet chain famous for regulars who chat with owner-managers for hours over unlimited refills. BrewBucks' strategy for the chain is low-cost, high-speed service: a 90-second serve target, standard menus, no free refills. Six months later, service times have not improved, staff ignore the targets, and the most popular managers say "our customers come for the adda, not for speed".

Explain the role of culture in strategy execution and advise BrewBucks how to change the problem culture.

MODEL ANSWER

Role of culture. An organisation's culture is either an important contributor or an obstacle to successful strategy execution: compatible, it is a valuable ally; in conflict, a stumbling block. A strong culture promotes good execution when there is fit and impedes it when there is negligible fit. Chai Chaupal's culture of leisure and personal service conflicts with a speed-and-cost strategy, and a sizable, prolonged conflict may defeat the strategy.

Changing the problem culture. Once the strategy is chosen, the implementer must change whatever facets of the culture hinder execution:

1. Diagnose which facets of the present culture are strategy supportive and which are not.
2. Talk openly and forthrightly to all concerned about the aspects that have to be changed.
3. Follow swiftly with visible, aggressive actions: revise policies and procedures; alter incentive compensation; visibly praise people who display the new traits; recruit managers and employees with the desired values as role models; replace key executives strongly associated with the old culture; communicate the basis for change and its benefits.
4. Secure the chief executive's sincere, sustained commitment and enlist managers, supervisors and opinion leaders.

The change will take time. And since the strategy maker should select a strategy compatible with the "sacred" parts of the culture, BrewBucks should check whether the adda its regulars come for is such a part.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Seven of the eight past papers from May 2024 to September 2026 (all but September 2026) ask about it, as do many RTPs and MTPs:

- **Identify the structure, with merits and demerits, 5 marks**: matrix (January 2025 Q5(a), 1 + 2 + 1 + 1); network (September 2024 Q5(a); MTP September 2025 Series I Q4(b) OR).
- **SBU, 5 marks**: the "PQR Ltd" case (identify, four attributes and benefits) in RTP September 2024 Q15 and Q1(b) of MTP May 2024 Series II, MTP May 2025 Series I and MTP May 2026 Series I (it is also the chapter's own scenario question 2, SM 5.66); "how the SBU structure becomes imperative" (MTP January 2025 Series II Q2(b)).
- **Short notes, 5 marks**: hourglass structure (September 2025 Q8(b) OR); matrix structure (RTP May 2026 Q16; MTP September 2024 Series I Q2(b)).
- **McKinsey 7S**: the model and its limitations (May 2024 Q5(a), 2 + 3; RTP January 2025 Q16); identify the model (RTP May 2024 Q15; MTP May 2026 Series II Q4(b)). MCQs: a knowledge-sharing platform and teamwork-linked appraisals strengthen **systems** (September 2025 MCQ 15); the soft elements are shared values, style and staff, **not** strategy (May 2026 MCQ 10).
- **Corporate culture**: "What is corporate culture? Where does it come from?" (January 2026 Q6(a); MTP September 2026 Series I Q4(a), 5 marks each).
- **Structure MCQs**: constricted middle: **hourglass** (January 2025 MCQ 15); "independent product centres": **SBU** (three documents, see Under the hood), as is a semi-autonomous segment with its own legal and finance heads (RTP May 2026 MCQ 4); a dispersed team linked by technology and contracts: **network** (RTP January 2026 case MCQ (iii)); multiple leaders per project: **matrix** (RTP May 2024 MCQ 6).

In the exam

How the marks are earned

Identification carries one mark; the rest go to the definition in the Study Material's words and numbered merits and demerits with short headings ("Loss of synergies"). The chapter's own "draw the structure" answer includes the chart: draw a small labelled tree.

Trick

Hard Ss are the three that start "Str" or "Sy"

Strategy, **Str**ucture, **Sy**stems: hard, directly controlled by management. The other four (shared values, style, staff, skills) are soft. Holds for the McKinsey 7S model as the Study Material gives it.

Answer frame

"Identify the structure" case (5 marks)

1. **Name it** (1 mark): "The structure best suited is the ... structure."
2. **Explain it** in the Study Material's words, tied to two or three facts.
3. **Advantages and disadvantages** (for an SBU: attributes and benefits), four to six numbered points.

4. A closing line on what it needs to work (matrix: planning, training, clear roles, communication, trust).

"Write a short note on ..." (5 marks)

Definition and when used; how it works (draw it); benefits; drawbacks; remedies. Hourglass: constricted middle, IT links top and bottom, generalist managers, lower cost, faster decisions, fewer promotions, three remedies.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's "multidivisional" answer

A case describes divisions as independent product centres, each with its own competitors and a head responsible for profitability; Bunty writes "multidivisional structure". **Fix:** ICAI keys this as an **SBU** in every MCQ read for this lesson: independent planning, own competitors, a manager responsible for strategic planning and profit.

⚠ **Common mistake**

Strategy filed under the soft Ss

"Shared values, style, strategy and staff are soft." **Fix:** strategy, structure and systems are the hard elements; shared values, style, staff and skills are soft (May 2026 MCQ 10 tested exactly this).

Practice

Check yourself

1 Case scenario. Godavari Gramin Bank installs a workflow system that links its head office directly with staff in its 600 branches. Most regional manager posts are abolished; the few regional heads who remain handle lending, compliance and staff issues together, and branch staff now see few chances of promotion. Which structure is the bank moving to?

- A Network structure
- B Hourglass structure
- C Matrix structure
- D Functional structure

2 Which of the following McKinsey 7S elements are "hard" elements? Select all that apply.

- A Strategy
- B Systems
- C Style
- D Structure

More than one answer may be right.

3 According to Chandler, which of these is correct?

- **A** Structure should be fixed first, and strategy chosen to fit it
- **B** Changes in strategy lead to changes in organisational structure
- **C** There is one optimal structure for each strategy
- **D** Structure changes can make a bad strategy good

4 What distinguishes a divisional structure by process from a functional structure?

- **A** Process divisions group activities by business function
- **B** Functional departments are each run as a separate business with their own competitors
- **C** Process divisions report to two superiors
- **D** Process departments are evaluated on profits or revenues; functional departments are not accountable for them

5 Which actions belong to the Study Material's menu for changing a problem culture? Select all that apply.

- **A** Altering incentive compensation to reward the desired cultural behaviour
- **B** Replacing key executives strongly associated with the old culture
- **C** Changing the culture by a single circular from the chief executive's office
- **D** Recruiting new managers and employees who have the desired cultural values

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- McKinsey 7S has three hard elements (strategy, structure, systems, directly controlled by management) and four soft ones (shared values, style, staff, skills). Limits: ignores the environment, does not explain effectiveness, static, misses execution gaps.
- Chandler: structure follows strategy; new strategy, new problems, performance falls, new structure, performance improves.
- Small firms functional (centralised), medium divisional (decentralised), large SBU or matrix. Structure cannot make a bad strategy good.
- Simple: owner decides. Functional: by function, cheap, myopic. Divisional: geography, product, customer, process; accountable but costly. M-form: separate businesses, small corporate office.
- SBU: related businesses, composite planning, own competitors, a manager responsible for profit; at least three levels.
- Matrix: two bosses, most complex, violates unity of command; conditions: cross-fertilisation, scarce resources, better information processing; phases: task forces, product/brand management, mature matrix.

- Network: outsourced "non-structure", broker headquarters, unstable environments. Hourglass: constricted middle, IT links top and bottom; cheaper and faster, fewer promotions.
- Culture: values, beliefs, principles, traditions, ways of operating, work environment; ally or obstacle; change it by diagnosis, talk, visible action and CEO commitment, over two to five years. (Rebuild the kitchen and the cooks still need new habits.)

Answer key · Check yourself

1 **B** **Hourglass structure**

A constricted middle layer, information technology linking the top and bottom levels, generalist middle managers handling cross-functional issues, and fewer promotion opportunities for the lower levels: the hourglass structure. Nothing is outsourced, so it is not a network structure.

2 **A** **Strategy**; **B** **Systems**; **D** **Structure**

Strategy, structure and systems are directly controlled by management. Style, staff, skills and shared values are soft.

3 **B** **Changes in strategy lead to changes in organisational structure**

Structure should follow strategy; there is no one optimal design, and restructuring cannot make a bad strategy good.

4 **D** **Process departments are evaluated on profits or revenues; functional departments are not accountable for them**

A divisional structure by process is similar to a functional structure, because activities are organised according to the way work is actually performed; the key difference is that functional departments are not accountable for profits or revenues, whereas divisional process departments are evaluated on these criteria (SM 5.35).

5 **A** **Altering incentive compensation to reward the desired cultural behaviour**; **B** **Replacing key executives strongly associated with the old culture**; **D** **Recruiting new managers and employees who have the desired cultural values**

Culture change needs visible, aggressive actions and personal communication; organisational changes are seldom accomplished successfully from an office.

5.4 Strategic leadership

What a strategic leader does, the five leadership roles in pushing strategy execution, the leader's responsibilities and frame of reference, and when a transformational or a transactional style fits.

In plain words

Two bosses, one company

Tapri has two very different leaders. Harpreet Gill runs the chai premix division, a mature, profitable business: every plant has a monthly tonnage target, a bonus for each tonne above it, a deduction for wastage, and a review meeting on the first Monday. Kesar has just taken charge of TapriNow, the loss-making delivery app in a market that changes every quarter: he holds town halls, talks about "hot chai in ten minutes for every Indian", and lets young engineers try wild ideas.

> **Harpreet:** Targets, rewards, penalties. My plants run like a Swiss watch.
>
> **Kesar:** And my team runs like a festival. Harpreet, when did your plant last invent something?
>
> **Dev:** I have discounted both your claims. You are both still right, which is irritating.

Both are exercising **strategic leadership**: setting direction, turning strategy into action and getting people to deliver it. Kesar's style, inspiring people with charisma, enthusiasm and a vision of a higher calling, is **transformational leadership**. Harpreet's style, using the authority of the office to exchange rewards and penalties for clear goals, is **transactional leadership**. Neither is "better": transformational suits turbulent environments and organisations that must embrace major change; transactional suits static environments, mature industries and organisations that are performing well.

A strategic leader also plays many roles at once (visionary, culture builder, crisis manager, head cheerleader) and, above all, pushes good strategy execution: watching what is happening, energising people, keeping the organisation responsive, insisting on ethics, and correcting course.

Think of it like

Two cricket coaches

One coach makes a losing team believe it can win the cup, and players train harder than anyone asked them to. Another runs a winning team on fitness tests, match fees and a clear rule: miss fielding practice and you sit out. The first is what a struggling team needs; the second keeps a champion team sharp. A good board knows which coach the team needs this season.

Key idea

Strategic leadership sets direction by developing and communicating a vision, formulates strategies, brings about the changes needed to implement them and inspires people to execute. Transformational leadership inspires change; transactional leadership exchanges rewards for results and improves the current situation.

How it works

What strategic leadership is

Definition

Strategic leadership

Strategic leadership sets the firm's direction by developing and communicating vision of future, formulate strategies in the light of internal and external environment, brings about changes required to implement strategies and inspire the staff to contribute to strategy execution. (SM 5.51)

A manager as a strategic leader has **many leadership roles** to play: visionary, chief entrepreneur and strategist, chief administrator, culture builder, resource acquirer and allocator, capabilities builder, process integrator, crisis manager, spokesperson, negotiator, motivator, arbitrator, policy maker, policy enforcer, and head cheerleader. Sometimes it is useful to be authoritarian; sometimes a perceptive listener and compromising decision maker; sometimes strongly participative; sometimes a coach and adviser (SM 5.51).

A strategic leader is a **change agent** who initiates strategic changes and ensures they are successfully implemented. For the most part, major change efforts have to be **top-down and vision-driven**; leading change starts with diagnosing the situation and then deciding which of several ways to handle it (SM 5.51). (The change process itself is in strategic change.)

The five leadership roles in pushing strategy execution

Managers have **five leadership roles** to play in pushing for good strategy execution (SM 5.51–5.52):

1. **Staying on top of what is happening**: closely monitoring progress, solving out issues, and learning what obstacles lie in the path of good execution.
2. **Promoting a culture of esprit de corps** that mobilises and energises organisational members to execute strategy in a competent fashion and perform at a high level.
3. **Keeping the organisation responsive** to changing conditions, alert for new opportunities, bubbling with innovative ideas, and ahead of rivals in developing competitively valuable competencies and capabilities.
4. **Exercising ethical leadership** and insisting that the company conduct its affairs like a model corporate citizen.
5. **Pushing corrective actions** to improve strategy execution and overall strategic performance.

The Study Material's examples (SM 5.52): **N. R. Narayan Murthy** is celebrated for the values he institutionalised as CEO of Infosys, leaving a strong management development programme that builds strategic leaders with ethical values; **Dhirubhai Ambani** of Reliance could conceptualise and create sweeping strategies, give clear direction, and inspire employees with strong interpersonal skills.

Leadership in implementation

Strategic leaders must use the strategic management process effectively, by **guiding the company towards the formation of strategic intent and strategic mission, facilitating the development and implementation of appropriate strategic plans, and guiding employees to achieve strategic goals** (SM 5.52). The Study Material places leadership at the centre of strategy design and implementation:

Strategy design and implementation: interrelationship of elements



Blue: leadership, at the centre of the cycle of design and implementation; teal: the nine elements around it, from environmental scanning to feedback (SM 5.53).

Strategic leadership entails the ability to **anticipate, envision, maintain flexibility, and empower others to create strategic change** as necessitated by the external environment. It is a complex form of leadership: a manager with strategic leadership skills guides the company through the new competitive landscape by **influencing the behaviour, thoughts and feelings of co-workers, managing through others**, and making sense of complex, ambiguous information while dealing with change and uncertainty (SM 5.53).

Effective strategic leadership



Effective strategic leadership shapes the formulation of strategic intent and mission, which influence successful strategic action (formulation and implementation of strategies), leading to strategic competitiveness and above-average returns (SM 5.54).

The managerial frame of reference

Strategic leaders must adapt their frames of reference to deal with rapid, complex changes (SM 5.54).

Definition

Managerial frame of reference

A managerial frame of reference is the set of assumptions, premises, and accepted wisdom that bounds a manager's understanding of the company, the industry in which it competes, and the core competencies that it exploits in the pursuit of strategic competitiveness (and above-average returns). It is the foundation on which a manager's mindset is built. (SM 5.54)

Its importance: competitive battles are not between companies or products but between mindsets or managerial frames, so effective strategic leaders must be able to deal with the diverse and cognitively complex competitive situations of today's landscape (SM 5.54).

Responsibilities of a strategic leader

A strategic leader has several responsibilities (SM 5.54–5.55):

1. Making strategic decisions.
2. Formulating policies and action plans to implement strategic decisions.
3. Ensuring effective communication in the organisation.
4. Managing human capital (perhaps the most critical of the strategic leader's skills).
5. Managing change in the organisation.
6. Creating and sustaining a strong corporate culture.
7. Sustaining high performance over time.

The strategic leadership skills of a company's managers are thus **resources** that affect performance and must be developed for the company's future benefit. Unlike strategic leadership, **managerial leadership** is generally concerned with the **short-term, day-to-day activities** (SM 5.55).

Transformational and transactional leadership

The two basic approaches to leadership (SM 5.55–5.56):

- **Transformational leadership style** uses **charisma and enthusiasm** to inspire people to exert themselves for the good of the organisation. It may be appropriate **in turbulent environments, in industries at the very start or end of their life-cycles, in poorly performing organisations**, when there is a need to inspire a company to embrace major changes. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction; they inspire involvement in a mission, giving followers a "dream" or "vision" of a higher calling, to elicit more dramatic changes in performance. They motivate followers to do more than originally expected by stretching their abilities and self-confidence, and promote innovation throughout the organisation.
- **Transactional leadership style** focuses on **designing systems and controlling** the organisation's activities and is more likely to be associated with **improving the current situation**. Transactional leaders try to build on the existing culture and enhance current practices. The style **uses the authority of its office to exchange rewards, such as pay and status**, and prefers a more formalised approach to motivation, setting **clear goals with explicit rewards or penalties** for achievement or non-achievement. It may be appropriate **in static environments, in mature industries, and in organisations that are performing well**, and is better suited to persuading people to work efficiently and run operations smoothly.

Basis	Transformational leadership	Transactional leadership
Means of influence	Charisma and enthusiasm inspire people to exert themselves for the organisation	Authority of the office used to exchange rewards such as pay and status
When appropriate	Turbulent environments; industries at the very start or end of their life-cycles; poorly performing organisations; when major change must be embraced	Static environments; mature industries; organisations performing well
Motivation	Excitement, vision, intellectual stimulation, personal satisfaction; a "dream" of a higher calling	Formalised: clear goals with explicit rewards or penalties
Towards change	Elicits dramatic changes in performance; promotes innovation	Builds on the existing culture; enhances current practices; runs operations smoothly

Worked examples

Worked example **Three businesses, three new heads**

Tapri Tea Co. Ltd has bought two companies and must now choose heads, and the right leadership style, for

three businesses:

- **Nilgiri Leaf Co.**, a 90-year-old tea-estate business, profitable every year, in a stable market where little changes.
- **ChaiBot**, a start-up making smart chai-vending machines, in an industry so new that no company in it has yet made a profit; its technology changes every few months.
- **Tapri Instant**, Tapri's own instant-tea sachets: sales have fallen for four years as customers move to premixes, the industry is at the end of its life-cycle, and the business must reinvent itself or close.

Kesar's view: "Nilgiri Leaf and Tapri Instant are both old businesses, so both need the same steady, rules-based head."

Required:

(i) Recommend a leadership style for the head of each business, with reasons, and comment on Kesar's view.

(ii) Distinguish between the two styles.

MODEL ANSWER

(i) Recommended styles. Two basic approaches to leadership are the transformational and the transactional leadership styles.

- **Nilgiri Leaf: transactional leadership.** Transactional leadership may be appropriate in a static environment, in mature industries and in organisations that are performing well. It focuses on designing systems and controlling the organisation's activities, builds on the existing culture, enhances current practices, and is better suited to persuading people to work efficiently and run operations smoothly.
- **ChaiBot: transformational leadership.** Transformational leadership may be appropriate in turbulent environments and in industries at the very start of their life-cycles. It uses charisma and enthusiasm to inspire people to exert themselves for the good of the organisation, and promotes innovation throughout the organisation.
- **Tapri Instant: transformational leadership.** The business is in an industry at the end of its life-cycle, is performing poorly and must embrace major change: transformational leadership may be appropriate in industries at the very start or end of their life-cycles, in poorly performing organisations, and when there is a need to inspire a company to embrace major changes.

Kesar's view is not correct. The age of a business is not the test. Nilgiri Leaf is mature, stable and performing well, which suits transactional leadership; Tapri Instant is at the end of its life-cycle and performing poorly, which calls for transformational leadership.

(ii) Distinction:

Basis	Transformational leadership	Transactional leadership
Means of influence	Uses charisma and enthusiasm to inspire people	Uses the authority of its office to exchange rewards, such as pay and status
When appropriate	Turbulent environments; industries at the very start or end of their life-cycles; poorly performing organisations; when major change must be embraced	Static environments; mature industries; organisations that are performing well
Motivation	Excitement, vision, intellectual stimulation and personal satisfaction; a "dream" or "vision" of a higher calling	Formalised: clear goals with explicit rewards or penalties for achievement or non-achievement
Approach to change	Elicits dramatic changes in organisational performance; promotes innovation	Builds on the existing culture and enhances current practices

Worked example **Six months at Tapri Foods**

Meera Kulkarni was appointed head of Tapri Foods, the strategic business unit that runs the samosa factory and the frozen-snacks range, with a strategy to supply airline caterers. Six months later:

- she reads the monthly report but has not visited the factory, and learnt only last week that the first airline's food-safety audit had been stuck for two months;
- the factory and sales teams blame each other for every missed delivery;
- a rival launched a baked samosa that the airlines prefer, and nobody in the unit noticed for three months;
- when a supervisor proposed relabelling stock near its expiry date to meet an order, Meera said nothing;
- the airline audit has now failed twice, for the same reasons both times.

Required: Which leadership roles in pushing for good strategy execution is Meera failing to play? Advise her.

MODEL ANSWER

A manager as a strategic leader has to play many leadership roles, such as visionary, chief entrepreneur and strategist, culture builder, crisis manager, motivator and policy enforcer. Leading change has to start with diagnosing the situation and then deciding which of several ways to handle it. Managers have five leadership roles to play in pushing for good strategy execution, and Meera is failing in all five:

1. **Staying on top of what is happening**: closely monitoring progress, solving out issues, and learning what obstacles lie in the path of good execution. Reading a monthly report without visiting the factory let the audit stay stuck for two months. Meera should monitor progress closely and in person.
2. **Promoting a culture of esprit de corps** that mobilises and energises organisational members to execute strategy competently and perform at a high level. Teams that blame each other show its absence; Meera should build one team around the airline goal.
3. **Keeping the organisation responsive** to changing conditions, alert for new opportunities, bubbling with innovative ideas, and ahead of rivals in developing competitively valuable competencies and capabilities. The rival's baked samosa went unnoticed for three months.
4. **Exercising ethical leadership** and insisting that the company conduct its affairs like a model corporate citizen. Relabelling stock near expiry must be refused clearly; silence is not ethical leadership.
5. **Pushing corrective actions** to improve strategy execution and overall strategic performance. An audit failed twice for the same reasons shows that no corrective action was taken after the first failure.

Meera should play each of these roles actively if the airline strategy is to be executed well.

Worked example **The CEO who saw only lorries**

Harish Bhatt has spent 25 years in the trucking business and is now chief executive of Tapri Cold Chain. He believes: "Our competitors are other cold-chain truck fleets; technology is a back-office expense." Meanwhile, a quick-commerce company has begun offering its own refrigerated delivery to food brands at lower cost, and two of Tapri Cold Chain's largest customers have moved to it. Harish takes every decision himself and announces it by notice; three senior engineers have left in six months and nobody has been hired; he has shelved a proposal for route-planning software as "a fashion"; and the unit's profit has fallen for three quarters in a row.

Required:

(i) Which concept in strategic leadership explains why Harish missed the new competitor? Explain it and its significance.

(ii) Which responsibilities of a strategic leader is Harish neglecting?

MODEL ANSWER

(i) Managerial frame of reference. A managerial frame of reference is the set of assumptions, premises and accepted wisdom that bounds a manager's understanding of the company, the industry in which it competes, and the core competencies that it exploits in the pursuit of strategic competitiveness and above-average returns. It is the foundation on which a manager's mindset is built. Harish's frame ("our competitors are truck fleets; technology is a back-office expense") bounds what he can see, so a competitor with a different business model was invisible to him.

Significance. In today's competitive landscape strategic leaders are challenged to adapt their frames of reference so that they can deal with rapid, complex changes. Competitive battles are not between companies or products but between mindsets or managerial frames, so effective strategic leaders must be able to deal with the diverse and cognitively complex competitive situations that are characteristic of today's competitive landscape.

(ii) Responsibilities neglected. A strategic leader has several responsibilities: making strategic decisions; formulating policies and action plans to implement strategic decisions; ensuring effective communication in the organisation; managing human capital; managing change in the organisation; creating and sustaining a strong corporate culture; and sustaining high performance over time. Harish is neglecting:

1. **Ensuring effective communication in the organisation**: decisions announced only by notice.
2. **Managing human capital**, perhaps the most critical of the strategic leader's skills: three senior engineers lost and not replaced.
3. **Managing change in the organisation**: the route-planning software shelved as "a fashion".
4. **Sustaining high performance over time**: profit down for three quarters in a row.

The strategic leadership skills of a company's managers are resources that affect company performance and must be developed for the company's future benefit: Harish must first widen his frame of reference.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched, 9 ask about this lesson:

- **Leadership roles in strategy execution, 1 + 4 marks**: May 2025 Q8(b) (OR: "A manager as a strategic leader has to play many leadership roles... delineate the leadership roles"); MTP January 2026 Series I Q3(a) (the same wording, 5 marks).
- **Frame of reference and responsibilities, 2 + 3 marks**: September 2026 Q7(b) (define a managerial frame of reference and its significance; list any six responsibilities; answers not yet published).
- **Identify and distinguish the styles**: RTP September 2026 Q15 (a plant director with fixed targets, rewards and salary deductions: transactional, distinguished from transformational on organisational change and employee motivation); MTP May 2026 Series II Q1(b) (two brothers: authority with explicit rewards and punishment, against participative involvement; 5 marks).
- **MCQs, 2 marks**: a CEO who monitors metrics, sets clear expectations and uses rewards and improvement plans: **transactional** (MTP January 2025 Series I (B)(i)); a leader promoting collaboration, continuous learning and innovation: **transformational** (MTP September 2024 Series II (A)(ii)); a CEO who wants to inspire innovation amid uncertainty: **shifting from transactional to transformational** (MTP January 2026 Series II (A)(iv)); an authoritative CEO who invests in leadership development to build a collaborative environment (RTP January 2025 case MCQ (iii)).

In the exam

How the marks are earned

In the "roles" question, ICAI's answer opens with one or two lines on strategic leadership and the many roles (the 1 mark), then the five roles by name, each with a line (the 4 marks). In style cases, the answer names the style of each person, quotes its features from the Study Material, and, where asked to distinguish, gives the contrast point by point.

Trick

Five roles: "Watch, Energise, Respond, Ethics, Correct"

Watch what is happening; energise (esprit de corps); keep the organisation responsive; be ethical; push corrective actions. The order is the Study Material's.

Answer frame

"Discuss the difference in leadership style" (5 marks)

1. Name the style of each person in the case, with the facts that show it.
2. Transformational: charisma and enthusiasm; turbulent environments, start or end of life-cycle, poor performers, major change; excitement, vision, intellectual stimulation; a "dream" of a higher calling; innovation.
3. Transactional: designing systems and controlling; authority of the office to exchange rewards such as pay and status; clear goals with explicit rewards or penalties; builds on the existing culture; static environments, mature industries, organisations performing well.

4. If asked, a two-column table on means of influence, when appropriate, and motivation.

Three answers to the "many leadership roles" question

Loses marks	Passes	Full marks
"A leader must motivate, communicate and lead by example." Generic management words; none of the five roles by name.	The five roles listed by name only. Four marks' worth of headings with no content, and no opening on strategic leadership.	Two lines on strategic leadership and the many roles (visionary ... head cheerleader), then the five roles in order, each explained in a line. The structure of ICAI's own answer.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's "transformational" plant director

A plant director who sets fixed targets and docks salaries for missed standards is called "transformational, because he transformed productivity". **Fix:** the style is judged by how the leader influences people. Authority of office, explicit rewards and penalties, and monitoring deviations make it **transactional**.

⚠ **Common mistake**

"Transformational is always better"

Fix: each style has its setting. Transactional leadership may be appropriate in static environments, mature industries and organisations that are performing well; transformational in turbulent environments, at the start or end of the life-cycle, and in poorly performing organisations needing major change.

⚠ **Common mistake**

Writing the seven responsibilities when the question asks for the five roles

Fix: "leadership roles in pushing for good strategy execution" = the five roles (staying on top ... pushing corrective actions). "Responsibilities of a strategic leader" = the seven (making strategic decisions ... sustaining high performance).

Practice

Check yourself

1 Case scenario. Rosa Fernandes takes over Goa Spice Exports Ltd, which has lost money for three years in a market disrupted by new online rivals. She shares a vision of "Goan spices on every global table", runs open idea sessions, and encourages staff to stretch beyond their job descriptions. Which leadership style is she following, and is it suited to the situation?

- **A** Transactional, suited because the company needs tighter controls
- **B** Transformational, suited because the organisation is performing poorly in a turbulent environment
- **C** Transformational, unsuited because it works only in mature industries
- **D** Transactional, suited because she sets clear goals with explicit rewards

2 Which of the following is NOT one of the five leadership roles in pushing for good strategy execution?

- **A** Promoting a culture of esprit de corps
- **B** Exercising ethical leadership
- **C** Making strategic decisions
- **D** Pushing corrective actions

3 A managerial frame of reference is best described as:

- **A** The organisation chart showing the manager's reporting lines
- **B** The set of assumptions, premises and accepted wisdom that bounds a manager's understanding of the company, its industry and its core competencies
- **C** The manager's annual performance targets
- **D** The code of conduct the manager must follow

4 Which statements about transactional leadership are correct? Select all that apply.

- **A** It uses the authority of its office to exchange rewards such as pay and status
- **B** It builds on the existing culture and enhances current practices
- **C** It is most appropriate in industries at the very start of their life-cycle
- **D** It may be appropriate in organisations that are performing well

More than one answer may be right.

5 Which responsibility of a strategic leader does the Study Material call "perhaps the most critical of the strategic leader's skills"?

- A Ensuring effective communication
- B Managing human capital
- C Making strategic decisions
- D Sustaining high performance over time

Answers: the answer key at the end of this lesson.

Recap

- Strategic leadership: sets direction by developing and communicating a vision, formulates strategies, brings about the changes required to implement them, inspires staff to execute.
- Many roles: visionary, chief entrepreneur and strategist, chief administrator, culture builder … crisis manager, spokesperson, negotiator, motivator … head cheerleader; authoritarian, listener, participative or coach as the situation needs.
- The strategic leader is a change agent; major change is top-down and vision-driven, starting with diagnosis.
- Five roles in execution: stay on top; esprit de corps; keep responsive; ethical leadership; corrective actions.
- Seven responsibilities: strategic decisions; policies and action plans; communication; human capital (most critical); change; strong culture; high performance over time.
- Frame of reference: the assumptions, premises and accepted wisdom bounding a manager's understanding; battles are between mindsets.
- Transformational: charisma, vision, innovation; turbulent, start or end of life-cycle, poor performers. Transactional: authority, rewards and penalties, systems and control; static, mature, performing well. (Pick the coach for the season.)

Answer key · Check yourself

1 **B Transformational, suited because the organisation is performing poorly in a turbulent environment**

Charisma, vision of a higher calling and stretching people's abilities mark transformational leadership, which may be appropriate in turbulent environments and poorly performing organisations needing major change.

2 **C Making strategic decisions**

"Making strategic decisions" is the first of the seven responsibilities of a strategic leader, a different list.

3 **B The set of assumptions, premises and accepted wisdom that bounds a manager's understanding of the company, its industry and its core competencies**

It is the foundation of the manager's mindset; competitive battles are between mindsets or managerial frames.

4 **A** **It uses the authority of its office to exchange rewards such as pay and status**; **B** **It builds on the existing culture and enhances current practices**; **D** **It may be appropriate in organisations that are performing well**

Industries at the very start or end of their life-cycles call for transformational leadership.

5 **B** **Managing human capital**

Managing human capital is the one the Study Material singles out.

5.5 Strategic control and performance measures

The process of control and its three types, Schendel and Hofer's two questions, the four strategic controls with implementation control's two forms, and strategic performance measures: types, importance and how to choose them.

In plain words

The plan that assumed cheap diesel

Tapri's Kulhad Express plan, 120 highway kiosks, rested on assumptions: diesel prices stable, highway traffic growing, no new food-licensing rules for highway stalls. Six months in, Ananya calls a review.

> **Ananya:** Before we ask how many kiosks are open, are our assumptions still true?
>
> **Dev:** Diesel is up, so truck traffic is down. My spreadsheet would like a word.
>
> **Ritu:** And the kiosks that are open sell 40% less than plan. Per kiosk, please: which ones, and why?

That review is **strategic control**. It asks two questions: **is the strategy being implemented as planned, and are the results the ones intended?** It works in four ways. **Premise control** keeps checking the assumptions the strategy was built on (diesel, traffic, rules). **Strategic surveillance** is general watching of newspapers, magazines and conferences for anything unexpected. **Special alert control** is the emergency review after a sudden shock: a cyclone, a competitor's surprise merger. **Implementation control** checks progress through the incremental steps (the 30th, 60th, 90th kiosk) and asks whether the whole strategy needs changing.

Below strategic control sit the everyday controls: **management control** over whole departments and divisions, and **operational control** over individual tasks (stock levels, quality, budgets). To track all of it, the firm needs **strategic performance measures**: financial, customer, market, employee, innovation and environmental indicators that show whether the strategy is working.

Think of it like

The road trip

Before leaving, you check that the ghat road is open and the monsoon is late: premise control. On the way, the radio is on in the background: surveillance. A landslide blocks the road and the family holds an emergency meeting at a dhaba: special alert. At each toll plaza you ask whether you are still on time: milestone reviews. Keeping the car in its lane is operational control, and the dashboard (fuel, speed, distance) is your set of performance measures.

Key idea

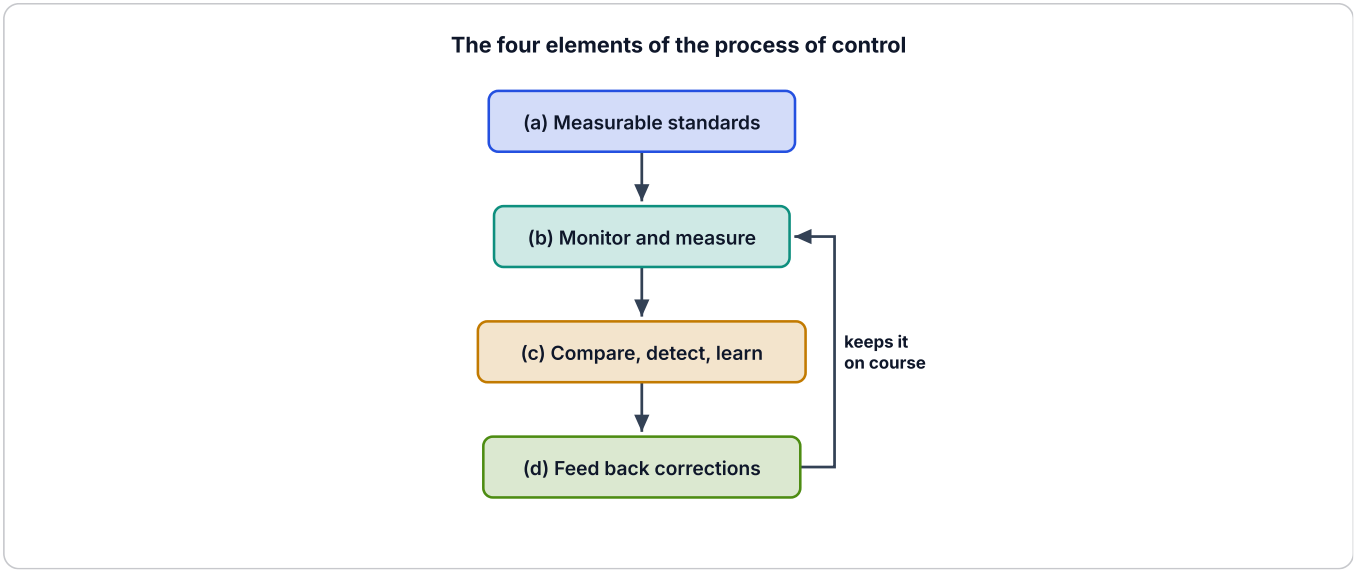
Strategic control focuses on the dual questions of whether the strategy is being implemented as planned and whether the results produced are those intended. It watches the premises, the environment, sudden events and the steps of implementation, so the strategy can be adjusted in time.

How it works

Control and the process of control

Controlling is often regarded as the core of the management process: a function intended to ensure the performance of planned activities and achieve the pre-determined goals and results. Control regulates and checks: it structures and conditions the behaviour of events and people, **places restraints and curbs on undesirable tendencies, makes people conform to certain norms and standards**, measures progress to keep the system on track, ensures that **what is planned is translated into results**, and keeps a watch on the **proper use of resources** and the safeguarding of assets (SM 5.56). The controlling function monitors activity, measures results against pre-established standards, analyses and corrects deviations, and maintains or adapts the system, so the organisation continuously learns from experience (SM 5.56).

The process of control has the following elements (SM 5.56–5.57):



- **(a)** Objectives of the business system which could be operationalised into **measurable and controllable standards**.
- **(b)** A mechanism for **monitoring and measuring** the performance of the system.
- **(c)** A mechanism (i) for **comparing** the actual results with reference to the standards, (ii) for **detecting deviations** from standards and (iii) for **learning new insights** on standards themselves.
- **(d)** A mechanism for **feeding back corrective and adaptive information** and instructions to the system, for effecting the desired changes to set right the system to keep it on course.

Three types of organisational control

Primarily there are three types: **operational control, management control and strategic control** (SM 5.57).



Operational control. Its thrust is on **individual tasks or transactions**, as against total or more aggregative management functions: procuring specific items for inventory is operational control, in contrast to inventory management as a whole. A test: there should be a clear-cut and somewhat measurable relationship between inputs and outputs, predetermined or estimated with least uncertainty. Many control systems are operational and **mechanistic**: standards, plans and instructions are set, and processes are regulated within certain "tolerances", irrespective of the effects of external conditions. Examples: **stock control** (stocks between set limits), **production control** (manufacturing to set programmes), **quality control** (quality between agreed limits), **cost control** (expenditure as per standards), **budgetary control** (performance to budget) (SM 5.57).

Management control. More **inclusive and more aggregative**, embracing the integrated activities of a complete department, division or even the entire organisation. Its basic purpose is the achievement of enterprise goals, short range and long range, in a most effective and efficient manner. Robert Anthony defines management control as "the process by which managers assure the resources are obtained and used effectively and efficiently in the accomplishment of the organisation's objectives" (SM 5.57).

Point	Operational control	Management control
Thrust	Individual tasks or transactions	Integrated activities of a complete department, division or the entire organisation
Example	Procuring specific items for inventory	Inventory management as a whole
Nature	Mechanistic: standards, plans and instructions; processes regulated within tolerances	Achieving enterprise goals, short and long range, effectively and efficiently

Strategic control

Definition

Strategic control

According to Schendel and Hofer, "Strategic control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended." (SM 5.58)

There is often a **time gap** between formulation and implementation, during which internal and external changes may affect the strategy, so **warning systems** are needed to track it as it is

implemented. Strategic control is the process of **evaluating strategy as it is formulated and implemented**; it is directed towards identifying problems and changes in premises, and making the necessary adjustments (SM 5.58). There are **four types** (SM 5.58–5.59):

1. Premise control. A strategy is formed on certain **assumptions or premises** about the complex and turbulent environment, which may not remain valid. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built. It monitors two types of factors: (i) **environmental factors**: economic (inflation, liquidity, interest rates), technology, social and legal-regulatory; (ii) **industry factors**: competitors, suppliers, substitutes. It is neither feasible nor desirable to control all premises in the same manner: managers select those likely to change and that would severely impact the organisation and its strategy.

2. Strategic surveillance. Contrary to premise control, it is **unfocussed**: general monitoring of various sources of information to uncover **unanticipated information** having a bearing on the strategy, through **casual environmental browsing**: reading financial and other newspapers and business magazines, attending meetings, conferences and discussions. It may be a loose form of strategic control, but is capable of uncovering information relevant to the strategy.

3. Special alert control. Unexpected events may force a reconsideration of strategy: **sudden changes in government, natural calamities, terrorist attacks, unexpected merger/acquisition by competitors, industrial disasters** may trigger an immediate and intense review. Organisations form **crisis management teams** to handle such situations.

4. Implementation control. Managers implement strategy by converting major plans into concrete, sequential actions that form **incremental steps**. Implementation control assesses the need for changes in the overall strategy in the light of unfolding events and the results of those steps. It is **not a replacement for operational control**: unlike operational control, it continuously monitors the basic direction of the strategy. Its two basic forms:

- **(i) Monitoring strategic thrusts**: helps managers determine whether the overall strategy is progressing as desired or needs readjustment.
- **(ii) Milestone reviews**: all key activities necessary to implement the strategy are segregated in terms of **time, events or major resource allocation**; a review normally involves a **complete reassessment** of the strategy and assesses the need to continue or refocus the organisation's direction.

When each control works: formulation (Time 1 to 2), implementation (Time 2 to 3)

Control	Formulation	Implementation
Surveillance	yes	yes
Premise	yes	yes
Special alert		if triggered
Implementation		yes

The table follows the figure by Pearce, Robinson and Mital in the Study Material (SM 5.59): surveillance and premise control run from the start of formulation (Time 1) to the end; special alert control (a dashed line in the figure) and implementation control run once implementation begins (Time 2). These four strategic controls **steer the organisation and its sub-systems to the right track** and help it negotiate the turbulent and complex environment (SM 5.60).

Strategic control	Focus	Typical trigger or tool
Premise control	Focused: the assumptions behind the strategy	Interest rates, inflation, regulation, competitors, suppliers, substitutes
Strategic surveillance	Unfocussed: anything unanticipated	Newspapers, business magazines, conferences
Special alert control	A sudden, unexpected event	Crisis management team; immediate, intense review
Implementation control	The incremental steps of implementation	Monitoring strategic thrusts; milestone reviews

Strategic performance measures

A company's performance depends heavily on the execution of strategy. **Strategic performance measurement (SPM)** is a method that increases line executives' understanding of the organisation's strategic goals and offers a continuous system for tracking progress towards them using clear-cut performance measurements. **SPM helps to eliminate silos** by establishing a common language among all divisions, so they communicate openly and productively (SM 5.60).

Definition

Strategic performance measures

Strategic performance measures are key indicators that organizations use to track the effectiveness of their strategies and make informed decisions about resource allocation. The measures provide a snapshot of the organization's performance, enabling leaders to assess whether their strategies are aligned with their goals and objectives and to make necessary adjustments to improve their performance. (SM 5.60)

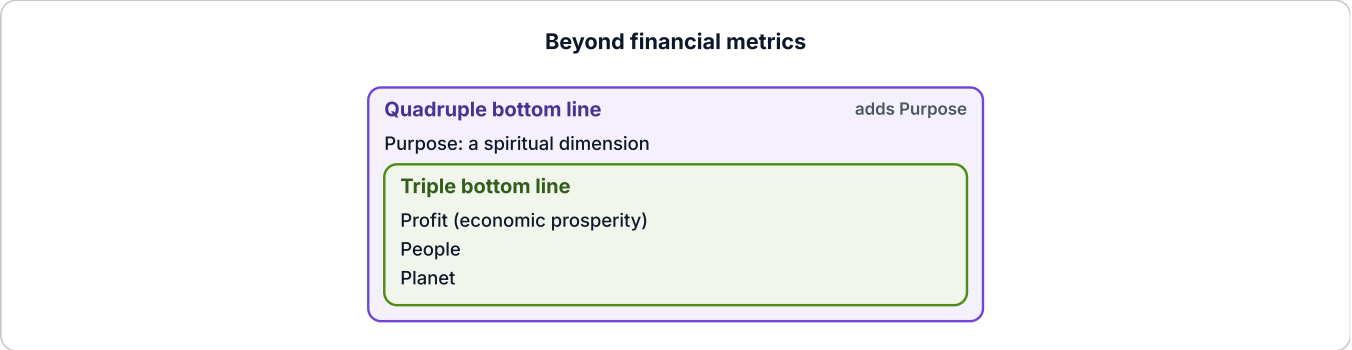
KPIs (SM 5.60): key performance measures and indicators must be created, selected, combined into reports and acted upon so that implementation has tangible outcomes. First, there must be a **clear cause and effect relationship** between the indicators and strategic outcomes; second, KPIs must be **carefully chosen, because they will influence the behaviour of people** within the organisation. Managers should beware of **paralysis by over analysis**.

Managing the political aspects of implementing a strategy (SM 5.60–5.61): planners face two sets of forces: the **rational** forces of openness, communication and self-analysis, and the **political** forces of preserving empires and fostering internal rivalry, which urge knowledge retention, selective communication and caution. When they conflict, the politically acceptable aspects may end up in the **explicit strategy**, while the sensitive elements form an unspoken plan containing the **implicit strategy**.

Types of strategic performance measures (SM 5.61):

Type	Examples	Insight into
Financial	Revenue growth, ROI, profit margins	Financial performance and the ability to generate profit
Customer satisfaction	Satisfaction, retention, loyalty	Ability to meet customer needs with high-quality products and services
Market	Market share, customer acquisition, referrals	Competitiveness; ability to attract and retain customers
Employee	Satisfaction, turnover rate, engagement	Ability to attract and retain talent and create a positive work environment
Innovation	R&D spending, patent applications, new product launches	Ability to innovate and create new products and services
Environmental	Energy consumption, waste reduction, carbon emissions	Impact on the environment; efforts to operate sustainably

Towards more holistic measures (SM 5.62): management thought has pushed strategic performance beyond financial metrics. The **Triple Bottom Line** framework emphasises **People and Planetary** concerns besides **profitability or Economic Prosperity**; the **Quadruple Bottom Line** adds a fourth P, a spiritual dimension named **Purpose**.



Why strategic performance measures are essential (SM 5.62–5.63):

1. **Goal alignment**: they help organisations align strategies with goals and objectives, ensuring they are on track to achieve the desired outcomes.
2. **Resource allocation**: they give the information to make informed decisions about resource allocation, prioritising efforts and allocating resources to areas of greatest impact.
3. **Continuous improvement**: they provide a framework to track progress and make adjustments to improve performance over time.
4. **External accountability**: they help demonstrate accountability to stakeholders, including shareholders, customers and regulatory bodies, by giving a clear and transparent picture of performance.

Choosing the right strategic performance measures (SM 5.63): measures should be aligned with goals and objectives and provide relevant, actionable information. Consider:

1. **Relevance**: relevant to the goals and objectives, providing actionable and meaningful information, so that improvements and strategic decisions can follow.
2. **Data availability**: based on data that is readily available and can be collected and analysed in a timely manner.
3. **Data quality**: based on high-quality data that is accurate and reliable.
4. **Data timeliness**: based on data that is current and up to date, so decisions can be made quickly.

These factors give a framework to assess the success of strategies, identify areas for improvement and decide on resource allocation and adjustments. Effective strategic performance measures should be **relevant, meaningful, easy to understand, and regularly reviewed and updated** (SM 5.63).

Worked examples

Worked example **The samosa scale that nobody reads**

At Tapri's samosa factory in Dewas, the standard is a samosa of 80 g ± 3 g, fried in oil that is changed every 8 hours. A supervisor weighs 20 samosas every hour and writes the weights in a register, which is filed at the end of each week; nobody compares the weights with the standard. Last month an airline caterer rejected a whole consignment because the samosas weighed 88 to 92 g and were oily. The plant manager's reply: "We have controls. Look at the register." Meanwhile, Tapri's sales team reports that office canteens now want a 50 g mini-samosa, but the 80 g standard has not been looked at since 2019.

Required:

(i) Examine the factory's control system with reference to the elements of the process of control, and advise the plant manager.

(ii) Is the hourly weight check an example of operational control or management control? Give reasons.

MODEL ANSWER

(i) The elements of the process of control, applied. The controlling function involves monitoring the activity and measuring results against pre-established standards, analysing and correcting deviations as necessary, and maintaining or adapting the system. The process of control has four elements:

1. **Objectives of the business system operationalised into measurable and controllable standards**: present. The 80 g ± 3 g weight and the 8-hour oil change are measurable, controllable standards.
2. **A mechanism for monitoring and measuring the performance of the system**: present. Twenty samosas are weighed every hour and recorded.
3. **A mechanism (i) for comparing the actual results with reference to the standards, (ii) for detecting deviations from standards and (iii) for learning new insights on standards themselves**: missing. Nobody compares the register with the standard, so the 88 to 92 g samosas were found by the customer, not by the factory; and the 80 g standard has not been reconsidered although canteens now want a 50 g samosa.
4. **A mechanism for feeding back corrective and adaptive information and instructions to the system**, to set it right and keep it on course: missing. No instruction ever reaches the frying line.

Advice. A register that is only filed is measurement without control. The plant manager should have each hourly reading compared with the standard on the shop floor, deviations flagged at once and corrective instructions fed back to the line (portion size, oil change), and should review the standards themselves, for example by setting a separate standard for a 50 g mini-samosa.

(ii) Operational control. The thrust of operational control is on individual tasks or transactions, as against total or more aggregative management functions, and there is a clear-cut and somewhat measurable relationship between inputs and outputs. The weight check regulates one process within set tolerances (± 3 g): it is **quality control**, keeping product quality between agreed limits, which the Study Material gives as an example of operational control. Management control would instead embrace the integrated activities of a complete department, division or the entire organisation.

Worked example

Four kinds of watchfulness

Identify, with reasons, the type of strategic control in each situation at Tapri:

(a) Tapri's strategy for exporting premix to the Gulf assumes that the rupee-dirham exchange rate stays within a band and that the Gulf countries' food-import rules stay unchanged. Every quarter, a committee under Dev checks whether these assumptions still hold.

(b) Ananya reads business newspapers daily, attends food-technology conferences and talks to suppliers at trade fairs. At one fair she hears, unexpectedly, that BrewBucks is testing a chai-latte concentrate.

(c) A fire destroys the packaging line at Tapri's only premix plant, in Pithampur. Kesar sets up a crisis team that meets the same night to review how premix will be supplied to the whole country.

(d) Tapri's expansion of the Dewas samosa factory is divided into three stages, each tied to a release of funds. Before the second release, the board completely reassesses whether the expansion strategy should continue or be refocused.

MODEL ANSWER

(a) Premise control. A strategy is formed on certain assumptions or premises; premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built. The exchange rate (an economic factor) and the import rules (a legal-regulatory factor) are premises likely to change and to affect the strategy severely.

(b) Strategic surveillance. Contrary to premise control, strategic surveillance is unfocussed: general monitoring of various sources of information, through casual environmental browsing such as reading newspapers and attending conferences, to uncover unanticipated information having a bearing on the strategy.

(c) Special alert control. Unexpected events such as industrial disasters and natural calamities may trigger an immediate and intense review of strategy; organisations form crisis management teams to handle such situations.

(d) Implementation control, in the form of milestone reviews. Implementation control assesses the need for changes in the overall strategy in the light of the results of incremental steps. In milestone reviews, key activities are segregated in terms of time, events or major resource allocation, and the review normally involves a complete reassessment of the strategy and of the need to continue or refocus.

Worked example **The dashboard nobody trusts**

Tapri Cold Chain Pvt Ltd, the Tapri subsidiary that runs its cold chain, has a new strategy: to earn half its revenue by carrying frozen foods for other companies, profitably, within three years. Every month its board receives a dashboard of 140 indicators, and its meetings end with long debates and few decisions. Among the indicators:

- the headline KPI is kilometres driven per truck, which is up 20%; drivers, who earn a bonus on it, have started taking longer routes;
- customer satisfaction comes from a survey done once a year, whose results arrive five months later;
- temperature-breach reports are typed in by drivers from memory at the end of each week;
- fuel used per tonne carried cannot be calculated, because the fuel-card company sends data only on request.

Required:

(i) Examine the dashboard with reference to the requirements for key performance indicators and the factors for choosing the right strategic performance measures.

(ii) Suggest the types of strategic performance measures suited to the new strategy.

MODEL ANSWER

(i) Examination of the dashboard. Key performance measures and indicators must be created, selected, combined into reports and acted upon so that strategy implementation can have tangible outcomes.

1. **Cause and effect**: there needs to be a clear cause and effect relationship between the indicators and strategic outcomes. Kilometres driven have no such link with profitable revenue from outside customers.

2. **Influence on behaviour**: KPIs need to be carefully chosen because they will influence the behaviour of people within the organisation. A bonus on kilometres has made drivers take longer routes.
3. **Paralysis by over analysis**: 140 indicators debated every month with few decisions is exactly what managers should be aware of.

The factors for choosing the right measures:

Factor	What it requires	The dashboard
Relevance	Relevant to the goals and objectives; actionable, meaningful information	Kilometres driven is not relevant to the strategy
Data availability	Data readily available, collected and analysed in a timely manner	Fuel data available only on request
Data quality	High-quality data that is accurate and reliable	Temperature breaches typed in from memory
Data timeliness	Data that is current and up to date	Satisfaction results five months old

Effective strategic performance measures should be relevant, meaningful, easy to understand, and regularly reviewed and updated; Tapri Cold Chain should cut the dashboard to a few such measures linked to its strategy.

(ii) Types of measures suited to the strategy:

1. **Financial measures**: revenue growth from outside customers, return on investment, profit margins.
2. **Customer satisfaction measures**: satisfaction, retention and loyalty of the outside customers.
3. **Market measures**: market share, customer acquisition, customer referrals.
4. **Employee measures**: satisfaction, turnover rate and engagement of drivers and depot staff.
5. **Innovation measures**: spending on new refrigeration technology, new services launched.
6. **Environmental measures**: energy consumption, waste reduction and carbon emissions of the fleet.

Exam angle

In the exam

Where this lesson appeared, May 2024 to September 2026

Of the 32 new-scheme ICAI documents searched, 23 ask about this lesson:

- **The process of control, 5 marks**: September 2025 Q5(c) (a company whose expansion is missing projections, with improper use of resources and non-conformance to norms: "which function ... what elements?"; ICAI's answer: strategic control, and the four elements).
- **Types of strategic control**: MTP January 2026 Series II Q1(c) (5 marks: continuous monitoring with flexibility; all four types); RTP January 2025 Q15 (regularly reviewing business assumptions: premise control).
- **Strategic control MCQs, 2 marks**: a competitor's unexpected merger and an intense review: **special alert** (May 2025 MCQ 15); owners who read business magazines and attend conclaves: **strategic surveillance** (MTP September 2024 Series I); **premise control** for re-evaluating economic assumptions (MTP September 2025 Series I), for staying on track while making proactive adjustments (MTP September 2026 Series I), for a firm that relied on outdated assumptions (RTP September 2025) and for a hospital chain's regular risk assessment (RTP May 2024); sudden regulation: **special alert** (MTP May 2026 Series I); regular evaluation of goals and performance: **implementation control, milestone reviews** (RTP September 2024 MCQ 6); a 15-year plan resting on one interest-rate assumption (September 2026 MCQ 14, answers not yet published); integrated activities of a complete department: **management control** (MTP May 2025 Series I; RTP September 2026 MCQ 6).
- **Strategic performance measures, 5 marks**: why they are essential (MTP May 2024 Series I Q4(a); RTP September 2024 Q16; MTP May 2026 Series I Q4(b)); meaning and importance (January 2025 Q7(b), 1 + 4); types (September 2024 Q8(b); MTP May 2024 Series II Q4(a); MTP January 2025 Series I Q1(c) and MTP September 2025 Series II Q1(c), the same case); a case on goal alignment and accountability (RTP May 2025 Q15); choosing the right measures (January 2026 Q7(a); MTP September 2026 Series II Q3(a); MTP September 2024 Series I Q4(b) (OR)); SPM and silos (September 2026 Q8(b) (OR), answers not yet published).

In the exam

How the marks are earned

ICAI's control answers name the function first ("strategic control"), give its purpose in the Study Material's words (curbs on undesirable tendencies, conformance to norms, proper use of resources, plans translated into results), then the four elements (a) to (d). SPM answers use one of three lists, and the question's verb picks it: "types" (six), "why essential" or "importance" (four), "factors to consider" (four).

Trick

"Premise is focused, surveillance is not"

Premise control watches **chosen assumptions**; strategic surveillance browses **everything**, unfocussed; special alert reacts to **one sudden event**; implementation control checks **the steps**. If the case says "assumption", it is premise control; "newspapers, magazines, conferences", surveillance; "sudden", "unexpected", "crisis team", special alert; "milestones", "stages", "complete reassessment", implementation control.

Answer frame

"Which function, and which elements?" (5 marks)

1. "The company should perform the strategic control function of the strategic management process."
2. Purpose of control in the Study Material's words, tied to the problems in the case.
3. The four elements (a) to (d), each with one line applied to the facts.
4. Closing: the elements ensure a check on improper use of resources, undesirable tendencies and non-conformance, and a result-oriented implementation.

"Explain the types of strategic control" (5 marks)

Open with Schendel and Hofer's dual questions; then premise control (environmental and industry factors; selective), strategic surveillance (unfocussed, casual browsing), special alert control (sudden events, crisis teams) and implementation control (incremental steps; monitoring strategic thrusts and milestone reviews); close with "these four controls steer the organisation and its sub-systems to the right track".

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's "premise surveillance"

Bunty reads that the CFO "monitors whether the interest-rate assumption remains valid" and writes "strategic surveillance, because he is monitoring". **Fix:** surveillance is unfocussed browsing for the unanticipated; checking a specific premise of the strategy is **premise control**.

⚠ **Common mistake**

Budgetary control as a type of strategic control

Fix: stock, production, quality, cost and budgetary control are **operational** controls. The four strategic controls are premise, surveillance, special alert and implementation control.

⚠ **Common mistake**

The wrong SPM list

Asked "why are strategic performance measures essential?", writing financial, customer, market, employee, innovation and environmental measures. **Fix:** that is the list of **types**. "Essential" or "importance" wants goal alignment, resource allocation, continuous improvement and external accountability; "factors" wants relevance, data availability, data quality and data timeliness.

Practice

Check yourself

1 Case scenario. AushadhGhar Ltd's strategy is to become the leading online pharmacy in tier-2 towns. Every month its management reviews the share of orders coming from tier-2 towns and the repeat-order rate, to judge whether the overall strategy is progressing as desired or needs readjustment. There are no fixed stages or funding milestones. Which control is this?

- **A** Premise control
- **B** Implementation control: milestone reviews
- **C** Implementation control: monitoring strategic thrusts
- **D** Management control

2 Tapri's finance team keeps each café's monthly spending within its approved budget and reports variances. Kesar calls this "our strategic control". Is he right?

- **A** Yes: it is implementation control, because it checks implementation
- **B** Yes: it is premise control, because the budget rests on assumptions
- **C** No: it is strategic surveillance, because it monitors spending
- **D** No: it is budgetary control, an example of operational control

3 Procuring specific items for inventory is an example of which control?

- **A** Operational control
- **B** Management control
- **C** Strategic control
- **D** Premise control

4 Which of these are the two basic forms of implementation control? Select all that apply.

- **A** Monitoring strategic thrusts
- **B** Monitoring environmental factors
- **C** Milestone reviews
- **D** Crisis management teams

More than one answer may be right.

5 Which of the following is a factor the Study Material lists for choosing the right strategic performance measures?

A External accountability

B Data timeliness

C Goal alignment

D Market share

Answers: the answer key at the end of this lesson.

Recap

- The process of control has four elements: (a) objectives as measurable, controllable standards, (b) monitoring and measuring, (c) comparing, detecting deviations and learning new insights on standards, and (d) feeding back corrective and adaptive information.
- There are three types of organisational control: operational (individual tasks, mechanistic: stock, production, quality, cost and budgetary control), management (a whole department, division or organisation, as Robert Anthony defines it) and strategic.
- Strategic control (Schendel and Hofer): is the strategy implemented as planned, and are the results those intended?
- Premise control: focused check of assumptions (environmental and industry factors), selectively. Strategic surveillance: unfocussed, casual browsing. Special alert: sudden events, crisis teams. Implementation control: incremental steps; monitoring strategic thrusts and milestone reviews.
- SPM: tracks progress with clear-cut measures and eliminates silos through a common language. KPIs need cause and effect, careful choice; beware paralysis by over analysis.
- Types: financial, customer satisfaction, market, employee, innovation, environmental. Triple bottom line: profit, people, planet; quadruple adds purpose.
- Important for goal alignment, resource allocation, continuous improvement, external accountability. Choose by relevance, data availability, data quality, data timeliness. (Check the road before you leave, and again at every toll plaza.)

Answer key · Check yourself

1 **C Implementation control: monitoring strategic thrusts**

Monitoring strategic thrusts helps managers determine whether the overall strategy is progressing as desired or whether there is need for readjustments. Milestone reviews segregate key activities by time, events or major resource allocation and normally involve a complete reassessment of the strategy; premise control checks the assumptions behind the strategy.

2 **D No: it is budgetary control, an example of operational control**

Budgetary control (keeping performance to budget) is one of the Study Material's examples of operational control, with stock, production, quality and cost control. The four strategic controls are premise control, strategic surveillance, special alert control and implementation control.

3 **A** **Operational control**

Operational control's thrust is on individual tasks or transactions; inventory management as a whole would be management control.

4 **A** **Monitoring strategic thrusts**; **C** **Milestone reviews**

Environmental factors are watched by premise control; crisis management teams belong to special alert control.

5 **B** **Data timeliness**

The factors are relevance, data availability, data quality and data timeliness. External accountability and goal alignment are reasons why the measures are important; market share is an example of a market measure.